# Indo Count Inds (ICIL)

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# Call: Jun 2023

June 6 , 2023

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No : 521016

Dear Sir / Madam,

Subject: Transcript of the Investor s' Conference Call held on May 31 , 2023 for Q4 & FY23 Results

In continuation to our ear lier intimation dated May 31 , 2023 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on Wednes day, May 31 , 2023 at 2:00 p.m. (IST) for Q4 & FY23 Result s.

The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -of-Q4-and-FY23 -Investors%E2%80%99 -Conference -Call-held-on-May-31-2023.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industrie s Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a


"Indo Count Industries Limited
Q4 & FY '23 Earnings Conference Call "
May 31, 202 3

DISCLAIMER: E&OE - THIS TRANSCRIPT IS EDITED FOR FACTUAL ERRORS. IN CASE OF DISCREPANCY, THE AUDIO
RECORDINGS UPLOADED ON THE STOCK EXCHANGE ON 31ST MAY, 2023 WILL PREVAIL. FURTHER, NO UNPUBLISHED
PRICE SENSITIVE INFORMATION WAS SHARED/DISCUSSED IN THE CALL.

MANAGEMENT : MR. K.R. LALPURIA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDO COUNT INDUSTRIES LIMITED

MR. MURALIDHARAN – CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to Indo Count Industries Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. Th ese statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pre ssing star then zero on a touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K. R. Lalpuria, Executive Director and CEO of Indo Count Industries Limited. Thank you, and over to you, Mr. Lalpuria.

K.R. Lalpuria: Thank you. Good afternoon, and a very warm welcome to all of you to the Indo Count Industries Q4 and FY '23 Earnings Call . I have with me Mr. Muralidharan, our CFO and Strategic Growth Advis ors, our IR advis ors. Happy to connect with you all once again to discuss the Q4 and FY '23 performance.

Let me start with the industry and business scenario during Q4 and FY '23. We ha d a successful close to FY '23 as we continued to sustain our performance , despite numerous external challenges. During the year, the industry has faced multiple headwinds, such as the demand slowdown in export markets due to high inflation, the supply chain disruptions due to logistics, which affected inventory levels and a record high commodity cost whic h severely hit margins. However, after navigating these headwinds, the sector is seeing signs of revival. We believe the worst is behind us.

Coming to our key markets, we have experienced improvement in demand due to normalized inventory levels at the reta ilers end hence, there is an uptick in the order bookings, and we are optimistic that the growth phase should return.

Domestic scenario, Indian consumer continues to improve its economic status and spending capability. We believe this will lead to an incr ease in household numbers and a consequent surge in demand for home product over both the medium and long -term.

Hence, we are seeing an opportunity to tap into this market. We are confident on sustainable growth for Indian manufacturers since India has an integrated manufacturing base for textiles. This coupled with various government initiatives has also bolstered domestic manufacturing, including the Make in India campaign, PLI scheme , Textile MITRA Parks, which is overall aimed at promoting local manufac turing and exports.

Coming to our recent performance and update.



I am delighted to share that Indo Count has successfully navigated the challenges in FY23. Given the circumstances, we concentrated on expanding in value -added segments such as fashion, utility and institutional side. As a company, we focused on brand building initiatives. During FY23, we have seen growth in the e -commerce side of the business, which contributed 10% of revenue in FY23.

I'm happy to announce that we have been able to achieve volume guidance for FY23 with a sales volume of 74.7 million meter s. Our consistent efforts over the last few quarters helped us to sustain our margins. Our strong execution capabilities ensure that margin sustainability does not compromise our balance sheet.

Over the last two years, we have built capacities through orga nic and inorganic routes by investing over INR1,

000 crores and positioned the company as the largest global bed linen
player. Our prudent capital allocation strategy has helped us to be ready to achieve 2x revenues for the future. In spite of capex spendin g, our strong free -cash generation was further re -utilized towards debt reduction, which reduced our net -debt from INR900 crores in FY22 to INR589 crores in FY23.
For FY24, we expect volumes to be in the range of 85 million meters to 90 million meters, wh ich translates to a 15% to 20% Y -o-Y growth, our EBITDA for FY24 will be in the range of 16% to 18%.
For FY23, branded business stood at 14% of sales, domestic business at 2.5%, e -commerce at 10% and fashion utility and institutional business contributed 19% of our revenue.
We are embarking on increasing the contribution of this value -added segment and have accordingly set our targets for FY24.
Let me now talk to you about our ESG initiatives. We at Indo Count are an ESG -focused organization with clear go als, roadmap and guiding principle, in all of our operations, including the sourcing of raw materials, manufacturing, supply chain and waste recycling, we enable a sustainable approach.
Our key updates are during the quarter, ICIL has achieved 90.6% score for Higg Index versus Global Benchmark in Home Textile s verified score, which is 59%.
Hohenstein, Germany, a recognized world lab has lauded our contribution and efforts towards water consumption, saving and recycling and all of this happened on the event of the International Water Day.
We have received the certificate of merit from CITI Birla Sustainability Award under contribution towards zero carbon emission at a ceremony held in Jaipur.
On the awards and recognition,


We are happy to announce that our domestic brand, Layers is recognized as the FEMINA POWER BRANDS for the year 2022 -23 for introducing exquisite designs wrapped in superior fabric at affordable price s. In addition to the above, ICIL has been awarded by the Federation of Indian Export O rganizations, FIEO for being the highest foreign -exchange earner in textiles in Maharashtra for two consecutive years, 2018 -2019 and 2019 -2020.
Now let me share with you our consolidated financial performance.
Kindly note the previous periods FY22 figures are restated on account of RoSCTL of timing benefit of INR49.99 crores, approximately INR50 crores.
Total income, INR810 in Q4 FY23 versus INR690 crores in Q4 FY22, a Y -o-Y growth of 17.3%.
Total income is INR3,043 crores versus INR2,932 crores in FY22, a growth of 3.8%.
EBITDA, INR147 crores in Q4 FY23 versus INR132 crores in Q4 FY22. EBITDA, INR486 crores in FY2 3 versus INR524 crores in FY22.
EBITDA margin stood at 18.1% in Q4 versus 19.1% in Q4 FY22. EBITDA margins stood overall for the year at 16% in FY23 versus 17.9% in FY22.
PAT, INR95 crores in Q4 FY23 versus INR85 crores in Q4 FY22. Overall, INR277 crores PAT in FY23 versus INR359 crores in FY22.
EPS is INR13.97 in FY23.
Net debt: the net -debt to equity is 0.33 as at 31st March 2023 against 0.57 for the previous year.
For FY23, our ROE is 15.4% and ROCE is 17.7%.
The Board of Directors has recommended a final dividend of INR 2 per equity share of INR 2 each, that is 100%, subject to the approval of shareholders at ensuing Annual General Meeting.
That's all from my side. Now I leave the floor open for the questions -and-answers.
Moderator: The first question comes from the line of Ashwini Agarwal from Demeter Advisors L LP.
Ashwini Agarwal: Couple of questions; one is, if you look at the fourth quarter, what would be the total value -added revenues because in the various categories that you outlined in your opening remarks, there is some overlapping elements as well ?
K.R. Lalpuria: We should see for the overall year. So we have been able to, you k now,

clock 19% of value -
added products sales, which I mentioned in my speech. And also in the investor deck that 19% came from fashion, utility and institutional business and also the license brand did well on the e-commerce front. So our emphasis is to se e how we increase our D2C and B2C strategies and which we will work upon going forward also.
Ashwini Agarwal: And out of this 19%, how much was India ?

K.R. Lalpuria: India, overall is 2.5% of our revenue as on -date.
Ashwini Agarwal: And that would be all v alue-added, I'm assuming ?
K.R. Lalpuria: Of course, that's the brand for e play.
Ashwini Agarwal: So Mr. Lalpuria you had mentioned that your aspiration is to take this number to 30%. Now that you achieved 2.5% in India and nudging 20%, what do you see as t he journey to 30%. I mean how much time will it take, what will be the critical components that will drive it, brands in India, brands overseas, B2C, how do you see that journey playing out ?
K.R. Lalpuria: Yes. So, as you know, we have invested in a state -of-art fashion bedding unit which has started operation s. We are focusing on the back end as well to deliver value -added goods, not only to the exports market, but also to the domestic front. And as I mentioned, w e are seeing Indian economy moving forward. So, there is a good opportunity for us to leverage our brand strength in the domestic area also. So, what we had earlier mentioned about our 30% revenue on the export front for fashion, utility, and institutional , and the domestic brand promotion is over and above this. So, we should be looking at a good level in the coming year s, as you know the economy move s ahead and so it should take around say another three years to achieve this 30% on the increased revenue.
Ashwini Agarwal: Okay. And sir when you gave an outlook of 17% to 18% EBITDA margin, this improvement in product mix is built into that or that's on a steady -state basis, considering your last quarter was anyway close to whatever, 18% or so ?
K.R. Lalpuria: So, we are looking upwards as we utilize our capacities going forward where we will apportion our fixed cost. Not only that what we are seeing uptick in demand and various other factors, which are helping us to bring back normalcy in our business front. S o as the demand improves, definitely our target would be to improve our margin and that prompted us giving you a margin guidance of 16% to 18%. But yes, there is potential for improvement going forward.
Ashwini Agarwal: And, sir, now that most of the capex is done, barring a small amount at PSML , what should we think about as ongoing capex for maintenance purpose, refurbishment or whatever else balancing equipment that you might want to add ?
K.R. Lalpuria: So, the capex will be minimal because we have compl eted our most of the capex , except for the spinning, where we have reflected balance of INR23 crores. So apart from this capex , it will be the routine capex for this year.
Ashwini Agarwal: And that will be lower than your depreciation outlay, the routine capex ?
K.Mur alidharan : Yes, INR40 crores to INR50 crores will be the normal capex .
Ashwini Agarwal: Okay. And sir, last question from me. On the working capital side, I mean I was just calculating the inventory days on a full -year basis from March 2023 inve ntory days were about 240, but I'm


also cognizant that this was a very volatile. But if I look at your long -term history, your inventory days have somewhere in the ballpark of 180 give or take year to year 170, 200 sometimes. Do you think we normalized to 180 days or the change in sales mix needs higher inventory days ?
K.R. Lalpuria: Well, as the supply -chain has eased out, we have come b

ack to normal and that would be the order of the day. So currently we are at around 130 days as compared to 171 days on 31st March 2022. So, I think these are the normalized figure. So, this should continue going forward.
Moderator: Next question comes from the line of Kapil Jagasia from Nuvama Wealth Research.
Kapil Jagasia: Sir, my first question is, has all inventory at retailers been exhausted and are retailers going for full order replacement or there is still some inventory at some of the retailers, it's still there, could you help us with this inventory situation ?
K.R. Lalpuria: It has considerably improved. And a s I mentioned, you know, it is more or less normalized now. So, we should see uptick post second quarter onwards.
Kapil Jagasia: Okay. So, in that case, what would be your order book position as on -date?
K.R. Lalpuria: The order book position is good, that prompted us providing you a guidance of 85 million meters to 90 million meters.
Kapil Jagasia: Okay. So that is for, like the order book would be for six months or like, this is for a longer period now ?
K.R. Lalpuria: Normally, it is five to six months in consideration, but we have a longer view because we are into supplying core businesses to major retailers. So that gives us some visibility on the order book position going forward. And as the inventory levels have reduced considerably, this gives us the confidence that as things normalizes, they will be back in business.
Kapil Jagasia: Sir, just one follow -up on the fashion, utility, and institutional business. The contribution here remains the same at 19% vis -a-vis if I compare to the previous year. So w ould it be fair to assume that standalone business contribution of this segment much have been much higher, as this integration of new unit of GHCL would still not be getting to the premium segment ?
K.R. Lalpuria: No, we are slowly integrating the product mix what was sold at GHCL earlier and I'm happy to

say that we have been able to uptick their margin to somewhat our level of business, which is getting reflected into our overall performance of 16% for the full ye ar. So, we are pushing the value -added products to the customers, which were existing at GHCL, and we are confident that we should be able to impress upon them to have that on their shelf. So, we are quite confident that going forward, as we have invested into the back end as well, will give us lot of confidence to promote this product across our customer base globally.
Kapil Jagasia: Just this final question from my side. Realization on a Y -o-Y basis if I see that has come off a bit, though it is still hig her if I compare to last three years of probably pre -COVID levels. So


according to you, how much more would still be needed to be passed to the end retailer or that is through for now?
K.R. Lalpuria: So, the realization is in proportion to the raw material prices as what we have seen an uptick in last year. So as this get s corrected, there will be calibration in the overall pricing, but since we are into value -added segment and since we have a good collaboration with the customer and understanding, we are c onfident that we should be able to add value to their business as well as to our business going forward. So we will try to see that we can maintain higher margin and earn higher margin for the Company on value -added products.
Moderator: Next question comes from the line of Nirav Savai from Abakkus AMC.
Nirav Savai: Sir, I have got three questions. The first one is, with large part of the capex which we have already done, FY24 onwards there will be only maintenance capex . How do we allocat e those funds. Is there any dividend policy which we have decided or any buyback plans in future ?
K.R. Lalpuria: We already have a dividend policy and acc

ording to that the Board takes decisions. Going forward, we have higher payout this year in -spite of our profitability getting reduced . So, the Board has taken a view and given back to the shareholders a higher dividend pay-out, and we have maintained our 100% dividend that is INR 2 on a fair value of INR2. So, we do believe that we should reward the stak eholders as we move ahead with the company's performance from time-to-time. But looking at the growing company, we do need cash.
And as you can see that through investment, we have made the company a global leader, and there are requirements going forward to like renewable energy like other areas where we need to invest into capex from time to time. So, the cash is also needed for growth. And that's the reason we are having a dividend policy where we are moderating at times to see that the dividend pay-out is healthy and consistent and maintained.
Nirav Savai: Right. So, we stick to a guidance of about INR70 crores to INR75 crores kind of capex for next year? Over and above that, can you say anything for renewables or anything?
K.R. Lalpuria: INR23 crores is the balance on the PSML side and then there will be, as Mr. Muralidharan has said, around INR 40 crores. So, adding that up, it comes to around INR60 crores to INR70 crores of routine capex .
Nirav Savai: Right. Second thing is what would be a cotton invent ory as on March closing? Because last year, we had loaded a lot of cotton inventory because the prices were going up. So compared to last year, what would be the cotton inventory which we are holding ?
K.R. Lalpuria: As far as our hedging policy on the raw material side goes on, we believe into having investment into supply chain so that not only we ensure the buyers from a price standpoint, but also from a security of supply chain point of view, our philosophy is to exist on the supply chain. This wants us to have at least six months cotton inventory and as we are seeing the season this time of the year, we have created a six month inventory going forward


Nirav Savai: Hello.
K.R. Lalpuria: Can you hear me?
Nirav Savai: Yes.
K.R. Lalpuria: So, I already answ ered.
Nirav Savai: Right. So, we have a six months cotton inventory as on March 31 ?
K.R. Lalpuria: Yes.
Nirav Savai: And sir, on the freight side, last year, the freight cost was highly elevated, which has cooled off now. Going forward, next year, what can be the potential gains with this lower freight cost compared to what has happened last year in FY '23 ?
K.R. Lalpuria: So most of our sales are on FOB terms and whatever which we sell to our subsidiary in the US and UK, there will be reduced freight compon ent. So as the proportion happens , we will see that

positive impact on to reduction of freight costs going forward.
Nirav Savai: Right. So that is something which is a part of our guidance of 17%, 18% kind of EBITDA what we have guided or and that will be over and above?
K.R. Lalpuria: No, it is part of that.
Moderator: Next question comes from the line of Bharat Chhoda from ICICI Securities Limited.
Bharat Chhoda: So probably, I just wanted to understand the gross margin expansion. What is causing gross margin expansion? And would you say that the gross margin would be sustainable for us going ahead?
K.R. Lalpuria: See, the gross margin is resulted due to our supply chain investment, number one. Secondly, we were able to convince upon the customers to have a reasonable price increment. Third is prudent into handling our inventory management as well as financially dep loying capital. So, on all these fronts, it helps us to achieve and maintain the gross margin close to our FY22 result. So going forward also, our entire attempt will be to see how we can maintain this gross margin as our focus will be towards adding

more value -added products in sales and our B2C, D2C strategies as well as brand promotion in the domestic area will help us garner more margin for the company in our overall revenue.
Bharat Chhoda: Sir, this reasonable price increase, if you can give some quant um on that, what kind of overall price increase have we taken?
K.R. Lalpuria: That we cannot provide but it is proportionate and that's the reason you see the EBITDA level being maintained.


Bharat Chhoda: Okay. And sir, one more, like --
K.R. Lalpuria: And the gross margin also maintained if you look at our raw material cost.
Bharat Chhoda: Okay sir. Just had another question, like, could you share the cotton -polyester products mix share for us.
K.R. Lalpuria: Mostly, it is cotton like almost 80%, more than 80%, 20% is blended and there is in blends like in polyester as well as Tencel is used nowadays.
Bharat Chhoda: So for this value added, would the polyester use increase or how it is, sir?
K.R. Lalpuria: Value -added is what seen in that context, but it is seen from various products which we supply on the fashion side as well as the utility and institutional side where we specialize. So it cannot be seen in context to a ratio between polyester and cotton.
Bharat Chhoda: GHCL 45 mn. capacity is fully operati onal right now?
K.R. Lalpuria: Yes, it is fully operational.
Moderator: Next question comes from the line of Hemang Kotadia from Anvil Shares and Stock Investment.
Hemang Kotadia : First of all, congratulations to you for the great set of volume growth and the margin in this difficult environment and a strong balance sheet after having an inventory of INR900 crores to - debt is just INR6 billion. Sir, my first question on how we are increasing our wallet share with the existing customers as far as America is concerned, US is concerned.
K.R. Lalpuria: So as I have mentioned, we are seeing improvement in demand due to the normalized inventory levels and the order booking is also there is an uptick. So we are quite optimistic that USA as a country should do well ; and even the interest rate somewhat have stabilized the hike in the interest rate. So, because of all this happening, we see that the demand outlook is positive. And secondly, on the other side, you see there were so many headwinds last year, which have now normalized. So that should also help into our overall competitiveness.
Hemang Kotadia : And how is the competitor behaving like Pakistan, China ? Pakistan is having a lower cotton price and with the rupee also depreciated quite a lot. So how are they co mpeting with us to get the orders from the USA.
K.R. Lalpuria: In fact, India is positioned from the mid -to-high segment and Pakistan is into low segment. So there is no direct competition as such. And as far as China is concerned, we all know we have seen from OTEXA Data where they were three years back and now where do they stand and their focus is entirely on to their domestic front because there are headwinds for them, as far as tariff is concerned, in the US market, which they have increased the import tariff rate as well as the Chinese cotton, which has been banned.


So, these are the opportunities for the China plus one strategy also because the retailers would like to reduce and derisk, their sourcing from one country. And that's why India seems it is well placed. They are looking positively at India to have a higher allocation of sourcing.

Hemang Kotadia : Okay. And sir, any latest talks on the UK FTA where we can see the light at the end of t he tunnel.
K.R. Lalpuria: So, UK and EU are facing challenges because of the high inflation, and we are maintaining our good presence there, we ar

e sustaining our growth over there and we are like waiting for the FTA to happen, both in UK as well as Europe , which will definitely see Indian market share improving and correspondingly, our market share going up. So, we are quite hopeful that in the coming period, once the FTA happens , this will see an uptick into Indian market share building out there.
Hemang Kotadia : And sir, my last question on the -- like we have only capex of around INR60 crores, INR70 crores for the coming year, and I think incremental working capital requirement would be INR100 crores. So do we see further deleveraging DEBT around INR2 bi llion to INR3 billion in FY '24, like INR200 crores, INR300 cr. debt reduction is possible because we don't have further capex and I think working capital requirement will be also minimal.
K.R. Lalpuria: Of course, that's our whole philosophy and strategy always that we would like to move towards more debt -free organization. And so, our free cash flow will be utilized to pay back our debt at the end of the day.
Moderator: Next question comes from the line of Vikas Jain from Equirus Securities.
Vikas Jain: Thank you sir so much for the opportunity. The first question is with respect to the realization. Last year, we did see a sudden surge in our raw material cost. We have passed on in the last portion...
K.R. Lalpuria: Your voice is cracking Vikas. I can't hear you.
Vikas Jain: Yes. So, sir, I was asking with respect to the realization. So last year, while the price hikes were taken to pass on the RM inflation, but now since the freight and the cotton price h as come down, are we seeing an increased demand from the retailers to cut down the prices or any such sort of trend that you are witnessing?
K.R. Lalpuria: As I already mentioned, first of all, the inventory levels are down. So, the demand is seeing an uptick because at the end of the day, these are HOME products which are getting sold out there, and it also depends on the incremental home sales out there. So definitely, we are seeing that the normalization would return into the overall pricing, both on the cotton side and the finished good prices. So there is no such trend.
But yes, we have to work upon closely with the customer to see how we can ma ke it much more competitive and grab the market share. And that's how we believe into having a collaboration


with him and a joint business plan to see that not only the product is successful on the shelf in selling, but also the customer is able to grab mo re market share.
Vikas Jain: Got it. So, in other words, can we say that FY '24, the growth will be largely driven by the volumes and not by the prices. Would that be a correct assumption?
K.R. Lalpuria: No, it is not a correct assumption because you see it's always worth proportionately both the raw material prices and the overall prices. So, you have to calibrate that.
Moderator: Next question comes from the line of Pankaj from Affluent Assets.
Pankaj: Sir, our capacity is around 150 million meters and we are currently utilizing around 50% of the sales and guiding for 60% maybe for next year. So when do we see the ideal capacity narrowing down. So, when do we see our capacity moving towards 70% or 80% uti lization.
And second question would be, how are Indian cotton prices placed vs. global cotton prices and do we get any advantage of lower pricing, or we are still at the pricier end of the curve?
K.R. Lalpuria: See, first of all, we have grown 12% CAGR for the last four years, and we have given our guidance for growth at 15% to 20%. So, this would be like our endeavour to see that we grow at this run rate because we have a capacity at hand. Secondly, we are seein g that India as a country is well positioned towards textile supplies, and we are looking at various governmen

t initiatives like PLI , Textile MITRA Park and the overall value chain where the government is extending their overall support because it creates employment.
And the third is about the FTA, which are going to get with major trade blocks, so which will help the Indian textile companies to garner more market share going forward. So, we are hopeful; that is the reason we invested into this inorganic ca pacity so that we can be future ready as we are seeing an uptick in demand for Indian overall products in textile.
So as a company, we are working towards it, and we have reasons to believe because of the various strategies, which we have formulated in the last three, four years towards developing not only our B2C, D2C strategies in the marketplace and the licensed brand and the fashion, utility, institutional brand, but also, we are seeing a good opportunity in the domestic brand foreplay.
So, with all this, this capacity we should be able to fully utilize in the next three to four years.

Now on your second question on the cotton prices as compared to other countries, yes, they do have certain impact on the push and pull, but India is the large st cotton producer, and it has adequate cotton to supply to the mill at the cotton prices according to the demand and the prices overseas, they have a working mechanism where the spreads are maintained, and that's the reason we see that it will be to Indi a's advantage because India is growing a good amount of cotton going forward.

Pankaj: Sir, if I may take a follow -up question. With the acquisition of GHCL, we had an exposure to Australian market. So where are we there, means our majority of sales are sti ll coming from US.



And second thing, what would be the trigger for this capacity utilization which you have guided for?

K.R. Lalpuria: So, see, we have entered into FTA’s with UAE & Australia where we see a good uptick in demand from customers over there. And we are working upon it aggressively, and we are seeing some good results as well. So to your first question, that our emphasis is on to see that how we can spread more on to the non -US businesses and develop that going forward so that we have a healthy balance between these two continents , that is , one is US business and the other is non -US business , And as I mentioned, we are looking at FTA getting signed with EU, UK, Canada, where and GCC countries where it will again help into spreading our goods to these countries. So this will have a good impact on to our concentration on US business and non -US businesses as well. So this will definitely help us spread our goods to these countries.

Pankaj: So those three, four years of guidance which you have given for optimum utilization of capacity, does that depend on these FTAs to design or they are independent of that?

K.R. Lalpuria: It is independent. We as a company formulated a lot of strategies. We haven't added the capacity on the basis of the FTA.

Pankaj: So in case if FTA’s do get signed in in the near future, can we see this time period being compressed down to say, maybe one or two years?

K.R. Lalpuria: Of course, it will have certain impact on to better positioning.

Moderator: Next question comes from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, just I wanted to check a couple of things. Now on the interest cost, so how do we see the interest cost. Now net debt has reduced, but interest cost this quarter was much lower than what we have been reporting, right. So how do we see the interest cost going forward?

K. Muralidharan: So, the interest cost on the average utilization for the last year has been a little higher because our inventories came down over a period of time last year. So, the interest cost should be stabilizing around INR60 crores, INR62 crores around the finance costs over the next year also.

Deepak Poddar: FY '24?

K. Muralidharan: Yes.

Deepak Poddar: Okay. And why was this lower this quarter?

K. Muralidharan: This quarter, overall, I think we had some sort of provisioning done throughout the year for US business. That got reversed. That was not required, so that has got corrected in the present quarter Q4.



Deepak Poddar: And a point which was mentioned earlier in the call that ASP prices will calibrate with the RM pricing, right? So it would be fair to assume that this FY '24, our ASP should be lower than FY '23 average ASP?

K. R . Lalpuria : To some extent, yes.

Moderator: Next question comes from the line of Vishal Bagadia from Roha Asset Managers.

Vishal Bagadia: Sir, we have been hearing from all the players across that the retailers have destocked their inventory at the US levels, but they're still following a cautious a pproach in terms of restocking their inventory and buying optimal for a month or two period only. So, what is your view on the same? And how are things shaping up for us?

K.R. Lalpuria: So, for the full year, they have not been chasing goods, so they are b uying a very selective, and they are continuing with that strategy going forward also. So, there is no creation of additional inventory at their level, which becomes obsolete. So that meets our expectations of the demand getting uptick in the right invento ry for them.

Vishal Bagadia: Okay. And sir, my other question is on new business are we in talks with any new potential customers or have we signed up any new customers in the last couple of months gone by?

K.R. Lalpuria: Definitely, we all work towards it. We are supplying to 50 -plus countries, and we have got a list

of marquee retailers to only supply globally. So, we keep on adding new customers, of course, all the time in new countries, as I said, the entire strategy is to see how we can spread our products to more countries and more customers.
Moderator: Next question comes from the line of A.M. Lodha from Sanmati Consultants.
Abhay Lodha: Sir, congratulations for a good set of numbers and a very good reduction in the d ebt as well as the addition to the group. Sir, I got three questions. Number one, addition to the block. Addition to the block in last two years, FY '22 and FY '23 is a tune of INR782 crores as per the cash flow statement of the company, where the sales ha s not been increased at all in FY '22, sales were INR 2,982 crores and consolidated level in FY '2 3, INR 3,042 crores. So would you explain what sales growth we are expecting in FY '24 and FY '25.
K.R. Lalpuria: So very good question, Lodha. In FY '22, we had this -- in FY '23, we had this acquisition, which is a long -term strategy. And if you look at the acquisition price which we paid is INR 590 crores out of INR 782 crores. Thus, we worked upon into building a state -of-art fashion bedding unit moving towards supplying more products on the field side so that we complete our dream to supply fashion bedding and utility bedding to all our customers across the board and in different countries. So that we had invested, we have modernized our spinning towards compact spinning so we can utilize that yarn.
And lastly, we have invested into our subsidiary, PSML, which was amalgamated to the parent company, bringing in more assets like land a nd building, where we are utilizing and sweating


this asset by adding on 68,000 spindles to spin special yarn so that we can increase our captive consumption, thereby contributing to the overall margin.
And secondly, this acquisition which we had done was to meet out our future growth and it's a long-term strategy. So that'

s why you see that in spite of our investment of INR1,055 crores in the last two years, we were not able to jack -up because this is the beginning of our next fundamental growth period go ing forward, and that's why we indicated that in FY '24, we will have a growth of 15% to 20% because now we have started sweating all these assets.
Abhay Lodha: And what about FY25, sir?
K.R. Lalpuria: FY '25, of course, we will further move ahead with our growth plans, reduce our debt and make the company much prouder .
Abhay Lodha: Okay sir. What is the capex the company expects to expand in next two years, 2024 and 2025.
K.R. Lalpuria: We have already mentioned that it will be routine capital expenditure apart from the balance, INR23 crores, which we have to spend towards our spinning. So it will be routine capital expenditure, except for if there is some compliance requirements on the renewable energy side, the Board will take appropriate decision, but it is not much. So we have to sweat our assets going forward. That's our whole effort.
Abhay Lodha: My last question is relating to cash management. So far, your cash management is very excellent. You red uced the working capital loans from INR1,200 crores to INR600 crores. And I expect in current year, the company expected to remain to have a cashflow at least INR500 crores in current year FY '24, which we estimate as per the results given by the company t his quarter. So how does the company proportionally utilize this INR500 crores, which we expect the cash flow by the company.
K.R. Lalpuria: So, I had already mentioned about making our routine capital expenditure, good dividend pay-out, our interest cost leaving behind whatever, we will service to reduce our debt.
Moderator: Our next question comes from the line of Akshay Jain from JM Capital.
Akshay Jain: A couple of questions from my side. Firstly, how do you see license brands contributing and its contribution growing in the overall revenue share for next two, three years?
K.R. Lalpuria: So, we are seeing a good uptick because we have now two licenses, strong licenses in our kitty. One is Jasper Conran and the other is GAIAM. Jasper Conran is alread y in action in UK and some other countries, whereas GAIAM is still to be launched in this spring summer. So, it will see an uptick into our overall license brand promotion.
And as I had mentioned, we have formulated a couple of years back our B2C and D2C s trategies. So, we are seeing a good growth on the license brand. We are in discussions with a couple more licensed brand entity, and we see that this business should provide us not only revenue , but also


an uptick on to our margins going forward. So, we wi ll be focusing on to promoting license brand going forward, as I mentioned earlier.

Akshay Jain: Okay. Sir, secondly, what is our marketing spend during the quarter as a percentage of revenue?
K.R. Lalpuria: That we will provide you offline, our total mark eting expenses.
Moderator: The next question comes from the line of Abhineet Anand from Emkay Global Financial Services.
Abhineet Anand: Sir, for the year, what have been the forex gain for us?
K.R. Lalpuria: Forex gain is around INR13 crores.
K. Muralidharan: Forex gain for this year has been INR13 crores, included in the other income.
Abhineet Anand: And what was it last year, sir?
K. Muralidharan: Last year was about INR 110 crores.
Abhineet Anand: That was also part of other income, right?
K. M uralidharan: Yes. Part of total revenue in any case.
Abhineet Anand: Okay. And just trying to understand that in terms of demand from US, I mean, is this the demand that you are seeing right now or long are is it for two quarters or how is it?
K.R. Lalpuri a: So, we are seeing that it has come back normalized, but because of the infl

ationary situation, we are a bit cautious. And that's the reason we have given a guidance of 85 million meters to 90 million meters and the margin guidance as well. So, we think that the second quarter onward, it should normalize.
Abhineet Anand: I'm just trying to understand in any, let's say, in two years, typically, the US retailers would give you orders for what period, right now what they are doing? Is there a change in some psyche of the US retailers, that is what I'm trying to understand ?
K.R. Lalpuria: There is no change in the working style. We have core programs which are provided for projection for almost a year. And then the order book position is being provided for the first five, six months. And every month, there is a PO updated getting into concrete numbers. So that is the way how the US retailers' function. So, we have got a good visibility on the businesses going forward, and that's what prompted us to provide you with the volume guidance.
Moderator: This will be the last question, which comes from the line of Bhavin Chheda from ENAM Holdings.
Bhavin Chheda: Excellent set of numbers and very strong guidance going into FY '24. Sir, just a continuation of the previous one. You said that the order book more or less, you have visibility of six months.


So back -to-back, cotton plus yarn also, you would have covered up to the that exten t because cotton and yarn both prices are on a falling spree. So can we have a positive margin surprise to what earlier outlook of 17%, 18% because 15 days back, month back, we were looking at 63,000 64,000 /candy , now 60,000 . So what's your take on that?
K.R. Lalpuria: Yes. First of all, you see the cotton prices are a bit volatile there. We even gone to 56,000, 55,000 level, but that was for a short period. And if you take into consideration, it will be anywhere between 60,000 to 65,000 going forward, as the demand improves. So, this would be the average . And as I mentioned earlier, in order to secure supply chain to our customers as a philosophy, we cover up to five to six months, till September, we are covered, and that's our hedging p olicy as well. And we have benefited in the past for better managing our businesses and in the future also, this would help us to secure timely deliveries to our customers. So, I think we are covered for six months for both cotton as well as yarn.
Bhavin C hheda: And on the currency side, sir, how would you hedge?
K.R. Lalpuria: See, currency also, for the year, it was around 79. And going forward, as per the policy, we are around 81 plus.
Bhavin Chheda: That would also cover it for five, six months or any p ercentage that you target --
K.R. Lalpuria: Order book is there; we will cover for that.
Moderator: Thank you. Ladies and gentlemen, that was the last question today. We have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.
K.R. Lalpuria: With this, I would like to thank everyone for joining on the call. I hope we have been able to address all your queries. Our focus going forward will be towards achieving higher utiliza tion of our overall capacity. This will lead to strengthening the brand equity for Indo Count as well as strengthening our market position. We will continue to be prudent in our financial management, and we'll ensure a healthy growth. That is all from my s ide. For any further information, kindly get in touch with me or Strategic Growth Advis ors, our IR advis ors. Thank you.
Moderator: Thank you. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Aug 2023

August 14, 2023

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No: 521016

Dear Sir / Madam,

Subject: Transcript of the Investors' Conference Call held on August 08, 2023 for Q1 FY24 Results

In continuation to our earlier intimation dated August 08, 2023 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Investors' Conference Call held on Tuesday, August 08, 2023 at 2:00 p.m. (IST) for Q1 FY24 Results.

The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript-of-Q1-FY24-Investors%E2%80%99-Conference-Call-held-on-August-08-2023.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a


"Indo Count Industries Limited
Q1 FY24 Earnings Conference Call "
August 08 , 202 3

MANAGEMENT : MR. K.R. LALPURIA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDO COUNT INDUSTRIES LIMITED

MR. MURALIDHARAN – CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 earnings call of Indo Count Industries Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confer ence call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K.R. Lalpuria, Executive Director and CEO of Indo Count Industries Limited. Thank you and over to you, sir.

K.R. Lalpuria: Thank you. Good afternoon and a very warm welcome to all of you to the Indo Count Industries' Q1 FY '24 earnings call. I have with me Mr. Muralidharan, our CFO and Strategic Growth Advisor, our IR Advisor. Happy to connect with you all once again to discuss the Q1 FY '24 performance.

Let me first highlight the industry and business scenario. After a challenging and subdued FY '23, we now anticipate demand revival across global markets due to realignment of i nventory levels at the retailers end. In current Q2, we are witnessing incremental business and our order book position continues to improve. Despite 5% volume increase in Q1, we expect to achieve double digit growth in next 3 quarters, thus meeting our vo lume guidance of 85 to 90 million meters for FY '24.

The long -term growth prospects of the Indian textile industry are intact. As per the trend witnessed in our key markets, we have observed global companies have stepped up efforts to implement the China + 1 strategy of diversifying their supply chain. The key export markets focused on shifting to India for a long -term supply and the government's favorable policies provide scope for textile companies to post robust growth in the long run.

We strongly bel ieve India's textile industry possesses immense potential to achieve the target of $300 billion by the year 2030, fueling economic growth, generating employment opportunities and showcasing the nation's cultural heritage to the world. With a strong balance sheet, financial prudence and laser -focused approach, we continue to remain positive to grab any opportunities in the textile trade.

Now coming to our recent performance and updates.



During Q1 FY '24 , we achieved 5% volume growth and clocked 20.03 million meters versus 19.1 million meters in Q1 FY '23.

We have maintained our operating margins for Q1 FY '24 at 17.4%.

Over the last 2 years, we have built capacities through organic and inorganic routes. I'm happy to share that our capex projects are completed as per timeline. With this, we position the company as the largest global bed linen player.

Updates from B2C and D2C segment.

We are strategically moving towards B2C, B2B and D2C segments with better margin and value proposition business. The company is focusing more on enhancing our presence acros s the digital marketplace and high quality product offerings. Our E-commerce sales are growing and revenue share is improving. Our domestic brands, Boutique Living and Layers, both are getting good traction.

To summarize, I'd like to add that our strategy revolves around adopting a customer -cent

ric
approach, which enables us to create innovative products, move up the value chain alongside our customers and increase our market share. This is also the result of several years effort s of work improving the bus iness mix, shifting to higher ticket size and value -added segment.
Let me now talk to you about our ESG initiatives.
Sustainability is deeply rooted in our culture and business operations. Our philosophy wh ich transcends into policy and practices balances the aspiration of being a sectoral benchmark in value creation and corporate citizenship.
On awards and recognition.
I'm happy to announce that Indo Count I ndustries Ltd. has been awarded the Niryat Shree Gold Trophy. The Niryat Shree is awarded to member exporters of FIEO for achieving outstanding performance in the exports of goods and services.
Now let me share with you our consolidated financial performa nce.
I'm happy to announce that we have achieved a quarterly sales volume of 20.03 million meters for Q1 FY '24.
Our order book continues to remain healthy and we continue to remain optimistic and expect volumes for FY '24 to be in the range of 85 to 90 million meters.
Total income INR 747 crores in Q1 FY '24 versus INR 722 crores in Q1 FY '23.
EBITDA of INR 130 crores in Q1 FY '24 versus INR 141 crores in Q1 FY '23.


PAT INR 74 crores in Q1 FY '24 versus INR 77 crores in Q1 FY '23.
EPS is INR 3.72 in Q1 FY '24.
Now, I wait for the question and answers.
Moderator: The first question is from the line of Kapil Jagasia from Nuvama Wealth Research.
Kapil Jagasia: Sir, first question is on the volumes as most of the retailers have specified improvement in demand and also a correction in inventory at their end from the last 3, 4 months. Volumes have been flattish sequentially. So I wanted to know like why it hasn't been specified pickup in volumes in this particular quarter. And I know you had specified from next quarter it would be pickup, but my question pertains to this particular quarter.
K.R. Lalpuria: So as we all know, the first quarter is a bit slow in our industry, and even then we have performed well if you compare on a Y -O-Y basis by almost 5% . And as we move ahead, once the demand revival is better, we will perform much better. And due to our order position, we already gave you the guidance of 85 to 90 million meters. So we believe that you should look at us from a full year perspective.
Kapil Jagasia: Okay. Sure, sir. Sir, my next question is on realizations. Now, it has been on a downtrend since last 2 quarters. So like what would be your take on it? Like, would the real izations be at these levels or it would be going further down? What would be your take on it?
K.R. Lalpuria: See, last year like cotton prices were in the range of INR 90,000 to INR 1 lakh. And currently, if you observe, the cotton prices have corrected an d gone down. Hence, there is a difference in ASP if you compare on a Y-O-Y basis. Now going forward, yes, certainly if the raw material prices are better, we will be able to hedge our raw material better.
Secondly, the utilization of the capacities will also help improve our margins further. And our entire focus is to see how we can promote more value -added items. This will also help us to evolve and get better margins on our sales. So all these factors will definitely help us improve our margins going fo rward. And we expect that the average selling prices going forward

may
improve to a certain extent.
Kapil Jagasia: But sir, if we look at the cotton prices over last 3, 4 months, it has remained stable. And then too our realizations on a sequential basis have dropped by around 6% to 7%. So my question was pertaining to that, like there is a stable commodity cost, but the realizations have gone down. So just wanted to understand on that part.
K.R. Lalpuria: Yes. You should look at the full year, Kapil, when you look at our realizations, because we have been able to provide a margin guidance also of 16% to 18% together with the volume guidance.
So you should look at the overall picture for the full year rather than the calculation on a quarterly basis.

Kapil Jagasia: Okay. Okay. Okay, sure. And sir, my final question would be on the debt levels. What would be the debt as on June '23? And what would be your outlook on it by the end of FY '24?
K.R. Lalpuria: See, I think we would be able to give you a better picture at the end of H1. And certainly, you see, as we have been stating earlier to that, whatever free cash flow generation would be is to reduce our debt. So overall, if you look at the year -end, we sho uld be able to reduce our debt by another INR 200 crores.
Moderator: The next question is from Ashutosh Chaubey from Centra Insights.
Ashutosh Chaubey: This is Ashutosh. Thank you for the opportunity. Sir, I have a question with regards to any guidance. I mean, now we have done a lot of capex in the last 2, 3 years organically and inorganically. So with this 153 million meters of the capacity that we have, what do we -- how do you foresee yourselves in the next 3, 4 years? Where do we want to reach as a -- say, on a revenue basis or probably on utilization level basis?
K.R. Lalpuria: See, we have already given a capacity utilization of more than 60% for FY '24. And going forward also, we have given a statement that in the capacity utilization, we will be ab le to bring about 2x revenues in the next 3 to 4 years. So this is how we intend to move forward.
Ashutosh Chaubey: Okay. Sir, here we are roughly looking for around INR 5,000 crores , INR 6,000 crores of revenue, right? So with this regards, like what are the new markets that we're tapping with this FTA coming in? And I know that the company is probably planning to get into the U.K. and Australia. But how do we see this FTA panning out and -- because we've been talking about this FTA thing for probably over 2 years now. So what is the update on that?
K.R. Lalpuria: See, already we have seen an uptick in demand from Australia and UAE. There, FTA has already been achieved. And currently, like the commerce ministry is working with U.K. and Canada, which should happen in this financial year, which is what our expectation is.
Secondly, you see the company is working upon various strategies. It's not just we are dependent upon the FTA, because we are making attempts because we are market ready with the capacity, we are a customer -centric company, where we do promotions into various business distribution channels, like whether it is e -commerce, whether it is domestic business, whether it is B2C, D2C strategies, whether it is the value -added segment like fashion, uti lity, institutional, where we are trying to grow our business.
And plus the China + 1 strategy is also helping us to get better market share in the markets apart from the U.S., where things are going to improve in the future. So solely we are not dependent upon the FTA, but it's a company strength. It's positioning. It's a strategy involving various marketing approach. That's what is helping. And our competitive advantage. India as a country itself is positioned with a lot of competitive advantage . So we believe that all these factors together should help us achieve the growth in the coming

years.


Ashutosh Chaubey: Okay. Sir, understood. Sir, one just last question. With regards to the home textile business, I just want to understand Indo Count's p oint of view. I mean, a lot of players in this home textile segment have made a comment that they're not able to pass on the prices and they have to absorb the costs, and that is affecting their margins. But sir, if you go through the Indo Count's statement, there is it very -- you have been able to pass on the prices on a better way than compared to peers. So what is this thing that is helping you to pass on the prices but not the other home textile players?
K.R. Lalpuria: See, we as a company have got core strength, like we have innovation, quality and services, which are our core strength. Our customer -centric approach helps also us into positioning our both product and our marketing strategies around it. We have been building brick -to-brick our distribution channels in various markets like the U.S., U.K. and Dubai. And we also intend to develop various other distribution channels in other markets too as and when the FTA happens.
So continuously, we are working upon innovative ways how to promote our product, get into better creativity and product development and help the customer get its market share, maintaining the competitive advantage. So the value addition which we are trying to do both in goods and services help our company to achieve better results.
Ashutosh Chaubey: Okay. So probably because we have a far better reach and connect to our customers, that is one of the reasons that we are able to pass on the prices. Is it to assume, sir?
K.R. Lalpuria: Of course. We are in made -to-order busine ss, so we have to work around the CRM, that is the customer relationship management. But it's not that only thing. We with such a flexibility, scalability of capacities and our capabilities around it is helping the company to provide a better value proposi tion. And the product mix, which we are catering to in the bedding side of the business, is a full 360 degrees which we are offering in the soft furnishing side.
So I think with the kind of product basket, with the kind of innovation which we bring to the table, with the kind of service level which we are able to provide to the end customer, all this

help us into giving better results both on the volume as well as the value points.
Moderator: The next question is from the line of Hemang Kotadia from Anvil Share & Stock.
Hemang Kotadia: Yes, sir. Congratulation on the good volume and margin front in this difficult time. Sir, where we stand at top of the bed as a percentage of sales currently, like -- or fashion or utility bedding or institutional bedding? An d where we have target to reach by next 2 years, basically, by FY '25? And my second question on...
K.R. Lalpuria: Can you speak louder a little bit? Because your voice is...
Hemang Kotadia: Yes. Yes. So just -- sir, first of all, congratulations on the go od volume and margin front in this difficult environment. And my first question is on top of the bed, so basically your fashion utility and institutional bedding side. So what is the percentage of sales currently we are getting from that? And target to rea ch at what level by FY '25 end?


And second question is on the -- what is the premium we are getting on the basically fashion bedding compared to the normal sheet business? Yes, I just want to know.
K.R. Lalpuria: So we have already reported in FY '23 19% of our revenues comes from these 3 segments, which are fashion, utility and institutional bedding. Going forward, we have also invested into a fashion bedding unit completely vertical and world -class state -o

f-art facility in order to service our customers. So that will also bring us a particular advantage in order to service our customers with better lead times, better product innovation and better shipments.
Now having said that, going forward we will be able to provide you by the year -end, because you sh ould always look at this segment from a full year perspective. And we have already commented that we believe that we should be planning to have at least 30% of our revenue from fashion, utility and institutional bedding in the next 3 to 4 years when we dou ble our revenues. So from that, we intend to see that we develop this business to the extent of 30% overall.
Hemang Kotadia: Right. And on the premium -- on the margin front, any color on that?
K.R. Lalpuria: So absolutely. Like when you add something to a particular product and you do value addition apart from the commodity like the sheet sets that which we supply, definitely, there is a value enhancement. And overall, if you look at the company, we should be able to increase at a company level our EBITDA by almost like, say, 100 to 150 bps through this mode.
Moderator: The next question is from the line of Ashwini Agarwal from Demeter Advisors.
Ashwini Agarwal: Good Afternoon Lalpuria Ji, Good results in a challenging environment. Just a couple of questions. You mentioned that Q1 tends to be a little soft. I just wanted to understand the cyclicality. I mean, why does Q1 tend to be soft? Any particular reason?
K.R. Lalpuria: See, because the -- like the festive season is over. And you see there is on ly one reason, that is the back -to-college and back -to-school and the vacation. We all fall under this particular season. And there are not major events for the retail to promote their products during this season. So that is the reason you see normally the Q1 tends to be a little bit slower than the other 3 quarters.
Ashwini Agarwal: And sir, is there a fabric mix difference or product mix difference as -- between the fall season and, let's say, what you see in the June quarter, I mean, which adds more valu e? Or is there some other way to understand the seasonality of your business? So Q1 is weak because there's really no reason for people to be buying new bed sheets or new bedding thing. But fall should be very strong because it's back -to-school and college s and so on. And then there is gifting in Christmas. So Q3 -- Q2 and Q3 would be the stronger quarters for you? Would that be a fair way to think about it?
K.R. Lalpuria: Yes, you are absolutely right, Q2 is the largest and Q3 is also equally good. But as far as you see the fabric mix is concerned, since we are supplying 70% of core business to the U.S. retailers, mostly it remains static. It's not like -- of course, during the festive season there might be some


value additions which may add upon, but certa inly it's a continuous consistent product mix which plays their role during the year. Only that the demand during the first quarter is a bit slow.
Ashwini Agarwal: Okay. And sir, just looking out a little bit medium term, somebody else also alluded to it, and you've often said that you want to grow your revenue 2x in 3 to 4 years. In terms of feedback that you're seeing from on the ground in the U.S. and Europe, your commentary suggests that, look, things seem to be okay. But yesterday, there was a results release from a garment maker who seemed to suggest that things are quite soft. So we're getting these conflicting signals from the marketplace. I mean, how -- what are the risks that you see on the horizon, if any?
K.R. Lalpuria: So of course, you see -- post-COVID you have been seeing some sort of uncertainties creeping

into the economical stage. And so always you need to be both optimistic and as well as cautious. So cautiously optimi

stic is the order of the day.
Having said that, you see there are vario us factors which points that the textile trade overall will improve from India going forward. So India is at a good position. India has got the raw material. India has got the complete value chain. India has performed well. And we, as a company, also have performed well. The category which we are serving is 58% of the market. And the FTAs are around the corner. So this -- all these factors provide a positive outlook.
Of course, we always need to consider somewhere some uncertainties which may creep in. But overall, we feel that going forward it is a positive outlook for both our industry and country and we are well positioned as a company. Our balance sheet is robust and we have the capacity. We have a customer -centric approach. We have built upon various m arketing strategies, which are paying off, as you can see. During the tough times also we were able to perform better. So we feel that we are confident enough going forward that our brands, our licenses, our brand recall value and whatever -- which -- wher e we have been able to connect with the customers is doing pretty well for us.
So I think going forward, we are quite positive about that we can utilize these capacities in the next 3 to 4 years and grow 2x in the coming long term, both midterm and long t erm.
Ashwini Agarwal: Okay. No, that's great. One final question for me, sir, is that when do you think you'll start spending money again to expand capacity, 2 years from now? Would that be a fair assumption?
K.R. Lalpuria: So we already have capacity, Ash wini, now 153. So our entire focus is how we sweat this asset first. So our focus is to do that. While we say that, we have always maintained that both organic and inorganic opportunities which may come into our way, we certainly as a company would look at it because we are financially well positioned. So we have never leveraged our balance sheet. We have a robust balance sheet number. Our net debt was only INR 589 crores which we reported end of FY '23.
So I think with the kind of positioning, we as a Company should look forward to all types of growths going forward. So we will -- whenever there is a need to spend money judiciously, that there is a reasonable payback and we can justify as an investment a nd can get proper return on



capital and return on equity front so that we keep on track our growth not only by deploying the capital, but at the same time, making a good payback on it. So that's what our entire philosophy is. So as and when the Board will think that there is an opportunity, they will take proper steps to invest into it.
Moderator: The next question is from the line of Sajal Gupta from FE Securities.
Sajal Gupta: Good Afternoon Lalpuria Ji, Congratulations for the set of numbers although you have answered quite a bit of my question, but still I'd like to go through my question. Sir, my question is that you have already demonstrated a good EBITDA and volume growth in the Company. So what is going to be the strategy going forward fo r this Company?
K.R. Lalpuria: See, the strategy is simple. As I mentioned, Sajal, that our entire focus is to how we set our assets, the capacity which we have built. Because in the last 2 years, we have invested almost INR 1,077 crores. And that we have invested keeping in mind how much debt we should draw. So we drew only around INR 200 crores debt. And we utilize all our internal accruals to build on this capacity and capability. And now we are going to sweat this to make the revenues come from the sal es, wherein we can grow the Company's revenue by almost 2x in the next 3 to 4 years. So the entire focus is to sweat the assets to get this revenue as well as keeping in mind not only the volume growth but the EBITDA growt

h as well. So that is the focus g oing forward,
Sajal.
Moderator: The next question is from the line of Falguni Dutta from Jet Age Securities.
Falguni Dutta: Good Afternoon Sir, I'm new to your company, so pardon my asking this basic question. Sir, what is the level of our backward integration into yarn?
K.R. Lalpuria: See, we have like almost 25% of the backward integration, whereas on the front -end side, we have almost 100%...
Falguni Dutta: On which side, sir? I missed you.
K.R. Lalpuria: On the value addition side, like dyeing, f inishing and stitching and the front -end marketing, we have 100% in it.
Falguni Dutta: And sir, when you say 25% in terms of yarn, is it all cotton yarn? Or how is it?
K.R. Lalpuria: Both cotton and blended. We are capable of producing even the blends, lik e whether it is Tencel or rayon or linen or -- we can blend anything.
And one more thing I'll add, Falguni, here that our entire focus is to spin value -added yarns. We

do not want to get into commodity. So the Company's philosophy is value addition, whe rever it is. So whether it is a stand -alone investment into spinning or weaving, we focus on the value addition side of the business. So that's what the criteria is towards our investment. We do not want to invest into commodity business.



Moderator: The next question is from the line of Harshil Shethia from AUM Fund Advisors.

Harshil Shethia: Okay. Sir, what I want to understand is, when you said that our whole focus is to expand into value -added products, correct?

K.R. Lalpuria: Yes.

Harshil Shethia: So in terms of expansion, the products that earlier GHCL had were basically majorly commodity products? So what was the rationale of buying into GHCL?

K.R. Lalpuria: So you see, value addition by means of -- there are various ways into adding value to a busin ess. So GHCL was in commodity business when we say was in majorly sheet set business . So they were not into fashion, utility and institutional business. Then they were not into other distribution channels, like say, e -commerce, like licensed brands an d areas of developing B2C, D2C channels of distribution.

So these various value additions wherever we do, whether it is product or whether it is service, we have to see where we add value to the customer and providing not only the convenience part , but he lp him get better value for his product sales. So that is the criteria of value addition, whether it is product or services , so the rationale behind buying are many , as far as GHCL is concerned.

There is diversity of states, so we de -risk from one state to another state. Gujarat is a very well developed industrial state, closer to the port, no overlapping of customers were there. Then they were into new products like say, you know, flannel which we added up to in our product basket. So there is cros s-merchandising also to both the existing customer and new customers. Then the value which we got, then there is a land available for expansion. So all these various other factors. And you know, we majorly, the business was a running business.

And the as sets were all world -class and state of art. So that, the synergy was very much there. So we grabbed this opportunity and added this to our capacities so that we can service the larger market going forward whenever the FTA happens. So we are market ready al so. So all these factors are going to help us create a better value for whatever which we have acquired going forward. So as we spread the assets also, we will be able to spread our expenses as well.

Moderator: We seem to have lost the line for Mr. Shethia . We will move to the next question. The next question is from the line of Pankaj Kumar from Kotak Securities.

Pankaj Kumar : Sir, you said that you're looking to utilize your capacity

fully in, say, next 2 to 4 years. So that means there's some incremental 40, 50 million meters kind of volume that you are looking at. So can you help us with a sense in terms of where we will get this volume, with geographies we are targeting where we will get this kind of volume?

K.R. Lalpuria: So you see, currently, our lar ge market is U.S., where we are selling around 75%. And there are duty anomalies in U.K., Europe, Canada, where we need to pay duty where other countries we're



not paying duties. So we could not penetrate those markets. And then there are certain other ver y large developed markets like Australia, Japan, Korea, Russia even to a certain extent, then South Africa, Latin America. So all these countries are still not very much explored.

So we would focus on the non -U.S. businesses, and that's what the Indian go vernment is also focusing by bringing about FTA with EU, U.K., Canada, Australia, UAE, GCC countries, so that it is at an advantage and it can help the textile industry to grow further market share. So I think the strategy for us also is to explore these n ew countries and new geographies where we can promote our businesses going forward.

So this will come from them. And also, certainly, U.S. too, because the fashion bedding businesses, the utility and institutional where China is dominating is also a case where the China + 1 strategy is happening as we speak. So that also will help us to grow our business.

And lastly, you see India also becoming a $5 trillion economy going forward. So the growth in the domestic business is quite large. And we are also havi ng 2 strong brands, Boutique Living and Layers, which are very well accepted into the domestic market. So we see quite a good uptick in the domestic front, too. So all these markets, this positioning and this various other distribution channels will help u s grow our business and consume our capacit ies to the extent

which we are planning.
Pankaj Kumar: So at the full utilization, so non -U.S. will contribute equally? What we will have in the future?
K.R. Lalpuria: Sorry. Come again?
Pankaj Kumar: So when we achieve the full utilization level, so at that level, what would be the contribution from non -U.S. market that you have a target?
K.R. Lalpuria: So we intend to keep like almost 60% U.S. and 40% non -U.S. market.
Pankaj Kumar: Okay. And sir, with re spect to U.K. post -FTA, what kind of additional opportunities that you believe that can come to us?
K.R. Lalpuria: See -- currently, you see, unfortunately, the duty factor in the U.K. was 9.6% and it increased to 12%. And of late, what we are hearing that the U.K. FTA will happen sooner because most of the issues have been sorted out by the Commerce Ministry. So there will be a good uptick into the demand from the retailers because India is positioned on to the mid - to high segment only and it is not there into the other segments of the marketplace.
And secondly, on the e -commerce front, on the licensed brand front, too, India is still struggling to find a foot place. So we believe that once the FTA happens in U.K., it will provide us a lot of opportunitie s to grow our business into the other product categories and other distribution channels as well.
Moderator: The next question is from the line of Cheragh Sidhwa from ICICI Securities.


Cheragh Sidhwa: Thank you for the opportunity, I have a couple of quest ions from my side. Sir, firstly, just wanted to understand what is the current cotton price inventory which we have in our books? And how many months of cotton inventory do we have right now?
K.R. Lalpuria: So we have hedged around till October when the se ason starts. So that is what

the quantity which
we are holding. And as a policy, as you all know that we have been able to maintain our supply chain well in the previous years as well.
Cheragh Sidhwa: Okay. Okay. But currently, the cotton prices are hoveri ng in the range of, say, around 155 to 160 per kg. It will be the similar range of cotton at the moment?
K.R. Lalpuria: At the moment, you see it is around 60,000 So good cotton which we buy, so that is around this range. So it should maintain because there are enough stocks available in the market.
Cheragh Sidhwa: Right, right. Okay. And sir, I just wanted to understand the INR 270 crores capex which we have spent towards the backward integration of commissioning the 68,000 spindles. That is already done, right?
K.R. Lalpuria: Yes, that is completed.
Cheragh Sidhwa: So sir, how much incremental margins should these capacities yield? And when sho uld it start kicking in from, given the INR 270 crores of capex which we have invested? So historically, we have done, say, close to around 53%, 54% kind of gross margins for the full year. So how much would that incrementally contribute, these capacities?
K.R. Lalpuria: Because you see it is almost like 10% of what capacity utilization we need, so it will be very marginal. We haven't calculated it to that extent. It is for more convenience, traceability, transparency to our customers. That i s what we have invested into it. And secondly, Pranavaditya was our subsidiary and we had assets over there. It was a old mill. So we rebuilt it with new machinery so that we can help our home textile business with a captive consumption and sweat the asset s also of our subsidiary because we amalgamated that company into the parent company.
So this is the reason why we invested into it. And we have fairly a good payback also for this investment. And mostly -- you see, as I mentioned earlier, that out of INR 1,077 crores, mostly our investment has been through internal accruals rather than drawing debt. And we drew only INR 200 crores debt towards all these investments which we did.
So I think the return on capital will be fairly good going forward. And we -- frankly speaking, we haven't calculated that way that I can give you a particular number for that, that it will improve my EBITDA by this much percentage. But certainly, it will contribute to my overall EBITDA margin.
Cheragh Sidhwa: Sure, sure, sir. Got it. And sir, just one last question from my side. So sir, just this year what we have seen is that India has gained significant market share, be it cotton sheets or be it cotton pillow cases. So last year, it was around 50%. This year, it's almost 1,000 b asis points higher.


So what exactly has been the reason for that as we have gained market share from both the countries, China as well as Pakistan. So such a sharp jump, like a 1,000 basis point jump, what

exactly has driven this, sir?
K.R. Lalpuria: See, as we are all mentioning about China + 1, China has faced dual problems. One is the duty tariff which U.S. increased. And the other was the Xinxiang cotton. So they lost the ground in -
- as far as cotton is concerned, into convincing the buyer t o buy from them.
Secondly, on the Pakistan front, the supply chain was volatile and their economy is not doing well. So the confidence of placing long -term order is not there on to Pakistan supplier. So both this got impacted in the process, and these wer e gains made by the Indians. And Indians are already well positioned in the marketplace with a fair distribution base, both in offline and online businesses. And they have serviced the customers well in times of difficulties also. And we have maintained th e market share.
So I think the jump was regaining the confidence whenever there was a disruption, because India stood out to supply

these goods even in difficult times during COVID. So I do believe that definitely India stands out today among the top 5 co untries in exports, and it will definitely gain because of this.
Cheragh Sidhwa: Okay, sir. Because, sir, last year -- actually, what I was seeing last year, we lost market share from 57% -- in CY '21 to CY '22 it was 49%. That would also be attributed to our higher cost of cotton as compared to U.S. cotton. So now with disparity kind of reducing, we have seen again market share going up to 57%, 58%. So is it correct? Definitely...
K.R. Lalpuria: Yes, yes, that is correct. your assessm ent is correct.
Moderator: The next question is from the line of Pankaj from Affluent assets.
Pankaj Bobade: Sir, just wanted to understand. Since we -- sir, U.S. contributes 75% to our top line. How is the scenario out there for next 2 quarters or going a head? Has the destocking been completely done? And are the customers ready to refill the channels?
K.R. Lalpuria: See, we see the demand revival, as I had mentioned in my speech too, because of the realignment of the inventory levels at the retail end. So we all knew the various headwinds which we have faced in FY '23. So they are now -- most of them are -- have diminished. And except for the geopolitical situation, which still continues. So there is some uncertainties on the economic front. But most of the other headwinds have diminished.
So that is prompting us and helping us to draw a better guidance, and which we gave as per our order book position that we will do 85 million to 90 million meters in the very first -- in FY '20
-- end of FY '23 only. We g ave a full year guidance.
So the things are looking positive as we move ahead, and there would be like sustenance of business going forward unless and until there is some disruptions which may impact. But we


don't see that disruptions happening in the nea r term. So long term the position is intact and India should do well. We, as a company, should also do very well.
Pankaj Bobade: Right. So from 75 million to 90 million meters, so we would be making around 20% more production, right? So would it then get t ranslated into maybe around INR 3,600 crores to INR 4,000 crores of top line, and accordingly, penetrate down the line on bottom line?
K.R. Lalpuria: So I answered that previous question also. You see, last year, cotton prices were higher and they got adjusted now. So there is a difference in average selling price if you compare on a Y -o-Y basis. So certainly, the revenues will not be as proportionate to what the volume growth will be.
But at the end of the day, you see it is better that you track the h ome textile companies on to like sales volume basis and the margin profile basis rather than on the average selling price, because the product mix is quite broad -based and it moves around into different countries and with different cultures and different s easons and different requirements, different consumer experience getting changed.
So there are so many permutations and combinations. So you can never get the right answer when you start calculating the average selling price. What you should focus upon is how much we are able to utilize our capacity and whether we are able to keep our margin intact. That is very important.
Pankaj Bobade: So will it be safe for me to assume better margin in FY '24 as compared to FY '23, given that the demand is intact and t he cotton prices are under control, or lower than last year?
K.R. Lalpuria: So we have already given guidance. Last year, we gave a guidance of 15% to 17%, and we have given a margin guidance of 16% to 18%. Now cotton prices, you see, they get adjusted and we have to either pass on or add on. So they get adjusted. But you need to manage your gross margin right. That is what t

he key to the success is.
Pankaj Bobade: Okay. My last question, sir. We have specialized in bed and bed linen, bed linen -related products. So going forward -- since we have reached 150 million meters of capacity out here,

and as and when we utilize it optimally, do we look forward to diversify our product basket?
K.R. Lalpuria: So we have such a huge product basket already and as I had mentioned...
Pankaj Bobade: No, I mean to say a different line, say, from bed linen to, say, bath linen or something else ?
K.R. Lalpuria: See, if we are able to provide our stakeholders with a better return on capital, who stops us from investing into orga nic or inorganic, any product category. We are in home textile business. We are currently focusing on bed linen, which is our forte. We have become globally the largest company on the bed linen side, so on a leadership position. Once we are going through t his -- and if we get a good opportunity somewhere, we can always look at it. But as of now, we are focusing only on the bed linen side of the business.
Moderator: The next question is from the line of Amit Kumar from Determined Investments.



Amit Kumar : Just one question at my end. And it's almost been a year since the UAE and Australia FTAs have been in operation. I mean, obviously, difficult, slightly challenging operating period. But what, if any, benefits that you have seen of the FTAs from these mark ets currently? And just a little bit of outlook for this year would be much appreciated.
K.R. Lalpuria: No, certainly, we are seeing the customers from Australia and UAE are looking positively towards India as a country because of the FTA getting signed. And now we are at level playing field with other countries like even China. So you see we are seeing an uptick in demand. And as we move ahead, we should be able to add customers also from these countries and we should be able to do well. And these countri es are with large per capita consumption of home textile. And certainly, this will help us to grow our business in the near future and long term both in these countries.
Amit Kumar : Okay. Any sort of quantitative comment that you can give? So first quarter overall sales growth has been flattish. So I understand, volumes have grown and pricing has declined. But relatively, these 2 markets, have they sort of outperformed in any way? Or you still have to sort of develop that customer base?
K.R. Lalpuria: No, i t is -- like just it has happened only just recently this FTA. Because even though when the FTAs were announced, the nitty -gritties of the FTAs take almost 4, 5 months for both the custom department to sort out their HSN code and the duty structure and the mechanism, how they will allow us duty -free assets.
So it takes a little bit of time. So it is too premature to presume and provide you with figures. But certainly, you see there is a good uptick in demand from the customers based out of these countries. And definitely, we will have a good advantage going forward. And in the, say, next couple of years, we should be able to also provide you how we have grown there. Because it takes time towards -- there is a cycle of 12 months when you start with any count ry or a customer. So it takes time for this to fruitify.
Moderator: Thank you. Due to time constraints, that would be the last question. I would now like to hand the conference back to the management team for closing comments.
K.R. Lalpuria: Thank you. So we remain confident that Indo Count will have sustainable brand -enhancing and margin positive growth in the future. Through B2C and D2C forays, we will continuously strive to increase our market penetration. That is all from my side. For any further inform ation, kindly get in touch with me or Strategic Growth Advisor, our IR Advisor. Thank yo

u.
Moderator: Thank you very much. On behalf of Indo Count Industries Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. Y ou ma y now disconnect your lines.

# Call: Nov 2023

November 10 , 2023

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No : 521016

Dear Sir / Madam,

Subject: Transcript of the Investor s' Conference Call held on November 7 , 2023 for Q2 & H1 FY24 Results

In continuation to our ear lier intimation dated November 7 , 2023 regarding audio recording of the Investors' C onference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on Tuesday , November 7, 2023 at 2:00 p.m. (IST) for Q2 & H1 FY24 Result s.

The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -Of-Q2-H1-FY24 -Investors%E2%80%99 -Conference -Call-Held -On-November -7-2023.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a


"Indo Count Industries Limited
Q2 FY '24 Earnings Conference Call"
November 07, 2023

DISCLAIMER: E&OE - THIS TRANSCRIPT IS EDITED FOR FACTUAL ERRORS. IN CASE OF DISCREPANCY, THE AUDIO RECORDINGS UPLOADED ON THE STOCK EXCHANGE ON 7TH NOVEMBER 2023 WILL PREVAIL. FURTHER, NO UNPUBLISHED PRICE SENSITIVE INFORMATION WAS SHARED/DISCUSSED IN THE CALL.

MANAGEMENT : M R. K.R. LALPURIA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDO COUNT INDUSTRIES LIMITED

M R. K. MURALIDHARAN – CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to H1 FY24 Earnings Conference Call of Indo Count Industries Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K.R. Lalpuria, Executive Director and CEO of Indo Count Industries Limited. Thank you, and over to you, sir.
K.R. Lalpuria: Thank you. Good afternoon, and a very warm welcome to all of you to the Indo Count Industries Q2 and H1 FY24 Earnings Call. I have with me Mr. Muralidharan, CFO and Strategic Growth Advisors, our IR Advisors. Happy to connect with you all once again to discuss the Q2 and H1 FY24 performance.
Now let me highlight the business scenario.
It gives me immense pleasure to share that we achieved a record performance in Q2 and H1 FY24. This momentum steadfastly maintains our performance and accordingly, we have increased the sales volume guidance. We remain on course in delivering the best financial year in our company's history since inception.
Now let me share updates on our key markets.
We are seeing positive signs in U.S.A. on a Y-o-Y basis as major retailers have initiated restocking activities since Q1 FY24. Additionally, retailers in global markets are expanding, they are sourcing strategically from Indian home textile manufacturers to derisk themselves. In the longer term, the growth prospects of our sector is encouraging. The same is visible in our performance where we have added new geographies and brands to our business.
The Government of India's promotional steps, the China Plus One strategy, our various omnichannel marketing strategies, existing FTA agreement with Australia and UAE, including the proposed under discussion FTAs with U.K. and EU will play a pivotal role in driving growth.
Domestic cotton prices have stabilized in comparison to international levels. Also, India with adequate raw material availability ensures the security of supply chain, thus providing necessary confidence to our customers, thereby improving our market share.
Now coming to our recent performance and updates, I'm delighted to announce that we have achieved remarkable success due to our robust balance sheet, our strategic investment in supply chain and a continuous focus to increase the contribution from value-added segments of the



fashion, utility and institutional business. Our quick response to market trends and elevated service levels have been key drivers to our achievements.
In Q2 FY24, we achieved a significant milestone by surpassing the INR1,000 crores revenue mark. This accomplishment stands as our highest ever quarterly and half yearly revenue along with EBITDA. We continue to maintain our gross margin. Our EBITDA has shown growth as anticipated, driven by increased volumes and cost optimization. The full integration of the Bhilad unit has further aided the improved performance.
Additionally, we commenced production in our fashion bedding unit as well as the new spinning unit at Alte, thus enhancing our capabilities. In light of the H1 performance and our view on end markets, we are revising our volume guidance for FY24 to a range of 90 million to 100 million meters. This is while mai

ntaining our margin guidance at 16% to 18%.
This is a testament to the strong acceptance of Indo Count brand and Make in India product. Not

only our approach has elevated customer delight, but have attracted new geographies like Australia, Japan and Latin America. As we strategically pivot towards the D2C, B2B and B2C segments, we are achieving better traction for all our different categories of product. Our domestic brands, Boutique Living and Layers are garnering enthusiastic customer responses.
Now let me talk to you about our ESG initiatives. In our pursuit of future growth, Indo Count is taking significant steps to enhance its operational efficiencies. We are spearheading our digital transformation with seamless IT integration to streamline operation, gain better control on supply chain and thereby enhance our customer services. This digitization empowers our employees with quick access to information, boosting productivity and improving client relationships.
Furthermore, we are driving sustainability with an investment of approximately INR50 crores in 10 megawatts solar power generation project in Gujarat. This will enable the Bhilad plant to run on 90% green energy by Q4 FY24. Our commitment to ESG extend to initiatives towards development of branded cotton like BCI, organic and ELS cotton.
Our collaboration with Partech Seeds is towards research in improving cotton seed varieties for farmers, thereby helping them to sustain and improve overall cotton yield. Further, we are focused on wastewater treatment to reduce freshwater consumption and have achieved the ZDHC Progressive Level Certification showcasing our commitment to best chemical management practices and global standards.
Now I come on to the awards and recognition.
Indo Count Foundation has been recognized at the national level as 2nd Runner Up in the Best CSR in Healthcare category by ASSOCHAM at the Second Healthcare Summit and Awards 2023, highlighting our focus on quality health care.


Additionally, our brand, Boutique Living received the E-Retail Brand of the Year 2023 award at the ET Retail E- commerce and Digital Natives Award 2023.
Now let me share with you our consolidated financial performance.
I'm happy to announce that we have achieved our highest ever quarterly sales volume of 28.7 million meters for Q2 FY24.
Total income INR 1,033 crores in Q2 FY24 versus INR849 crores in Q2 FY23, a growth of 22% on a Y-o-Y basis. Total income INR 1,780 crores in H1 FY24 versus INR1,571 crores in H1 FY23, a growth of 13% on a Y-o-Y basis.
EBITDA, for Q2 FY24 stood at INR189 crores versus INR120 crores in Q2 FY23, a growth of 58% on a Y-o-Y basis. EBITDA margin for Q2 FY24 stood at 18.3% versus 14.1% in Q2 FY23, a growth of 420 bps.
EBITDA for H1 FY24 stood at INR 319 crores versus INR 261 crores in H1 FY23, a growth of 23%. EBITDA margin for H1 FY24 stood at 17.9% versus 16.6% in H1 FY23, a growth of 135 bps.
PAT. PAT INR 114 crores in Q2 FY24 versus INR 67 crores in Q2 FY23, a growth of 70%.
PAT INR 188 crores in H1 FY24 versus INR144 crores in H1 FY23, a growth of 30%.
EPS is INR 5.77 in Q2 FY24 and for the half year FY24, it is INR 9.49.
Our net worth is INR1,941 crores as at 30th September 2023. Our net debt-to-equity as of 30th September is 0.33.
Now with this, I hand over back for the question and answers.
Moderator: Thank you very much. The first question is from the line of Mr. Jatin Damania from Svan Investment Managers.
Jatin Damania: Congratulations on the good set of numbers. Sir, just need a couple of clarifications. Now when you said that our margin is around 18% in your presentation for the current quarter, but when we exclude the other income, we are getting 15.9%. So just wanted to understand the derivation of 18% and the difference in terms of other income, what part is linked t

o an interest income and
what part is linked to forex, if you can explain that?
K.R. Lalpuria: Yes, I'll request our CFO to answer.
Muralidharan: So, in this quarter, we have income of over INR 25 crores, of which exchange rate difference is about INR 14 crores and interest and other subsidiaries, we have about INR 11 crores.
Jatin Damania: Sir, shall we consider this INR 14 crores a part of our revenue rather than a consistent other income?

Muralidharan: Yes, the exchange difference is a part of sales actually. But for accounting standards, we have to show separately. These are all sales income only.
K.R. Lalpuria: So, the unhedged portion, whenever it goes on spot with the hedge when compared, so the income gained on this unhedged portion is accounted as other income. So, this is as per accounting standard. but it is a part of our sales revenue only, but it has to be shown separately. When you consider that, it comes to around 18% margin, which we reported in this quarter.
Jatin Damania: Sir, second question is on your expenses. Now if you look sequentially, our expenses for employees as well as other expenses have gone up on a sequential basis. So, can you explain the reason? What is the reason for the increase in both employees and the other expenses during the quarter?
K.R. Lalpuria: See, you have to compare the H1. If you see that H1 INR150 crores, this has gone up because of the increment and the addition of different units wherever we have capex. So those have been triggered and established and commenced. So, there is an incremental quarterly to this extent because we have paid the dues in this quarter. And for the year, you have to take on the H1 basis. And if you compare as per last year, it is more on similar lines. So going forward, as the revenue increases, this will marginalize.
Jatin Damania: Okay. So that is for the annualized basis, we can consider INR 300 crores of the employee expense and accordingly, the other expenses for the full year?
K.R. Lalpuria: Yes, please.
Jatin Damania: Sir, last question before I come back to queue. So, I just wanted to understand, now we are generating such a huge cash flow and there is no debt on the book. So going ahead also, we want to look in the capital allocation strategy because our capex is low -- we don't have any more capex lined up. And given the operating profit that we are generating in quarter-on-quarter basis, we will be generating a huge cash flow for FY 25-26. So can you help us in terms of understanding the capital allocation strategy?
K.R. Lalpuria: Yes. So going forward, we are prioritizing the allocation of capital towards more value-added businesses because that gives us substantial growth opportunities. And with the investment into fashion bedding utility and institutional bedding, we see a big uptick in the market towards acceptance of our brand. And we have successfully completed our spinning and our fashion bedding unit and both the brownfield and the acquisition capex. And we have almost invested INR1,100 crores in the last two years.
So now going forward, we'll sweat these assets and see that how we optimize our cost and have operational efficiency. So, our objective will be to ensure that we finance our growth going forward. And the priority is also to reduce the debt overall. So the management and the Board will take appropriate decisions regarding the future course of action. But the Board is cognizance


of this fact that we have to fund both the growth and reduce our debt going forward. So, this will be the major focus on to capital allocation strategies going forward.
Moderator: So, the next question is from the line of Kapil Jagasia from Nuvama Wealth Research.
Kapil Jagasia:

Sir, first of all, congratulations on very good set of numbers. My question is on volumes for this quarter. So, like are some volumes for next quarter being prebooked this quarter?
K.R. Lalpuria: So that's the reason you -- see, we have already given a guidance for volumes when we started this year to 85 million meters to 90 million meters. And looking at the momentum and a better traction, it has compelled us to give a better guidance going forward. However, we have kept the long-range guidance of 90 million meters to 100 million meters keeping in view the various uncertainties. And for this quarter, we have achieved because the second quarter seasonally is good for us and because of the customer -- new customer acquisition and the geographical expansion, we have achieved better volumes during this quarter.
Kapil Jagasia: Okay. So, like this would be kind of one-off quarter in case of this extremely good volumes because if we go by your guidance of 90 million meters to 100 million meters, the next two quarters should be producing around -- volumes of around 20 million meters to 25 million meters on a quarterly basis. Would my understanding be correct?
K.R. Lalpuria: No, I think so because, Kapil, if you look at our guidance, if I would have ended with 91 million meters, 92 million meters, I would not have revised my guidance at all. So, we are quite confident of the growth in our H2 looking at the momentum, and that's why we have upped our guidance to almost 100 million meters while our ambition is to see that we end up with our higher guidance. But still, the geopolitical situation is compelling us to consider all the uncertainties around that and that's why we have given this range as a buffer.
Kapil Jagasia: Right, sir. Sure. This helps. My next question is on the realizations. Now it has slipped further in this quarter. So, would that be a case of change in product mix, which led to this fall in utilization? Or is it something else, just your colour on this?

K.R. Lalpuria: So, we had given a clear direction. If you remember in our last guidance that the cotton prices have corrected when you compare Y-o-Y, and that correction has compelled us to give a price difference back to our customers. Having said that, you should look at us from both volume perspective and margin perspective because the other things are beyond our control. We are maintaining the margin guidance and upping our volume sales going forward. But it will not be right to say that this is a sort of one-off quarter, and we tend to invest more into our B2C and D2C strategies and more value-added activities to see that how we further increase our value realization going forward.

Kapil Jagasia: Right, sir. Because if I see the cotton prices and also the freight cost, that has been kind of stable over the last two quarters, but the realizations have kind of dropped. So, are the new customers coming in and looking at the cotton price decline and they are looking for this decrease in



realizations? Or how is it? Like we are only offering them the decrease in utilization because of commodity cost decline?

K.R. Lalpuria: No, no. We are not offering any discount to new customers because the Indo Count brand is very well known, and we are a larger global bed linen player and we have a complete 360-degree solution as far as bedding is concerned. So, we are investing, as I said earlier, into more value-added product and we have given direction that our fashion, utility and institutional bedding will be 30% of our overall revenues in the coming years.

And our focus should be that how we can sweat our assets, utilize our capacities going forward, how we maintain our margin. The product mix may change to a certain extent and the other factors sometimes compelling us to address the price range is also there; but having s

aid that,
there is no discount on the price levels which we offer to any customers, and we are maintaining decent price realization going forward.

Kapil Jagasia: Right, sir. And just my last question on gross margins. I would need some flavour from your end. These gross margins have increased over the last few quarters to around 54%, 55%, as compared to the historical 50% levels. So now this commodity inflation has stabilized. So, what should we pencil in gross margins from a medium-term perspective? Like 54%, 55% would be here to stay? Or it would be like stating down a little bit?

K.R. Lalpuria: It will stay in this similar number because if you compare our H1 to H1, you will get a flavour of that. And if you compare even to our financial year 23 number, you will get a decent direction on our gross margin. And that's the reason I mentioned in my speech earlier that we are maintaining gross margin because the company is regularly investing into the supply chain, taking proper position on to the raw material side and hedging the position accordingly with the order book position.

So, the gross margin are here to stay and definitely, we'll work on further optimization to see that how we can further improve the gross margin through more value addition and through more cost optimization.

Moderator: The next question is from the line of Nirav Savai from Abakkus.

Nirav Savai: Many congratulations for achieving this INR1,000 crores milestone revenue in a single quarter. Sir, I had three questions, sir. One, you had alluded in your previous calls also that fashion, utility, institutional will contribute about 30% of revenues going forward. So how has it progressed? And what is the contribution of these segments in the quarter?

K.R. Lalpuria: So last year, we had reported 19% overall contribution from fashion, utility and institutional to our overall revenue. And this year, we are slowly seeing an uptick because now we have commenced production on our fashion bedding unit. And you should look at the full year numbers rather than quarterly, but there will be an uptick into the overall revenues coming from this particular category of product.



Nirav Savai: Okay. So, fashion has already started production, and it is already getting sold or what is the progress in the fashion bedding side?

K.R. Lalpuria: So, it is performing very well. We have commenced production, and we have interest of the customers. They are feeling quite confident with the setup which we have to deliver the product. And we have installed world-class facilities to see how we can add more value to the fashion trend and deliver to our customers. So, we are seeing an uptick here, as I mentioned earlier, and we'll be able to deliver much better results, but I request that you should be seen from a yearly perspective rather than on a quarter-to-quarter basis.

But our endeavour is there to see that how we reach our 30% goal of the overall increased revenue in these three particular categories. And there is a big scope in this as what -- we have also mentioned in our presentation that the China Plus One strategy; if you look at on the bedspread and other items, the China market share is slowly decreasing, and the share of India is increasing. So, we see that there is a big opportunity in this particular category, and we are working upon it towards this by establishing both back end and front end.

Nirav Savai: Secondly, sir, apart from U.S., we are also looking out for many newer markets. As you said, UAE is already in FTA side and Australia is in the FTA side. So, what was the proportion of revenue if we were to look at non-U.S. revenue?

K.R. Lalpuria: See, we are increasing our non-U.S. market and we thank the government for giving us an opportunity both in Australia and UAE with the FTA, and we see an uptick in demand

from
these particular countries. And that's why we have been able to successfully add customer base from Australia, Japan and Latin American countries.

And also in UAE, I need to mention that the GCC countries are looking favourably towards India for their supply chain. So, I think there is a good opportunity for us to develop non-U.S. market. And as a company, currently where we stand like around 70% to 75%, which comes from U.S.A., slowly, we are working on how we can improve the non-U.S. market share to almost like 40% and 60% to U.S.A.

And I'm glad to say that our strategies are in the right direction, and we will provide you much information as we move ahead. And we are also looking favourably towards having U.K. FTA sooner or later, there are things which are creating hurdles in it, which are being reported in newspaper every week, and both the governments would like to resolve this very quickly. And we see that once this happens; it will also add on to our market share very well positively.

Nirav Savai: Right. It is the future growth which we are looking at is not only U.S., it's largely from the non-U.S. geographies where our presence is relatively lower, and that's why we see higher growth coming in?

K.R. Lalpuria: So, U.S. is also a very organized market. And as we've always mentioned that the categories which we have earmarked and embarked upon to develop that fashion, utility and institutional bedding, there is a large market out there which is still to be tapped. And definitely, we are



working on that strategy. The e-commerce is shaping well, which is a growing market share for us. And definitely, as you rightly mentioned, the non-U.S. market is also a big focus for us.

The domestic market, I would also say, we have been working upon it and we are finding good inroads into pan-India distribution. And we are getting good response to our brand, and we see a good growth coming in, in this area as well. So as rightly mentioned that the non-U.S. market, the domestic market, the U.S. market, with the new categories and the FTAs all will help us further improve our market share, both for the country as well as for our company.

Nirav Savai: Right, right. And sir, last one from my side now. As you rightly said about large part of the capex is already done. And for the next two years, we have been looking sweating the existing capacities. Now what would be the capex which has been outlined for 25, 26? Are we looking for any other larger expansion plan or any inorganic kind of an acquisition in future? Or how do we see the capital allocation side because we understand that a lot of capex capacity is already there in place. So, what would be our capex for this year and next year?

K.R. Lalpuria: So, it will be routine capital expenditure, but we are not leaving any opportunity both on the organic and inorganic side to see how we can further improve our product base, our customer base and our margin base. So, there are lot of opportunities around us for value-added products to be exported out of India and the Board recognizes that from time to time, what are the opportunities, and accordingly, they will take appropriate decisions.

But as of now, there are no large plans for investment coming in, except for some renewable energy towards cost optimization and then reducing our overall debt so that we become a debt-free company almost. So, these are the priorities for us and there are large priorities -- there are enough priorities out there for India to grow in the textile market worldwide as a global player.

So, I think the Board will take this decision at appropriate time accordingly.

Nirav Savai: Right. So, no large capex at least in the foreseeable future for 24, 25. And if at all something comes up, then it's a different case?

K.R. Lalpuria: Yes, definitely.

Modera

tor: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.

Prerna Jhunjhunwala: Congratulations for a strong set of results. Thank you. I wanted to understand -- most of the questions have already been asked earlier. I just wanted to understand on cotton outlook. If

cotton prices increase because of the news articles talking about lower cotton production, do you think there could be a risk to the margins?
K.R. Lalpuria: No, not at all. You see, the overall exports of Indian cotton has diminished, and the crop, which is now getting to the market is quite decent, and we do not hear much of negativity about it except that some association, they do revise the numbers, but what we hear and what we believe is that there will be enough cotton for Indian players to both utilize and play on.


So, the range would be similar levels like, say, around 60,000 to 65,000 in the current year. That's what we expect. And whatever like imported cotton also towards branded cotton is getting imported as India is a big market for producing goods out of them.
And we've seen not much of a concern on the cotton supply chain side as well as the prices. So, it won't impact much of it. And as a policy, we also have a decent policy towards how we hedge our order book position and invest into supply chain to see how we can secure the supply chain to our customers.
Prerna Jhunjhunwala: Okay. That's great, sir. Sir, I would also like to understand by when will you be able to utilize your current capacities fully?
K.R. Lalpuria: We have already indicated, Prerna, as you know, going forward, like in the next three, four years, we would like to sweat all our assets, the capacity which we have built on, almost 153 million meters. And there are large opportunities out there for Indian companies to tap and with our clearcut strategies on to B2C, D2C as well as domestic market, e-commerce, value-added products.
So as a company, we have invested both on the backend and front-end to see how we can tap this opportunity. and we are on the right track. When you look at our capacity utilization currently and results which we are getting on from our customer base and also adding new geographies and new customer base, which is adding overall to our performance, we believe that we should be able to double our revenue in the next three to four years.
Prerna Jhunjhunwala: Okay. And sir, by when do we see debt level -- target debt levels to come in? What is your target debt -- net debt level over the next two, three years?
K.R. Lalpuria: See, as I mentioned, our priority is to see how we can conserve cash and fuel our growth. So that's the first priority because we have lot of opportunities, both organic and inorganic to invest into and build the company further and utilize our assets much more effectively.
At the same time, our philosophy has always been to reduce the debt. So, the priority is also to see that in the next two, three years, we make the company debt-free with the free cash flow.
But it will be prudent for us to say that the Board takes on these decisions very rightly balancing the act between both growth and the debt reduction from time to time.
Prerna Jhunjhunwala: Understood, sir. And sir, last question on domestic market. You mentioned that there's a lot of opportunity in domestic market. I just wanted to understand the -- how do you see this geography panning out over the next three to five years?
K.R. Lalpuria: See, India as a country is growing into a $5 trillion economy, which we all know it is getting much more organized with the UPI payment and the middle class is growing. If you look at the various numbers of consumption, the overall consumption is growing. We are a young country.


And we see that the entire demographic is positive towards consumer goods. And we, as a brand, are finding a lot of encouraging responses towards both our brands, Boutique Living and Layers. And we have set up the fundamentals right by setting up a good team, a good product range, a good set of distribution network, and we are building on more point of sales and taking the feedback from our customers and growing this market.
So, in the next three to five years, we see a good growth and we are targeting that at least in the next five years, we reach 10% of our revenues or more than that from the domestic market and there is a very large opportunity out there, how people shop and how they consume home textiles going forward. So, we are very optimistic about this and positively, we are taking the correct steps towards this direction, Prerna, going forward.
Prerna Jhunjhunwala: Yes. Okay. Sir, one more question. Just wanted to understand how much of your revenues would have come from the new segments of fashion utility and others in this first half and in this quarter?
K.R. Lalpuria: So, as I answered earlier, you see, Prerna, last year, we reported 19% of our revenue payback from fashion, utility and institutional business. We have established a new factory, and we have

commenced the production. This is a world-class facility, and we have been now recognized as one of the key players in Asia to supply, filled product.
And so we will -- we are seeing a good uptick, and it will be better for us to evaluate on a full year basis because when the winter starts, there are more need of filled products and we see an uptick on the institutional side of the business also because the consumers are traveling more, they are using more hospitality product. So, we feel that we should grow this number, but we should be able to give a better guidance in our Q4 results.
Moderator: The next question is from the line of Sajal Gupta from FE Securities.
Sajal Gupta: Many congratulations to you and the team for this receiving such stupendous results, that has really been outstanding if you compare it to the rest of the companies in the industry. And plus, your sales guidance, getting enhance is also a very, very positive thing.
I just wanted to understand one thing, that what has transpired to see such good EBITDA margins? Because as I understand, when GHCL acquisition was done, it was around 10% margins. So, is it the GHCL margins have moved up? Or is the rest of the business is doing the higher margins to compensate the GHCL margin? We wanted to get an idea on that part of the business of yours?
K.R. Lalpuria: So, thanks for your wonderful question. And you see, GHCL when we acquired, we had stated that we will bring about complete better integration into the overall culture, the overall product basket and the overall marketing strategies to see how we sweat those assets and we communicated and engaged with our existing customers, and we are able to offer them better end goods.


We were able to communicate much more effectively that how we can collaborate more to increase their market share and we were able to convince that. So that brought in a dramatic change, and they were confident about Indo Count brand as well as our products categories which we have developed recently in the last four or five years on the fashion, utility and institutional side.
So, we got a very good opportunity to cross-merchandise and offer them better end products which they grabbed and that brought in an entire elevation to how they marketed their products.
And this brought in the change, wherein we were able to improve the margins what earlier GHCL used to have.
Also, on the better utilization of the capacities too, we were able to cost optimize whatever we could on the raw material side, on

the supply chain and other operational activities to see that how overall, we can improve the performance of this asset.
And we will continuously work upon it to see that how we can further generate much more value-added products from this facility not only from our own facility, but this newly acquire facility. And I'm proud to say that we have been able to retain each and every single person when we took over this unit. And it has gelled with our culture, and they are now enjoying their work.
So, the overall efficiency and the productivity of our people has also increased substantially to provide us this success.
Sajal Gupta: Wonderful to hear about all these things. I just wanted to know what this margin is what you are talking that's adding new value-added products, the margins do have a scope to further move up going forward. Sure. Fantastic, fantastic.
Moderator: The next question is from the line of Sangeeta Purushottam from Cogito.
Sangeeta Purushottam: Congratulations for the great performance. My question was that what is your exact capacity utilization likely to do this year? Would it be about 60%?
K.R. Lalpuria: So as per the guidance given, it should be beyond 60% and currently, it is at 75%. But if you look at on a yearly basis, it should be over and above 62% to 63%.
Sangeeta Purushottam: Okay. So about if the growth that we've seen continues as you've outlined the various opportunities, are you likely to exhaust our current capacity by end of 26?
K.R. Lalpuria: That's what our aim is, and that's what the guidance we had given last year also, we have mentioned that once we complete our capacity expansion, both brownfield and the acquisition, our focus is entirely to see how we sweat our capacities and we have got a big market opportunity out there when the companies with the right strategy, with the right financial balance sheet, we are able to penetrate and grab much more market share out there in our product range.
And we are a focused company. So that helped us into bringing out the optimization into all the activities we work with. So, by saying in the next three, four years, we should be able to exhaust

our capacities. And as and when needed, having a good balance sheet, and we haven't leveraged at any given point of time, so there is an opportunity and the Board will take appropriate decision to expand further.
Sangeeta Purushottam: Right, right. Okay. And sir, what is your domestic sales as a percentage of your total sales right now? And how has it grown in the last two to three years? would you be able to give us some numbers on that?
K.R. Lalpuria: See, FY23, we were able to clock 2.5% of our revenue coming from domestic sales. And going forward, we will have increased revenue. But as I mentioned, our endeavour is first to establish both our brands very well among the Indian consumers to provide them necessary services, to set up the backend, to provide the distribution base so that we can deliver correctly and steadily. So, all these factors we are working upon, and we have got a good traction and encouragement from all our consumers, and they are accepting the goods. And looking at overall Indian consumption moving up because of our economy moving up, we see a big opportunity here and we have the right ingredients to see that how we evolve to a better number going forward. So, once we are on our Q4 call, we'll be able to better guide how much is the revenue on the overall domestic side.
Sangeeta Purushottam: Right. And in the domestic market, are you focusing on the higher end or the lower end or across the spectrum?
K.R. Lalpuria: It is across the spectrum because, first, we launched Boutique Living, which is an aspirational brand, and we are having a good success on this. So, it is positioned from mid- to high end. And the second brand, La

yers, is a value-driven brand where we are targeting to provide a solution to the middle-class family, which is a growing class in India. So, we are targeting both the ends and it is finding a good traction. So, it is across the spectrum. We are not attacking the lower end of the market.
Sangeeta Purushottam: Right. Okay. And sir last question is on margins. When I look at your margin over the last 10 years with the exception of FY16, the margins you're showing this year are the highest than they've probably ever been. And you are guiding for that range to the mean. So, is there anything which is causing a structural uplift in your margins and will it stay over the next two to three years?
K.R. Lalpuria: Of course, all our strategies are towards value-added creation because we have moved away from a commodity supplier to a value-driven supplier. And as we have mentioned time and again that there are opportunities out there on the fashion, utility and institutional side where China dominated all the time, and this is a high-margin business.
Secondly, on the e-commerce side, the licensed brands also provide an opportunity for higher margin business when you promote it correctly. The domestic business also is a good margin business. So as a company, you see we are working upon various B2C, D2C strategies to see how we can scale our margin. Over and above this, if we utilize our capacities well, if we


optimize our cost, if we invest into new technology, automation, digitization to improve our overall operational efficiency thereby, we will cut our costs and you see that we are also investing on the energy side through renewable energy like solar and wind so that we reduce our overall energy costs as well. So going forward, the various strategies, whether on the marketing side, whether on the operational side will help us improve our overall margin.
Moderator: The next question is from the line of Gunjan Kabra from Niveshaay.
Gunjan Kabra: So, I wanted to understand, is the volume growth on account of new customer additions or positive demand scenario, if you can bifurcate between the two?
K.R. Lalpuria: So, this is on both accounts, you see, because we have an existing business where we have a good customer base which are relying more on us towards their supply chain, there is an uncertain world out there. So, they are banking upon both India and our company, as well is performing quite well with the necessary infrastructure with our lean and mean and the China Plus One strategy, which we have been always mentioning about.
So, you see a lot of reliance is there to the outside customers to derisk themselves from China and to have more businesses in India, and we stand out with our class of infrastructure and product range and our overall service level to see how we can deliver more. So that is one -- part one. As I mentioned on the other part that we have been successful in adding new geographies and new customer base and this is slowly growing post this FTAs with Australia, UAE and also we are targeting other countries like Japan and Latin America.
So, our overall marketing strategy is to build more new markets and new customers and with the kind of a complete bedding solution which we have as a product range and being a focused company, we are able to provide a much more better value proposition. So that is helping us

gain much more market share going forward, and we'll work upon it to see that how we can further grow our revenues by sweating our assets going forward.

Gunjan Kabra: Okay. And sir, how is the demand scenario in the U.S., like the customer engagements, do you think the growth that -- the number that we did in this quarter is sustainable for the next two quarters or next two -- in the near term? And how is the engagement -- customer engagement in the Europe an

d the U.K. likewise?

K.R. Lalpuria: So, we are witnessing signs of recovery. And as I had mentioned earlier that the customers are also looking to do better business Y-o-Y basis because a lot of headwinds were there in FY23, which have diminished or gone away. And therefore, we see a big surge in the order inflow, and that prompted us giving a better guidance in the very beginning of the year from, say, what we clocked 75 million meters last year to 85 million meters to 90 million meters.

And the recovery is enabling us to further improve our guidance to, say, 90 to 100. So, we see that there is a momentum and there is a demand for the right product, for the right price and for the right service level. So that we are formulating as a strategy to see how we can accomplish



that. And our omnichannel strategies are working quite well to see that how we can improvise further on both the market share as well as our end of products.

Moderator: As there are no further questions, I would like to hand the conference over to the management for closing comments.

K.R. Lalpuria: Thank you. We maintain our unwavering confidence that Indo Count is poised for sustainable growth, which will not only enhance our brand but also bolster our profit margins in the future.

As demonstrated by our past performance, we are optimistic about our ability to penetrate the market further through our B2C and D2C initiatives. Our track record is a testament to our potential for a promising future. That is all from my side and I wish all of you are very happy Deepawali. For any further information, kindly get in touch with me or Strategic Growth Advisors, our IR Advisors. Thank you.

Moderator: Thank you so much. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Feb 2024

Ref No.: ICIL/54/2023-24 February 6, 2024

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No: 521016

Dear Sir / Madam,

Subject: Transcript of the Investors' Conference Call held on 30th January, 2024 for Q3 & 9M FY24 Results

In continuation to our earlier intimation dated 30th January, 2024 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Investors' Conference Call held on Tuesday, 30th January, 2024 at 12:00 Noon (IST) for Q3 & 9M FY24 Results.

The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript-Of-Q3-9M-FY24-Investors%E2%80%99-Conference-Call-Held-On-January-30-2024.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a
Page 1 of 20

"Indo Count Industries Limited
Q3 FY202 4 Earnings Conference Call "

January 30 , 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th January 2024 will prevail . Further, no unpublished price sensitive information was shared/discussed in the call.

MANAGEMENT : MR. K.R. LALPURIA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – INDO COUNT INDUSTRIES LIMITED

MR. K. MURALIDHARAN – CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED

 Moderator : Ladies and gentl emen, good day welcome t o Q3 FY202 4 Earnings Conference Call of Ind o Count Industries Limited . This conference call may contain forward -looking statements about the company, wh ich are based on the beliefs, opinions and expectations of the company as on the date of thi s call. Thes e statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for y ou to ask questions after th e presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchton e phone. Please note that this conference is being recorded. I now hand the c onference over to Mr. K.R . Lalpuria – Executive Director and CEO of Indo Count Industries Limited. Thank you and over to you Sir!

K.R Lalpuria : Thank you very much. Good afternoon and a very warm welcome to all of you to the Indo Count Industries Q 3 and nine months FY202 4 earnings call . I have with me Mr. Muralidharan, our CFO and Strategic Growth Advisors , our I R Advisor s. Happy to connect with you all once again to discuss the Q 3 and nine months FY202 4 performance.

Let me first highlight the industry and the business s cenario . The calendar year 2023 exhibited resilience concluding the year with an above normal holiday season . Going forward we anticipate gradual improvement in consumer sentiment thereby showcasing the adaptability and strength of the U S and o ther economies . Of late , the global logistic issues have posed challenges which needs to be monitored closely . Overall inflation along with geopolitical crisis and conflicts have been the biggest challenges in inte rnational trade and commerce . In this b ackdrop we at I ndo Count ha ve fa red well and improved our position.

Domestic industry scenario :- Indian textile industry has witnessed a steady momentum fueled by strategic initiatives and a commitment to innovation . Domestic cotton prices have aligned favorably compared to international rates positioning Indian companies for increased competitiveness . The home textile industry in India is at a pivotal moment embracing opportunities both globally and domestically . There is a large opportunity in the global home textile industry for India and we bel ieve the domestic industry is ready from capacity and capability perspective to capitalize on this .

Coming to our recent performance and updates : In the Q3 FY 2024 we achieved a 33% year -on-year growth in volume . Accordingly fo r nine month FY 2024 we reported volume of 68.2 million m eters , a growth of 26% . It is p ertinent to note here that there were bunching up of orders which led to increase in inventory during this quarter . We are reaffirming ou r

 volume guidance of 90 to 100 m illion meters for FY 2024 and believe we would be able to achieve the midpoint of the guidance . This is considering the near -term challenges caused by shipping delays and assu ming no further deterioration of the geopolitical and shipping situation .

Our confidence st ems from the healthy order book position and better retailer confidence and feedback . As a strategy we have been penetrating across markets keeping the tepid consumer sentiment into account and this we believe has yielded desired results . The softening cotton pri ces along with product mix , aligning to customer sentiments have made us competitive . Our objective i s to sustain the growth trend in medium to lo ng-term for optimum utilization of our capacities . Addition al ESG measur es in the form of investment into solar would continue which would not only reduce energy cost , but also help boost circularity .

Now I would like to quickly talk about our recent announcements . As all capital expenditure is now aligned and synergy creation is complete , our focus has shifted towards a proactive approach incorporating sustainability and strategic IT measures for process impr ovement . With a diverse product portfolio spa nning multiple geographies we have adeptly navigated challenges and sustain ed consistent growth . Our commitment to reinventing and enhancing business operations through digital technology reflects in our collaboration with Accenture. T his partnership aims to standardize , optimize , and re - engineer key business processes including manufacturing , supply chain , logist ics, and procurement . We aim to better serve our customers and stakeholders by fostering a culture of agility and innovation making this initiativ e a significant step in that direction . This development position s us to elevate customer service and amplify the value added aspect of our business . The seamless implementation and integration of the facility boosts our competitiveness and efficiency to meet the growing demand . With India's promis ing economic growth and the rising disposable income and aspirations of the middle class there is expected to be increase d demand for branded home textile product creating sign ificant opportunities for local brands to pro sper.

Now let me talk to you about our ESG initiative . I am delighted to share that Indo Count has d ebuted in the DJSI which stands for Dow Jones Sustainability Index 2022 securing a decent score of 42 . We consider it as a significant milestone highlighting our strong commitment to ESG . We eagerly anticipate the continued journey of sustainability where every ste p is a stri de toward s a better and a more respo nsible future .

 On awards and recognition, I am thrill ed to share that Indo Count Industries Limited has been honored with the prestigious Business World Sustainable World Awards 2023 for India's most water efficient organization . This accolade recognizes our commitment to improving water utilization efficiency and our dedicated approach to waste water management including recycling , recovery , and reuse of industrial affluence . This recognition underscores our d edication to sustainable practices and we are proud to be ackn owledged as a water efficient organiza tion.

Now let me share with you our consolidated financial performance .

Volume , sales volume for Q3 FY 2024 stood at 19.5 million m eters versus 14. 7 million meters in Q3 FY 2023 a growth of 33% on a Y-o-Y basis. S ales volume for nine months stood at 68.2 million meters versus 54.3 million m eters a growth of 26% on a Y-o-Y basis.

Total income Rs.727 Crores in Q3 FY2024 versus Rs.662 Crores in Q3 FY 2023 a growth of 10% on a Y-o-Y basis.

Total income Rs.2507 Crores in nine month versus 2233 Crores in nine month FY 2023, growth of 12% on a Y-o-Y basis.

EBITDA for Q3 FY 2024 stood at 118 Crores versus 78 Crores in Q3 FY2023, a growth of 51% on a Y-o-Y basis. EBITDA m argin for Q3 FY 2024 stood at 16.2% versus 11.8% in Q3 FY2023 growth of 442 bps.

EBITDA for nine month FY 2024 stood at Rs.437 Crores versus Rs.339 Crores in 9 month FY2023, a growth of 29% . EBITDA margin for nine month FY 2024 stood at 17.4% versus 16.2% in nine month FY202 3 growth of 227 bps.

PAT Rs.58 Crores in Q3 FY 2024 versus Rs.38 Crores in Q3 F Y2023 growth of 54% on a Y-o-Y basis. PAT of Rs.246 Crores in nine month FY 2024 versus Rs.182 Crores in nine month FY 2023 growth of 35% on a Y-o-Y basis.

EPS is Rs.2.93 in Q3 FY 2024 and EPS for nine month FY 2024 is Rs.12.42 . Now I would leave the floor open for the question and answer .

Moderator : Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Jatin Damania from S van Investme

nt Managers . Please go ahead .

 Jatin Damania : Good afternoo n Sir and thank you for the opportunity . Sir in your opening remarks you indicated that the global logistics has posed a challenge so just wanted to understand what was the volume loss during the quarter because of this global logistics if you look sequentially there is almost 30% decline in the overall volume growth so can you help us understand that number .

K.R Lalpuria : See as I mentioned earlier that maximum sa les of ours are on FOB basis so this loss is on account of bunching of orders which we need to ship in the current quarter and which has already happened as well so the loss was not tremendous to us as far as volume is concerned ; it only got carried forward to a certain extent because of the bunching of orders not because of the Red Sea . The Red Sea problem impacts the UK and the EU much more than the USA . The USA is more cost centric and the frequency of the ship rat her than the availability of containers so we need to watch ver y closely and we need to see that how we tide over this issue goi ng forward .

Jatin Damania : So, in terms of bunching of the order that you said of the inventories which you have

shipped in the current quarter so what in terms of the quantity from the last quarter to this
quarter which was for month of January .
K.R Lalpuria : See it alway s get carried off to certain extent because of the GIT because when we ship to our US company then it is account ed for in sales when the sales really happe ns at the other end so this time in this quarter particularly we have a roll out wher ein we have bunching of order s so that it got carried forward and we need to ship at one time so which has happened ; so that is the normal course of businesses many of the times so I cannot give you a definitive number that the quarter has been impacted due to the volume .
Jatin Damania : But we are sure about maintaining our mid level guidance of the number that you given .
K.R Lalpu ria: Yes, I have already re affirmed that we should be somewhere in the midpoint of our guidance according to the orde r book position . Nevertheless, the logistic issue is there , it should not deteriorate further but you see as far as what we observe is that it is much more cost centric than the availability of the containers so we feel confident that we should be able to maintain both the guidance and we should be somewhere around the midpoint of the guidance.
Jatin Damania : Okay and Sir secondly you also alluded your c apital al location program me is mostly done so just wanted to understand that our fashion facility has a lready started production so in
 terms of the overall revenue contribution have we seen any improvement compared to the last year .
K.R Lalpuria : Definitely what we have been able to achieve on the volume side definitely the capacity utilization has improved which will be around say 64 -65% for the full year according to whatever guidance which we have reaffirmed to you so the revenue s also will correspondingly increase , but n ot to the similar ex tent because the cotton prices have corrected and we have t o pass on the price difference to certain extent and also the product mix due to the consumer sentiment is also impacted ; so we have to adjust according to the consumer sentiment and keep our offerings accordingly , so all these equations will decide upon the revenue going forward .
Jatin Damania : But Sir our target of reaching 30 % in Fashion , utility of the overall revenue are we intact on that number or we may see a delay on that number .
K.R Lalpuria : No, we are on target for achieving those value added sales numbers for which we have already formulated the strategy four , five years back . We have also invested into a world class fac

ility for fashion bedding which is under production so we are quite confident that going forward we should be able to achieve 30% of our revenues from the value added segment as what we had indicated earlier .
Jatin Damania : And Sir last question from my side I want to understand that since we are focusing on the newer geography so if you can highlight the contribution of revenue fr om the non US market .
K.R Lalpuria : Our entire efforts are to see that how we spr ead our business to more countries other than the US and we have been quite successful into getting a good visibility on the UK , Europe , in Australia , and UAE and we are trying to further see that how we can make a sales mix of geographies of 60% in the US and 40% to non US market from the 70 :30 ratio as of now so we are working on that . We are engaging with the customers and as the FTAs like signed between Australia and UA E there is definitely an uptick in the demand from these countries and we expect like once the FTA s get signed with GCC and UK also there will be an upt ick into Indian export so definitely we are working on this and we are quite successful into adding up new customers from new areas so that improves our confidence that we should be able to build this ratio going forward .
Jatin Damania : Thank you Sir and all the best .
 Moderator : Thank you. O ur next question is fr om the line of Ashwini Agarwal from Demeter Advisor s LLP. Please go ahead .
Ashwini Agarwal : Congratulations on a very strong volume performance during the quarter so two questions one is that obviously you said that cotton prices have fallen through to realizations and the sales mix has also changed because of customer preferences , but is there a product mix change because of seasonality you might have sold a lot of top of the bed or quilts in the previous quarter is there a seasonality impact as well here in the quarter .
K.R Lalpuria : Definitely there are sea sonal impact in our business according to spring summer , and fall winter , so these are two big seasons where we deliver a lot of goods . So according to the seasons also there are some changes but as we had earlier indicated that we are working on the value addition segment like the fashion utility institutional bedding and the branded

business plus the domestic business is another vertical where we are strongly working ; so all this will help us to in crease the product m ix to a richer base going forwa rd both midterm to long term and that is what we are aiming for . In the current scenario because of the gradual demand which is picking up we need to adjust according to the consumer sentiment and that to certain extent where the product mix gets a little bit diverted ; so that is the only thing but as we have more market share and we have more customer ba se as we have more product channel base I think this is like going forward we can strongly believe that the value addition will provide us a much better re alization as well as margin .

Ashwini Agarwal : The realization trend that you have seen in Q3 that will continue for Q4 and Q1 next year as well.

K.R Lalpuria : You also mentioned about the seasonality of the product ; when we sell so the spring - summer and the fall - winter are two big seasons where in Q2 and Q4 get impacted with more value added sales and that is how the market responds so definitely it will improve to certain extent and going forward as I mentioned in FY 2025 we have already start ed working on how well the market normalizes we get a better realization and better value added mix .

Ashwini Agarwal : Okay and Sir on your announcement of the major initiative with Accenture how much is the capex that will be involved in this IT upgrade and what is the gross debt and net de bt as of 31st December those are the last two questions.

K.R Lalpu ria: As far as the cap

ex on the Accenture side is concerned it is almost close to 3 million $ which we wou ld be investing into it to reengineering our busine ss processes so that we provide all our employees with better decision making tools and also cater to the overall

 digital challenges going forward . As far as the gross and net debt is concerned we will come back to you say by fourth quarter call so that will be giving you a true picture because currently the cotton season is on and we are investing into o ur supply chain so it will not project a true image but at the end of the day our entire endeav or apart from allocating money for dividend and term loan pa yment is how we can reduce our overall debt .

Ashwini Agarwal : Okay fine. Thank you Sir and all the best .

Moderator : Thank you. Our next question is from the line of Archit Joshi from B&K Securities . Please go ahead .

Archit Joshi : Hi good afternoon Sir thanks for the opportunity . Sir can you comment a bit on how we have f ared in the value added segment esp ecially in utility b edding or institutional b edding and fashion b eddings and how is the glo bal competiti ve landscape for these three segments especially th e imports that are coming into US from China on these three account specifically if you can give some information , thank you .

K.R Lalpuria : See as we had been mentioning about these particular categories which were dominated by China . China is still strong there and that is the reason we are expecting that they should contribute to Indian market share goi ng forward and that is visible from the otexa data; as far as the opportunity is concerned it is quite good in all three segments and our company is work ing since last three, four years into establishing a name in this three areas specifically and we have been quite successful as we have reported end of FY 2023 a business of 19% in these three segment s and our entire endeavor is to see that how we can take this forward to almost 30% on our increased revenue going forward and this is visible and we will come back to you with the numbers in our Q4 con call bec ause that will give you a correct picture because in my ea rlier answer I had mentioned that there are t wo big seasons in the USA the fall winter and the spring summer . The spring summer gets delivered in Q4 and the fall winter gets delivered more in Q2 so - you will have a correct pi cture for you in our Q4 con call so there we will give you the number how we have traveled in FY 2024 on these three product categories .

Archit Joshi : Sure Sir just one follow up on the same thing . While you are kind enough to give out that data by the end of the fourth quarter . Could we a lso have some segmentation done around the US imports of cotton sheets divided into these four categories , the basic sheets and the other three value added sheets . I think in the presentation you have already given some broad level data wherein we can definitely see that China has lost quite a bit of market share

 to India and Pakistan , but I think this is more on a broad based cotton sheet terminology if you can have also some segmentation arou nd it that would be very helpful .

K.R Lalpuria : See the overall home textile retail sales in the US has gone up from US$ 32 billion to US$ 34 billion , first of all , in which around US$ 16 billion is bed linen alone and in this $16 billion , 5 billion is the sheet market and 11 billion is the other three categories market . In this other three category market , India is having a share of just 15% where China is having around 50% , India is having just 15 % so we as a company have increased our target market by 11 billion $ in the last three, four years and therefore we have established both th e back end and the front end in order to capture

a market share in this market and that is why we are quite up beat about it on the value addition front and as you know sheet is a commodity whereas fashion bedding utility bedding is more service oriented and institutional be dding is more service oriented where you add value to get a return on your overall value which you deliver , so that is where the catch is and that is why it look s quite prom ising going forward and we are working towards it . As a company we have recently established and invest ed around Rs. 60 Crores in a fashion bedding unit which is world class and we have shown this unit to our top customers and they are showing a lot of confidence to see that they should reduce their overall sourcing out of China and shift some of the categories to India so that is a positive sign and that is where we are looking at much more value addition going forward in these three particular categorie s. I hope it is clear .

Archit Joshi : Sure Sir no problem thank you .

Mode rator : Thank you. Our next question i s from the line of Vikram Suryavanshi from Philip Capital . Please go ahead Sir.

Vikram : Good afternoon Sir so basically wanted to understand your views on margin front . This quarter particularly we have seen change in composition to gross margin and other expenditure so how does the margin expectation look like for going forward .

K.R Lalpuria : See Vikram you need to look at the 9 months because ther e are seasonal changes and there are product mix changes and also the co nsumer sentiment as I explained we ne ed to adju st accordingly to the market places due to the inflationary measures so all this together you should look upon what we have achieved in the nine months and what the margin guidance which we have given between 16 to 18% for the full year so that explains our margin so that is what I wanted to convey .

 Vikram : Okay and if the Red Sea issue continues will it impact at least like Europe sales whateve r we do or how are the feedback coming from that side .

K.R Lalpuri a: See as I mentioned earlier of cour se there a re logistic issues and the frequency of the ship is impacted , the cost is impacted , the overall transit time is impacted and if it was a good season like I would say a booming business then there would have been problem that you could not have delivered the material for the growth side but since the consumer demand itself is above normal and it is still trending along , the issue is still on the co st side and not on the availability of container side so we need t o monitor this closely a s we move ahe ad; so far the impact on us is not that high because of our lesser exposure onto the European and the UK market so I would say that we are watching the situation closely , keeping our fingers crossed and see that because it is a global issue it should get resolved in the next three months or four months so that is where we stand .

Vikram : Got it and just last point to add because the similar situation on muc h bigger scale we saw during COVID and there was a huge inventory built up by company so that there sho uld not be disturbance so is there any possibility that we may get a demand because t he built in inventory just to create a buffer in uncertain time .

K.R Lalpuria : I do not think so at the moment . This is just the invent ory has increased during this quarter due to the bunching up of order and the roll out , that is what I already explained so we do not think because the cotton season has eased out on the ra w material side . The overall availability of containers is not impa cted so far so the shipments are just taking 12 to 15 days more for the frequency of the ship to come back and that is it so as of now it is not a big concern . Going forward it is uncertain so we need to monitor it closely that much only I can say but no investment into

supply chain has to be done similar to COVID that much I can say ; but as a strategy of course when you look at the various disruptions , we as a company have done investme nt int o supply chain so that during the critical time we are standing be hind the customer and ensure that the supply chain is continuing and that is where the whole strategy lies rather than building on just like in COVID what we did earlier .

Vikram : Understood Sir thank you very much .

Moderator : Thank you. The next question is from the line of Neerav Savai from Abacus . Please go ahead Sir.

 Neerav Savai : Thanks for the opportunity Sir so most of my questions are answered just wanted to know

our capex plan for th e next couple of years 2025 and 2026.
K.R Lalpuria : See as I menti oned we are like investing into renew able energy so that our cost gets reduced as well as we comply with the circularity and sustainability so that is one area where the company is investing . Otherwise there is Accenture where we are investing on the business processes and then the normal capex is around 50 to 60 Crores that is what we are aiming to continue with going forward .
Neerav Savai : All put together for 2025 would it be safe to assum e would be around about 60 -70 Crores or maybe more than that .
K.R Lalpuria : Including the solar and the routine capex maybe Rs. 100 Crores.
Neerav Savai : Okay and beyond that any further expansion plans which we have laid out till now or we will evaluate it as and when things progress .
K.R Lalpuria : Nothing on plan.
Neerav Savai : Sir any other category beyond bed sheets which we aim to also get into . I mean b ed sheet obviously we have such a large presen ce with such a large capacity already in place so any new product which is compl ementing our existing product for the sam e customers are we looking at anythin g like that .
K.R Lalpuria : See as I mentioned earlier in my answer Neerav that already we have gone ahead with a plan to have a target market of $11 billion . Now the other categories in home textiles are all around $2, $2.5 billion so I should be better off into targeting this $11 billion rather than a $2 billion category which I already mentioned and plus you see the FTAs are around the corner which will i ncrease our overall competitiveness ; where we are missing our marke t share like in UK , Europe we have ar ound 5 to 10% market share which is negligible as compared to Pakistan and Bangladesh who are having 35% and 25% ; so there are other large economies where we can really do good business and let me also reiterate that countries like Russia , like Latin America , like South Africa , like even China to certain extent post 3 -4 years they will be net importers ; so there are large trac ts of market which are avail able. As far as our business is concern ed, we have just so far had the low hanging fruit in the US so wh y we should bother . The bed linen itself is a 50% category in the overall home textile market .


 Neerav Savai : So this 70:30 ratio which you are saying US, non US can come down to potentially 60 :40 now, any timelines would it be next 2 -3 years or something which you are looking at .
K.R Lalpuria : Absolutely we have already given a guidance that we would like to double our revenue in the n ext 3 -4 years .
Neerav Savai : Okay so higher growth we expect f rom the non US markets which is a large part of our overall re venues .
K.R Lalpuria : US is also growing at 4%. The overall textile trade is growing at 4% . Our industry is growing at 7-9% and we are growing at 10 to 12% ahead of the industry .
Neerav Savai : Got it Sir and lastly on this special bedding side now our production has already started and the plant is there in place so what can be the potential revenue from the existin

g capacity
which we have or is it b ooked completely right now for special bedding.
K.R Lalpuria : See we wou ld like almost to double our existing revenues going forward say we are at 19% on the current revenue so when I say 30% on the increased revenue we are almost going to add that much of revenue in the next 3 -4 years in this bu siness es so that is the plan and we are inching towards it. Our customers have shown a lot of confidence once we have built up this facility and because you need to be like having a backend completely and ensure the m the security of the supply chain rather than just placing an order so you have to show that capacity to the m that you can deliver to the larger customer ; so far we have been catering only to the smaller customers but now we can go to the larger customer and give them assurance and show them the capabilities to deliver large quantities as well .
Neerav Savai : Right it is again a 2 -3 year kind of horizon where we target this 19 going 30 with this combination of all the three fashion bedding, institutional and also the B2C part right .
K.R Lalpuria : Utility .
Neerav Savai : Utility yes. Got it Sir. That is it from my si de. T hank you .
Moderator : Thank you. Our next question is from the line of Suryanarayan from Sun idhi Securities . Please go ahead .
Suryanarayan : Thank you for your opportunity so a couple questions one is you plan to double the revenue in next 3 -4 years, so the current capacity is around 150 million meters what would be the


 peak capacity I believe there will be some batch and something could be there and maybe attaini ng 153 million meters could be difficult so if that is the case th en what is the peak capacity we can a ttain, number two is that Europe has been also a bigger market so what kind of share we currently we are having on our reven ues there and whether Europe situation is improving or not , that is two questions .

K.R Lalpuria : So first one is that we can achieve as close to 90 -92% of the overall capa city depending upon the product mix so that is the answer to your first question . As far as Europe is concer ned we are currently along with UK and Europe because they were together say around 15% of our business on th e revenue side . As far as the market in Europe is concerned as we mention ed that gradually it is improving because they had gone through this geopolitical situation in a big way because the countries were all involved into the discussions of cutting across supply chains etc., so these countries are reviving the demand and there is a demand revival which you see so going forward we expect things to im prove because the consumer sentiment is also improving that is what when we look at the order book position from the customer based out of Europe is concerned .

Suryanarayan : You were actually getting good revenue from the Europe side so compared to the Europe and America so which was I mean most fashion conscious market I believe Europe could be, I just require your confirmation .

K.R Lalpuria : See US A is much more organized and s tructured and Europe is still fragmented with so many countries so that the cultural diversity is there so the product base is still diverse and fragmented that is the reason in Europe to o there are regional retailers which are successful for example like Carrefour is there , JYSK is there , Metro is there so if you look at th ese retailers they have not been able to garner that much success like the Walmarts of the world because the cultural diversity is there in Europe , but having said that the value addition which they demand is on similar levels to what the US is ; so we see that since they are also very committed on the sustainability side of the businesses so recycl ing and circularity product and organic product are finding much more acceptance in this marke

t s; so when we work upon those value additions we definitely anticipate better margins and therefore we see like a good uptick in our margin ; when we have this F TA and we are able to explore all the customer base who are getting serviced out of the duty free Pakistan and Bangladesh of the world ; so definitely th ese markets are quite promising as far as the value addition is concerned and goi ng forward since we are tar geting this market with our entire product mix. They are also looking at China Plus One strategy as well as looking at India's entire value chain and raw material commitment so I think those are the favorable advantageous

 situation which India has so definitely there will be an uptick into their sourcing from India and that will help all of us in the industry to grow .

Suryanarayan : Okay and Sir you said that 90-92% will the optim um so if that is the case then we are getting a volu me product of around 140 mi llion met ers and currently we could be hitting FY2024 with 96 million meters what I believe and though you h ave a little bit higher than the say 100 million meters on the target so are you expecting current value growth is not that high so are you expecting value growth also to propel the doubling of the turnover how is it.

K.R Lalpuria : Absolutely the value and both the volume growth will be there but as I mentioned you should first of all look at the full year and secondly the c onsumer sentiment also we n eed to take into consideration so we have to see that how we garner more market share and when the market no rmalizes then we will get the necessary advantage and through a richer product mix we will be able to grow the value also ; so we are quite confident because we have the fundamental set right both at the front end and the back end so definitely that advantage we will get because when we start with a customer we start with not a value addition program me but with a mediocre midd le order and then we elevate towards the value addition slowly and that is how we approach the whole subject an d the strategy ; so I think going forward this will help us drive both value and the volume as they will feel quite confident in us wherein we specialize on the bed linen side of the home textile business so we are specializing in this category not generalizing so that also a favor which we get from them because then they can expect good service out of us.

Suryanarayan : So you r Q4 is nearly similar to Q 2 if that is the case then we could be hitting around 28 million me ters for Q4 and that could be 96 million meters against your target of 100 million meters target so what kind of volume you are figuring out for F Y2025 and 2026.

K.R Lalpuria : See we should be having more visibility in March so we will be able to give you better numbers for FY 2025 in our four th quarter call . As far as FY 2024 is concerned I have already mentioned in my speech that we should be able to achieve midpoint of our guidance very wel l because of the order book positions which we have and so far which we have shipped out stands on as on date.

Suryanaraya n: And where you see the cotton prices moving from here . As we progress towards the

summer the cotton prices will increase a bit .
 K.R Lalpuria : Definitely when the season is on the arrivals are large and that brings about the averaging out of prices it is close to MSP today because of maybe the lower demand overseas for raw cotton and that is the reason you see t he Indian prices are lowe r than the American cotton prices and it should remain in similar range going forward as we speak . Definitel y if the deman d improves the prices tend to move up , but we have to watch the situation and take our own strategy forward of covering the necessary cotton during the season so that w

e
secure our supply chain and that is what we are doing .
Suryanarayan : Okay thank you Sir.
Moderator : Thank you. Our next question is from the line of Palash Kawale from Nuvam a Wealth . Please go ah ead.
Palash Kawale : Thank you Sir for the opportunity . So sir, my first question was how are the inve ntory levels right now are there at pre COVID normalized levels .
K.R Lalpuria : I already answered that there is nothing like a pre COVID and post COVID level . The inventories are there due to the bunching of orders . There is a roll out which we need to deliver in this quarter and which will happen .
Pala sh Kawale : Okay so you anticipate any more buildup because of the supply cha in disruptions .
K.R Lalpuria : Not at this moment .
Palash Kawale : Sir my last question was any update on FTA with UK .
K.R L alpuria : What we heard yesterday is that they need to finish this before March 2024 so a lot of meetings have taken place between the two delegations two countries and we hope that it gets ended soon and that is what we keep on tracking and that is what the status is ; so let us keep our fingers crossed and see that it happens before March because there have been lot of deliberations and lot of things have got clarified so far; I would say so there may be a couple of hitches here and there which I think will be sorted out before the elections is what we feel.
Palash Kawale : Okay Sir thank you that is it from my side.
Moderator : Thank you. Our next question is from the line of Prerna Jhunjhunwala from Elara Capital . Please go ahead .
 Prerna : Thank you for the opportunity . Congratu lations on good volume growth that you repor ted this quarter just wanted to understand on the margins . I do not know if I have missed the comment marg in of 14.6% excluding other income is a bit lower than your annual guidance was there any one off or any product mix change that has happened this quarter .
K.R Lalpuria : The other income represents also the Forex gain to certain extent Prerna and as an exporter we need to under IND AS show it as other income but otherwise you see the Forex is an integral part of our business and whatever hedging or realization which we do is a business income because that we already co nsider in our pr ices so I think y ou sho uld consider it not as a purely other income but part of our revenues and if you do that then you will get the correct picture .
Prerna : Okay but apart from that there is no one off cost or product mix change also in this quarter that we should have a note of .
K.R Lalpuria : No I do not think; so it is purely as I mentioned there are two large quarters and two normal quarters as far as our business is concerned one is Q1 and Q3 are normal and when we deliver Q2 it is for fall and winter and Q4 is spring and s ummer so definitely some product mix get changed over th is cycle , but definitely as a strategy the overall product mix does not get changed because the company has position ed between mid to high segment and as I mentioned continuously and consistently that we are targeting value added bus inesses going forward just like in fashion be dding, utility , institution , e-commerce brand , licens e brand , B2C business , domestic business brand ; so all these areas we are working on cont inuously to see how we have a richer pr oduct mix going forward and the customers are accepting it and because of the China Plus One also who are dominating this currently there is a shift of their market share to India as a whole so we feel confident that going forward we should be able to increase the ratio of these businesses and therefore our value added business will grow which will also help us in improving our margins .
Prerna : Okay understood and Sir any comm ent on the GHCL integration . What is the s tatus now and where do we stand with respect

to customer level integration as well .
K.R Lalpuria : The GHCL integration has happened on t ime as you can clearly observe that if we are at

midpoint of our guidance then we did need a capacity of this kind for our further growth ,
so it has justified our acquisition number o ne. Number two the integration has been
seamless and we have reported earlier to o that the integration has happened seamlessly and
it is working in our favor and as you can see from our margin profile we have been able to
elevate the ma rgin profile of the customers whom we were catering to by providing them an
 end to end solution and going forward also we will work upon it to see that how we can
leverage their customer base to a better margin profile for them ; so I think the overall
integration is very good and going forward also with our business reprocessing etc,
digitization where we are focusing we will see to it that we further utilize this asset more
judiciously .
Prerna : Thank yo u so much Sir and all the best.
Moderator : Thank you. Our next question is from the line of Simran Bhatia from Almondz Financial
Services Limited . Please go ahead .
Simran Bhatia : Thank you Sir for you giving me the opport unity . I have two questions . I was going through
one of the slides that your net debt has bring down from know Rs.900 Crores in FY2022 to
Rs.589 Crores in FY2023 can you give at least next two to three years of debt reduction
guidance where we are seeing I ndo C ount going forward and secondly what will be your
fixed asset turnover ratio in the upcoming years just kind off idea in FY2025 and FY202 6.
K.R Lalpuria : So as far as the debt reduction I have already answered that we have completed our capex
plans by investing aro und Rs. 1100 Crores in the last two years into spinning , into fashion
bedding into this acquisition which we too k for further capacity addition which was needed
for our further growth ; so those have acted all in our favor and going forward like our entire
endeavor and as a philosophy of the com pany also is to remain debt free so our entire
endeavo r apart from allocating our profits for dividend and for the normal cape x it will go
towards reducing our debt but whatever is required for our growth compliances for our
business , the working capital will be designed accordingly because whenever there are
challenges we need to invest into supply chain and to see that we really deliver to our
customer the necessary product and the service level so definitely that will be considered
towards how we reorgan ize or organize our working capital going forward but our
definitely aim will be to reduce our overall debt situation , our long -term debt is getting
naturally reduced which we have in current and the working capital also sometimes it is a
little bit seasonal because we buy cotton in the seasons and we utilize it so whenever the
realization is there from this inventory is being used to further reduc e the debt so this will
be the overall strategy so the in the next 3 -4 years we would like to become a debt fre e
company and secondly on the asset turnover also we a re working upon . As I mentioned we
look at the consumer sentiment , we look at the market share , we look at our capacity
utilization and there are various facts which w e need to consider due to all th ese inflationary
measures and geopolitical situation and to see that how we tu rn around our asset s very well
and that is what we have done during this year as well . If you can see our overall nine
 months growth of 26% volume so definitely our endeavor is to ha ve a better asset turnover
going forward .
Simran Bhati a: Great Sir. Thank you Sir and all the best .
Moderator : Thank you. O ur next question is from the line of Pawan Kumar from Sha de Capital . Please
go

ahead .
Pawan Kumar : Thank you Sir for the opportunity . Can you give some colo ur on your domestic business
what is your aspiratio n in the domestic business .
K.R Lalpuria : Definitely the domestic business is looking upwards . We have worked upon in the last years
on bui lding the team , building the distribution , different points of sales , the product
categories the mix and we have been quite successful till date. In FY2023 we have informed
that we are at 2 .5% of the revenue and in the next 3 -4 years we would like to set a target of
almost 7 to 8% of our incre ased revenue from domestic brand so we are working upon it as
India grows into a 5 to7 trillion economy definitely the middle class is aspiring for better
end goods . This will provide definitely an opportunity for us t o see that how we grow this
business amicab ly and this is what we are focusing upon and we are qu ite sure that it should
do well going forward .
Pawan Kumar : And Sir are you focused on value added segment or like all the segments the domestic
segments.
K.R Lalpuria : Absolutely because we have been in the commodity sheet business for quite a long time and
that is why we hav e chartered a road map that we should go in for much more value

addition because now we have the proper experience , expertise , and the reach globally to all the customers and all the countries . We are exporting to 54 countries so we have go t a good reach and that is why we are leveraging all this to see that how we can explor e new ideas , innovation to see how we can add value to our business and we have different verticals where we are working upon and definitely you will see that in the coming year we are quite confident to see that our overall value added business ratio will go up .

Pawan Kumar : The last question like what about e -commerce and other digital channels . What sort of revenue are targeting let us say for three years .

K.R Lalpuria : They are also doing extremely well . We reported 10% of our revenue coming from e - comm erce and that is also growing . We will come up with the percentage in our Q4 call and

 definitely the overall e-commerce business globally is also increasing , inching up so this is a goo d channel for distribution and definitely the compan y is all geared up to see how it can capitalize moving forward .

Pawan Kumar : Thank you Sir.

Moderator : Thank you. L adies and gentlemen, due to time constraint the last question is from the line of Suryanarayan from Sun idhi Securities . Please go ahead .

Suryanarayan : A couple o f follow up questions one is that you have two licensed brand tie ups, one is Gaiam and another is Jasper Co nran so here what kind of royalty arrangements or anything is there or is it on some other basis .

K.R Lalpuria : So it is a normal royalty which we pay for a licensed brand which is usually there . There is nothing very big commitment from our side because you see they are interested into exploring how they can promote their brand effectively and they found a good partnership with us and because of our complete product portfolio which we had assured them to deliver and that is where the whole confidence level is and it these brands are doing well and they should do extremely well in t he future . The reason being we have been able to establish the proper product portfolio and also have displayed this at the exhibition as well as the market week in the US and we had a good response ; so I can only say that we will be inching towards better numbers in the future for both the brands , and Gaiam we had launched in FY 2024 and we have a good traction of it going forward and we had a good response to our launch so I can only say at this moment that both the brands will do well going f orward .

Suryanarayan : Okay Sir the last question is that in order to stay asset light we are adopti

ng lot of models in the off stream sector as in a segment wherein we have captive yarn and we outsource yarns and we also manage to do some job works from outsiders for the yarns or let is say even we buy also gr ay so if you can throw some light on that , what are the compositions of each segments at the moment let us say in future what will be the constituents , captive versus outsource to job work and work gra y.

K.R Lalpuria : See I can only say to you that our overall internal captive consumption is around 25% and the rest we outsource depending upon how the raw material , the yarn situati on the gr ay situation and the other inputs behave . According to the demand and supply we outsource and since we are almost a debt free company and we have double AA rating . We are a good pay masters too and we are one of the largest source of this product categories in India so

 definitely we have a good vendor base and good rela tionship with them so we are quite sure to secure our supply chain with them periodically and definitely we get an advantage because we are long -term players and we assure them a goo d business so I can only say that this is working in our favor because there are lot of changes happening on the raw material side as you can observe that at times people are going in for recycled material for circularity material for organic product for various other inputs , so w e have to be very flexible into how we secure our supply chain and that has worked in our favor during COVID level also where you could see that we have been able to protect our gross margin in spite of spike in the cotton prices an d the availability of cotton ; so definitely the entire model is workable and we have shown consistent performance and growth with this model and we are quite sure that going forward also the way we are set up strategically we have been able to do well and we will do well .

Suryanar ayan : So what is the Egyptian cotton quantity of v olume in our total raw material .

K.R Lalpuria : That we cannot define because the market depends upon demand and supply , the consumer sentiment , the consumer taste , the experience , various factors so we cannot define.

Suryanarayan : For FY2023 what was the case and till date how it has planned out so that is my point .

K.R Lalpuria : That we can provide you offline . We cannot do this online .

Suryanarayan : Okay Sir. Thank you Sir.
Moderator : Thank you. T hat was the last question for today . I would now like to ha nd the conference over to Mr . K.R Lalpuria for closing comments .
K.R Lalpuria : We are confident of our strategic initiatives which will lead us to a promising future setting a benchm ark in value creation and co rporate citizenship . We eagerly embrace opportunities and challenges unwavering in our commitment to a sustainable and prosperous future for Indo C ount and all our stakeholders . Thank you very much .
Moderator : Thank you. On behalf of Indo Count Industr ies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Jun 2024

Ref No.: ICIL/25/2024-25 June 4, 2024

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No: 521016

Dear Sir / Madam,

Subject: Transcript of the Investors' Conference Call held on 28th May, 2024 for Q4 & FY24 Results

In continuation to our earlier intimation dated 28th May, 2024 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Investors' Conference Call held on Tuesday, 28th May, 2024 at 2:00 p.m. (IST) for Q4 & FY24 Results.

The transcript is also available on Company's website at https://www.indocount.com/images/investor/Transcript-Of-Q4-FY24-Investors%E2%80%99-Conference-Call-Held-On-May-28-2024.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a


"Indo Count Industries Limited
Q4 FY '24 Earnings Conference Call "
May 28, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th May 2024 will prevail . Further, no unpublished price sensitive information was shared/discussed in the call.

MANAGEMENT : MR. K.R. LALPURIA – EXECUTIVE DIRECTOR AND CHIEF
EXECUTIVE OFFICER – INDO COUNT INDUSTRIES LIMITED

MR. K. MURALIDHARAN – CHIEF FINANCIAL OFFICER –
INDO COUNT INDUSTRIES LIMITED



Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '24 Earnings Conference Call of Indo Count Industries Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K.R. Lalpuria, Executive Director and CEO of Indo Count Industries Limited. Thank you and over to you, sir.

K R Lalpuria: Thank you. Good afternoon and a very warm welcome to all of you to the Indo Count Industries Limited Q4 and FY '24 Earnings Call. I have with me Mr. Muralidharan, our CFO, and Strategic Growth Advisors , our Investor Relations Advisor. Happy to connect with you all once again to discuss the Q4 and FY '24 performance.

Let me start with the industry and business scenario during Q4 and FY '24. The momentum of the previous 9 months continues and I'm happy to share that we concluded FY '24 with record performance. Our strategic focus on market penetration has driven sustained double -digit revenu e growth for this financial year.

I am pleased to inform that in FY '24, we have achieved our highest ever quarterly and yearly revenue of INR1,093 crores and INR3,601 crores, respectively. Additionally, we have recorded our highest ever annual EBITDA in FY '24, amounting to INR603 crores. Our net worth has now crossed the INR2,000 crore mark. It is worth noting that this year, we have delivered on our volume and margin as per guidance.

Now let me talk about the market scenario. Retail sales in the U.S. market have remained resilient and almost returned to pre -COVID levels despite higher inflation and borrowing costs, driven principally by consumer spending and the growing influence of e -commerce. Looking ahead, we anticipate sustained demand on amount of easing inflation and likely interest rate cuts solidifying our leadership position in the global home textile bed linen market.

We continue to strengthen our product offerings and deepen customer relationships, prioritizing long-term brand health. This strategic focus ensure we remain well positioned for the ongoing growth. On the domestic front, India aims to boost textile exposed to $600 billion and expand the domestic market to $1.8 trillion by 2047, focusing on quality, sustainability, and global leadership.

The home textile s market is strong, driven by global demand from the hospitality and residential sector. While India leads in home textiles, there is room to increase our global market share by leveraging the China Plus One strategy, India can add another $10 billion in exports potentially raising our global market share. Additionally, free trade agreements with the U.K. and EU will further boost our competitive edge. The Indian home textile s industry stands at a crossroads of



innovation and growth by capitalizing on international and domestic opportunities and embracing sustainable practices, we can unlock significant potential in this dynamic market.

Now our company's performance highlights.

We achieved 18% revenue growth in FY '24 and successfully met our volume and margin guidance.

Coming to our Q4 performance. EBITDA margin of 15% was on account of

onetime
promotional activities, which increased the other expenses and therefore, impacted EBITDA margin by around 2%. This is one -off scenario was in this particular quarter. We expect the benefits of this to play in the coming quarters and are confident to maintain the EBITDA in our guided band of 16% to 18%. We improved return ratios, ROE and ROCE while maintaining our

debt-to-equity ratio in spite of this tremendous growth.
Our disciplined hedge policy for raw materials enabled us to remain competitive. The inventory built up towards year -end is aligned to service expected higher business activity in FY '25.
Now the strategic growth and brand expansion. We are embarking on the next growth phase, laser -focused on amplifying the contribution of branded products to our revenue. With the acquisition of the iconic Wamsutta brand, a stalwart in the American market f or over a century and the expansion of our licensed brand portfolio with Fieldcrest and Waverly, we are strategically positioned to derive higher contribution.
The potential of the Wamsutta brand to add revenues over the next 3, 4 years is substantial, with half of this anticipated from the bedding segment and the remainder from complementary home products like rugs, towels, curtains, windows, etcetera .
Our steadfast commitment to branded B2C and D2C channel is yielding promising results, steadily increasing our market footprint. Moreover, our licensed brand opens door to a diverse customer base. Fieldcrest caters to the dynamic young population, while Wa verly appeals to those seeking stylish home decor, particularly in the emerging American market.
This expanded reach across the U.S. and Canada market promises to bolster our margins and profitability. Besides our facilities will manufacture this product for the end market thereby increasing our utilization level along with getting benefits from opera ting leverage. We strongly believe this strategic move position us well for sustained growth.
Now let me talk to you about our ESG initiatives. Indo Count Industries Limited achieved a significant milestone with the inauguration of our 9.3-megawatt solar power generation unit in Gujarat. This strategic move underscores ICIL's unwavering commitment to green energy usage. With over 90% of the Bhilad unit operation now powered by renewable s resources and to sustainable and responsible business practices.
By embracing solar energy, we have not only significantly reducing our carbon footprint but also optimizing energy cost, showcasing our proactive approach to environmental stewardship. Moreover, I'm delighted to share that our company's total renewable energy capacity has now


reached an impressive 21.5 megawatts. This initiative, combined with our recognition in Walmart's project, Gigaton unequivocally reflects our steadfast dedication to fostering a greener future.
On awards and recognition, I am delighted to share some remarkable achievements by Indo Count Industries Limited. We have been honoured with 3 prestigious National level awards from the CITI Birla Economic and Textile Research Foundation for the year 2023 -'24. This award recognized our excellence in best practices in social responsibility and green practices, innovative material managemen t and as the runner -up for best sustainable retail practices.
Additionally, Indo Count has been bestowed with TEXPROCIL's Gold Trophy for the highest export performance in MADE UPS for an impressive 5 consecutive years. This accolade serve as a testament to ICIL steadfast dedication to sustainability, innovation, and excellence. We take immense pride in being recognized for our efforts and remain fully committed to driving positive change in the textile industry.
Now let me share with our co

nsolidated financial performance.
Volume, sales volume for Q4 FY '24 stood at 28.7 million meters versus 20.4 million meters in Q4 FY '23, a growth of 41%. Sales volume for FY '24 stood at 96.8 million meters versus 74.7 million meters in FY '23, growth of 30%.
Total income, INR1,093 crores in Q4 FY '24 versus INR810 crores in Q4 FY '23, a growth of 35%. Total income, INR3,601 crores in FY '24 versus INR3,043 crores in FY '23, growth of 18% on a Y -o-Y basis.
EBITDA, EBITDA for Q4 FY '24 stood at INR166 crores versus INR147 crores in Q4 FY '23, growth of 13% on a Y -o-Y basis. EBITDA for FY '24 stood at INR603 crores versus INR486 crores in FY '23, growth of 24%. EBITDA margin for FY '24 stood at 16.7% versus 16% in FY '23, growth of 78 bps.
PAT, INR92 crores in Q4 FY '24 versus INR95 crores in Q4 FY '23. PAT, INR338 crores in FY '24 versus INR277 crores in FY '23, a growth of 22% on a Y -o-Y basis.
EPS is INR4.64 in Q4 FY '24. EPS is INR17.06 in FY '24.
Net debt to equity is 0.32x as on March 31, 2024, against 0.33x for the previous year.
For financial year '24, ROE is 16.2% and ROCE is 18.8%.
The inventory for year ended 31st March stood at INR1,143 crores. This should be looked at from the perspective of the increased guidance.
The Board of Directors has recommended a higher dividend of INR2.20 per equity share of INR2 each. That is 110% subject to the approval of shareholders at ensuing AGM. The dividend

payout stood at 12.89% and has been kept stable in order to use the cash for increased investment in business, especially the recent acquisition and inventory buildup .


With this, I open the floor for the question and answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Palash Kawale from Nuvama Wealth.
Palash Kawale: Congratulations on the very good set of results. Sir, my first question is on realizations. So now that the cotton prices have stabilized, then contribution of the utility bedding is increasing in our total product mix. How do you see realizations moving forward in next 2 years?
K R Lalpuria: Definitely, Palash, our focus is on the value -added products. And as we keep on mentioning that our focus is to how -- through brand acquisition, through branded licensed brands and through fashion, utility, institutional bedding, which we started 5 years ahead -- 5 years before, so we are focusing on the value addition and definitely through operational leverage as well as selling better goods, we intend to improve our margin going forward.
Palash Kawale: So my next question is on the share of India in bed space. So if I look at the data, the market share of Pakistan has increased a lot and our market share -- like Indian market share is -- like it was 21% last year and it's 21.3% in Jan to March. So what is the reason behind this? Pakistan is gaining a lot of market share, and we are at stable levels?
K R Lalpuria: See, this is due to because Pakistan consumes MMF and in India MMF is expensive by almost 25% where China is cheaper. So India has so far not focused on the fi lled product. So even if you look at the various drawback structure where the duties get refunded. We are not refunded on the synthetic part. So hence, it becomes not competitive.
And secondly, the freight also plays an important role on to like shipping filled products, which is more voluminous than weight oriented . So I think slowly, as India rationalizes the synthetic prices, we'll see an uptick here. And

secondly, most importantly, we all players had focused on the sheet side of the business and have not built the back end to service this product category.
Now recently, like last year, we invested almost INR60 crores on building a world -class fashion bedding unit. So that goes like without saying that now we are well positioned into servicing this product both front end and back end. And with the brands in our kitty, definitely, it will help us to inch forwar d in this particular category.
So I think there will be improvement in the coming years as how we see the China +1 happening on the sheet side, which is very apparent. Slowly, it will trickle down to these categories also.
Palash Kawale: Okay. Thank you for giving the revenue contribution from business segments. Sir, if you could give any sense of how the margins are for like branded businesses and fashion and utility or unique e -commerce business, that would be really great and even in ho me like domestic market?
K R Lalpuria: So we should look at holistically. I have predefined earlier that now we are working on almost 7 verticals apart from the sheet, which is a commodity. So we are working on fashion, utility, institutional, e -commerce, license brand and brand business as well as domestic.


So every business is in itself a business to us. And we are formulating strategies in order to grow each of this business to world -class and thereby, like both when you see how India is well positioned and India as a country also doing well in the domestic front, we see big opportunities in all these segments.
So definitely, like going forward, our focus will be how we can elevate to the next level through all these different categories of businesses, which we are currently doing. And we have a good audience to customer worldwide. We export to more than 50 -plus countries. And we h ave performed well for all these years in the eyes of the customers.
So definitely, whatever B2B, which we were doing earlier will now transform to B2C and D2C and that will definitely provide us an edge because we will be able to service omnichannel and a 360-degree like product range into not only the bedding area, but we are also moving up with the brands to other categories of products. So definitely, with all this mix, you will have a better edge going forward and it will make better margins going forward.
Moderator: The next question is from the line of Surya Narayan Nayak from Sunidhi Securities.
Surya N arayan N ayak: Congratulations for good set of numbers in turbulent times. So a couple of questions. One is that the value -added segments have improved from 46% to 51% Y -o-Y. So where do we see because the recent acquisition of the brands and tie -ups -- so what are the kind of traction we are going to see in -- for the next 2 to 3 years? So can you go up to 25% or so of branded business?

K R Lalpuria: Brand Wamsutta, we'll be launching in this spring FY 2025 in this September. So we'll see some traction happening in the fourth quarter. And slowly, we will build up this brand. Also these brands -- licensed brands like Fieldcrest and Waverly also, they will become active in 2025. That is FY '26. So once we start activating them across the board to different product categories and different set of customers, we see that the traction building in the coming year.
So going forward, like say if we start with say 5% up to 10% and then maybe probably our endeavour is to go up to 15% of our revenue in the branded business. But looking at the trend, the consumer preferences and the elevation of premium to branded segment, we have to wait and watch how these trends move forward. So definitely, we have set good plans to see that this becomes quite successful in our overall portfolio of revenue and slowly we will endeav

our it to
reach to almost 10% plus. That's where we are currently targeting.
Surya N arayan N ayak : So incrementally, you have recently given to media a notion that you are eyeing for $100 million in next 2 to 3 years. So that amounts to roughly 23 million meters for the branded segment as well as the Wamsutta and for the brands around 15 million meters. So if we put together our utilization rates will be improving. So what is the plan ahead? And going forward, whether we would be looking forward to maybe capacity expansions maybe '26 -or-so?
K R Lalpuria: So first of all, you see we did mention that we believe that we will reach $100 million in the next 3, 4 years, which is correct. But you need to consider you see out of this $100 million, around $50 million, $60 million will be bed linen and the rest would be like towels, rugs, and other product categories, which we will outsource. So definitely, you need to consider that in this overall $100 million, the utilization for bed linen will be not $23 million what you calculate but


it could be close to around $10 million to $12 million because it is high value as well as it is like part of the overall revenues.
So this is what will be the outcome. And once we reach the optimum level of our capacity utilization, definitely post this, the Board will take appropriate call and see that how we can expand the capacity further because we already have on GHCL acquisition, a land over there, which is additional where we can expand our next line of processing.
So we do have infrastructure. We have already invested into the core capex . And we have the capacity also which is like flexible and scalable. So definitely, all this will provide us the necessary inputs to grow our brand sales going forward. And that's why we are quite confident that in the next 3, 4 years, we should be able to build a branded business of almost $100 million.
Surya N arayan Nayak: So, is it safe to assume that 85% utilization will be trigger for -- creating or let's say, looking for the -- for full next capex , sir?
K R Lalpuria: That should be consider ed most like FY '27, I'd say, probably. But if we are lucky and if we are more successful , then definitely, we'll come forth in '26. We are a debt -free company. We have financial resources to go in for any kind of expansion in the future and the plan s which we are making, as I mentioned in the 7 verticals, we are expanding each one of them. So we'll be ready. If there is any need towards expansion, we will definitely think of and we will report -- come back to you as and when the capacity utilization i mproves.
Surya N arayan Nayak: And sir, for the -- these additional branded segments. So what would be the realizations higher than the -- in the normal commodity range. So can it be around 15% to 20% higher?
K R Lalpuria: See, normally, it is like what we've just now mentioned, it is around 15% to 20% higher than the normal range, because there are expenses to be considered. And as an equity, you need to differentiate, and the product is also more rich -- has rich inputs rather than the commodities. So definitely, this should be the ballpark in the premium and the branded segment.
Surya N arayan Nayak: So with 15% increment in the realization, you would be seeing a realized EBITDA margin improving from 17% to around 25%?
K R Lalpuria: ~ 17%
Surya N arayan Nayak: 25%, in that particular category. Current margin is around 17%. So in those categories of branded segments. So can we expect higher EBITDA margins?
K R Lalpuria: Yes, of course, we cannot define that because you see in branded segment also, there is a product mix change. And which segment you are servicing, that needs to be considered. but definitely, above 20% plus, you should always consider for the branded seg

ment revenue.
Surya N arayan Nayak: So what will be the range, broad range of EBITDA margin from lowest to highest?
K R Lalpuria: 20% to 24% should be considered.
Moderator: The next question is from the line of Jatin Damania from S van Investments.

Jatin Damania: I just wanted to understand, in your initial remarks, you indicated that the last quarter EBITDA was impacted by incremental spend on the promotional expenses. But then later you indicated that Wamsutta brand launching traction would start from September onwards. So does that mean that for initial 6 months or 9 months of this financial year, our promotional expense will continue to remain at the higher level?
K R Lalpuria: See, certainly, we have to create the infrastructure and the back end as well as the front end. So definitely, there will be expenses. But this all will get absorbed by the realization margin, which we get on branded business. So that will be an investment, which we will do in the coming quarters. But definitely, we will plan in such a way that we get those realized with our extended margins.
Jatin Damania: Yes. But then extended margin will start coming out from the Q4 onwards largely on the branding side?
K R Lalpuria: Yes. Once we start delivering the goods, definitely the margin will get visible but the question which you raised is that will there be additional promotional expenses during this -- the first 3 quarters, the answer is, yes, to a certain extent. But we have to look from a medium and long -term point of view for any brand promotion, which we cannot expect like in the first quarter when you acquire some brand and from the very next month or in the next quarter, you'll start getting results. It ha s to be planned for seasons and the seasons are all 6 months apart. And then you have to draw in the necessary customer base to make it much more successful as for the trends prevailing in that market at that point of time.
So that is how we should look at it. This is a very strong brand, a national brand. It does not need any introduction. So definitely, apart from adding new customers and opening new doors to us and with the existing customers even we look at enhanced busin esses and that's the reason we acquired this brand and invested into it. So with whatever the expenses, which will happen, we will draw a proper brand strategy to see that how we can recover those expenses and absorb it in our futuristic sales.
Jatin Damania: So that is it's fair to assume then the guidance that we have given 110 mill ion meter to 115 milli on meter , it's excluding the contribution from Wamsutta?
K R Lalpuria: To some extent, yes, you are right.
Jatin Damania: Okay. So that anything that can come in Q4 on Wamsutta will be additional to the numbers or the guidance that we have given with a better margin?
K R Lalpuria: So that's why we have kept the band, as well as a band for both volume guidance and margin guidance.
Jatin Damania: Okay. Sir, second thing, I mean, previously, during our last interaction in the call, you had indicated that we are looking at the – doubling our revenue from INR3,000 crores to INR6,000 crores in the next 3 years. So -- last year, we were at INR3,000 crores, this year, we clocked at around INR3,500 crores. So are we still maintaining that guidance of INR6,000 crores by '26 or probably we could see some delay in that number as well?


K R Lalpuria: So we are seeing that happening in 2027 because the situation has also to improve. See, there are still geo -political reasons for business disruptions, the Red Sea, the war, like various inputs, which are increasing in India. The Indian inflation is like almost more than 6%. So you

need
also to look for all these moving pieces and consider. But definitely, our endeavour is to see that we do this revenue growth to doubling it by, say, 2027 , like FY '27, we should safely take it.
Jatin Damania: Sure, sir. And sir, last question on the Wamsutta. In the previous participant answer, you indicated that $ 50 million will be attributed to bedsheet and remaining $50 million will be outsourced. So has any given point of time as a company, are we thinking to venture into other home textile business other than the bedsheets so that whatever the outsourced item t hat you are taking it, we can supply through in -house only?
K R Lalpuria: Yes. See, definitely, we keep our doors open to all opportunities and we are a manufacturing setup. We are quite experienced in this business of manufacturing for the last almost more than 3 decades in textile. So whenever there is an opportunity of adding on any product category, which makes sense to our business, which pr ovides synergy, which provides margin to us and which have a good payback, the company will definitely have the philosophy to invest into it.
As we are slowly building on this branded business as we see a great opportunity out there in premium and branded segment as the luxury and affluent business, what we read from the various reports of McKinsey, BCG and various other consultants are coming i n showing that there is an increase on the luxury side of the business. And that's what we would like to tap going

forward. And once it develops into a good revenue, definitely, we can always add on the back end just like how we add on different product categories.
So we are open to all these investments and our company is also having AA - credit rating. So as far as raising finance is concerned, we are well off, like we can always raise finances for new capex for any product category to add.
Jatin Damania: And last question on your brand expansion also, or probably the license tie -up that we are doing with Iconix International. So can you explain what is this tie -up for?
K R Lalpuria: This Iconix International owns the Fieldcrest and Waverly brand s. And Iconix is a very well - established licensed brand and brand house, and it is very well known. So it provides us opportunity to tap other brands from the same company. Once you perform with Fieldcrest and Waverly, then definitely, they will think that we can handle the brands well and that opens doors for their other brands which they own. So it is a beginning of a good relationship with this company.
Secondly, Fieldcrest and Waverly are also 100 years old. And we have, by acquiring Wamsutta and licensing Waverly and Fieldcrest, we have addressed the demographics of the brand because Wamsutta has a 45-years age and above brand rec all value, Waverly has got 94% feminic c recall value and it is more print and stylish driven as well as Fieldcrest is addressing more to younger generation, 25 years and above.


So that completes our brand strategy to address all sections of the consumer. And since we have the entire product range on to the bedding side, which formulates 50% of home textile, we should be able to address the complete demography by this brand licens ing and acquisition.
And we are not stopping here. Whenever we see a brand opportunity now, since we are recogniz ed in the market to handle brand, there will be opportunities for us that licensing companies will come forward and offer us this brand at a good reasonable contractual value.
So this is what the opportunity is. And by doing this branded segment, what we have been alluding so far is about elevating us to the premium and branded segment, because we were catering to the mid - to high segment. So this brings in another level of acqu iring the segment or positioning of the bra

nd in those segments to increase both our revenue and margin profile.
Jatin Damania: So sir, likely indicator for Wamsutta of $100 million in the next 3 to 4 years. So Fieldcrest revenue would be how big in terms of the revenue contribution for next 3 to 4 years?
K R Lalpuria: No, I didn't get your question, please.
Jatin Damania: Sir, like Wamsutta, you indicated it's a $100 million opportunity, right?
K R Lalpuria: Yes.
Jatin Damania: So with this licensing tie -up for Fieldcrest and Waverly, how big that opportunity would be?
K R Lalpuria: No, there will be additional revenues. What we mentioned is like $100 million branded business. So this includes like Wamsutta, Fieldcrest and it can go further up because we acquired Wamsutta first, so we planned $100 million, now since Fieldcrest and , Waverly and we will tap more revenues from this. That's what I mentioned in my earlier reply
Jatin Damania: So $100 million is inclusive of all the brands?
K R Lalpuria: In my earlier answer, I had mentioned about that we are planning to see that how we can grow our market share from, say, 5% to 10% to 15% of entire revenues. So I hope I answered your question?
Jatin Damania: Yes, yes, sir.
Moderator: The next question is from the line of Hemangh Kothadiya from Anvil Share & Stock Broking Private Limited .
Hemangh Kothadiya : Congratulations on the great set of volume growth. Sir, my question is on the Red Sea crisis, is that impacted the freight cost for us like big manner . Because I heard the freight costs has increased by twice of pre basically Red Sea crisis, so what is our stance on that?
K R Lalpuria: See, first of all, our sales to the U.S. is more than 70 %, where we sell FOB basis, number one. Number two, -- you are right that the freight costs has gone up, so it is a nuance. And we have been discussing with the customers to see how we can absorb that. There is not much of an impact on to our expenses to a certain extent. But definitely, this is one of the -- what you can


say a troublesome area that Red Sea is still continuing. So we are waiting and watching and seeing that how it gets resolved. But it is for everybody. It is universal. So everybody is impacted through that. So being universal, we are able to address it muc h better.

And secondly, one more important thing because U.S.A. is not impacted as such with this, because it goes with Cape of Good Hope, where only you are increasing the working capital by 15 days. So that is the other submission from my side.
Hemangh Kothadiya : And sir, on the solar power, we are setting up 8 -megawatt incremental and plus around 8 -megawatt which we set up last year also. So what kind of savings are you expecting from the -- because of the use of solar power and normal green power basically.
K R Lalpuria: See first of all, we need to look at from compliance standpoint, how the world is moving towards to. So for - customer base in developed nations, they are trying to become much more serious about requirements of sustainable deals. So they want green energy to run the plants. And that's why from a compliance standpoint, our company is getting ready, being a globa l company. So number one is that reason.
Secondly, there is optimization of cost as well because you see the power cost in India is going up. As the consumption is moving up, you see the power cost is also going up. The transmission cost is going up. The generation cost is going up. So we need to offset that. So whatever that optimization happens will bring in definitely some savings and we will become competitive. So we do not cry over the rates, power rates all the time. So the company is trying to become self - sufficient into its own generation of green energy for the future. So slowly it is taking steps towards becoming that

self -reliant.
Maharashtra, where we are located, do not have a sound solar policy because they allow only 1 megawatt on one meter. So recently, they increased in the textile policy to 4 megawatts. But still the notification is not out, according to which we can invest i nto it. So once that is out, we'll further increase that 1 megawatt to 4 megawatts in our plant at Kolhapur. So that is how we are shaping our renewable energy initiatives.
Hemangh Kothadiya : Right. And the zero -liquid discharge effluent water treatment plant of INR50 crores, that is at Gujarat unit, right?
K R Lalpuria: Yes,at Bhilad plant, because you see, as I mentioned, on the compliance side now, everybody is focusing on zero -liquid discharge. So we need to upgrade our unit. So we are investing into it so that there is a lesser freshwater intake. And secondly, you are discharging no effluent because in Bhilad plant, we have a free discharge. So we have to see that in the future, we build this zero liquid discharge, so we save ourselves on any eventuality.
Hemangh Kothadiya : Okay. And sir, last question on the Wamsutta brand that outsourcing part, what we discussed earlier with one of the participants, so like towels and other parts of the home textile market. So do that thing can dilute our margins going forward because tradi tionally, we are getting 18%, 20% margin in licensed brand.


K R Lalpuria: Why to dilute? Why you should think like that? The towels are also sold in branded segment at a higher price. So you have so many people selling in brands. You see their margin, they are higher. So we are focusing on the branded segment and drawing in prod uct in that branded segment, we are not saying that we are going to put up a towel plant to sell commodity.
Hemangh Kothadiya : Right. Fair enough, sir. Congratulations and once again all the best for the future.
Moderator: Our next question is from the line of SimranJeet from Almondz Financial Services Limited.
SimranJeet: Sir, I have three set of questions. First question is, how you see the demand trends in the U.S. as you know, inflation is still high there? Second, what is the timeline to bring down your consolidated debt? And third, if the U.K. FTA happens, let's say, somewhere down the line, how will -- it will be benefit to the Indo Count?
K R Lalpuria: Can you tell me the second question again?
SimranJeet: Sir, what is the timeline to bring down the consolidated debt on the books for -- to reduce...
K R Lalpuria: And the third question?
SimranJeet: Sir, third question is for the U.K. FTA, which is still pending, if that comes into play, has seen benefit to Indo Count?
K R Lalpuria: Sure. So first of all, as I mentioned in my speech also, that what we observe is that the inventory levels with the retailers are normalized. And we are getting impacted only due to the inflationary measures so that discretionary product is not b ought to the extent what it used to be pre -COVID level.
So we still have to wait for some time from the market enthusiasm to return. The inventory pipeline is dry. And that's the reason we said that we mentioned that the demand is stable, and it continues, only the pain point is the inflation which monetary policy that U.S. government is addressing this and that we will see post June also if there is a correction that will definitely help the economy.
So the demand is like I can only say in one word, FY '25 is better than FY '24. That is number one. Number two the debt. The philosophy of the company has been always to plough back our

profit due to the business for both growth and debt reduction and that will continue.
So whenever we see an opportunity where we do not have cash to invest in growth, we'll reduce our debt. And our endeavour is to become a debt -free company. So that goe

s without saying.
But whatever working capital which we need, we have to deploy that, whether it is supply chain, whether it is any compliances for solar energy or with anything. So we need to do that. So definitely, our philosophy is to reduce the debt and say in the next 2 to 3 years, you will see there will be a further reduction in the debt as we draw in more operating cash.
The third is about the U.K. FTA. What we hear is that the primary discussion has alre ady completed. And there are no hitches between the two government to declare the FTA. But they are taking their own time to declare it. We feel that this will be cherry on the cake.


So whether it is FTA or non -FTA, we are not concerned to that extent. We are drawing in good business in the U.K. market. We have an office in Manchester, U.K., where we have started distribution also. So we are slowly inching towards more market share. So whether there is FTA or no -FTA, we are not to that extent, impacted.
But yes, definitely, when the FTA happens, there will be a good development that we will come to level playing field with Pakistan and Bangladesh who enjoys duty -free access, just like how UAE and Australia, the business is inching up. This will provide us an opportunity to explore and explore and exploit the market more.
Moderator: The next question is from the line of Zalak Rathi from Agility Advisors .
Zalak Rathi: Congratulations on a good set of numbers. Could you help me in understanding the valuations at which Wamsutta brand was acquired, as it was acquired for approximate INR85 crores on a generated revenue of INR4,000 crores. And in one of the interviews, you gave guidance of this brand will add to top line of INR800 crores in next 2 to 3 years and no debt has been acquired. And as it is a premium brand having legacy of 178 years. So how did we end up at the valuations of INR85 crores?
K R Lalpuria: So definitely, good question. This was a great opportunity for us to acquire because there are very few companies which have the kind of supply chain, which we have. The kind of product range, which we have. The kind of innovation and the front -end and bac k-end setup we have. So Beyond INC, took over the asse ts of Bed Bath & Beyond at say $ 23 million, which included this IP of Wamsutta as well, -- they were customer to us, and we were selling them product s. And they were convinced that the kind of product range which we have and the kind of marketing strategies, which we have evolved over a period of time, provided them the necessary confidence that we will do -- justice in promoting the brand across the globe, not only in the U.S. and the Canadian market. So we discussed about this opportunity, and we were able to convince them to buy out this brand from them at INR85 crores. So that is the first thing I would like to submit.
Secondly, Bed Bath & Beyond the retailer used to have this brand in their kitty. And for the last 10 years, since 2012 to 2022, this brand did almost more than $5 00 million at sale because specialty stores like that, particularly in home textile, which was across categories. So it was not only bed linen, but it was towels, rugs, windows, and all sort of accessories, etcetera . So they did a very good business in Wamsutta brand till they liqui dated. And now that was around $ 500 million and at the peak, they had achieved in a particular year was $800 million. And the average was around $500 million every year.
So this gives an opportunity for us that with a legacy of 178 years, where the brand recall value in the U.S. is more than 75%. And plus its specialty and departmental stores, which gets us elevated to the premium and branded segment, we thought that this op portunity was good, and we acquired this brand from a long -term and both medium

-term standpoint. We are selling like
fashion bedding, utility bedding, institutional bedding, and e -commerce, where we can leverage the strength of this brand to promote it in each channel of distribution. So that is the objective.


And we also scale up both our product profile, our positioning, our margin profile, our capacity utilization and having a complete perceived better value in the marketplace, not only in the U.S.A. but across the globe. So this was the entire objective, and this was the value, and this is what we intended to have the sales, which we have mentioned that we are confident with the kind of product base and the customer base which we have, we should be able to have at least

built up $100 million revenue in the next 3 to 4 years.
Zalak Rathi: Okay, sir. And how do we plan to penetrate in Indian market like increase our share?
K R Lalpuria: Definitely, it's a good question. We are looking very positive about the Indian market. We have established and we are inching towards better distribution as well as better exposure to the large format store. And this particularly brand will give us a leve rage to position it on to the premium segment over here as we see that India is a growing market where the middle class is aspiring to use better end products and the luxury segment is also growing in India. So this gives us a competitive edge to promote t his product in the Indian market as well where we are bullish on.
Zalak Rathi: Could you give a guidance like what market share we expect?
K R Lalpuria: Not at the moment, guidance for what like we already gave a guidance of $100 million we'll do in the next 3, 4 years.
Zalak Rathi: For Indo Count only, what market share do we target in Indian market for our fashion utility segment and all that. Like currently, we do have 2.5% share in the Indian market. So what target do we keep to expand it? Any target for that?
K R Lalpuria: Definitely, we are planning around 6% to 7% of our revenues going forward because we have various strategies under our sleeves to see that how we can expand our market share in the Indian market. But as you know, you see Indian market is not organized yet. And the unorganized sector is slowly getting into the organized segment. So we have to see that how we strategize to see that we speak about market share in India, which is like coming for because it's still fragmented.
Moderator: Our next question is from the line of Ashwini Agarwal from Demeter Advisors LLP.
Ashwini Agarwal: Congratulations on a very good set of numbers and achieving the targets and for the guidance that you have provided. So referring to your opening comments where you said that almost 200 basis points of margin losses on promotional activity. Could you help us understand what this is because all the brands we've acquired will be launched much later in the year?
K R Lalpuria: See, when you acquire a particular customer or when you acquire a particular promotional business, you have to see that how you can penetrate the market with that share. So we jointly decided that we will promote that into marketing with the product or the promotion in a proper way and that's why we had to support the customer.
Ashwini Agarwal: Okay. And sir, on a strategic basis, like you're hoping that by, say, March '27, fiscal '27 year - end Indo Count will be at INR6,000 crores. So that should unlock a high amount of operating leverage if you go from currently roughly about 2/3rd the capacity utilization to 80%, 85% plus the contribution from brands But the question I have is that as a strategy, do you think you want


to keep the margin stable at 16% to 18% and reinvest the additional margins into brand

building,
into distribution, into new product development. And therefore, the margin profile as financials are presented will be more stable? Or do you think there is ro om for upside because the amount that needs to be invested in brands is fairly -- is going to be paid for by the brands themselves?
K R Lalpuria: So definitely, you see we all work towards more value addition at each step in each business product category as well as channel of distribution. We always look for opportunities where you can make extra margin. So our endeavour is to see that how we can develop our margin profile going forward and that's the basis of the entire strategy to acquire the brand and work out the license brand so that whatever commodity which we produce or whatever product which we produce, currently, we can scale up to the premium and the branded segment.
And definitely, once we utilize our capacity, there will be definitely operational leverage. But at the same time, as I mentioned, you see that we are in a country which is growing at a 7% GDP plus. So definitely, the input costs are also challenging. And as what we see the various disruption, so we have to be geared up. So it is a 2 -edged sword, which we need to balance it out. But to answer your question, definitely, our endeavour is to see how we reach better margins going forward with both operating lev erage as well as product elevation.
Ashwini Agarwal: Okay. And sir, does the brand -led strategy need more working capital fundamentally?
K R Lalpuria: Not exactly but there would be some expenses which will be associated with this, whether it is talent acquisition, whether it is distribution, whether it is marketing expenses, selling expenses. So those will be associated. But as I mentioned in my earlier answer, we wil l have a proper brand strategy to see that these expenses get absorbed in the process and we make a higher margin . Because this will add on to the cost of the sale and definitely, we'll keep aside a positive margin or elevated margin to make on the brand itself. Because the retailer also when they position a brand, if they scale up their margin to see that how we can make a be tter margin on the product rather than a non -branded product. So definitely, you see there will be expenses, but it will be getting absorbed in the process.
Ashwini Agarwal: No, no, I was asking about working capital. Do you need more working capital for brands versus commodity end?

K R Lalpuria: Not exactly. To a certain extent, you will need but not completely like you can differentiate between a normal business and a branded business. You need to keep some working capital for it when you launch a particular collection. But that will be all planned on the made -to-order basis rather than on a made -to-stock basis.
Moderator: The next question is from the line of Dhavan Shah from Alf acurate Advisors.
Dhavan Shah: So my question is on the gross margins. Given that the commodity -- the cotton prices has been declining plus the value -added mix has also been improved during this quarter. So why the gross margins are down on a quarter -on-quarter basis? Because if I unde rstand correctly, I think Q2 and Q4 are more seasonally good quarters in terms of the branded business, right?


K R Lalpuria: See, we should not look at the gross margin per se. The reason being we should look at what -- like EBITDA margin we get. So we keep that intact because the gross margin have many variants, like say, the For ex, the cotton prices, the sale price, the product mix, the various other like raw material, which we import of the dyes chemical, the packing material. So there are so many moving averages that you reach out to a particular gross margin in the business. Bu t definitely, our endeavour is to protect our complete EBITDA marg

in, which we have already
indicated 16% to 18%.
So that really is humongous to a certain extent. So you should look -- from an annual perspective, you should look at our results and you should not look at every quarter because there are changes in season s, changes in promotion, changes into even different events like Christmas, New Year, Mother's Day, Father's Day, Valentine's Day. So all these are at different levels to promote the goods and the retailer also promote it accordingly.
So you should look from our EBITDA level. And secondly, you should look at our volume growth. So that's where the focus should be, and you should look on an annualized basis. That's my request.
Dhavan Shah: And for meter -wise, I think if I look at the realization per meter, I think we reached to roughly INR380 during this quarter. And EBITDA per meter is more or less INR58 a meter, right, versus INR60, INR61 last year on a blended basis.
So I wanted to understand more what is the EBITDA per meter and the realization per meter differentiation between the branded and the non -branded business? And how this per meter numbers can be improved, maybe 2, 3 years down the line. This INR58 a meter can move up to INR70 a meter EBITDA?
K R Lalpuria: See, we do not calculate actually that way like dividing the revenue with straight away the meters. Of course, at the end of the year, you do calculate in that way. But there are so many changes in textile s, if you know the category that there are thread counts, there are finer account, there are coarser count , there is cotton, there is differentiation in packaging, there is dyes chemical, you supply a white sheet or a dyed sheet. So there are so many variables happening, and the market responds to the trends and the consumer experience in a very different way. It is not like for per me ter realization.
But still to answer your question, when we look at different product category, say fashion, bedding or say, branded business or say branded business on the e -commerce, definitely, you will find that the realization per meter will definitely improve. At the end of the year, we see that the EBITDA level, as I mentioned, should improve from 16%, 18% , to 18% to 20% and then 20% to 22%, that's what the endeavour is. That's what we are all working for.
So the entire focus should we get on those numbers like the EBITDA numbers. Between the quarters, there are a lot of changes happening. So that's what I requested in my earlier answer also, that you should look at our company wholistically -- that's why we provide the volume guidance and the margin guidance to see that we focus on this, and we achieve those numbers.


Moderator: Ladies and gentlemen, due to time constraint, we will take this as our last question. Our last question is from the line of Surya Narayan Nayak from Sunidhi Securities.
Surya Narayan Nayak: Sir, just to understand if the cotton price, I know the margin is good there. So currently, we saw quarter -on-quarter is up around 8%. So let's say, we see the current price could be a bit of a base rate and there is little downside. So suppose from here onwards, cotton prices improve. So do you see any mileage towards the higher realization?
K R Lalpuria: See, cotton prices, you see India is pretty strong in cultivation and producing cotton and that's the reason you see the cotton prices are more or less stable around the INR, 60,000 to INR62,000

mark. So going forward also, as the indication is that the monsoons will be good. So we expect that the cotton prices should stay in the similar band. Now definitely you see once the raw material prices are stable, you can plan your business better. And definitely, the kind of cost structure, which we have put in and strategized value addition, definitely, we will try to see that

how we can improve our gross margin going forward. So that is the whole endeavour .
And definitely, the cotton raw material prices always helps us into planning much better the marketing strategy. So definitely, once that happened, it gives us a competitive edge where to sell and how much to sell and what to sell. So definitely, that will improve and improve our overall business performance.
Surya Narayan Nayak: Okay. So another question is that sir, will it be safe to assume that in case the complementary products of, let's say, bath segment were to come at a lower margin then will you do justice not selling so much towards whatever we required of the particular brand because it may impact our overall margin. So what should be our strategy? Because in the bath segment, I see the lower margin compared to sheets?
K R Lalpuria: I did mention that we are not going overboard to sell a product. We are formulating a strategy to sell that in brand. So we will protect that margin. We don't want to sell towels like other manufacturers. We are saying that we will sell this product as additional complementary products in the brand itself. Unbranded, we are not focusing currently.
Surya Narayan Nayak: And lastly, sir, in the current brand whatever we are doing. So our U.S. block is around 75%, so will it further improve, or the diversification will have wherein the U.K. and EU to get more share?
K R Lalpuria: No, our overall mid to long -term strategy is to see that we have like a 60% -40% ratio, 60% in U.S. and 40% in non -U.S.
And once the FTA has come into play, definitely, that will improve the non -U.S. percentage.
But by virtue of an organized market by virtue of a larger market than other development and doing well economically too, it provides us an opportunity to sell it i n the U.S. in a better planned way and that helps our back end . Capacity is also to be planned accordingly to get the operational leverage because of the size of the business they offer.



So all these factors prompt us to sell or let us focus on the U.S. market rather than the other markets because the other markets like in EU and other places are fragmented and the order sizes are small, which do not match to our expectation of getting muc h more operational leverage.
So definitely, that push and pull always will be there between U.S. and non -U.S. markets. But as a company, our endeavour is to see that going forward, we developed the non -U.S. market also to the extent of 40% and keep the U.S. 60%.
Surya Narayan Nayak: At least by '27, we can expect that the 75% contribution from the U.S. to go up maybe to closer to 80%?
K R Lalpuria: No, no. We cannot assume like that because Wamsutta brand is a global brand. And definitely, we will spread it in such a way like in India, elsewhere as well as the U.S. also like in Canada, Mexico. So this will be equally split between U.S. and non -U.S. m arket.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the call to the management for closing comments.
K R Lalpuria: Thank you. In closing, I'm delighted to share that our contribution through branded B2C and D2C channel is steadily on the rise. Our persistent efforts to expand our portfolio's reach in end markets are now well supported by the addition of Wamsutta, Waver ly and Fieldcrest.
This strategic move not only reflects our commitment to growth but also positions us for even greater success in the future. With this addition, we are poised to capture new market, increase our market share, and further solidify our position as a leader in the industry. Thank you for your continued support as we embark on this exciting journey of growth. Thank you.
Moderator: Thank you. On behalf of Indo Count Industries Limited, that concludes this conf

erence. Thank
you for joining us. You may now disconnect your lines.

# Call: Aug 2024

Ref No.: ICIL/ 55/2024 -25 6th August , 2024

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No : 521016

Dear Sir / Madam,

Subject: Transcript of the Investor s' Conference Call held on 30th July, 2024 for Q1 FY25 Results

In continuation to our ear lier intimation dated 30th July, 2024 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on Tuesday , 30th July, 2024 at 12:30 p.m. (IST) for Q1 FY25 Result s.

The transcript is also available on Company's website at https://www.indocount.com/images/investor/Transcript -Of-Q1-FY25 -Investors%E2%80%99 -Conference -Call-Held -On-July-30-2024.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a


"Indo Count Industries Limited
Q1 FY'25 Earnings Conference Call "
July 30, 202 4

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th July 2024 will prevail. Further, no unpublished price sensitive information was shared/discussed in the call."

MANAGEMENT : MR. K.R. LALPURIA – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – INDO COUNT
INDUSTRIES LIMITED

MR. K. MURALIDHARAN – CHIEF FINANCIAL OFFICER
– INDO COUNT INDUSTRIES LIMITED

STRATEGIC GROWTH ADVISORS – INVESTOR
RELATIONS ADVISOR – INDO COUNT INDUSTRIES
LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to Indo Count Industries Limited Q1 FY'25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K. R. Lalpuria, Executive Director and CEO of Indo Count Industries Limited. Thank you, and over to you, sir.
Kailash Lalpuria: Thank you. Good afternoon, and a very warm welcome to all of you to the Indo Count Industries Q1 FY'25 Earnings Call . I have with me Mr. Muralidharan, our CFO, and Strategic Growth Adviso rs, our Investor Relations Advis or. Happy to connect with you all once again to discuss the Q1 FY'25 performance.
Let me start with our Q1 FY'25 performance highlights. This quarter, we achieved a 26% increase in volumes and a 27% rise in revenue, demonstrating the effectiveness of our operations despite ongoing macro challenges. Our Q1 FY'25 results show an EBITDA margin of 16.2%, in line with our guided range of 16% to 18%, reflecting the strength of our core business.
Despite increased expenses for logistics and building Wamsutta/Licensed brands, the achieved margin underscores the effectiveness of our strateg ies. Market sentiments are improving with new inquiries from key markets. As the festive season approaches, we are optimistic about a successful FY'25, and are confident in achieving the guidance.
The successful acquisition of Wamsutta, the U.S. national brand, through internal accruals of INR85 crores, reinforces our global home textile vision. The e -commerce segment and licensed brands such as Jasper Conran and GAIAM are performing well, and with brand promotion of Fieldcrest & Waverly, they are progressing as planned.
Market demand and industry scenario. Encouraging development in our key markets are shaping a positive outlook for the year. Otexa data shows an increase in the bed linen import share in the U.S. from India, reflecting a strong trend across big box retaile rs and omni -channel platforms.
The government of India's promotional steps, including proposed FTA with the U.K. and the EU and existing FTA with Australia and the UAE are crucial for our industry's growth.
Competitive domestic cotton prices and the China +1 sourcing strategy, which is gaining traction among major retailers position the sector well for a better future.



Future strategies and initiatives. Looking ahead, we are focused on utilizing our capacities effectively, enhancing our product range and expanding our geographical reach. Our strategy involves leveraging advanced technologies, boosting customer engagement through digital platforms, and investing in overall sustainability. The recently announced Wamsutta brand acquisition and licensing of F ieldcrest & Waverly will drive innovation and broaden our market presence. With this initiative, we are well -positioned to achieve new milestones.
Since entering key bedding segments, such as fashion, utility, and institutional bedding, supported with adequate brand strategy and capacity, it will help us significantly to improve our overall business growth. Additionally, with the developing domestic market, we are making a comprehensive

plan to enhance our pres ence and seize growth opportunities. This focus will complement our existing export activities, which will remain a core market, while leveraging the company's debt -free status to support futur e initiatives.

Capex and investments. Our major capex projects are completed, setting the stage for sustained growth. Moving forward, we will strategically invest in renewable energy and essential maintenance capex to further enhance our operational efficiency. In addition, we will continue to expand through targeted acquisitions and licensing arrangements and agreements within our business verticals. These efforts will ensure that we capitalize on growth opportuniti es and maintain our competitive edge in the market.

Now awards and recognition. During the quarter, we have received following awards: Gold Trophy for highest export performance , this accolades recognizes sustained excellence in exporting made ups , marking a remarkable fifth consecutive year. Best Environment Friendly Initiative of the Year 2024. This award celebrates our exceptional CSR efforts in environmental care activities. Best Wastewater Treatment Initiative of the Year 2024. This recognition highlights our innovative approaches to wast ewater treatme nt within the factory, demonstrating a strong commitment to sustainable practices.

Now ESG initiatives. Indo Count is at the forefront of environmental, social and governance practices. Our Bhilad unit now operates at 90% renewable energy, significantly reducing our carbon footprint. We've achieved a freshwater intake to 25% through upgraded RO and ETP facilities. Our impressive Standard & Poor's Global 2022 ESG rating of 42, well above the industry average of 28, demonstrates our commitment to sustainably. Active engagement with the Dow Jones Sustainability Ind ex ensures continuous enha ncement of our practices. By embedding sustainability into our strategic goals, operations, governance, and supply chain, Indo Count is setting a strong example in ESG integration.

Now let me share with you our consolidated financial performance. Volume. Sales volume for Q1 FY'25 stood at 25.3 million meters versus 20 million meters in Q1 F Y '24, a growth of 26%.

Total income. INR950 crores in Q1 FY'25 versus INR747 crores in Q1 FY'24, a growth of 27% on a Y -o-Y basis. EBITDA. EBITDA for Q1 FY'25 stood at INR154 crores versus INR130 crores. In Q1 FY'24, growth of 18% on a Y -o-Y basis. EBITDA margin for Q1 FY'25 stood at 16.2% versus 17.4% in Q1 FY'24, a dip of 128 bps.



EBITDA was impacted due to conscious increase in branding expenses along with investment in human resources to support the new acquisition and licensing business. The logistic challenges also increased, thus impacting margins. It is important to note that despite these challenges on macro front as well as our strategy to upfront investment in human resources, we have been able to report EBITDA margins in our guided range. This depicts a strong undercurrent in our core business. PAT. INR78 crores in Q1 FY'25 versus INR74 crores in Q1 FY'24, growth of 6%. EPS is INR3.93 in Q1 FY'25.

With this, now I open the floor for the questions and answers.

Moderator: The first question is from the line of Jatin Damania from S van Investments.

Jatin Damania: Sir, in your opening remarks, you indicated that the employee expenses, if you look on the stand - alone and consol basis, has increased by INR10 crores to INR15 crores. Does it entirely link to the increase in the branding expenses and the results of which will be visible from the Q4 onwards?

Kailash Lalpuria: Yes, certainly. Because this is where we acquired Wamsutta. In Indo Count Global, our U.S. entity, we have appointed new talent in order to manage the brand and promote it. So these are the expenses related to that,

and this will certainly help into buildi ng the brand and bringing in additional revenues in the future.

Jatin Damania: So that means, Wamsutta, since you have already started spending on the branding exercises, is it fair to assume that Wamsutta will start to contribute to the revenue from the Q4 and onwards? Or the major benefit will be postponed to FY'26?

Kailash Lalpuria: So some revenue will start picking from Q4, but you will see major value coming in FY'26 onwards.

Jatin Damania: And sir, second question. If you look on the quarterly numbers, our other expenses have increased substantially if you compare quarter -on-quarter and year -on-year. So can you highlight the reason for the same?

K. Muralidharan: See, other expenditure also includes some of the conversion costs, which are related to the raw material consumption basically. So it's for some of these like power and fuel and job work charges, some of these operational expenses, conversion charges are i n the other expenditures. This goes along with the production levels. So this will get adjusted once the goods are sold. It will come to the normal level. So our other expenditures would be in the range of around 30%, 32% overall.

Kailash Lalpuria: As similar , the inventory gets liquidated from finished goods and WIP because the cost has already been captured there and it has gone to other expenses. Once that gets liquidated, you will see the impact that it will normalize as for the full year as similar to last year.



K. Muralidharan: And to correct one aspect, the employee expenditure, it has gone up by only INR6 crores between the 2 quarters. So we've peaked there now. Yes.

Jatin Damania: Yes. Sir, I was comparing between the stand -alone and the consol numbers, but that answered my question. Sir, last question from my end. Can you help us in terms of our other brands, Fieldcrest & Waverly, how is it progressing? And when can we start expect ing a contribution from them?

Kailash Lalpuria: See, we are developing this brand because we have just licensed it during the quarter. So we are forming a team, and we are presenting it to our customer base. And we'll see some traction when we launch this in the September market week, so for the Spring/Summer FY'25. So definitely, we'll see some traction happening in, say, Q4.

Moderator: The next question is from the line of Palash Kawale from Nuvama Wealth.

Palash Kawale: Sir, congratulations on good traction in volume. My first question is on branding. So how much did we spend on branding in Q1, sir? Could you give an absolute amount?

Kailash Lalpuria: See, we have just started the journey by appointing appropriate talent for promoting the brand. So as we move up the ladder, we'll have some expenses, but we'll start to see also the fruits of these expenses from Q4 onwards. So during the year, whatever is needed for promoting this brand, we will do so, and we will keep everybody informed about these expenses from our Q2, Q3 onwards.

Palash Kawale: Okay, sir. And sir, on logistics front, how much is the increase in cost? And can you expect it to normalize going forward, or will it remain high? What do you expect?

Kailash Lalpuria: See, this is a moving item. Because during the quarter, we faced challenges on both the availability and the cost of the containers and the freight cost. And whatever we were impacted to the extent, we have reported in our investor presentation.

What we are seeing during this quarter also, the situation has aggravated, but there are some green shoots into the availability of the container, not particularly the cost factor. So we are watching the situation. We cannot define a number to it, because you see our FOB and CNF keeps on moving to certain extent, and there are new customers also added, which demands CNF cost. So with a better exposure to the number, we will report to you later, but now we cannot give you a definitive number.

Palash Kawale: Okay, sir. And sir, did we lose any volume because of availability?

Kailash Lalpuria: Not to that extent. But yes, certainly, it does impact our OTIF and deliverance to some. But as a company, because our strategy is committing to the customer and we are a customer -centric organization, we forgo the cost at the level of providing service to the customer. So that is our prime objective. So definitely, we keep that intact, keeping in mind the customer service and not the cost. So going forward also, that strategy will be adopted. And we will try to see how we can



service the customer better. And with the kind of volumes which we handle, we are certainly having priorities in the marketplace, so we get a better option to deliver.

Palash Kawale: Okay, sir. And sir, India's market share in bedspread has increased from Jan to May this year. So do you see this trend going forward? Like will we continue to gain market share here also? Because last year, India had lost some market share here.

Kailash Lalpuria: No, even last year, on the increased revenue, we reported 19%, the same number, but that was increased revenue. So we haven't gone down in those categories. But certainly, yes, we are working on it, and our team is putting the best effort to see how we can add up. We have invested into a new fashion bedding unit, and that will help us project a better image to the overseas customers that we are a major player in this. So definitely, that we will be able to provide you better inputs in our next call, because the year has just started, and with the festive season in the front, we should be able to report better numbers going forward in these categories.

Palash Kawale: Okay, sir. Sir, if I could squeeze one more question. So year -on-year, our volume has grown by 26.5%. So do you see this number being maintained? And do you see any upside to our guidance on volumes?

Kailash Lalpuria: See, we'll currently stick to our guidance of 110 million meters to 115 million meters. Of course, our endeavour is to improve the number. With the kind of this run rate and with the capacity at hand, we'll definitely work towards improving this number going forward, like our own

guidance, but we'll be able to better provide you with this improvement in our next con call.
Moderator: The next question is from the line of Surya from Sunidhi Sikhar .
Surya: Sir, congrats for the good set of volume growth, which is 26%. So one question is that going forward, because of the recent brand acquisition strategy that we have adopted, so when can we see a meaningful rise in the EBITDA margins maybe closer to 18% to 1 9% from the current band of around 15% to 17%?
Kailash Lalpuria: See, earlier what we reported, even now with the kind of impact on expenses where we are investing and the logistic expenses, we have almost been impacted by almost 1.5% in our EBITDA during this quarter. We are watching the situation closely on the logist ics side. While I say this, on the branding side, we can see traction moving upwards from FY'26 onwards. Because what we need to do during this year is to project this brand to the consumer in a better way and bring back the glory of Wamsutta and the other licensed brands. We are into positive discussion with customers, and this will also help us expand our p roduct mix, because not only bedding, this will also help us in to sourcing other product categories across the globe and see that how we can increase our both volume and value.
So going forward, our strategy is, through this brand, elevate our premium and limited segments, to expand our product mix, to utilize our capacities through operational leverage, work upon om

nichannel , expanding as a D2C brand, and overall building our capabilities to showcase and


improve our perceived value in the marketplace. So altogether, this will help us improve our margin profile going forward as what we mentioned. But this will only get reflected from FY'26 onwards.
Surya: So shall we mean that -- if you can pencil on the numbers sort of going forward. So will it be fair to assume that around 25 million meters of additional volume growth will be coming from the brands apart from the steady state of growth currently we are observing from our existing portfolio. So if that is the case, then I will, let's say, assume 10% before FY'25 and 30% for FY'26, and FY'27, 60%.
Kailash Lalpuria: No, this calculation does not support the capacity consumption, because the overall brand volume and value will not be just bedding alone. It will be other product categories also. So even if we consider 50% as what we had projected and 100 million in the next three years, the branded goods sales, if we take 50 million and through which at higher margin level and higher value level, we can safely say that we will be able to consume almost like around 8% to 10% of our existing capacity. Bec ause both the value and the margin profile will be higher on the branded goods side, and we are not going to consume just on the bedding side. As I mentioned earlier, we will be also promoting towel, rug, pillows, etcetera, as a new product mix in this bra nded business.
Surya: Okay. So instead of 25 million meters, we can expect 50 million meters altogether?
Kailash Lalpuria: No, no, no. I don't think so calculation supports. As I mentioned, this, we will see a traction FY'26 onwards. We cannot have such a capacity consumption during this year.
Surya: No, I'm not expecting this year. I'm expecting from FY'26. That is why I was taking precaution of 10% this year only and 30% for FY'26 and 60% rest will be FY'27. That is what I am assuming.
Kailash Lalpuria: No, I think we should discuss offline, so we'll be able to better answer and explain you in a full way our branded strategy for both...
Surya: Okay. And sir, another point is that because we are growing at a very rigorous pace, so that would be leading to capacity constraint maybe in FY'27, because then, FY'26, I see around capacity utilization sector could be touching 90%. So what would be the sort of case going forward so far as capex is concerned , whether we'll be considering Bhilad expansion then?
Kailash Lalpuria: So yes, to a certain extent, you are right. You see, when we put up on the drawing board our 153 million meters capacity, our endeavour is to see how we reach this number very quickly and sell this capacity very quickly. But realistically, with the kind of challenges in the marketplace; realistically, in order to grow the overall vertical across the board with fundamentally a strong footi ng, we need at least 3 years to double our revenue. So we are confident as an organization that we will be able to double our revenue in the next 3 years. That's what we have indicated in our guidance as well. So post that, say, in FY'27, the Board will come across with the kind of capacity utilization to see that how to invest further.

Surya: Okay. Apart from bedding, are we looking at any additional adjacencies like pillows and others in the bedding segment itself?
Kailash Lalpuria: So with the kind of strategies, we always look at opportunities, and we are into both inorganic and organic growth because the company is debt -free. And we are on a fundamental footing with a good customer base and a good service level. And with this kind of volume, we are in a leadership position. So definitely, we look

at opportunities which come in the way, and we are open to discussions. We are also looking actively to see that how we can strengthen our all verticals, whether it is fas hion, utility, institutional, and all omnichannel also, like online and offline, as well as our domestic branded business.
Because these are huge opportunities for us to grow each and every vertical. And utility is also one of them because the China+1 strategy is clearly visible. The China as a country is dominating this category for a long time, and we are seeing some green shoots for Indian companies to strengthen their position in this business. So we are also looking actively into how we can participate in this growth.
Surya: Okay. And sir, looking at the current logistics affairs due to the ongoing geopolitical situation. So would it not be fair to assume that the offshore production, because we have to be exporting maximum to U.S., so like U.S. -centric production will be far more -- I mean, will be capital efficient than local production?
Kailash Lalpuria: I cannot comment on this, but to logistical challenges, yes, in this new world, we have to make our organization resilient and build our model in such a way that we can absorb all this volatility. Once you look upon our growth in the first quarter, it mean s that we have built this resilient organization to absorb all the necessary volatility.
So this is how we have demonstrated, with both our capacity and capabilities, to move up the ladder and to see how we do even offshore venture and get into areas where we are new and develop them as a completely new vertical with a lot of market share buil ding. So I think, to think about on the logistics side and decide something will not be correct. But yes, whatever opportunities which comes in our way in order to develop offshore manufacturing or offshore trading, we will definitely seize those opportun ities.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala: Congratulations on good volume growth, sir. Sir, wanted to understand this brand strategy over the next 3 years. How much share of your revenue do you target to get from brands, and you're targeting which geographies for the same?
Kailash Lalpuria: Good question, Prerna. So first of all, I would correct that brand strategies are built for midterm and long term. So Wamsutta is clearly a long -term strategy for us as a company and not only for 3 years. And as I mentioned, we will be working initially in to North America. And as the brand has recognition worldwide in more than 45 countries, we will elevate it to the next level once


we learn and are able to promote it effectively in the North American market. So that's about Wamsutta and the opportunity there.
Secondly, on the licensing brands, like the existing ones, GAIAM and Jasper Conran are doing well, respectively, in the U.S. and U.K. And Fieldcrest & Waverly have been just added in order to complete the demographic and the existing consumer space and the customer segment. So Wamsutta will be established in the departmental and the club levels, whereas you see other brands will have an open access to all kinds of retailers out there.
And secondly, in the next 3 years, we have already indicated that our branded goods sales, we are targeting almost 100 million in all the brands taken together. So that's what the ambition is. And moving forward, we also plan to see that we add new product mix and new categories as a strategy to our existing bedding range. So this will provide us a lot of opportunity to grab more market share in these new product ranges. And it also will enhance our capabilities into sourcing within the U.S. and grab more market share with the retailer through other product categories as well, like

towels, rugs, and pillows, and other home textile products.
So the overall branded strategies have completely switched upon our company's overall strategy of sales and marketing by helping us not only sell to the mass merchant but helping us to sell overall in the branded and the premium segment as well. So these are the opportunities going forward, both short term, midterm, and long term.
Prerna Jhunjhunwala: Okay. And sir, could you please add India progress as well to this?
Kailash Lalpuria: Certainly. Because India is a growing market, it's a $5 trillion economy coming in force, say, maybe another 4, 5 years, and we are growing at a good GDP rate, and the middle -class consumer base is growing very strongly, where their need are aspirational, they need good

brands and good products to decorate their home. The overall outlook of wellness and luxury
will help us promote better end goods in the Indian market also.
And our brands, Boutique Living and Layers, have been extremely -- accepted very well pan -
India among the distribution base, and we will leverage this opportunity to see that how we can
increase our market share in the domestic market as well. Coming to our licensed brands and
Wamsutta, at appropriate time, we will see to it, once we establish the distribution base and the
point of sale, we will leverage our branding strategy in India as well.
Moderator: The next question is from the line of Yash Sonthaliya from Buoyant Capital.
Yash Sonthaliya: Congrats for the good set of numbers. So my first question is, can you please provide me with
the absolute increase in the inventory from the base of March 2024?
Kailash Lalpuria: See, the inventory in absolute number, we will provide you offline. But what you can see that,
because of increased activity and the increased revenue, we do need to invest into inventory and
the supply chain as indicated earlier also. Because there are so many volatilities and headwinds



on the logistics side, like container availability, the cost of the containers, the freight charges,
and the availability of other raw material goods as well.
So we are investing into supply chain as indicated earlier to see that how we can develop a better
service level to our customers. And let me tell you that supply chain security will be much more
important than the cost factors going forward. And as a comp any, it's our policy to see that once
committed, we kind of service our customers to the last level. So on these strategies, the
inventory levels have gone up to a certain extent, but these are investments for the future. Just
for example, for cotton, we are covered until October.
Yash Sonthaliya: Got it. And sir, second, like the 100 million target what we have from the brand, what margins
we will make on that?
Kailash Lalpuria: See, we have already indicated that the margin on the branded business ranges between 22% to
24%. So the product mix sales and the branded goods sales will definitely help us improve our
margin. And that's why we have provided a band also of 16% to 18%.
Moderator: The next question is from the line of Pankaj from Affluent Assets.
Pankaj: Congrats on good set of numbers. Sir, just wanted to understand, since you are moving from,
say, a commodity product now towards branded, what would be the margin structure post, say,
FY'25 or '26, when you will be fully implementing this brand strategy?
Kailash Lalpuria: See, our endeavour is always to make better margins, and that's the reason we have this branded
strategy. We acquired Wamsutta. So as a company, you see, from a commodity supplier, we are
switching on to serving much more branded products in the marketplace. And we have also
developed strategies around fashion bedding and utility and institutional in order to increase our
margin profile. And tha

t's why we have improved from 15% to 17% last year with a band of
16% to 18%.
So while our endeavour is there, but as you see, being in a country with growing inflation and
with the geopolitical situation and the logistical changes as what we see, certainly, our margins
get impacted in the process. But our endeavour always is to better this band of 16% to 18% to
18% to 20% going forward with both operational leverage as well as selling better end product.
Pankaj: So this quarter, you have reported margins of 16.2%, which was because of the higher expenses
related to logistics and brand building. What are the adjusted margins for this quarter, which will
exclude these one -time costs -- expenses?
Kailash Lalpuria: I already mentioned that 1.25%, it got impacted due to the logistics charges as well as investment
into building brands.
Pankaj: So you mean to say, we had reported -- adjusted margins would be around 17.5%.
Kailash Lalpuria: Exactly. You have calculated rightly.



Pankaj: So going forward, with advent of this brand, would we not be able to build upon more on this as
our share of branded products increases in our total portfolio?
Kailash Lalpuria: Certainly. I did mention about that with a complete answer that are endeavour is always -- see,
why somebody would invest into brand? Why we will invest INR85 crores in Wamsutta? Why
we will invest into talent and making expenses on to showroom and product development and
innovation and all that? To get better margin business.
And as I mentioned, with this brand strategy, we have elevated ourselves into the premium and
the branded segment as well. So apart from selling to mass merchants, we always will aspire to

sell to stores like Nordstrom, West Elm, Pottery Barn, Williams Son oma, Saks Fifth Avenue. So we will aspire to go to the better end of the market and grab market share out there, which will certainly help in improving our margin profile.

But you cannot assume that today, with the increasing expenses in India, you cannot identify or notify how much that brand incremental will bring in on the margin side. Yes, we are aspiring, and we are working towards this. And we will see to it that some or other how we have a better product mix going forward, which will help us improve our margin profile.

Pankaj: Sir, last question. You mentioned that you'll endeavour to double our top line in the next 3 years. So by FY'27, would we be able to cross INR7,000 crores with margins of... (inaudible)

Kailash Lalpuria: Let me correct. Let me correct. When we were there at INR3,000 crores, we had indicated that we will go to INR6,000 crores in 3 to 4 years. And that's where we are trying to double our revenue with the necessary investment in both the core capacity as well as you see in the branded segment and other product categories. And that's the reason we have flagged out, sa y, almost 7 verticals for the company.

And on each vertical, we are working hard to see that we develop that category into a business in itself. And there lies the full strategy to see that how we can sell and market the product in each vertical categories and bring about this change to achieve the new milestone of doubling our revenue in the next 3 to 4 years. So definitely, we are on target. As you can see, in Q1, we reported almost a volume growth of 26.5% despite logistical challenges.

Pankaj: Okay, sir. But the only disappointment was margin.

Kailash Lalpuria: Where is the disappointment? See, already I told you, if you do not adjust the logistical expenses and branding expenses, we are at 17.5%, and Q1 is the most toughest quarter for us, and we had provided a record -breaking Q1, both with volume, value, revenu e, and the margin. What else we can do?

Moderator: The next question is from the line of Naveen Baid from

Nuvama Asset Management.



Naveen Baid: I just wanted to kind of clarify that you spoke of getting to 100 million from your branded side. So that's a cumulative number, or that's the number, on the volume side, you wish to achieve by FY'27?

Kailash Lalpuria: It's a cumulative number. Because we have to slowly build it up, like, say, maybe first year, we may do 5 million, 10 million; then we do 30 million, 50 million; then we do 100 million. So it's like we'll reach to that target. Because in the overall revenu es, if we are able to build in 100 million -- say, for example, in 500 million, hypothetically, if we are able to build 100 million, we are at 20% of branded additional business going forward.

Naveen Baid: Okay. And this 100 million, obviously, will require some increased capacity. So what are your plans in capex ?

Kailash Lalpuria: So we are servicing through this existing capacity only.

Naveen Baid: Yes, as of now. I wanted to clarify once the branded business ramps up.

Kailash Lalpuria: Yes. Definitely. As I mentioned earlier also, in FY'27, the Board will look at the capacity utilization and the business overall, and we'll take appropriate decisions. We are a debt -free company. So we have all the means to expand our capacity. And I have mentioned in my last call as well that in our Bhila d capacity, we have got appropriate land to double our capacity going forward.

Moderator: The next question is from the line of Shrinjana Mittal from RatnaTraya Capital.

Shrinjana Mittal: Congrats on a good set of numbers. I have two, three questions. So one is on the growth side, sir. So your growth is -- you've done about 27% of volumes for this quarter. So would it be possible to give more color on where are we able to clock this high growth from? Is it largely because of the China+1 shif t, because of which India is gaining share, and so are we? Or is it also because we are adding new customers and also maybe upselling to the existing customers? Just a little more color on the growth side. That would be helpful.

Kailash Lalpuria: So you have answered my question, in fact. So not only the existing customers are served better, but we are adding up new customers, number one. Number two, the China+1 strategy is clearly shown in the Otexa data that they are losing ground. And particular ly on the sheet side, India increased its percentage share from 58% to 64%. Now as a company, we are well -positioned. So one sheet in every five sheets sold in the U.S. is the market share which we enjoy.

So on that basis, this has added up to this kind of growth. Certainly, we focus on the bedding side. But as a company, we are quite competitive and we are a debt -free organization where we can take up strategies to see how we can become much more competitive and meaningful for the customer, which we have a good base of. So these are all the strategies.

Lastly, I would like to say that even the FTAs in Australia and UAE had helped us to certain extent into growing our value proposition to the new customer base out there. Because earlier we were paying duty over there. And that's the reason, it will be a cherry on the cake if we get the U.K. FTA, because we have an office showroom, and we have a good customer base in the U.K. as well. So that's the reason for our growth confidence, which w e have indicated during this year.

Currently, we will stick to the guidance of 110 million to 115 million, which we have provided, but we will come back to you as situation changes. And certainly, the freight and logistics challenges are continuing, but we are watching it closely, and with the kind of volume and the exports, we are able to see that we get some priority in this

part. And that's the reason we have
performed well in the first quarter, and we are confident of performing in the other quarters as well.

Shrinjana Mittal: Understood, sir. Just a follow -up on that. So when we guide for the revenue growth, we are guiding for some 20% plus revenue growth. So what percentage of that would be coming from the new customers, and what would be coming from the increasing wallet shar e and this China+1 playing out?

Kailash Lalpuria: We cannot define that what percentage will come, but as I mentioned, the growth always comes from the existing business portfolio as well as the new customer base and new geographies. And as I mentioned, the FTA of Australia and UAE is also helping the com pany to garner more market share in these regions. So it is across the board the growth is coming. And overall, as I mentioned that the fashion, utility, institutional business, which we are trying to grow since the last 5, 6 years; and o ur strategies into developing B2C and D2C omnichannel distribution base also is helping the company to draw up this growth plan for the future.

Shrinjana Mittal: Understood, sir. Just one more question. Our depreciation this quarter is a little bit on the higher side. What could be the reason for that compared to the last quarter?

Kailash Lalpuria: So these are like capex which we had done and the amortization of our brand expense , which has come into this quarter. And so whatever investments which we are doing, the depreciation is bound to increase to a certain extent, and this has happened in this quarter.

Shrinjana Mittal: Understood. Sir, the cash for the acquisition has already gone through in this quarter, the Wamsutta acquisition?

Kailash Lalpuria: Sorry, I didn't understand you.

Shrinjana Mittal: The cash for the Wamsutta acquisition, that has gone in this quarter? Is that paid?

Kailash Lalpuria: We have already mentioned that in our investor deck that we have paid nearly INR85 crores through our internal accruals, where we haven't drawn any debt to make payment for our brand.

Moderator: The next question is from the line of Amruta Deherkar from Wealth Managers (India) Private Limited.



Amruta Deherkar: Sir, could you please tell us more on the Australia business? Like what are the margins there? And what is the kind of market potential in bed linen that we are addressing in Australia?

Kailash Lalpuria: See, Australia is similar to U.K. as far as per capita consumption of home textile is concerned. So it is a good market out there. It has got a limited population of around 25 million, but the consumption is high as compared to what U.K. has. The retail st ructure out there is quite dynamic, and we have been recognized as one of the key suppliers in these areas as what we have been in other geographies as well. They are looking at focused players who can service them well and who are financially sound. So, post FTA, we have seen an upsurge into their approach. And since they are also having a China +1 strategy, they are looking at Indian suppliers and we are one among them.

Being a leader in this category, we are getting priorities into getting inquiries from both existing customers and new customers. And we feel that going forward, the FTA will certainly help India to post better numbers of exports to Australia. The only hic cup currently is the trans -shipment out of Singapore and the cost structure as compared to China. But looking at the logistics issues for everybody, China will be at similar levels to us. So we see there an opportunity to grow our business in the Australi an market, both with the existing and the new customer base.

Amruta Deherkar: So what is the kind of market potential that we see in bed linen in Australia?

Kailash Lalpuria: See, market potential is good overall. No

w with the kind of complete market out there, definitely,
it's a good market. That much I can say, but I cannot give you a number that this will be my

number, or this is the industry number.
Amruta Deherkar: And like from Australia, do we export to the U.S.?
Kailash Lalpuria: See, we are not based out of Australia in manufacturing. Why we should look at that, like exporting out of Australia to the U.S. doesn't make a sense as a question, I think, or I have not understood it properly.
Amruta Deherkar: No, I mean, I was talking about the GHCL acquisition that we've done. That has given us capacity in Australia if I'm not wrong. Or is my understanding wrong there?
Kailash Lalpuria: No, no. There's no capacity. GHCL has a home textile division in Bhilad, and they have a textile business of spinning in Madurai. That's all I know about. And what we acquired as a slump sale as the home textile division of theirs in 2022. And we have buil t this up to an efficient level. Just imagine, they were at 8% EBITDA, and our overall EBITDA for the company, including the capacity consumption out there, with the value and volume, we have brought it up to 16% plus level. So that's wha t our team has geared up and have delivered to see that the acquisition was meaningful and has worked judiciously for us. And going forward, we will leverage this capacity acquisition further to expand our footprint in all the other markets apart from the U.S.
Moderator: The next question is from the line of Varun Gajaria from Boring AMC.


Varun Gajaria: Sir, just one question. We've seen a rise in our share in branded segment while the realizations haven't improved as much. So if you could just shed some light on that.
Kailash Lalpuria: Come again with your question, please. You were not audible very clearly.
Varun Gajaria: Yes. I just wanted to understand that considering our share of revenues from the branded segment has increased, but vis-à-vis our realizations haven't increased as much, haven't improved as much. So if you could shed some light on that.
Kailash Lalpuria: So the overall EBITDA, as I mentioned, got impacted by 1.25%. So our adjusted EBITDA is around 17.5%. So it is still good. What we have given the band also of 16% to 18% as a guidance is maintained.
Varun Gajaria: Okay. I was alluding to realization for …
Kailash Lalpuria: Also, you see we have just acquired Wamsutta brand just this year, in this quarter. And we have invested into the licensed brand also in this quarter alone. So the brand sales will come only in FY'26, as I mentioned earlier, because we will be promoting th is for Spring/Summer FY'26. So the sales have not got added up in this year to that extent.
Moderator: The last question is from the line of Mangesh from Almondz Financial Services.
Man gesh: In the call, many times you have mentioned about the logistic issues and supply chain related investments. So how is the situation? Is it likely to improve or it is likely to just remain same and we have to adjust to these realities?
Kailash Lalpuria: So as I mentioned, you see we are watching the situation closely. There are 2 issues. One is getting the containers, and the other is the cost factor. Now there are some green shoots into getting the containers as we speak. So going forward, it may improve, but currently, it has not improved. That much I can say. And with the increased revenue s going forward, as per the guidance which we have provided, definitely, we will be able to absorb to certain extent these expenses. But as on date, the situation is fluid . It's not corrected to the extent what we desire.
Man gesh: Okay. So our guidance of at least 16% to 18% margin is largely the result of the lower end, 16.5%. That's what...
Kailash Lalpuria: No, with the increased revenue -- because see, we hav

e already delivered 26.5% volume growth.
So if you look at on a yearly basis, whatever guidance which we have given, if we are able to achieve the higher band of our guidance, then definitely it will off set whatever additional expenses to this account are. And we will try to see that how we can bring about operational leverage and sell better.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. K. R. Lalpuria for closing comments.


Kailash Lalpuria: Thank you. We remain committed to utilizing our capacities efficiently to maximize our growth potential. Our strategic focus on a branded approach is showing promise, and we anticipate continued upward momentum in volumes and market share gains. Leveraging our strong debt - free balance sheet further supports our ability to drive innovation and seize opportunities. We are confident that these efforts will position us for sustained success and enhance our market

leadership. Thank you very muc h.
Moderator: Thank you. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Nov 2024

Ref No.: ICIL/92/2024-25 18th November, 2024

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No: 521016

Dear Sir / Madam,

Subject: Transcript of the Investors’ Conference Call held on 8th November, 2024 for Q2 & H1 FY25 Results

In continuation to our earlier intimation dated 8th November, 2024 regarding audio recording of the Investors’ Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Investors’ Conference Call held on Friday, 8th November, 2024 at 12:30 p.m. (IST) for Q2 & H1 FY25 Results.

The transcript is also available on Company’s website at https://www.indocount.com/images/investor/Transcript-of-Q2-H1-FY25-Investors-Conference-Call-held-on-November-8-2024.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/a



“Indo Count Industries Limited Q2 and H1 FY25 Earnings Conference Call”

November 08, 2024

“E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 08th November 2024 will prevail.” Further, no unpublished price sensitive information was shared/discussed in the call”

MANAGEMENT : M R. K.R. LALPURIA – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER, INDO COUNT INDUSTRIES LIMITED

MR. K. MURALIDHARAN – CHIEF FINANCIAL OFFICER, INDO COUNT INDUSTRIES LIMITED


Moderator: Ladies and gentlemen, good day, and welcome to Q2 and H1 FY'25 Earnings Conference Call of Indo Count Industries Limited.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K. R. Lalpuria – Executive Director and CEO of Indo Count Industries Limited. Thank you, and over to you, Mr. Lalpuria.
K. R. Lalpuria: Thank you. Good afternoon, and a very warm welcome to all of you joining us for Indo Count Industries Limited Q2 and H1 FY'25 Earnings Call.
I am joined by our CFO Mr. Muralidharan and our Investor Relations Advisor. We hope you had the chance to review the financial results and investor presentation available on the stock exchanges and our Company website. Also, I would like to greet everybody a Saal Mubarak.
Let me first take you through the industry dynamics that are going on currently:
The U.S. retail market has shown a positive shift with retail sales picking up in September after a slower pace in the previous months. While the sector has faced some challenges due to ongoing supply chain and logistic issues, we remain encouraged by the resilience of the market, especially and particularly with the holiday season approaching.

Notably, imports of bed linen from India to the U.S. continue to rise, signaling sustained demand from retailers and omni-channel platforms despite these temporary obstacles.
Looking to India, the Government's continued focus on enhancing international trade and the Indian economy is positioning the country for a long-term growth in the textile sector. Free trade agreements with key markets such as the Australia and the UAE along with the growing China Plus One sourcing strategy are strengthening India's appeal as a major manufacturing hub.
With the ongoing new cotton crop season, we expect stable domestic cotton prices, which will support our operation and help manage input costs effectively. Overall, we are optimistic about the demand of our products, and these favorable industry trends create a solid foundation for Indo Count as we continue executing our growth strategy.
Beginning of Version 2.0 for Indo Count, positioning for future growth.
I am pleased to share that Indo Count is embarking on a transformative phase of Version 2.0 in our journey. This new phase marks the next chapter in our evolution focused on our strategic foundation and positioning the Company for sustainable long-term growth.
We are building on our leadership position by investing in a diversified product portfolio, targeting premium and branded segments and enhancing our omni-channel capabilities. The emphasis of this phase is on scaling up in high potential segments such as utility, fashion and institutional, all of which are expected to drive growth in the coming years.

By making this targeted investment, Indo Count aims to accelerate its revenue growth while expanding its market share presence in premium product categories. We expect the contribution from the brands to add almost US$100



million to our top line annually over the next three years, solidifying our position in the premium segment and this will cr

eate further opportunities for more value generation.

Strategic acquisition building the foundation for long-term growth.

We are also significantly expanding our footprint in the utility bedding segment. This is demonstrated by recent acquisition of Fluvitex Inc., USA and Modern Home Textiles, both key players in the U.S. quilt and pillow market. These acquisitions establish our manufacturing footprint in U.S. to 13 million pillows and 1.5 million quilts with a combined annual revenue potential of US$85 million at full capacity.

These acquisitions not only strengthen our presence across critical U.S. regions including the Midwest and West Coast, but they also expand our customer base without overlapping the existing clientele of our new businesses. This positions us to capture new growth opportunities and further enhance our return on investment.

Our vision is to continue building this business, whether through organic or inorganic expansion as we see substantial growth potential in the U.S. utility bedding market.

CAPEX and investments for growth

In line with our growth strategy, we are continuing to invest in our business. CAPEX estimated for FY25 was originally Rs. 165 crores. However, due to the additional strategic acquisitions and investments, we have revised this CAPEX for FY '25 to Rs. 413 crores. This will be funded through internal accruals and debt equally.

The solar energy projects and zero liquid discharge system will be taken up for implementation in FY '26.



Awards and recognition

I am pleased to share that Indo Count has recently been honored with several prestigious awards recognizing our commitment to excellence and sustainability. Vastra Ratna Award, (Global Achiever). Mr. Anil Kumar Jain, our Executive Chairman was conferred this esteemed award for his outstanding contribution to the Indian cotton textile sector at the TEXPROCIL's 70th Jubilee Celebration in October 2024. This award was presented by His Excellency, the Governor of Maharashtra.

Home Excellence Award.

In September 2024, we were recognized for demonstrating excellence in expanding our business as well as our ongoing investment in sustainability and corporate social responsibility by HSPA, New York, USA, the Apex Association for Home Textiles in the US. This award was given to our Executive Chairman Mr. Anil Kumar Jain and Mr. Mohit Jain, our Vice-Chairman.

CSR Appreciation Award.

In July 2024, Indo Count received this honor from the CSR One Decade Celebration Council in recognition of our decade-long commitment to impactful CSR initiatives.

Best Wastewater Treatment Initiative Award and Best Environment Friendly Initiative Award. At the Global CSR and ESG Awards in June 2024, we were recognized for our industry-leading efforts in environmental sustainability and wastewater management.

Financial Performance, Impact of Strategic Investment.

Volumes

Sales volume for Q2 FY '25 stood at 27.8 million meters and H1 FY '25 stood at 53.1 million meters.

Total Income
In Q2 FY '25, our total income stood at Rs. 1,045 crores. For H1 FY '25, our total income rose by 12% to Rs. 1,995 crores, up from 1,780 crores in H1 FY '24. The sales volume and revenue drop on Y-o-Y basis on account of supply chain issues. This is also the reason why the inventories have increased in the last 6 months. As the supply chain situation normalizes over the next couple of quarters, we expect better uptick and normalization of inventory levels.
EBITDA
Our EBITDA for Q2 FY '25 is Rs. 166 crores with an EBITDA margin of 15.92%. Similarly, EBITDA for H1 FY '25 stood at Rs. 320 crores with a margin of 16.03%. On account of upfront costs and additional expenses related to human resources, brand promotion and creation of necessary infrastructure for new util

ity bedding business, there has been an impact of 150 bps on our overall EBITDA.
PAT
Our PAT is Rs. 82 crores for Q2 FY '25 against Rs. 114 crores in Q2 FY '24. Similarly, PAT for H1 FY '25 stood at Rs. 159 crores compared to Rs. 188 crores in H1 FY '24.
EPS
Our EPS for Q2 FY '25 is Rs. 4.12 and H1 FY '25, it is Rs. 8.05.
As of 30th September 2024, our net debt stood at Rs. 1,045 crores with a net debt-to-equity ratio of 0.48x. The debt levels have increased to the funding secured for recent acquisitions in addition to funding the higher working capital requirement of the business. We expect to see the working capital days normalize by the year-end.



Now, I open the floor for the question and answer.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jatin Damania from Swan Investment. Please go ahead.
Jatin Damania: Sir, just want to understand now, as you alluded in your opening remarks that our volume declined because of our supply chain issues and which resulted into increase in the overall inventory. So, can you quantify in terms of the million meters how much inventory has been increased? And is there any deferment of the order or the shipment to next quarter?
K. R. Lalpuria: So, that is the sole reason, you see, because of the additional shipments which were supposed to happen and bring the inventory levels down, instead you can observe from the increased inventory levels appearing in the P&L, which have increased for deferment due to the supply chain issue will get liquidated in the coming quarters.
Jatin Damania: But sir, can you able to quantify in terms of the million meters, I mean, the shipment which got delayed in terms of the million meters?
K. R. Lalpuria: No, there were two accounts of the additional tariffs and the shipments which were supposed to happen which could not happen due to the supply chain issue, it was close to around 2.5 million meters.
Jatin Damania: 2.5. So, 27.8 million metres could have been almost around 3 million meters.
K. R. Lalpuria: Sorry, come again.
Jatin Damania: 27.8 million meters that the volume we did will be, which we did is 30 million meters because 2.5 million meters has been deferred in the month of October.
K. R. Lalpuria: Correct.



Jatin Damania: And secondly, now we have given a guidance of 110 to 115 million meters in our last call. Now if you look at the first half volume, so to achieve our lower end of the guidance we normally will be requiring 20% volume growth in the second half. And if you look at our last two years' numbers, third quarter is generally a weak quarter despite the holiday season. So, how much confidence are we in terms of achieving the guidance?

K. R. Lalpuria: See, as I mentioned earlier too, we are on track. So, as we progress, we should be able to better guide you, and I think we are on track at the moment for the guidance, which may result into achieving the lower end of the guidance.
Jatin Damania: And in terms of the margin, I mean, you have already lowered your guidance to 15%-16%. So, for the second half or for the next year, how shall one will look at the other expenses? Because your brand acquisition will probably add 185 million U.S. dollar in next three years. So, going ahead, how shall one look at the overall other expenses and the employee base for the Company?
K. R. Lalpuria: So, , you see, these are some additional expenditure which we are investing into towards human resources and infrastructure and other things which will continue because we have acquired two companies and we would like to also build the branded segment. So, this will continue at the same pace, and that is why we have given a revised margin guidance of 15% to 16% because w

e were
impacted in this current H1 to the extent of 150 bps. This will continue, and that prompted us to give you the revised margin guidance. So, this investment will start paying off in the next four years. And as we grow our business, which we have acquired and the branded business which we are promoting, there will be an uptick on the margin side. So, we will be able to better provide you by the year-end a margin guidance for the next year.
Jatin Damania: That's all from my side. I will come back in the queue again.
Moderator: Thank you very much. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale: Sir, my question is related to the acquisition. So, sir, what kind of margins can we expect from the new acquisitions? And again, if you could just explain what kind of capital requirements would be there for the new acquisitions? Since the facilities are built out of Euro, would it be a leaner capital? And again, one more question is, what was the basis of the valuation for the acquisition? If you could explain that, that would be really helpful.
K. R. Lalpuria: So, as far as the first question is concerned, the margins are similar to what we are earning today. So, it will be in the range of, say, around 16% for the acquisitions as well. And as we sweat the asset, we should be able to draw in better results as we move forward and add more value to the overall operation as well as the product range. So, this answers your first question.
The second question, the valuation has been done with respect to both its assets and the business and the customer base. So, it is taken on the basis of how much business which we are adding on, what is the current EBITDA level, as well as what are the customer base. So, it is a combined call. And that you can see as a goodwill in our balance sheet also.
Palash Kawale: Thank you for that. And sir, would these new facilities will be used for the Wamsutta brand?
K. R. Lalpuria: To some extent, yes, in the future as we are studying and the Wamsutta brand with a longer-term strategy, and we have given this to an agency to see that how the brand recall value will help us promote this brand to the retailer. One of the part would be to promote this resource into Wamsutta brand in the future as well.
Palash Kawale: And sir, I think you said that US$100 million annually can be expected from the private brands. So, is it fair to assume that the rest of the revenue you can generate from your existing brands, or you will be continuing to acquire new brands? And any more acquisitions in terms of facility or anything planned in the near future? Is management still looking for new acquisitions?

K. R. Lalpuria: So, as far as the branded business, we are clear, this will be an additional revenue in the next three years to the extent of US$100 million over and above the core businesses we are having. So, that answers your first question.
As far as acquisition, see, we as a Company are a growing company and we look for opportunities as well that we acquire these two businesses because the utility business was up for grabs, and that is why we invested into it. And we look forward to seeing that when we need to invest into the business which

makes proper sales and proper capital allocation with a proper rate of return on investment, we will do, the Board will take appropriate call as and when the proposals comes to the Company. So, we are in the growing mode.
Palash Kawale: And sir, is it possible to quantify the pillow and quilt capacity at the Indian facility currently?
K. R. Lalpuria: The pillow and quilt facility at what we have acquired, we have stated that 13 million pillows together can be produced in the U.S., and 1.5 million quilts can be produced a

dditionally to the pillows. So, this we have already defined, and we have also defined that the peak revenue from both this facility would be around US$85 million. And as we move ahead, we will sweat this asset because there are opportunities available in the utility bedding business.
Palash Kawale: Sir, I asked about the Indian facility. So, is it possible to quantify the capacity at our current facility in India? How many pillow cases or quilts do we produce right now?
K. R. Lalpuria: We are already producing for our sheet sets, this pillows in India. So, there is no problem producing in India as well, and we have the desired capabilities and capacities to produce as much pillows as we can in the Indian capacity. There are two pillows for every sheet set which we supply. So, we are already producing pillow and supplying. So, we can always add that. I hope I have answered your questions.



Palash Kawale: Yes.
Moderator: Thank you very much. The next question is from the line of Surya Narayan Nayak from Sunidhi Securities. Please go ahead. There is no response. We will take the next question, which is from the line of Gunjan Kabra from Niveshaay. Please go ahead.
Gunjan Kabra: I have two questions. First, what is the thought process behind acquiring manufacturing facility in the U.S.? So, because the cost of production in India would be much lesser in terms of Home Textiles than in the U.S. So, earlier we acquired some brands that was very good, but what is the thought process behind acquiring the manufacturing facility in terms of Modern Home or Fluvitex? Second, I wanted to understand, okay, if you can answer this one first.
K. R. Lalpuria: Gunjan, thank you for the question. A good question. See, the utility bedding business in particular, the pillows are light in weight, and they are fluffier and full of fiber. And they occupy a large volume in a container. So, the logistic cost if you supply from India will be much, much higher per unit cost, whereas if we produce in the U.S. to the retailer's distribution center, it will be less. And the duty factor and the logistic cost will get compensated by the additional labor cost.
Plus, this is the business of distribution and that is the reason, say, in the U.S., why utility manufacturing is scattered around the major areas like the East, West, the Central part, the South and the Midwest. So, they put on plants over there in order to distribute the goods effectively to the customers, and the retailers also would not like to carry that on shelves for a longer period. So, they cannot wait for a gestation period of 45 days for goods getting shipped from here. And the logistics cost are prohibitive. So, that's the reason they are filled in there and distributed. That's the way the business is being carried out there.



The current utility business is in the hands of the private equity and the private equity is focusing upon their financials rather than on the business strategies. So, this particular section of the business is up for grabs, and that is the reason because India can supply the shells and fill it there, it is a large opportunity for us to capture. And that is the reason we and in the peer group also, people are seeing this as an opportunity and investment of U.S. footprint.
And secondly, the manufacturing in the U.S. is also helping into addressing the geopolitical issues because there is so much volatility into supplying filled products over there. So, that is the reason we have invested into the U.S. manufacturing base to supply these point of sales and the customer also at the

end prefer into buying from factories who are closer in the U.S., who are
onshore in the U.S. So, that is the way the business is transacted.
Gunjan Kabra: So, you are saying that the margins wil

l continue to remain the same. It's not
that because of the high labor cost there, it will get offset by the logistic cost
and it will not impact a lot in terms of margin?
K. R. Lalpuria: Yes, of course, because you see, it's like the margin will continue to be similar
to what we earn today, and our expectation is how we can add more value
through the branded approach to see that how we can further strengthen our
margin, both operationally as well as through our marketing techniques.
Gunjan Kabra: And also wanted to understand, so what's the revenue that these companies
are doing right now, and how much like what capacity utilization are they
operating at right now, and in how much time we will be able to ramp it up in
terms of when Indo Count takes it over?
K. R. Lalpuria: So, as far as Fluvitex is concerned, it is operating at 50% capacity, and as far as
Modern Home is concerned, because it started this year only, it is operating at
35% capacity. So, this we should be able to ramp up to 75% in FY '26.



Moderator: The next question is from the line of Dipesh Agarwal from UTI AMC. Please go
ahead.
Dipesh Agarwal: My first question is if I look at the additional cost which is coming due to the
branded business acquisition, that seems to be 15 crores per quarter since last
two quarters which takes up the total amount to roughly 60 crores of annual
cost increase. How much of this would be an upfront cost and how much of
this would be a recurring cost?
K. R. Lalpuria: So, as I mentioned, you see, the entry levels which has gone up, those are the
additional cost which we are incurring through interest on the working capital
and the additional cost which we have maintained. So, the recurring cost will
be more or less similar to what we are investing into the expenses which we
are incurring except for some logistic cost which might be reduced.
Dipesh Agarwal: No, my question is with respect to branded business, we would be making
some investments, right? There could be some upfront cost and some would
be the recurring cost as you spend on the marketing every year or the
employee cost. So, if you can tell us what is the quantum of upfront cost which
would be non-recurring?
K. R. Lalpuria: No, see, the manpower, and the logistic cost and the brand promotional
expenses will continue. Now we cannot quantify because the brand promotion
will depend upon how and which customer we promote the brand. The
manpower, of course, will continue.
Dipesh Agarwal: Sir, the other thing is if I look at inventory, the jump seems to be quite sharp. I
mean, if I look at on a Y-o-Y basis versus last year's September quarter, that's
up almost 50% plus and even versus March quarter, 25%. Even if I account for
2.1 million shipments delay, that doesn't reconcile the increase such a sharp
amount. Can you help us understand what happened more on the inventory
side?



K. R. Lalpuria: See, there are two things happening on the inventory front. One is the transit
time is increasing to the U.S. because of the Red Sea issue.
Second is the availability of the containers at the right moment.
The third is because of the volatility and geopolitical uncertainties, we are also
trying to pre-pone some of the shipments which we are doing to the customer
in order to secure their supply chain. So, there is an investment into the
inventory onto various accounts, plus we have been carrying the cotton till the
season ends. The season has just started, and we also import a lot of cotton
which are branded.
So, all this adds up to, you see the inventory levels and plus the increased
activity because the volume and the value, the revenues are going up because
of the increased activity also, there is additional working capital and additional
inventory level to be carried upon.

So, those are the investments which we are
doing. And as I mentioned, once they get normalized, we will come back to the normalized level as what we had projected at the beginning of the year.

Dipesh Agarwal: So, basically we account for our sales only when they reach to the customer warehouses and the transit period which is sitting in our inventory. Is that understanding correct?

K. R. Lalpuria: Yes, to some extent, whatever we deliver to the US company, as per the Inco terms, you know, the DDP and the shipment we do on those terms when they get delivered, the sales are being booked.

Dipesh Agarwal: So, effectively higher inventory also means possibly in second half we could have a higher sales.

K. R. Lalpuria: Yes, to some extent, yes, but whatever inventory which I mentioned in my opening remarks are going to get liquidated because of the additional transit goods as well as some goods which were in the process of shipping out. So, once they happen, the inventory level will normalize.



Dipesh Agarwal: And sir, lastly, if you can share the existing revenue and EBITDA numbers for Fluvitex and Modern Home. I understand you are guiding $85 million incrementally, but what is the existing number they are doing?

K. R. Lalpuria: See. Fluvitex as a Company is doing close to US$25 million with an EBITDA level of 16%, and MHT has just started this year. So, it is getting up to speed. And as I mentioned earlier that it is operating at 35% capacity utilization. So, as we move ahead, and with our product portfolio and with our kind of management and plus supplying them the shelves to certain extent, we should be able to ramp up both the capacity utilization as well as some margin saving.

Moderator: Thank you very much. The next question is from the line of Surya Narayan Nayak from Sunidhi Securities. Please go ahead. Since there is no response, we will move on to the next participant. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale: Sir, your average realizations have kind of bounced back and have remained stable for last 3-4 quarters. So, can you expect like 5% CAGR for the next 2 to 3 years given the cotton prices remain stable? Is it a fair assumption to make?

K. R. Lalpuria: See, we are working always towards improving our margins because it should come through operational means, it should come through our brand promotion, it should come through higher scale of businesses which we are attempting on the fashion bedding and other, the product categories.

So, it is fair to assume that it should improve from here, but a dramatic you see improvement has still to be seen from whatever you see volatility and other uncertainties we see around as India is also progressing in economy, there is inflation. And there the interest cost which we were getting interest subvention 2% has been withdrawn by the government from July onwards. So, that's why the interest cost has gone up. The labor cost is moving up. So, you see, there are a lot of balances which we need to do while we stay competitive and we try to earn a better margin.



So, our endeavor always would be to see how we add value to our entire product mix and see that how we sell to better customers and how we can optimize our cost moving forward. So, those are the endeavors which we are always attempting to do, and that's what you would also see that we have been able to maintain our margin to 16% in spite of additional expenses which we have incurred into various accounts which were one-off. So, I would only say that, you see, whatever Investments which we are currently doing into every activity will start paying off, say, in FY '26-'27. So, we are quite optimistic about moving ahead in order to both grow our revenues as well as o

ur margin.

Palash Kawale: Thank you for that, sir. And sir, you mentioned that you can get to 75% utilization for newly acquired capacity in FY '26. So, even if I take a conservative number, is it possible that you will reach 350 to 400 crores additional revenue from these entities next year, apart from what you are doing in India?

K. R. Lalpuria: Yes, that's what it means. You have answered my question.

Moderator: Thank you very much. The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala: Sir, just wanted to understand with these acquisitions and pillow cases that you are doing now, is it only for U.S. market or it will be used for other markets as well? And you mentioned about the cost advantage that is there by setting up facility over there, but at the same time, how will the logistics work in terms of fabric procurement or whether it will be procured from India, your units, or it will be procured from nearby destinations?

K. R. Lalpuria: No, you mean to say the supply chain like the shells or?

Prerna Jhunjhunwala: No, not the shells. Both the shell as well as the fillings.

K. R. Lalpuria: Yes, so, you see, there are options available to us. So, if it is economical, mostly we will try to see how we can support the supply chain from our shells. So, the endeavor would be that, but if there are certain special fabrics which are much more competitive, like, say in synthetic or blends where other countries are also very competitive, so we will treat this as a separate profit center.

Because this acquisition has been done through our Indo Count Global our U.S. subsidiary, so we are treating that as a separate profit center. And we will see to it that wherever there is competitiveness apart from cotton where India is competitive, we will outsource that from either nearby countries or from the same country because this fiber is also available in the U.S. and from other countries as well. So, that answers your question, but our Endeavor would be to utilize our capacity initially if it works out on the price level.
Prerna Jhunjhunwala: And this acquisition, suddenly you and peers both have started doing this pillow acquisition. So, anything specific that is happening in pillow, which we should know, or is it just coincidence?
K. R. Lalpuria: No, you see, it's a coincidence. Basically, these companies were doing well and as we have been growing our business in fashion, utility, institutional, which I have been mentioning every quarter and every year. So, we have been focusing on to see that how we develop these three segments particularly which are correlated to the Bedding segment.
So, we are a focused player, and when it comes to say pillow, it is part of the bed linen segment. So, once we were investing and growing the utility, fashion and the institutional business where pillow forms a part, it just so happened that we went ahead with this acquisition in order to grab this opportunity and the customers were also not overlapping. So, as a business decision we have taken this.
And as I mentioned earlier, the utility bedding business because of the logistic issues and because of the supply issues and the China plus One issue is there where China was dominating, we saw this opportunity, and we went ahead and did this acquisition. So, that much I can say.
Now we will focus upon this category because we are a focused company on the bed linen side. So, definitely pillow form part of this overall category, and we will focus upon it to see how we can scale it up.

Prerna Jhunjhunwala: And sir, the cost structure in the businesses are increasing now with respect to logistics cost like freight or container cost or maybe also Indian cotton prices are expensive

to international cotton price because of import duty and government interference. So, how are the margins of the core business apart from whatever investments we are doing is impacting our business for future growth, but how are the core margins behaving now and are looking for future?
K. R. Lalpuria: See, that's what I mentioned, Prerna, in my earlier answer. You see, there are challenges, of course, on the margin front because as the Indian economy is growing and the inflation in India is growing, there are challenges we being in

manufacturing here. We are incurring cost, but our entire endeavor of the company is to see that how we move into the value addition segment.

Now the value addition segment when we say are the fashion, utility, institutional business which we have been saying upon all these four, five years where we have strategically moved into from our core business of sheet which we have also demonstrated in our investor deck, that we are entering into a target market of $11 billion, which China was dominating. So, you see there is a big opportunity out there in order to scale up our business in those activities where there is a better target market instead of moving into a smaller target market area in other product category.

So, definitely you see, we see that we need to balance out through value addition means to better customer, better product mix and see how we can operationally excel into producing more competitively as we move ahead. So, this is the balance which we have been doing on as a company and we are investing into automation, into technology, into our talented people, team etc., and see that how we can market effectively in the market place still keeping our margins intact and grow from there. So, this is what we are attempting to do.

Prerna Jhunjhunwala: And last question, sir. This Indian capacities, given the current scenario and new businesses, when do we see full utilizations coming in?



K. R. Lalpuria: See, we have already like started this journey when people asked us about our GHCL acquisition, and if that doesn't have happened, we would not be answering this question today. So, it has worked on well for us, and the capacity which we have drawn is like world class to the extent of 153 million meters. Now we already have given guidance, and we are like see that looking at the trend and looking at the business wherein we are walking in the future, we are confident that, say, by FY '27 we should be able to utilize the capacity till March '27.

Moderator: Thank you very much. The next question is from the line of Dipen Shah who is an individual investor. Please go ahead.

Dipen Shah: I had a couple of macro questions. You mentioned in the opening remarks that the situation in the export market is improving. If you could just give us some more insights into whether the destocking is completely over and when do we expect the restocking to start especially with relating to the season which comes after the festive season, that is after the Christmas? So, would you have some more visibility into how the first half of the next calendar is spanning out for you? That is the first question.

And the second question is, there were some news reports though unconfirmed that the Red Sea issue is getting solved over the last 2 to 3 days. Would you have some insights on that, maybe some ground realities, if you could help us on that?

K. R. Lalpuria: No, second question I was not able to pick up, Dipen.

Dipen Shah: There were some unconfirmed rumors that Houthi have declared a ceasefire and the situation in the Red Sea could improve from here on. So, is that something which you are also seeing? Because that is a very important part of our cost which has impacted us over the past few quarters.



K. R. Lal

puria: So, to answer your second question, we haven't heard about that as a confirmed report yet from both, the shipping companies as well as informed resources at our end. But if you have that information, you can share with us. But I would here submit that the freight cost in general have toned down a little bit. But still the supply chain transit time is still there due to the Red Sea issue, which has impacted everybody's working capital to the extent of almost 25 days more. So, one has to consider that.

As far as the demand is concerned, as I mentioned in my opening remarks, there are positive steps taken up by the U.S. in form of reduction in the interest

rate, which has put in a positive tone in the overall market, and which has helped companies to regain their confidence that the Federal Government is inclined to take positive steps to make the business happen. And now we have the elections also over. So, we will see to it that these are behind us and proper policy formulation, which are forward-looking, should help the business to improve from here, because once the administration starts working in the form of improving the economy, which they would, this is what our belief is, and definitely it will improve the overall situation and environment of the market.
Now whatever we are seeking from our customers, the destocking is over. So, there is no question of any stocks being carried over. And that's the reason you see we had given an indication of improved guidance on the volume side which is also happening from our results also, which you can see that on volume wise we have got 9% almost. And if we would have been able to normalize our inventory levels, it would have been further up.
So, to answer your question that demand is improving, I can only say that if the Red Sea improves, it will be a big relief for all of us as exporters. It should be helping us in the positive direction. Definitely, the cost will come down, and the overall environment of the situation would improve providing us more opportunities to export to different countries and to different markets.

Moderator: The next question is from the line of Simranjeet Bhatia from Almondz Financial. Please go ahead.
Simranjeet Bhatia: Sir, I have three set of questions. Can you guide us, when we are going to see the peak level of debt, total debt in the company in upcoming years. And because currently gross debt is close to around 1,400 crores, so when we are going to see the peak level of debt?
Second, can you give some guidance when we can fully absorb the expenses, which we have incurred for the acquisition in upcoming quarters?
And third, as we are hearing a lot of things on the U.S. economy with Trump elected as President, that the way we are going to go for the tax cuts and the government borrowing is bound to increase, and there is some deportation of the people from the U.S. So, as per the reports, this will lead to increase in the inflation in the U.S. economy. Are you seeing that in 2025? Will the increase in inflation in the U.S. economy will impact your business to some extent? These are the three questions.
K. R. Lalpuria: So, I will answer you the third question, which you asked. So, it will be appropriate to mention here that let Mr. Trump take offices by end of January 2025. Then he will start formulating the policies. I can only say that with the current Prime Minister, India enjoys a good relationship, and there is a positive outlook, which we hear in the entire media, that India has got a better relationship and which India always enjoyed with the U.S., whichever government was there. But this will be better off. That's what people anticipate and we also anticipate the same.
As far as duty is concerned, I already answered that once he takes offices, we will be better off into saying that how the policies wi

ll be worked out towards
addressing the overall economy. But I think futuristic, is a forward-looking president, strong in economical order and should definitely help the businesses

to grow. So, that's what his agenda which he has spelled out during his election campaign. So, this is your answer to the third question.
As far as the expenses are concerned, we have already mentioned that these are initial expenses wherein, you know, we are trying to promote our brands which we have acquired and which we have licensed for. Our attempt is to see how we can sell our product mix into the branded segment wherein we have elevated to the premium and branded segment that regarding the positioning of these brands in the market place.
So, once we start getting results which we would from FY '26 onwards, we have already indicated that our branded sales would start coming in from Q4 onwards to certain extent, and it will ramp up in the FY '26. And plus, the assets

where we have invested in, we had hired human resources to handle the U.S. manufacturing and the marketing as well wherein these revenues also from the acquisition will start coming in FY '26 which I already mentioned which will be to the extent of 75% of our capacity utilization. So, this will also help in to pull in certain expenses. So, the expenses will start reducing by, say, FY '27, it will be coming into full absorption. So, as far as the expenses are concerned, I have answered your second question.

The first question is about the overall debt. So, as I mentioned in my earlier statement also, the inventory level has moved up. So the working capital has moved up because of increased activity and because of certain spill over due to the supply chain issue. I have also mentioned that this will normalize towards the end of the year.

To a certain extent, a certain investment into working capital will still remain, and if you can very well observe that there are so many uncertainties and volatility in the world. Just now certain question was there about Red Sea, the Houthi agreement happened and there is then this container issue is there, the freight issues are there, the transit time issues are there.



So, we are addressing as we move ahead all these activities in the normal business course, and once they normalize to certain extent, which we all hope so, it will help us into reducing our overall debt. And as I mentioned earlier too, we are a growing company. And as I mentioned, we are walking through Version 2.0 of Indo Count where there is a transformation happening that we are entering into new product categories, new businesses and new manufacturing set up.

So, this all will help us into drawing further revenue in FY '26 and '27, and as we indicated in FY '24 that we will double the revenue. We still are on track towards that. So, I can only say to that that once we start drawing in revenues through our assets and the sweating of this asset will help us not only reducing the expenses and the debt but the overall situation and improving our margin profile.

Moderator: The next question is from the line of Surya Narayan Nayak from Sunidhi Securities. Please go ahead.

Surya Narayan Nayak: Most of the questions have been answered. So, only one question is that how the branded segments of estimates of around 20 to 22 million meters of sheets that you are planning to add up or ramp up in the next three years. If you can throw some light on that.

K. R. Lalpuria: See, what we have mentioned, Mr. Narayan, is that we will be able to draw in revenues to the extent of US$100 million in the next three years, and this will start from, say, this Q4 of this year, FY '25, and will ramp up in FY '26 and '27. Now, the question of utilizing our capacity is concerned, as we had earlier als

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conveyed, that these are across product categories in the brands which we are promoting. So, it is not only bed sheets, but bed linen are a part of this overall matrix.



We are also supplying in the brands like bath, curtains, windows, rugs and other accessories. So, it will formulate to, it will be to see how much we utilize our capacity from here in India. So, once we ramp up this sales in FY '26, we will be better off to tell you how much capacity utilization will be through our branded sale. So, we will be better off then, Mr. Narayan, to tell you that.

But our Endeavour, as I mentioned to the earlier questioner also, will be to see that how we utilize our capacity from the branded sale over here in India. Wherever there is a cotton outlay, we should be able to do that because India is competitive in cotton. Wherever there is synthetic material, India is 38% expensive to China. So, this is where I am coming from.

Surya Narayan Nayak: So, my understanding is that at around the current price level, we will be getting a volume of around 20 to 22 million meters. So, just now if we can assume some percentage maybe 10, 30, 60 ratios, so that is kind of possible for next three years because the current, another point is that current utilization

is hovering around 73%. So, we could be heading towards 70% utilization this
year. So, because brands could be asking for different set of patterns and
designs, so will it affect the overall utilization anyway?
K. R. Lalpuria: It will definitely. As I mentioned, wherever there is a cotton and wherever our
product which will be consumed by the brand, definitely it will add on to
capacity utilization. But we cannot mention in million meters as of now because
this will ramp up later.
Surya Narayan Nayak: And sir, given your CAPEX program of around 413 crores and you have
migrated some of the like ZLD and solar projects to FY '26. So, what could be
the debt levels we can think of to repay because some of the debts are related
to the acquisition that has come? So, are you thinking of repaying any debts
on the longer side, long-term side?
K. R. Lalpuria: Yes, of course, because as we draw in internal accruals, definitely our endeavor
will be to reduce our overall debt. Because the interest rate have normalized

now to almost like 7.5%, it is costing us due to withdrawal of the interest
equalization scheme by the government. So, the company would always see to
it that how from an internal accrual it can invest into growth wherever there
are opportunities and also at the same time, manage the inventory and the
working capital efficiently, and third is to reduce the debt.
Surya Narayan Nayak: And sir, in the working capital side, I agree that to some extent due to the
supplying chain issues, the inventory level has spiked maybe around 15 to 17
days and overall it is around 27 days gross basis, gross working capital. So,
what can you see that now due to the crisis getting resolved near term as the
media reports are suggesting to pan out, I mean, for FY '25 and FY '26, the rest
of the part of the FY '25 and FY '26?
K. R. Lalpuria: So, you see, there are two issues here. One is the increased activity on the
overall business. So, that is increasing our inventory level on an absolute term,
number one.
Number two, because of the volatility and the supply chain issues you see, it is
adding on to goods and the process also of supplying through our U.S. offices
will also increase the transit time, you know, and that is the reason it is hurting
on the number of working capital days to the overall inventory level. Because
we can only book sales once it is delivered over there in the U.S. And that itself
has increased by almost 20 days.
So, what we anticipate in the future going forward is, if the logisti

c issues
normalize, we definitely will be able to reduce, as I mentioned earlier, and
normalize the inventory level by the end of the year.
Surya Narayan Nayak: And sir, regarding the certain expenses that has come in as legal expenses and
other things, so, you in opening remark you said some expenses will be still
built in. So, as an exceptional item, so how much we can attribute to the initial
expenses of the acquisition?

K. R. Lalpuria: So, it will be hard to say, because you see, those are not very large and
substantial. But the overall expenses towards human resources, towards the
infrastructure creation of the brand like the showrooms, etc., then investing
into initial pre-operative expenses to acquire the asset. So, all these are
summed up together. And that's why you see we reported that immediately.
And I answered that question also that apart from logistic, the other will be
recurring to in the nature like the human resources and brand promotional
expenses, because our endeavor is to promote the brands and to promote the
new acquisition which we have done, they are product mix. So, it will continue
to certain extent. But the good thing is that once the revenue stream starts,
they will be able to absorb this expenses. Now, because the revenue has not
started, it is straight away eating up our EBITDA.
Surya Narayan Nayak: And sir, regarding the peak revenue of the acquired assets roughly around 700
to 800 crores of revenue, that is onshore, so how much differential in the
logistic cost from Indian operations going there vis-à-vis onshore operations
supplying to the U.S. market?

K. R. Lalpuria: So, that's a difficult question to answer because, you see, there are many kinds of pillows and quilts which are offered into different weight structures. So, we cannot calculate that what would be the freight difference if we supply 700 and 800 crores from here. It will be quite substantial because if you see that in a container you can just stuff 2,500 pillows, and it costs you almost like $6,000. So, how you justify that? You cannot sustain that.
So, you see, we need to relook at the overall business model which is being pursued by the existing player out there, where this is a gain for distribution and manufacturing in the USA, and this is the preference by the customers that they need the manufacturing closer up to their distribution base. And that's what we have to ventured into, and that's what we did. So, it should be looked from that angle.



Surya Narayan Nayak: And regarding CAPEX, sir, regarding the acquisitions drives that have been made since last couple of quarters, so, shall we mean that it is at the moment a pause mode or still something is agreeing? That is from my conception.
K. R. Lalpuria: No, you see, we are studying the utility bedding business overall, because now we have acquired two facilities, which is one on the Midwest and the second is on the West Coast. So, we are seeing how it will pan out. And as a company, you see, the Board will take appropriate call that as if the opportunity arise, we will go into both organic and inorganic means of investing into the business because the business opportunity is there and that we need to capitalize properly.
Surya Narayan Nayak: Just last question is that now what would be the threshold utilization level of Indian operations you see before you plan to set off or, let's say, expand the Brownfield operations maybe in Bhilad?
K. R. Lalpuria: So, I already mentioned that by March '27 we are anticipating to utilize our current capacity, and the Board will take appropriate call. Once we have completed FY '26, there will be visibility of what expansion we should do and where.
Surya Narayan Nayak: The threshold utilization level I am asking?
K. R. Lalpuria: It

should be in the range of around 145 million in textiles. You can't reach 153. So, it should be in the range of, say, 144, 145 should be considered in my view depending upon again the product mix. So, 90% or 95% of the capacity utilization once it reaches, the Board will take appropriate steps.
Surya Narayan Nayak: And sir, the yarn side, do you see any softening going forward because we see certain other countries like Turkey and Vietnam, some kind of slow down happening. So, do you think those things will be favorable for us going forward?



K. R. Lalpuria: No, I already mentioned that, you see, India is considered as a manufacturing hub now both post-COVID and post all this logistic and geopolitical issues. And we all mention about China Plus One, which is happening. We can all realize through the OTEXA data that their market share has reduced dramatically in various products. And plus, the overall environment to deal with China, Chinese supply chain is getting more and more difficult, which is favoring you know countries which are producing textile.
And in my previous call also, I mentioned that there are five major countries producing textile: China, India, Pakistan, Bangladesh, Vietnam where Bangladesh, Vietnam are labor arbitrage. Pakistan has got a saturated supply of textiles, and they do not have more investment coming in, modernization coming into textile because of their economical condition. China everybody is speaking about their market share is pretty large.
So, the only market share which will fall into the lap of countries are like India, because India has got a complete value chain to support the supply chain. And securing the supply chain is the future is becoming much and much important to the retailers because they do not want to lose out on their shelf the material so that they lose the customer at the end.
So, India promises then the supply chain, as well as India has performed in the

past in home textile by grabbing the market share to the extent of 60% in sheets and 45% in towels. This proves that our competitiveness is intact. And going forward, India is investing into textile more and more with the government support. This should help us to ramp up our competitiveness more and grab more market share from the other countries. So, definitely it's a positive thing.

Moderator: Thank you very much. Due to time constraints, this was the last question. I would now like to hand the conference over to the management for closing comments.



K. R. Lalpuria: Thank you. I would like to reiterate that Indo Count is positioned in its next phase of growth Version 2.0. Our strategic investment in utility bedding and premium brands are driving our expansion. While these investments are temporarily impacting our margins, we are confident they will create a more diversified and robust business over time. We continue to focus on generating strong shareholder value through our ongoing investment and efforts to improve operational efficiencies, sustainability and market share. Thank you.

Moderator: Thank you very much. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2025

Ref No.: ICIL/ 113/2024 -25 19th February, 2025
National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol : ICIL BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code No: 521016
Dear Sir / Madam,
Subject: Transcript of the Investors' Conference Call held on 12th February, 2025 for Q3 & 9MFY25 Results
In continuation to our earlier intimation dated 13th February, 2025 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on Wednesd ay, 12th February, 2025 at 12:30 p.m. (IST) for Q3 & 9MFY25 Results.
The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -of-Q3-9M-FY25 -Investors%E2%80%99 -Conference -Call-held -on-February -12-2025.pdf.pdf
You are requested to kindly take note of the same.
Thanking you,
Yours faithfully,
For Indo Count Industries Limited
Satnam Saini
Company Secretary & GM- Legal
Encl.: A/a


"Indo Count Industries Limited Q3 & Nine Months FY '25
Earnings Conference Call"

February 12, 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange
on 13th February 2025 will prevail. Further, no unpublished price sensitive information was shared/discussed in the call "

MANAGEMENT : MR. MOHIT JAIN – EXECUTIVE VICE CHAIRMAN , INDO COUNT INDUSTRIES LIMITED

MR. K. MURALIDHARAN – GROUP CHIEF FINANCIAL OFFICER , INDO COUNT INDUSTRIES LIMITED


Moderator: Ladies and gentlemen, good day, and welcome to the Q3 & Nine Months FY '25 Earnings Conference Call of Indo Count Industries Limited.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Jain – Executive Vice Chairman, Indo Count Industries Limited. Thank you and over to you, sir.

Mohit Jain: Good afternoon, and a warm welcome to all of you joining us for the Into Count Industries Limited Q3 and nine months FY '25 Earnings Call. I am also joined by our Group CFO – Mr. Muralidharan, and Strategic Growth Advisors, our Investor Relations advisor. We hope you had the chance to review the financial results and investor presentation available on the Stock Exchange and on our company website.

Before we dwell into industry and our performance highlights for the quarter, I want to begin with a significant update in our leadership team, one that reinforces our commitment to building a stronger future -ready Indo Count.

At the corporate level, we are pleased to announce the elevation of Mr. K. Muralidharan to Group CFO. He has been associated with the Indo Count Group for close to three decades, has recently played a key role in our strategic acquisition of GHCL's home te xtile division, the Wamsutta brand, Fluvitex USA, and Modern Home Textiles. With multiple new investments underway, he will now spearhead financial strategy, capital allocation, and performance management acr oss the group.

To fortify our finance team, we welcome Mr. Manish Bhatia as our CFO, a seasoned financial professional and a chartered accountant. Mr. Bhatia brings with him over three decades of expertise across accounting, taxation, audit, legal and financial manageme nt. He has served as Group CFO at Trident Limited and held key leadership positions at Prism Johnson Limited and Apollo Tyres Limited. We strongly believe Mr. Bhatia's presence at Indo Count will strengthen the finance, commercial and accounting functions.

For our US operations, we are excited to welcome Mr. Chris Grassi as CEO of US Operations. With over 40 years of experience in the home textile industry, Chris is a visionary leader known



for driving innovation, growth, and strong industry relationships. In his career, he's known to have leveraged his expertise in merchandising, global sourcing, product development, and market strategy to expand the product portfolio and customer base. His leadership will be invaluable as we expand our presence in the US market.

Additionally, we have strengthened the senior management team with key hires across business functions in the United States. These strategic appointments reaffirm our commitment to building a world -class leadership team, and ensuring Indo Count is well po sitioned for its next phase of growth.

Coming to industry performance :

The textile industry continues to navigate with momentum. During Q3 FY '25, US retail sales have shown strong growth fueled by holiday spending, reinforcing market confidence. On the supply chain front, while the elevated freight costs have had a marginal impact on profitability, we are actively implementing str

ategic measures to mitigate these challenges and sustain operational efficiency.

Meanwhile, in the domestic market, the outlook remains encouraging. Also, the resumption of India -UK FTA discussion signals potential opportunities for the sector, fostering optimism for trade expansion. Additionally, the government's Cotton Productivity Mission announced in the recent budget is a crucial step towards enhancing cotton yield, sustainability and fiber quality, particularly for extra -long staple cotton, further strengthening the industry's foundation.

Lastly, the China plus one strategy continues to drive growth, positioning India as a key player in the global textiles. Given these developments, we remain optimistic about India's growth trajectory and are committed to capitalizing on emerging opportuni ties.

Now coming to our quarterly performance.

I am pleased to share that Indo Count has delivered a strong performance despite challenging market conditions, with revenue growing by 61% and profit after tax increasing by 30% in Q3 FY2025, demonstrating our strategic execution and market outperformance .

We are happy to inform you that our core bedding business remains on a steady growth path, targeting approximately 110 million meters for FY '24, out of the total 153 million meter capacity.

With a clear strategy and disciplined execution, our core bedding business operates within the guided 16% margin range and will continue to drive performance.

Backed by strong momentum, we remain committed to maximizing stakeholder value. Our recent acquisitions Fluvitex USA, Modern Home Textiles USA, and new licensed brands have started contributing to revenues, achieving approximately Rs. 100 crores in Q3.
To build on this momentum, we have made significant investments in expanding our team, reinforcing our foundation for future growth. With Wamsutta's market positioning strategy now in place, we are gearing up for a successful launch in Q1 FY '26.
Having invested approximately $72 million in brands and acquisitions, we anticipate an additional revenue of approximately $275 million over the next three years. The near term investments in US will impact margins by 150 to 200 basis points till March '2 6. However, these strategic moves are set to fortify our foundation for sustained long term growth.
Now coming to a greenfield project. Continuing our Indo Count 2.0 journey, we are taking another step in the utility bedding business.
Indo Count Global East Inc., a step -down subsidiary of our wholly owned US subsidiary is further strengthening this business with a strategic greenfield manufacturing facility in North Carolina, USA. This reinforces our commitment to deepen our presence i n the US market, ensuring speed, scale and efficiency in serving our customers.
The new facility will have a production capacity of 18 million pillows with a total investment of $15 million financed through 75:25 debt to equity structure to start with. With a gradual roll out and revenue build up targeted from September 2025, this fa cility marks a transformative leap in our global manufacturing footprint. With this addition, Indo Count's total US manufacturing capacity will expand to 31 million pillows and 1.5 million quilts annually. We want to reiterate that at a consolidated level we aspire to double our revenues by 2028, driven by our core business, utility bedding and brands, including our recently added licensed brands.
Awards and recognition.
I am proud to share that Indo Count has been honored with the Home Excellence Award by HFP in New Yor

k, recognizing our exceptional growth in business expansion. It is a moment of great honor for Indo Count as our Executive chairman, Mr. Anil Kumar Jain, h as been awarded the prestigious Vastra Ratna Global Achievers Award by Texprocil for his outstanding contributions to the Indian cotton textile sector.
And further strengthening our commitment to sustainability,
Indo Count has also won recently the CII 18th National Award for Excellence in Water Management for the year 2024. These achievements reflect our pursuit of excellence and responsibility.

That is from my side. Now I request Mr. Muralidharan, our Group CFO, to share financial highlights of the company.
K. Muralidharan: Thank you, Mr. Mohit. Good afternoon, everyone. Happy to connect with all of you once again on Q3 FY '25 earnings call.
For the financial performance, starting with volumes,
for Q3 FY '25, we achieved a sales volume growth of 42% year -on-year to 27.7 million meters. It's important to note that last year the same quarter was impacted on account of Red Sea challenges, which led to subdued Q3 FY '24.
For nine months current financial year, our volumes stood at 80.8 million meters, a growth of 18% year -on-year. For the full year FY '25, we will be at a lower end of our volume guidance of 100 million to 115 million meters.
Total income, in Q3 FY '25, our total income stood at Rs. 1,168 crores, up by 61% year -on-year from Rs. 727 crores in Q3 FY '24.
For nine months FY '25, our total income stood at Rs. 3,162 crores, up by 26% year -on-year from Rs. 2,507 crores in nine months last financial year.
EBITDA.
Our EBITDA for Q3 FY '25 was Rs. 165 crores, a growth of 14% year -on-year, with an EBITDA margin of 14.2%.
For nine months FY '25, our EBITDA stood at Rs. 485 crores, a growth of 11% year -on-year, with a margin of 15.3%.
In Q3 FY '25, there was a product mix impact along with product promotions to end customers which impacted gross margins. This will partially continue in Q4 FY '25 as well. Further, our

upfront investments in team building resulted in profitability impact, which we believe will improve as we scale up the US business for utility bedding business and brands. Higher shipping costs also led to higher expenses. However, this has started to rationalize in Q4.
For the full year, FY '25, we will be at guided EBITDA margin range of 15% to 16%.
PAT, our PAT for Q3 FY '25 stood at Rs. 75 crores as against Rs. 58 crores in Q3 FY '24.
Similarly,
PAT for nine months stood at Rs. 235 crores compared to Rs. 246 crores in nine months FY '24.

Higher interest cost during the quarter impacted our profitability, driven by two key factors. Firstly, the absence of interest subvention benefits which was available last year but discontinued from Q2 of FY '25, led to higher financing expenses . Secondly, increased borrowings to support business growth and fund acquisitions in the USA further contributed to the rise in the interest costs.
EPS,
our EPS for Q3 FY '25 is at Rs. 3.81 and for nine months FY '25 it's at Rs.11.86.
This is the roundup from my side. Now I open the floor for question and answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Ja

tin Damania from Swan Investments. Please go ahead.
Jatin Damania: Good afternoon, sir. And thank you for the opportunity. Sir, first on the opening remarks, Mr. Jain alluded that due to increasing the overall freight cost and volatility , the company has taken some initiatives in terms of the improvement in the operating efficiencies and the other sorts of things. So, can you help us in detail what are the initiatives that company has taken to insulate ourselves from the higher increase in the freight cost?
Mohit Jain: Hi Jatin, this is Mohit here. So, I mean, as an organization we are always looking at sharpening our pencil to see how our operations can be more efficient. So, if there are increases in some other costs, we can save at other places. So, my statement was a little bit generic, so across any of our facilities on the operating side, we are trying to see how do we leverage them further to save any cost that can go up in the future.
Jatin Damania: Okay. And as far as our US operations is concerned, now with this brand acquisition which has contributed Rs. 100 crores of revenue and we are targeting $275 million over the next three years, so just wanted to understand how does the margin profile for the branding business will evolve? And second thing, in the near term, as you indicated that till FY '26 there would be an impact of overall 150 to 200 bps on the margin front, so is it fair to assume that the current level of 15% to 16% EBITD A margin that we are guiding for FY '26 will be at the lower than the 15% margin?
Mohit Jain: So, for next year's guidance, we will come back to you along with our Q4 results. And also at that time we will be able to guide you a little bit more on how the new businesses, both utility bedding as well as the branded business will play out, specific for n ext year. From a three -year perspective, we would expect our new businesses to be slightly higher in margins as we go forward. But of course, there's a scale up that is required in maturity to achieve, like in any business.

Jatin Damania: I think for initial investment there will be some impact on the margin, but once we are able to scale up then we will probably get a higher, better profitability?
Mohit Jain: Absolutely, and we have been quite transparent in saying what the impact is as we are seeing of 150 to 200 basis points.
Jatin Damania: Sir, last question from my end would be on the domestic market front, I mean, what is your total revenue contribution coming from the domestic market? And what are the steps we are taking up to ramp up or increase your market share?
Mohit Jain: Sure. So, we have two brands in the domestic market, our opening price point brand is called Layers, and our aspirational brand is called Boutique Living. At this point of time, we are roughly at around 2.5% of our overall revenue comes from our domestic business. So, although our revenue has grown, even last year we had 2.5%, so we have sustained 2.5%. We have great aspirations from our market in India. India is a growing country, growing GDP, income of individuals is growing on a year -on-year basis. So, of course, a lot of effort that we are putting in as an organization to grow this business in the years to come. So, this is very high focus area for us as a company.
Jatin Damania: Sure, sir. That's all from my side. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth. Please

go ahead.
Palash Kawale: Yes, sir. Thank you for the opportunity and congratulations on a good set of results. Sir, my first question is again on new acquisitions which have contributed Rs. 100 crores. So, like, could you help throw some color on how and what would be contributing in upcoming quarters like next three or four quarters that would be helpful.
Mohit Jain: I

think, Palash, we have been given guidance with the new investments being done and the acquisitions done that our target is to achieve Rs. 275 million in revenue. Of course, you cannot take Rs. 275 million and divide it by three each year. We do not add visibility to how it will happen each year, but we see each year being added on to the other one. These new facilities that we have already in Arizona and Ohio already , today, as we speak, are touching 50% capacity utilization. So, we expect quarter -on-quarter better results from new businesses to c ome.
Palash Kawale: Yes, sir. You said that directionally the utilization should pick up, right?
Mohit Jain: Yes, yes. And hopefully it should grow sequentially every quarter as we are starting from a small base.

Palash Kawale: That's helpful. And sir, how do you see this Red Sea issue panning out now? Do you see Red Sea prolonged relief to continue or you see some disturbances again?
Mohit Jain: Honestly, you do not have a crystal ball. But at this point of time, the issue seems to be behind us. We see much better availability of containers across the world, as well as prices of freight rates have stabilized, I would say, on the lower side. So, we are very hopeful that this should continue.
Palash Kawale: Okay. And sir, you were guiding for like reaching the lower end of your guidance, so still in Q4 you will need to reach the highest quarterly volumes. So, are you seeing the demand and shipments are there and everything is on the right path, right?
Mohit Jain: Absolutely, that's our effort and endeavor.
Palash Kawale: Okay. Thank you, sir. And sir, what is the debt level after the Q3?
K. Muralidharan: Q3 debt levels are around Rs. 1,200 crores, Rs. 1,300 crores overall, this is gross debt, this is including working capital and long-term loans.
Palash Kawale: And what is the net debt?
K. Muralidharan: That would be about Rs. 150 crores less.
Palash Kawale: Okay. And sir, how do you see these debt levels for next year?
K. Muralidharan: Next year still our expansions are happening, so I think we will be able to address that in the Q4 when we give out the results.
Palash Kawale: Thank you. That's it from my side. Thank you for the answers. And all the best for the future and upcoming quarters.
Moderator: Thank you. The next question is from the line of Surya Narayan Nayak from Sunidhi Securities. Please go ahead.
Surya Nayak: Yes. Am I audible, sir?
Moderator: Yes, you are audible, sir. You may proceed.
Surya Nayak: Okay, thank you. Sir, just to understand, I just need the gross debt figures, if you can repeat.
K. Muralidharan: Gross debt is Rs. 1,300 crores roughly. This is on a consolidated basis .

Surya Nayak: Correct. Okay. So, just to understand here, so in the spree of expanding to the US market, we have done three acquisitions, and we are doing also another greenfield one, I mean, including brands I am saying. So, will it be kind of full stop or still there will be more in the pipeline? What is the aspirations of the management? Because the leverage also is going up, although, I mean, it is not that alarming, but below EBITDA the interest portions are taking away mu ch of these amounts . So, that’s why the translation probably top -line to bottom line is not happening.
Mohit Jain: I think, Surya, Mohit here. I think we have to keep in mind that all these investments have been done in the last six to nine months. You have to give us some breathing room, right. So, I think for now we have announced whatever needed to be done in terms of investments, keeping in mind the top-line growth. Of course, we are always looking at opportunities, so I think we have a very strong balance sheet as we move forward. But we are very, very conservative in our approach

, we take very calculat ed calls.
Surya Nayak: Mohit ji, my humble submission is only to understand whether the acquisitions, let’s say, inorganic or organic expansions are done with, that is only clarity required.
Mohit Jain: Yes. So, as I said, for now whatever we have guided, we kind of feel we are in a good space. I

can never say that we are done, we always are looking at opportunities, opportunities keep coming to us as an organization, so we evaluate each one of them. Of course we are very prudent in our financial allocation of capital. And we know , it has to be in our core business. We are very focused on the home textile side of the business. So, whatever makes sense from a customer perspective to grow the bus iness where we can get more wallet share of the customer, so we look at businesses that way and then take those decisions. But I would say, in general, for now, we are at a good space here.
Surya Nayak: And secondly, Mohit ji, will we be reporting the pillow as a separate section because going forward the revenue contribution will be closer to maybe Rs. 2,000 crores going forward. So, it is a substantial, so will you be reporting separately because the m argin profile of US operation and the Indian operations would be different?
Mohit Jain: So, we will come back to you on this. We will report at the revenue level, but not at the unit level.
Surya Nayak: But the margin profile of US operations will be lower or at par with the Indian operations after the maturity level there?
Mohit Jain: In fact, we wanted to and we expect it to be slightly better.
Surya Nayak: Okay, okay. So, any plan on the expansion on the Indian side after the 2027 or so when we will be expanding the Indian operations?

Mohit Jain: Not at this point of time. We always evaluate , as I mentioned before , you know.
Surya Nayak: Okay. I will come back later. Thank you.
Moderator: Thank s. We have the next question from the line of Narendra from Robo Capital. Please go ahead.
Narendra: Hi, sir. Thanks for the opportunity. So, sir, my first question is regarding the revenue guidance that we have of doubling the revenue in 2028. So, is this including the US business or would it be 2x of the current revenue that is around Rs. 3,800 crores plus $275 million?
Mohit Jain: Yes, Narendra, the revenue guidance that we have given as an organization is on a consolidated basis. $275 million is from our utility bedding business and the brands. And then we have extrapolated our 110 million meters of full capacity, and that's how we have said that by 2028 we expect to double our revenue.
Narendra: Okay, sir, understood. And when can we see the utilization at the US greenfield facility to reach the 70%, 80% kind of revenue utilization, yes?
Mohit Jain: I mean, I think we are already in 2025, and we have said we will do $275 million by 2028, so it's not too far away, right?
Narendra: So, will we be doing it over the next two years?
Mohit Jain: It will take us two years from now, two years at least, yes.
Narendra: Okay, great, sir. Understood.
Mohit Jain: I think this is the quickest that any company can expand in a new area in such a short period of time.
Narendra: Yes, I totally agree. Totally agree. And regarding the borrowing, sir, are we at the peak or do we see the borrowings going up still? What could be the guidance on debt?
K. Muralidharan: Yes, so I think the gross debt should remain more or less at the same level. We expect the working capital to come down a little bit. Which we will compensate by the increased investments we will be making in the greenfield. So, overall, I think Rs. 1,300 crores gross should remain.
Narendra: Okay, sir. Got it, got it. Thank you so much. And all the best.
Moderator: Thank you. We have the next question from the line of Vikram Vilas Suryavanshi from Phillip

Capital India Private Limited. Please go ahead.

Vikram Suryavanshi: Yes. Good afternoon, sir. Just to continue with the debt figures, if you look at, how is the working capital in terms of inventory which was there, so if you can give breakup on working capital debt within that and long -term debt, any comment on your work ing capital growth going forward?
K. Muralidharan: So, I think about Rs. 1,000 crores is in the working capital, which is expected to come down still. On the long-term debt, we have about Rs. 300 crores roughly.
Vikram Suryavanshi: Understood. And this quarter I think it was around --
Moderator: Sir, sorry to interrupt you, but your line seems to be a little muffled. If you could please change the mode on your device.
Vikram Suryavanshi: Is it okay now?
Moderator: Slightly better, sir. Please go ahead.

Vikram Suryavanshi: Okay. Thank you. So, this quarter I think we had around Rs. 100 crores revenue from this acquired entities in USA, but that could be because of a partial revenue. So, in 4th Quarter would be how much approximately revenue expected from these acquired entities in USA?
Mohit Jain: It should be slightly better , but we would not be able to spell out exact numbers.
Vikram Suryavanshi: Okay. For how many months it was consolidated or added in this quarter, or will it be like a full quarter impact?
Mohit Jain: I mean, the Fluvitex acquisition we did in September, the Modern Home acquisition we did mid - October. So, I would say that we got 90% of the quarter 's benefit.
Vikram Suryavanshi: Understood, I think that's helpful. And I think the margin you have talked about, but does it also have some impact of advertising, brand promotion which can taper down going forward or probably that will as a percentage of sales remain same going forward as well?
Mohit Jain: When we said the 150 to 200 basis points lag, we have factored all of that in.
Vikram Suryavanshi: Okay. Understood, sir. Thank you.
Moderator: Thank you. We have the next question from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity. I joined in a little late, I do not know if this has been asked earlier. Just wanted to understand the opportunity for this utility business that we have acquired two



entities and we are also setting up one greenfield expansion. Could you please highlight some details on the opportunity in this space, what is driving this aggressiveness in this business?
Mohit Jain: Sure, Prerna. Mohit here, I will take this question. So, like our sheet business, which is our core business, the business size in the US for example is between $4 billion to $4.5 billion in revenue at the retailers' side. Similarly, utility bedding is a similar category with $4 billion to $4.5 billion in revenue at retailers side . Utility bedding consists of pillows, mattress protectors, mattress pads, down alt comforters. All of these are very bulky products, so the freight component is extrem ely important. That's how we have decided to go for multiple manufacturing locations, one on the West Coast, one in the Midwest and the new one is in the East Coast. At Indo Count, we get a lot of feedback from our customers to increase with whatever service we have given them over the years, over the last 15 years to increase the wallet share with the customers. This is a categor y that we identified.
And our reason to acquire two companies was to shorten the gestation period of ramping up the business. We did that and then we have also got some very capable team members across board, product development, sales and marketing, finance , and supply chain to able to run this business for. So, when we felt comfortable, then we have taken the call on the third locat

ion, which is on the East Coast, which will start coming up and we should start seeing revenues from September of this year onwards. So, that's th e premise of getting into the business. And we have a strong belief that we have taken the right decision.
Prerna Jhunjhunwala: And how is the profitability in this business as compared to cotton sheets business that you are doing?
Mohit Jain: As I said, this is both the utility bedding and our brand, we should do slightly better. That's an estimate. Once the business goes through the gestation period, we should be able to do slightly better.
Prerna Jhunjhunwala: Okay, understood. And how do we see the cotton prices, which are at very low levels currently impacting or affecting our business positively/negatively over the next six months to nine months? Plus, how is rupee depreciation likely to impact our performan ce given very sharp in a short period of time?
Mohit Jain: So, cotton prices are at around Rs. 55,000 to Rs. 56,000 candy , ex- mill. And of course, at Indo Count we use multiple types of cotton, we import cotton, we use domestic cotton. So, in our product mix, cotton prices have not made that much of a difference. So, the current cotton that we had in our warehouse before the new season started will take us up to Q4. And maybe Q1 onwards we could see some benefit in terms of domestic cotton prices. We could see that happening in Q1 because we are procur ing that cotton in the month of December, January that will only get into shipments after April, May onwards to customers.



In terms of FOREX , we are 50% to 60% hedged at any point of time, so of course our hedges, which have already been taken place, are at around Rs. 85.50 levels. So, we will have to of course execute those. Nobody expected the rupee to depreciate in the last four to six weeks. But as and when we go through those hedges, it should be a benefit. But of course, we have to look at other countries around us and how does a country like Bangladesh play out, Pakistan, China.

So, we have to look at it in totality and not only from an India perspective from a competitiveness point of view.
Prerna Jhunjhunwala: Okay. And one last question from the greenfield plan t that you are building in, this one is also for pillows, so all three factories are for pillows or how is the capacity divided between the three in terms of product mix?
Mohit Jain: So, the plant that we are building right now will start with only pillow manufacturing on the East Coast, which is under our company Indo Count Global East. The Modern Home Textile facility, with 8 million units is, again, a pillow facility. Both these facilit ies can do multiple types of pillows. There's a type of pillow called garnet pillows, shredded memory foam, blow fill, so there are different types within that. For ease we are just calling it pillows, but there are different types of produ cts within pillows that we can manufacture. And our facility in Ohio can do both pillows as well as quilts.
Prerna Jhunjhunwala: Okay. And last question on geographical diversification that you are trying to achieve over a period of time, over the next three to four years, given that US for cotton sheets for sure, our market share has surpassed 60% as a country. So, where in other geographies are you seeing opportunities? Or is it still the US which is going to give you the bulk of the growth going forward?
Mohit Jain: As we look at our nine months results, our growth in rest of the world has been at the same level as the US. So, we have grown in countries across, I mean, we ship to 54 countries, right from Australia, Japan, Middle East, Europe, UK. So, all of those businesses for us is also growing. But of course, from an overall consolidated basis, once our utility bedding and branded business take off, then US will become a slightly larger share

compared to other businesses. But having said that, for o ur co re business, which is sheets that we are manufacturing in India, we are growing in all the other countries also as we speak.
Prerna Jhunjhunwala: Thank you and all the best, sir. I will come back in the question queue if required.
Moderator: Thank you. The next question is from the line of Raman KV from Sequient Investments. Please go ahead.
Raman KV: Hello sir, can you hear me?
Moderator: Sir, you are audible. You may proceed.

Raman KV: Yes. Sir, what is the CAPEX plan for this financial year?
K. Muralidharan: So, this financial year, apart from the normal CAPEX which we had estimated of about Rs. 65 crores, we intend about another Rs. 50 crores in the new plant, basically of for USA. This is the estimate, and we have of course incurred a part of the expenditure, so I think I guess Rs. 483 crores is the estimate which we have made.
Raman KV: Rs. 483 crores?
K. Muralidharan: Rs. 463 crores to be precise.
Raman KV: Okay, sir. Sir, and also you said you are planning to double the revenue in two years. Sir, is it like are we considering this from FY '25's revenue? Like assuming we do around Rs. 4, 000 crores in FY '25, so from there you are planning to double the reve nue?
Mohit Jain: Sorry, can you come with your question again, Raman?
Raman KV: Okay. My question was, the management said they are planning to double the revenue in the next two years. So, assuming the base year's revenue of FY '24 or FY '25?
Mohit Jain: What we are saying is FY '25, wherever we end. And we want to double our revenue by 2028, not in two years, please.
Raman KV: Yes, yes, okay, 2028. So, by 2028 you aim to do Rs. 8,000 crores of top line?
Mohit Jain: Yes.
Raman KV: Okay. And sir, I just wanted to understand the new business which you acquired, one is the utility business and another one you said was a branded business, can you please explain both the dynamics and market?
Mohit Jain: There are two areas of businesses that we are focusing on, one is utility bedding, which is basically pillows, quilts, mattress pads, down al t comforters. So, for that we acquired two locations. First we acquired a facility in Ohio in Columbus, which is accompanied by the name of Fluvitex USA. And the second one we acquired is in Phoenix, Arizona, it is a company by the name of Modern Home Textiles. So, that's a utility bedding business. On the branded side of the business, in April of last year 2024, we acquired a brand called Wamsutta, which is a Bed Bath and Beyond's number one brand, it's been there from 1846 and we acquired global trademarks and IPs for it g lobally. And last year we also took the license of two other brands called Fieldcrest and Waverly. So, that's our brand portfolio for now under new brands.
Raman KV: Okay. I understand. Thank you, sir.

Moderator: Thank you. We have the next question from the line of Sneha Jain from SKS Capital. Please go ahead.
Sneha Jain: Good afternoon, sir. Thank you for the opportunity. I want to build up on the last participant's question, and towards the world -wide specifically I want to talk about the UK and Europe. We had a very good sale over there. And any progress with the UK FTA that you pointed out or, I mean, are we planning to build up our positions even there, because they are good margin businesses?
Mohit Jain: Sure. So, Sneha, we already have an office in Manchester, and a team there with team heading at design, warehousing, showroom, all of those capabilities. So, the India -UK FTA negotiations have just resumed at the beginning of this year, with a focus of finalizing this agreement as a part of UK Government's broader goal to strengthen bilateral trade between the two countries. There is, of course, no defini

tive u pdate on the conclusion at this stage. So, we are all hopeful that hopefully it will c onclude this year and that should be good for Indian business.
Sneha Jain: Okay. And any impact of Bangladesh? Do you think there's maybe some of the market share that we have gained from them?
Mohit Jain: Bangladesh is a predominant apparel driven business, I mean, and they play on labor arbitrage. In home textiles they have a smaller role to play. But yes, I mean, even with that we see customers wanting to not come out of Bangladesh but spread their risk slightly more across countries, rather than be very focused on Bangladesh as a country.
Sneha Jain: And sorry sir, I might have missed, is there any impact of the dollar thing?
Mohit Jain: Well, at this point of time, as I mentioned that most of our dollars were hedged in the short term, and from a long-term perspective it should be slightly helpful to the organization keeping in mind the competitiveness of other competing countries.
Sneha Jain: Got it, thank you. That's from my end.
Moderator: Thank you. The next question is from the line of Anant from Mount Intra Finance. Please go ahead.
Anant: Hi. Congratulations on a good set of numbers. I just have one question related to your greenfield expansion. I think it's mentioned that you would do a total investment of $15 million. Annually, is this going to be a one -time investment? How is it different? On your PPT, one side says total investment of $15 million and on another side it says $15 million annually , so if you could just clarify that number.



Mohit Jain: Anant, this investment is in our North Carolina facility, I mean, $15 million will happen, let's say, starting now to September of 2025. So, it will happen in stages, but between now and September is when it will take place.
Anant: But this is the total investment , right?
Mohit Jain: Sorry?
Anant: This is the total investment you are doing?
Mohit Jain: Yes.
Anant: It says $15 million annually, just clarifying that. Yes, thank you.
Mohit Jain: It's not $15 million annually. To put up this facility it's a $15 million investment, which is spread over two financial years or two accounting years, whichever way you want to call it. And that we will invest starting now up to September. And this will g et us a capacity of 18 million pillows. If tomorrow we decide to do further capacity there, we have enough space to further expand, but those calls will be taken much later on. So, it's the initial CAPEX in this location.
Anant: Alright. Thank you and all the best.
Mohit Jain: Thank you.
Moderator: Thank you. The next question is from the line of Pankaj from Affluent Assets. Please go ahead.
Pankaj: Thanks for taking my question. Am I audible?
Moderator: Sir, you are audible. You may proceed.
Pankaj: Sir, I have two questions. One, we are expanding heavily in US in this specific field, I mean to say the pillows, pillows and pillow covers. So, where do we stand as a percentage of market share at this moment? And going forward, what would be the situati on as and when we come up with a complete facility? And second thing, as you have guided that we will be doubling our revenues by F FY '28, my back calculation gives Rs. 8,000 crores of top line, 15% EBITDA margins, and around Rs. 800 crores to Rs. 900 crores of PAT. Am I on the same page as with you?
Mohit Jain: So, Pankaj, your first question as to, the US is a large market. Once, I mean, this investment is complete, it should put us in the top five players in the utility bedding business in the US. Of course execution is going to be the key.

Pankaj: I just wanted to understand whether we have very small market share or we are too big a market share that it will be difficult for us to expand.
Moh

it Jain: No, no, it's a new business for us. So, with the new business we will take one step at a time. So, with this capacity that we are creating now, we will be in the top five players in this space. So, it's a reasonable capacity. It's not a very small capacity, nor that it is too big. But directionally, we are in the correct place. In terms of your question about revenue, I mean, directionally, whatever you said, probably your thought process is in the r ight direction, but we would like to leave you at that.
Pankaj: Sure. Thank you. Thanks a lot.
Moderator: Thank you. The next question is from the line of Amit Kumar from Determined Investments. Please go ahead.
Amit Kumar: Yes. Thank you so much for the opportunity, sir. My question relates to Slide #6 of your presentation. So, I understand the acquisition, I understand the branded business, but in terms of the utility greenfield expansion that you are doing, you mentioned $15 million investment resulting in a peak revenue potential of about $90 millio n. And you also mentioned that margins are going to be slightly better than the 15% average for the company right now, let's say, around 15%, 16%. I mean, that resul ts in almost 100% pre tax return on capital. So, I am just sort of trying to reconcile this, I mean, textile business in US has slowly and steadily moved away everywhere. I mean, the opportunity for us just seems a little bit too good. So, could you just, I mean, is that your expectation to begin with, 100% pretax ROCE in this expansion?
Mohit Jain: Sure. Amit, on a call I would like to avoid discussing specific numbers right now, for competitive reasons. There's a lot that goes behind executing a business of this scale. Cannot just look at capital invested to the revenue, otherwise everybody would b e in it. So, I think there's a lot in terms of execution, team, focus that’s required. So, you have to look at it in totality. And of course there's a gestation period, it's not that we will achieve those revenues in year one. So, there will be a time lag that we are able to build on and get to it over the next three years.
Amit Kumar: That's what I am just trying to understand, sort of, it seems too good to be true. And if this was the case, pretty much everybody, including your Indian peers, would be to clamoring to develop these facilities yourself. I mean, is there an element, I mea n, when you sort of talking about a 16%, 17% margin which is sort of pretty high as it is, given that it's ahead of your margin, I mean, is this sort of divided between, I mean, some processing will happen in India, you will sort of send somethi ng and then --
Mohit Jain: It is slightly higher in our brand business, so I gave an overall average of our utility bedding and brand business. At this point of time we are not breaking it up. But as I mentioned again that you

cannot just look at investment to revenue in a business like this. The customer relationship, execution skills, supply chain, a lot of factors come into account, labor cost. So, there are so many factors that one has to keep in mind to be able to run this business at an efficient level.
Amit Kumar: Okay. Probably I will take this offline. And just my second question which is, you also have mentioned on the brand, so again, brand side also we are looking at a fairly heavy, $100 million now peak revenue potential. So, again, margins, whether on the brand side or on the utility bedding side will be sort of slightly better. But specifically on the brand side, there is always a manufacturing component and there is a brand component. So, manufacturing you are doing in India like sheets and other products within your brands, and then exporting it to US, and there now you have control of the brand also. So, when we are looking at 16%, 17% or slightly better than current margins as whatever they ma

y be, are those like core brand margins or does that sort of include the manufacturing component which principally happens on the India side? Is that a consolidated margin that you are looking at or those are above average margins are like pure brand margins?
Mohit Jain: No, it's a consolidated number when I am giving you. You got to keep in mind also in this consolidation is, the products that we produce at our manufacturing facility like fashion bedding sheets, all come out of our own facility. At the same time, these br ands are going to sell window, curtains, bath, so any soft home textile. So, things that we do not produce, those will get sourced from vendor partners.
Amit Kumar: Understood. Thank you. That's it from my side.
Moderator: Thank you. The next question is from the line of Sandeep Baid, an individual investor. Please

go ahead.
Sandeep Baid: Good afternoon. I just wanted to clarify that the 1.5% to 2% hit that you are going to take over the next 12 to 15 months for because of your US investments, is that factored in in the 15% to 16% EBITDA margin guidance that you have given?
Mohit Jain: For next year, as we have mentioned Sandeep, that we will come out with our guidance at the end of Q4, looking at what the business looks like. So, we will be in a better position to say that. So, this year our Q3 results have already factored that into account. And it's on that basis also that we have given the Q4 and the full year guidance.
Sandeep Baid: Okay. So, for Q4 15% to 16% is after the 1.5% to 2% hit that you are currently taking?
Mohit Jain: 15% to 16% is a full year guidance that we do on a consolidated basis.
Sandeep Baid: Yes, you are at 15.3% for the first nine months. So, broadly speaking, for 4th Quarter also you are seeing that you will be in a similar range?

Mohit Jain: Yes.
Sandeep Baid: Okay. And from FY ‘27 onwards, you are saying that this 1.5% to 2% hit that you are currently taking will not be there?
Mohit Jain: That's our expectation as we see visibility to business. So, it's all dependent on the ramp up of the business of the new manufacturing locations and very extensive team. So, the team is more or less in place now. So, of course, as the assets sweat , the overheads get divided, including salaries over a larger base. So, once that happens, then the margins improve. We have given ourselves 15 months for that to take place. The good thing is that because we had two acquisitions, that has allowed us to go into the market and also start pitching to customers, and now everybody's taken it seriously that we are in the business. So, we hope that we are able to ramp up production at the earliest as we get machines on stream, train the workers and move forward.
Sandeep Baid: Right. And on Wamsutta, the planned launch in the first quarter of FY ’26, is this as per the timeline you had in mind when you had acquired the brand? Or there has been some slight delay in that?
Mohit Jain: You can say more or less one quarter here or there. When we acquired it, we wanted to do it properly, we wanted to research what does the brand mean to the consumer. It's been a heritage brand, so we really wanted to get to the nitty -gritties of it. So, that took a little longer than we would have expected, if I have to say. But I mean, we are looking at this from a five to 10 year perspective, this is not a short term thing that we have in mind. So, it really doesn't matter.
Sandeep Baid: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Surya Narayan Nayak from Sunidhi Securities. Please go ahead.
Surya Nayak: Yes. Mohit ji, just to understand from your side, because we have actually, so far as sheeting is concerned here from India and for the utility bedding or it is pillows or ancillaries we are procuring from the US operation. So, just to

understand the complementarities of the business
and especially the logistic issues are also there in between, so how do they correlate each other?
Mohit Jain: Surya, can you come again, because I am not able to follow your question 100%.
Surya Nayak: Okay. So, because our sheeting operations is from India and the pillow and utility bedding from the US. So, there could be at times logistic issues or some issues could be cooking up. So, here just I wanted to understand the complementarities of the business of the utility bedding, what is the relation it has exactly with the sheet business? And two, I mean, whether in future when we

expand, then the similar kind of expansion would be required for sheeting, I mean, the equation just I want to understand. Is it clear, sir?
Mohit Jain: Yes, I have understood broadly what your question is. So, firstly, these are two completely separate businesses for us in two separate countries. They are both manufacturing businesses. So, like India, when we manufacture, we have to keep in mind that we have enough raw material in our warehouse whether it's cott on, cotton yarn, in the back end to be able to produce. Same way the US business keeps in mind shipping lead time, issue at a port, transit times, how much time does a manufacturer take, couple of weeks of inventory in their warehouse for raw material. All of that taken into account. So, it does not matter tomorrow if the lead time goes up from 10 to 15 days or 15 days to 20 days, it does not really hinder the business, because there will always be material in the supply chain and in the warehouse. So, hopefully that answers your question.
Surya Nayak: Sir, for Wamsutta, it has historically legacy a lot of brands and they will send a set of designs. So, we could be having a situation where there could be, let's say for a particular batch of

sheeting there could be a requirement that may not be fulfilled or vice versa. So, will that situation arise, if at all?

Mohit Jain: Maybe I will answer your question in a different way. We run a very strong e -commerce business from our UAE warehouse, UK warehouse, US warehouse. And we ship to almost every single e-commerce customer. And in that case, we are carrying the inventory in t hose warehouses and then shipping to customers. Same thing like will happen for these brands. The product gets produced. will go to a warehouse, there will be weeks of supply in that warehouse and then get ultimately delivered to individual cust omers.

Surya Nayak: Okay. So, shall I that pillow business or utility business can stand on its own, irrespective of the sheeting business?

Mohit Jain: Absolutely. It's a separate manufacturing business, there are synergies with the parent business, but it can stand on its own for sure.

Surya Nayak: Okay. And just two bookkeeping questions, because we are planning Rs. 463 cores of CAPEX this year and solar generality will be spilling over to FY ‘26 and maybe we could be adding another Rs. 10 crores towards the maintenance CAPEX for Rs. 75 crores. And the greenfield project Rs. 80 crores we will be spilling over to next year. So, putting together Rs. 255 crores odd figure is coming out. So, apart from that, any CAPEX that is lined up for FY ’26, known CAPEX ?

Mohit Jain: No, nothing as of now. Again, with our Q4 we will give the exact plan for next financial year for ’25-‘26 also.

Surya Nayak: Okay. Thank you, sir.



Mohit Jain: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will now take one last question which will be from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala: Thank you for the opportunity. Just wanted to check with you on this $10 million strategic investment, is it anything ne

w that you are planning? Or it part of already done investments?

Mohit Jain: So, Prerna, we put that as a placeholder for any other debottlenecking or any other opportunities in these locations that we just invested in, any location might require something going forward as we run these businesses or customer requirements. So, that’s why we have kept that as a kitty in there.

Prerna Jhunjhunwala: So, brownfield is what it would mean. I am just trying to understand whether it would be a brownfield or a new acquisition also that could be on the card or something like that, or how it could be?

Mohit Jain: It could be a mix of anything in that, $10 million.

Prerna Jhunjhunwala: Understand. Thank you.

Moderator: Thank you. I would now like to hand the conference over to management for closing comments. Over to you, sir.

K. Muralidharan: Indo Count is progressing firmly in its version 2.0 growth phase, with strategic investments in utility bedding, branded business and deepening our presence in key end markets. While these initiatives have a short -term impact on margins, we are building a more resilient and diversified business. Our focus remains on driving operational excellence, strengthening market leadership and enhancing shareholder value as we see new growth opportunities. Thank you once again for joining today's call . In case you have any more questions, you can get in touch with us or Strategic Growth Advisors, our invest ors relations advisors. Thank you.

Moderator: Thank you. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

## Call: Jun 2025

Ref No.: ICIL/ 12/2025-26 6th June, 202 5
National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol : ICIL BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code No : 521016
Dear Sir / Madam,
Subject: Transcript of the Investor s' Conference Call held on 2nd June , 202 5 for Q4 & FY25 Results
In continuation to our ear lier intimation dated 2nd June, 2025 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on Mon day, 2nd June, 202 5 at 11:00 a.m. (IST) for Q4 & FY25 Result s.
The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -of-Q4-FY25 -Investors%E2%80%99 -Conference -Call-Held -on-June-2-2025.pdf
You are requested to kindly take note of the same.
Thanking you,
Yours faithfully,
For Indo Count Industries Limited
Satnam Saini
Company Secretary & GM- Legal
Encl.: A/a


"Indo Count Industries Limited
Q4 & FY '25 Earnings Conference Call"
June 02, 2025

"E&OE - This transcript is edited for factual errors and readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2nd June, 2025 will prevail. Further, no unpublished price sensitive information was shared/discussed in the call "

MANAGEMENT : MR. MOHIT JAIN – EXECUTIVE VICE CHAIRMAN – INDO COUNT INDUSTRIES LIMITED

MR. K. MURALIDHARAN – GROUP CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED

MR. MANISH BHATIA – CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to the Indo Count Industries Limited Q4 and FY '25 Earnings Conference Call.
This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These

statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Jain, Executive Vice Chairman. Thank you, and over to you, sir.

Mohit Jain: Good morning, and a warm welcome to all of you joining us for the Indo Count Industries Limited Q4 and FY '25 Earnings Call. I'm also joined by our Group CFO, Mr. Muralidharan; Mr. Manish Bhatia, our CFO; and Strategic Growth Advisors, our Investor Relations Advis ors. We hope you've had the chance to review the financial results and investor presentation available on the stock exchange and on our company website.

I'm happy to share that 20 years ago, we ceded the thought of entering the home textile business. Since then, we have grown to a global leadership position with approximately $0.5 billion in revenue, marking a significant milestone in our journey.

FY '25 has been truly transformational for our company. We achieved substantial growth, reflecting the continued trust and confidence our customers place in us. We recorded highest ever revenue, reinforcing our leadership position in the global home textile industry. Revenue grew by 16% to approximately INR4,200 crores, the highest in the company's history and outperforming the peer group.

On the volume front, we surpassed the 100 million meter mark, achieving 106.4 million meters. While this is a marginal shortfall versus our guided range, it represents a healthy 10% year-on-year growth. An important achievement was the improvement in our DJSI score, which increased from 45 in 2023 to 66 in 2024.

This positions Indo Count among the top 10% in the textile, apparel and luxury goods sector, significantly above the industry average of 30. We also received several ESG -related recognitions during the quarter. Some of them are winner of the Best Sustainable Retail Practices Award, winner of the Excellence in Waste Reduction and Circular Innovation Leadership Award; first runner up in Best Cotton Farming Practice category.

On the EBITDA for FY '25, we reported EBITDA of INR 574 crores with a margin of 13.7%. EBITDA margin was slightly lower due to the impact of strategic investments made in our businesses and weaker -than-expected Q4 performance of our end markets. We will cover the same in our speech in detail.



Now coming to Q4 performance. FY '25 was a stable and overall positive year for us. However, Q4, particularly February and March, presented significant challenges. We saw a decline in offtake, driven by reduced consumer confidence, largely due to uncertainty surrounding potential tariffs. This shift in sentiment altered our product mix , with increased demand skewing towards lower to mid -priced offerings as opposed to our typical sales profile. Across our end customers, we experienced low confidence as they grappled with creating the right assortment of products on the back of potential tariffs and low consumer confidence. This resulted in both volume and value down trading, which impacted our average selling price by approximately 6% com

pared to the average of the previous few quarters.

This change in product mix affected our Q4 revenue and in turn, our profitability due to lower absorption of fixed costs, especially our US business, which is in investment phase. We continue to witness similar volume and value trend in Q1 FY '26 and expect subsequent quarters thereon to improve gradually.

Given the fluid nature of the current tariff situation, with a 90 -day pause period set to conclude by early July, we believe it is prudent to refrain from volume and margin guidance for FY '26 at this point of time. We are actively evaluating a broad range of potential scenarios while closely engaging with all our end customers. Our focus remains on maintaining maximum operational flexibility while safeguarding business volumes and ensuring we retain, if not grow our market share.

In this financial year, we embarked on multiple capacity and capability -enhancing projects by venturing into new businesses. Our efforts were focused on expanding into value -added segments such as utility and brand -building initiatives, a transformation we now refer to as Indo Count 2.0.

I will share some key highlights. One, we successfully acquired Wamsutta brand in US. This is a legendary home textile brand, and we expect to launch this as a direct -to-consumer brand shortly with a strategic brand positioning in the US market to start with.

Our strategy to enhance contribution from licensed brands has gained momentum with the addition of Fieldcrest and Waverly to our portfolio in Q3 FY '25. Both are well -established consumer brands in the US market. Although it's been only 2 quarters since the inclusion, they're already gaining consumer traction and are expected to support our growth in the US market.
Three, the utility bedding segment in the US presents a significant opportunity, representing a US$4 billion market within the bedding category. To accelerate our growth and strengthen our presence in this space, we have strategically expanded our manufacturing capabilities for pillows and quilts through targeted acquisitions.
The first one being Fluvitex, a leading manufacturer of pillows and quilts with an annual revenue potential of US$50 million. Second, we did Modern Home Textiles , a specialized pillow manufacturer with an annual revenue potential of US$35 million. Both facilities are currently operating at approximately 50% capacity utilization.


We expect to gradually ramp up utilization levels over time, which will further enhance operational efficiency and support our efforts to capture a larger share of the US utility bedding market and drive meaningful revenue growth.
This encouraging performance of Fluvitex and modern home textile has reinforced our confidence in the US utility bedding market and encouraged us to set up a greenfield project in North Carolina, focused on pillow manufacturing.
The first phase of investment is expected to be completed by September 2025. We expect peak revenue potential from this phase to be at US$85 million to US$90 million. This expansion marks a significant step towards strengthening our manufacturing footprint and accelerating growth in the US market. With these 3 facilities, we'll be able to cater to all the geographies of the US market.
Four, recently, we also acquired a licensed brand, Beautyrest, from Serta Simmons Bedding, a renowned global sleep company with a 100 -year legacy in delivering industry -leading sleep solutions and a commitment to improving lives through better sleep. This strategic partnership is set to harness Indo Count's strong manufacturing expertise and expansive distribution network, combined with Beautyrest's innovative product portfolio.
Over the past 12 to 15 months, we have invested approximately INR460 crores in brand acquisitions, capacity

expansion, brand building and talent acquisition, thus laying the
foundation for a future -ready diversified product portfolio. These strategic investments will deliver substantial growth, reinforcing the company's path to becoming a dominant industry player.
As of FY '25, Indo Count has achieved revenues of approximately $500 million, and we remain confident and committed to our goal of doubling our revenue by 2028. This growth will be fueled by the full -scale ramp -up of our branded and licensed offerings, optimal utilization of our utility bedding business in the United States and continued strength in our core bed sheet operations in India.
While these initiatives will secure long -term premium growth, there may be a short -term impact on growth and therefore, our margins. Despite the challenging environment, we successfully maintained the revenue contribution from each segment for FY '25 compared to the previous year. Moreover, in absolute terms, each segment has posted positive year -on-year growth.
Coming to industry scenario. One of our most significant recent developments for the textile industry and for us at Indo Count is the signing of the India UK free trade agreement. This agreement eliminates duties of approximately 10% to 12% on nearly all Indian textile and apparel exports to the UK, making Indian products far more competitive in that market.
With this FTA, India is now on an equal footing with countries like Bangladesh and Pakistan, which have long benefited from duty -free access. This landmark agreement is expected to significantly boost India's textile exports with some projections indicating a potential doubling by 2030.


As global supply chains increasingly diversify away from China , under the China Plus One strategy, India is strategically positioned to capture a larger share of global demand. At Indo Count, we are well prepared to capitalize on this emerging opportunity. Currently, the UK

market contributes approximately 10% to our overall business. And with the advantage of this trade agreement, we are optimistic about significantly expanding our presence in the region.
On the EU front, India is currently engaged in free trade agreement negotiations with the aim of concluding discussions within the next 2 quarters or by the end of this calendar year. If successfully finalized, particularly with favorable terms for our segment, it could unlock significant opportunities for Indian home textile exports , by providing a level playing field in the EU market also. This development has the potential to further accelerate our growth.
Turning to our largest market, US. specifically, regarding the recent tariff developments, while a 90-day pause has been announced, an additional baseline tariff of 10% is currently in effect for all countries, except China. For China, this is compounded by an additional tariff on top of the baseline.
While China's direct presence in the bed sheet segment is relatively limited compared to India, the impact on us is more indirect. All major retailers source a significant portion of their overall product range from China. As a result, the additional duties on Chinese imports affect their broader sourcing strategies, which in turn influence their buying behavior across categories.
There are encouraging developments on the trade front with recent reports indicating that India and the US may finalize the first phase of a bilateral trade deal before July this year. We remain optimistic as recent updates suggest that India has been actively advocating for preferential treatment for exports in key labor -intensive sectors, including textiles. Such a development could significantly strengthen the global competitiveness of the Indian textile industry and create new opportunities for growth.
As we move into the nex

t financial year, we anticipate short -term demand to be impacted by consumer confidence and overall sourcing strategy of our end customers. From a long -term perspective, we remain optimistic about our growth prospects across our key end markets. That is from my side.
Now, I request Mr. Muralidharan, our Group CFO, to share the financial highlights of the company.
Muralidharan: Good morning to everyone. As for volume, sales volume for Q4 FY '25 stood at 25.6 million meters versus 28.7 million meters in Q4 FY '24, down by 10.8% year -on-year. Sales volume for FY '25 stood at 106.4 million meters versus 96.9 million meters in FY '24, a growth of 9.8% year -on-year.
Total income of INR1,029 crores in Q4 FY '25 versus INR1,093 crores in Q4 FY '24, down by 5.9% year -on-year. Total income of INR4,191 crores in FY '25 versus INR3,601 crores in FY '24, a growth of 16.4% year -on-year.


EBITDA for Q4 FY '25 stood at INR88 crores versus INR166 crores in Q4 FY '24, lower by 47% year -on-year. The Q4 impact on EBITDA was on account of lower sales due to weak market demand as alluded in our opening remarks earlier. EBITDA for FY '25 stood at INR573 crores versus INR603 crores in FY '24, marginally lower by 5% year -on-year.
EBITDA margin for FY '25 stood at 13.7% versus 16.7% in FY '24, down by 300 bps.
As for PAT, PAT for Q4 FY '25 stood at INR11 crores versus INR92 crores in Q4 FY '24.
PAT for FY '25 stood at INR246 crores versus INR338 crores in FY '24. It's important to understand that currently, we are in investment phase, which has resulted in higher depreciation and interest costs to the tune of approximately 150 basis points.
As we scale our volumes and revenues, we expect better flow -through from EBITDA to PAT over the next 2 years. EPS for Q4 FY '25 is INR0.56 , EPS for the whole year FY '25 is INR12.42. Net debt to equity is 0.42 as on 31st March 2025 as against 0.32 for the previous year.
I'm happy to say that the Board of Directors has recommended dividend of INR2 per equity share of face value of INR2 each that 's 100%, subject to the approval of shareholders at the ensuing Annual General Meeting.
With this, I open the floor for Q&A. Thank you.
Moderator: Thank you very much, sir. We will now begin the question and answer session. We have a first question from the line of Raman from Sequent Investments.
Raman: Okay. Sir, my question is with respect to the Phase 1 in North Carolina. Can you provide the details with respect to the capex spent on the first phase or the company planning to spend with respect to the first phase? And can you repeat the estimated time of this capex being completed and the potential revenue from the first phase?
Mohit Jain: So our total investment, we have invested so far INR31 crores. The total investment is INR130 crores in first phase. So INR99 crores is pending, which will be done between April of this

year to September. And the phase will get over by -- the first phase gets over by September, which is 18 million pillows capacity.
So our total pillow capacity across 3 locations will go to 31 million pillows. And for the North Carolina specific facility, the revenue expectation is between US$85 million to US$90 million.
And for the utility bedding business, all put together is $175 million.
Raman: Okay. And sir, my second...
Moderator: Sorry to interrupt you, Raman. Can you please use your handset? Your voice is a bit muffled.
Raman: So, yes, my last question is with respect to the free trade agreement. India has recently signed FTA with UK. So is there any plans to increase the company's presence in the UK market because it will be -- for the FTA will be advantage for Indian players when compared to other countries as well.


And a follow up on that, that what is -- if India signs FTA with the European Union, what will be the additional benefit? I just want to know in terms of how do I say, percentage, what is the average difference between other player -- existing players? How much percent cheaper they are able to sell? And how will that be beneficial for the company?
Mohit Jain: Sure. Our current exposure to the UK market stands at approximately 10%. With the India -UK free trade agreement on the horizon, we believe that this development will provide a significant boost to bilateral trade. The FTA will allow us to operate on a level playing field with other competing countries, enhancing our competitiveness and opening up new opportunities in the region.
This is a positive and strategic development for us for future growth, Raman. Also keep in mind that we have been doing business in the UK for over 15 years now. And we have an office -- active office in Manchester and a team there with warehousing, designing, all capabilities. So all of that gets leveraged.
So we are already in active conversations. We've been selling to a lot of the customers already.
And as we speak, we are already in active conversations on how do we build on this for the future. And just to add that on our current product, bed linen specifically, there's a tariff of 12% or import duty of 12% from India at this point of time.
Moderator: We have our next question from the line of Aditya from Synergy Investments.
Aditya: My question is regarding the interest cost, sir, every time there's a lot of interest cost, which is taking our profits. So is there any plan in the future to reduce it? How do we go about it?
Muralidharan: Yes. So as compared to the previous year, the interest costs were a little high because we had built inventories which are required for production, higher production. We have stabilized our inventory levels at this point of time. So we feel that the interest cost should be more or less stable around this place.
But we need to note that in our US operations, we are still increasing our utilization levels. So there will be some inventories build up there. So overall, I think the interest cost will be around INR120 crores, INR130 crores annually.
Aditya: Right, sir. So we are going to go with this in the next year also, right?
Muralidharan: Yes, yes.
Aditya: And sir, I just heard in the commentary that we expect similar performance in the quarter 1 also of next financial -- of the financial year. So what is the guidance for revenue in this year? I understand that we are doubling our revenue by 2028. But what is the guidance for the next financial year, 1 year?
Mohit Jain: Aditya, as I mentioned earlier, in such volatile times, we are refraining from giving any guidance. Of course, our objective is to maintain our market share and then grow it even in this year.


Moderator: We have our next question from the line of Rajesh Kothari from Alpha Advisors.
Rajesh Kothari: I have two questions. One, I just wanted to understand that this tariff actually came into place late March and actually implementation is, of course, starting from April. And also, if I look at most other companies' results which are announced, I think by far, everyone has announced the results, nobody has reported dip in revenue.
And even if there is a moderate dip, which I can understand, why there is so much significant decline in gross profit margins? Because no other companies have reported this kind of a decline. So it would be great if you can just give some details on this?

Mohit Jain: In our case, it is an impact of change in product mix on both our raw material and fixed costs. Roughly, the split is 30 -70 between raw material and fixed costs, which includes both employee and o

ther expenditure. You've got to keep in mind that overall, if you look at the full year, our growth has been 16%.
So that is higher than our peers. It's in the quarter 4 that we've seen a down trading of our -- within our product mix. And that's what kept our volumes to approximately $25 million plus, but our average selling price came down. And that's the reason there's an impact across the Board , up to EBITDA level.
Rajesh Kothari: So basically, are you trying to say that the customers with whom you are supplying to before even tariff implementation, there was a significant down trading because tariff got implemented much later and not in month of January and February. Maybe say, March, I can understand some effect probably in month of March. But otherwise, why is a drastic impact? And because if I look at on a full year basis, consumer cannot shift that rapidly, am I right?
Mohit Jain: So we've seen the impact of this lower -priced products in early February. However, we were not sure if this is a one -off situation or a continuing trend. It's only towards the end of February that it was confirmed in our customer mix that this to be a continuing trend based on the order pattern from our customers. So everybody knew that tariffs are coming. So customers started -- I mean, our retail customers started reacting, and we saw that from our product mix.
Rajesh Kothari: Understood. So do you think in terms of your investments, what you are doing in US, this can also pose some challenge in terms of your guidance for next 2, 3 years because a lot of investments you are planning in US. Do you see any significant change in that?
Mohit Jain: No. As I've been very clear that we are yet comfortable with doubling our revenue by 2028. Most time investments in the US is more or less done. It's only our North Carolina facility that needs to get completed.
So we've invested INR460 crores plus what we're investing in the North Carolina facility as we speak, which is approximately INR99 crores is pending. So those will -- should reap good benefits to the organization as we move forward. So we are very comfortable with where we are.
Moderator: We have our next question from the line of Vineet Bansal from Pinnacle Securities.


Vineet Bansal: I wanted to understand a bit more about the tariffs because the previous person who asked the questions mentioned that the tariffs came in a bit late around the end of March. So given whatever tariffs are there and the kind of uncertainty because you mentioned in your comments because there was a lot of uncertainty because of the China tariffs and all that stuff. So I wanted to understand on that front, what actually happened, what led to such a decrease in margins? I mean, you mentioned about the cost, but actually from the tariff viewpoint. And if the deal occurs between US and India, then how that might shape the prospects going forward?
Mohit Jain: Sure, Vineet. So basically, as I was explaining that what we've seen is a down trading of products. So basically, our lower end to mid -end products, offtake has increased compared to the higher -end products. So that's why our product mix portfolio in Q4 has undergone a change pre-tariff, and we are seeing the same mix continue even in Q1.
So our customers are not investing right now in higher -end products because, of course, for them, the retail price increase would be even more substantial. And in a tough US environment, which we are in right now, I mean, there's a better offtake for more affordable products, if I may say so.
Vineet Bansal: Got it. But I fail to understand why would the price increase for your products because you're making them in the US. The tariff was 10% -- reduced to 10% in a few days. But Chinese products were selling at much higher tariff. Am I missing something

?
Mohit Jain: Yes, yes. This is all manufacturing that we are doing in India. So, I mean, our maximum revenue is currently being manufactured in India. We've only got into US manufacturing of pillows and quilts , very- very recently from October of 2024. So that's very recent, and that's a very small part of the overall business at this point of time.
Vineet Bansal: But even if you were manufacturing in India, then the tariff was around 10%, right? Or was it more?
Mohit Jain: The tariff first for Indian -- India was implemented at 26%, which was changed to 10%. Additional tariff from whatever import duty we have over and above that, there was a 10% put in. It's not about only India. You see today, if you're a customer, you're a retailer in the United States, you're not looking at only what you're buying from India or XYZ country.
You're looking at how is this tariff affecting your whole product profiling because from China,

it was 146%, the additional tariff. So it just put everything. It put the whole business on hold. And that's how the customer started picking up more value -driven products than higher -end products. That was the change.

Vineet Bansal: So this is what I'm trying to understand. So the Chinese or other tariffs were much higher than the tariffs that were levied on your products. And the customers in logical sense would pick your products because they were coming at much cheaper rates, right?



Mohit Jain: It's not. You've got to look at the total basket of what they're selling within the retail store, not only home textiles or bedding or 1 category of products. It's -- they're looking at everything across the board and seeing how they want to manage their inventory and their order flow.

Moderator: We have our next question from the line of Jatin Damania from SVAN Investments.

Jatin Damania: Sir, continuing the same question in terms of the revenue and the gross margin decline. Can you help us in understanding the overall change in the product mix in terms of the low -- I mean, how much did the fashion, utility and -- contributed during the Q4? And what was the contribution of the branding in Q4?

Mohit Jain: Sure. So, Jatin, specifically, I might not be able to give you the numbers right now. But our new segments, which is utility bedding and our new brands, which is Fieldcrest, Waverly, (Wamsutta has not started in Q4 ) contributed to INR125 crores in revenue, out of the revenue of INR1,029 crores, INR125 crores has come from there. In Q3, that was INR100 crores.

Jatin Damania: So sir, I mean, we have seen an increase in the revenue in the branding business, definitely comes with a higher margin. And Wamsutta, we are expected to launch shortly. Probably we can probably see a launch in Q2. So the sharp deterioration in the gross margin, is it attributed largely to a higher cost associated with the pillow and quilt business, which operated at 50%? How should one understand the sharp deterioration in the margin front?

Mohit Jain: Sure. So, of course, for our utility bedding and brand business, it's -- we've created a full infrastructure in the US, whether it's showroom, whether it's talent, of course, all these manufacturing facilities, which we have said even in our previous call that, that has a 150 to 200 basis point impact for the next 12 to 18 months.

So that will continue this year. And after that, we expect that to go away completely. So that investment is, of course, inbuilt in these numbers. On the India side, we've seen a sharper product mix down trade, which impacted our gross margin and due to lower selling prices and under absorption of our costs.

Jatin Damania: But sir, if you look at the Indian business contribution to overall revenue is only 2.5%, right? And the major deterioration in the gross margin that came in Q4 was

-- I mean, that was highly unexpected given the peers who have reported the numbers. So if you can help me in understanding what was the pillow and quilt contribution during the Q4 and the margin that we get on pillow and quilt in Q4?

Mohit Jain: Sure. So the pillow and quilt, as I said, is INR125 crores out of INR1,029 crores. So that is approximately 11% is coming from that category. And those categories are losing money as we speak because, I mean, the investment in those categories in terms of talent, overhead cost is much higher than the revenue we are going to generate at this point of time.

So that over a period of time, like in any business, this is not a very large capital -intensive business, but it's a very large -- very high investment on human talent and other infrastructure, including branding that we are investing in as we speak. And we've been very categorical and transparent about it.



Jatin Damania: So sir, what is the incremental investment we will be doing in the employee and the infrastructure in FY '26? Because definitely, last year, we did quite a few and which impacted the margin. So in current year, what is the incremental investment that we are going to do it?

Mohit Jain: So more or less, most of the investment has been done. Even if you see our Q3, Q4, you'll see our salary cost is stable. Now, as these new -- our third location comes up and as the utility bedding business ramps up in terms of utilization level, we'll have blue collar workers come in and that expense will go on, but that will be in turn with the revenue going up to for that business. But otherwise, on the baseline, we've already created our team is in place.

Jatin Damania: Right. And on the greenfield expansion, you indicated that the first phase will come in, in September '25. Now the INR99 crores is pending. So, I mean, for second phase, what will be the capacity and how much we'll be spending and when we'll take that decision for that?

Mohit Jain: Too early to say anything. We have a very large facility of over 300,000 square foot at that location. So we'll -- first our focus is only utilizing the 3 manufacturing locations. As we complete that, we have enough infrastructure to expand further space.
Moderator: The next question is from the line of Surya Narayan from Sunidhi Securities.
Surya Narayan: Okay. So, Mohit sir, just 1 question is that, a couple of questions I have. One is, because we have expanded substantially in the brands and even Wamsutta is yet to come. So in that scenario, we understood that from the January of calendar this year, the consumer sentiment in the US has declined. So it is quite -- it has been running quite weak. So how quick you see the consumer sentiment improving in this calendar, A?
And number two is that, because most of the brands are native to US. And when the US FTA and UK FTA and EU FTA will be opened up. So do you think the native brands of US that will be well accepted in those markets with that kind of, let's say, margin profile? So -- and second point related to this only, just to understand whether the material margin in the pillows and quilts are lower than the bedding products what we were having?
Mohit Jain: Sure, Surya. So you're asking me a multibillion -dollar question. Can you hear me?
Surya Narayan: Yes, yes.
Mohit Jain: Yes. As to when things in the US will turn around or when demand -- so our objective is very simple as an organization is to maintain our market share and to grow the market share. That's the objective. These are small hurdles that come along the way. We, as an organization, have gone through such, whether it's supply chain, whether it's COVID times. So this is one of them. These are, of course, testing times. We will get through these too.
On the brand side of the business, of course, th

e brands that we've spoken about or have taken last year from a licensed brand and acquired Wamsutta and we own that brand. Right now, our focus is more on the US side. Once we launch Wamsutta, the idea is to launch it first with the halo effect, which is a direct -to-consumer on the luxury side.



And then we have a lot of interest from all the retailers in the US market to take it to them in some shape and form, which we will -- we are putting the marketing strategy around that as we speak. But our endeavor is to make Wamsutta global, home textile brand, as we've also been saying after we acquired it, but we'll take one step at a time.
On your question of margins, on raw material cost, I guess, in the pillow business and the quilt business is similar to our existing business. So there's the raw material is pillow shelves, as well as your fiber that goes into making a pillow or a quilt.
Surya Narayan: Okay. And regarding the weak scenario or consumer sentiment scenario, so are you facing any kind of, let's say, jitteriness from the -- your customers in keeping the branded goods and it is very difficult to sustain that kind of products and rather they are happy with on ly affordable utility segments? And that trend you hope will continue for another quarter or 2 or maybe first half of this year?
Mohit Jain: No, I mean, the trend will continue, but we are not seeing any jitteriness when we are taking our brands to the customer. In fact, they are very receptive because they also want to differentiate their floor, their retail space. So if it's a meaningful brand with enough consumer data and traction, then they're happy to take it up. So there is no jitteriness at the same -- And, of course, we are also strategic to take what to w here. It's not like one size .
Surya Narayan: So where can we improve in the FY '26, it is difficult to, at the moment, say about the guidance on the volume and the top line guidance maybe. So where can we improve? Is it the material front because the staff -- you are saying that the staff expenses are more or less stabilized?
So we will be believing that we will be freezing the staff cost here and other expenses also similarly. So -- and depreciation may also go off a little bit because post Carolina facility, it may also go off. So where we see improvement in other line items?
Mohit Jain: Sure. So a couple of things. So, of course, on our core business, which is the bed sheet business, from India that we're exporting. The objective is to maintain the market share. There are some ups and downs in the product mix, which we'll have to go through. There's really not much we can do about that.
Our endeavor, again, from the India bed sheet exports is to grow other markets. It's not only the US, the US comprises approximately 70% of our revenue. So other markets, geographies like EU, like UK, Japan, Australia, the Middle East. So these are all markets that are growing for us.
India now has a free trade agreement, as we know, with the Middle East (with UAE specifically ), with Australia and Japan. Also when these free trade agreements, it's not a switch on and off that it happens and then tomorrow, you start shipping, right? It takes some time. So

we are starting to see those benefits come in.
On the US business, which was US manufacturing of pillows, we expect capacity utilization, which is currently at 50% to start improving also as the quarters go by. So we are in active


conversations with all our customers to grow that business. And as the new facility comes up also, that will help us grow the capacity utilization. It's impossible to put a number or to say that which quarter it will happen, but you need to have the facility a

nd infrastructure first and
then attract the business.
Surya Narayan: Just if I -- last question, if I can. Can we expect FY '24 gross margin with the help of Wamsutta launch and other branded products, we can get better than the FY '24 gross margin in FY '26, FY '27, at least?
Mohit Jain: Sure. At this point of time, we would not like to comment on any volume or any guidance on any numbers. It's too fluid a situation, as I mentioned earlier.
Moderator: We have our next question from the line of Vaibhav from Athena Investments.
Vaibhav: My question pertains to the brands that we've acquired and the ones we've been in the USA. What sort of long -term margin expectations and targets have we set over the next 2 to 3 years once investments and expenses stabilize from our branded businesses?
Mohit Jain: So, Vaibhav, we've been saying that, I mean, once these businesses stabilize, we expect from our regular margins to do around 15% to 20% higher margin and specifically the brand segment of the business. And overall, we maintain that as an organization, we would like to do between 16% to 17% margin across the board.
Vaibhav: So you'd reckon that the branded businesses will be 15% to 20% higher than the 16% or, let's say, 14% that you do for...
Mohit Jain: I think the branded business, the target is $100 million, but the revenue is going to double to $1 billion, so it's going to be $100 million on $1 billion, right? So you got to keep that factor into mind.
Vaibhav: And then the expected revenue, I think previously, it's been guided between FY '26 and '28 as $275 million to be the total incremental revenue, right?
Mohit Jain: Sorry, come again, please. I didn't follow that?
Vaibhav: I think previously the expected revenue from FY '26 to '28 is going to be around $275 million incrementally for here, right?
Mohit Jain: What we are saying is 2 things. Our revenue for FY '25 is INR4,200 crores approximately. We expect to double that by 2028. Out of that increase in revenue, $275 million will come from 2 new businesses, which is the utility bedding business, approximately $175 million and $100 million from the brand business, the new brands and the like. That's the breakup. Just want to be clear.
Vaibhav: And the last question I have is, is there any room to improve the working capital for the cash cycle without compromising the margin here?


Mohit Jain: Sure. So we're right now at approximately 130 days roughly. So at this point of time, I think we should be at similar levels, keeping in mind the new businesses also. And we're always evaluating this, keeping in mind what's the supply chain security, how do we need to service our customer. There was some increase in our Q1, Q2, which we have stabilized and brought it back.
Vaibhav: Right. I ask I think we'll be a bit stretched for cash since you have high interest payments and high expenses over the next year or so?
Mohit Jain: Yes. I mean, our view is very clear that as we're able to -- we've created the infrastructure. So that's why the interest and the depreciation is on the higher side. We feel comfortable that over the next 24 months, these should get stabilized. So we should have a better pass -through from EBITDA to PAT by 150 basis points, which was the case. If you go back a year ago, you will see roughly that number. So it's a little bit of a -- it's a part of the game that we need to go through.
Moderator: We have our next question from the line of Bhavin Chheda from Enam Holdings.
Bhavin Chheda: Yes. Sir, regarding long -term guidance in the Slide number 8, what peak revenue potential from new brands and the utility bedding. The $275 million increment, is it the incremental number or over the current number? And what's the current number there? Utility bedding and new brands contribute how

much right now?
Mohit Jain: So, Bhavin, the overall increase is $275 million. In FY '24 -'25, that number is roughly $32
million, which is the INR225 crores on -- sorry, it's $26.5 million, roughly $26 million -odd.
Bhavin Chheda: Roughly $26 million. So another $75 million you will add. So basically...
Mohit Jain: No, no, no. Bhavin, the total is $275 million from a zero base.
Bhavin Chheda: From a zero base?
Mohit Jain: From a zero base In '24 -'25, out of the $275 million, we've done INR225 crores, out of which
INR100 crores came in Q3, INR125 crores came in Q4, which translates to roughly $26
million roughly. So you can say $250 million will be further.
Bhavin Chheda: Yes. Sir, second question, can you give us...
Mohit Jain: Over 3 years.
Bhavin Chheda: Yes. FY '25 on a fiscal basis, what was the geographical mix like US, UK, Europe and rest of
the world? UK, you mentioned 10%. If you can give US and Europe and rest of world, yes.
Mohit Jain: US is approximately 70% for us. And then 20% is Europe, Australia, Japan, Middle East, all
put together. And all those markets...
Bhavin Chheda: Do you have European figure separately ex of Australia, Japan and all that?


Mohit Jain: We can take that off -line and give it to you, should be 6%, 7%, roughly.
Bhavin Chheda: Non-Europe should be 6%, 7%, you're saying?
Mohit Jain: Yes. We can check and give it to you off -line, if you don't mind.
Bhavin Chheda: Rough numbers. And my, sir, last question, we had a quarter 3 call in February where you
were expecting 110 million to 115 million meters for full year, but you ended with 106
million. So I'm assuming Jan was over, Jan was fine. So whatever decline you would have
seen was a sudden decline in the month of March and probably some in Feb.
And continuation of that question also is, since you have mentioned in the earlier part of the
call that the gross margin pressure was probably due to down trading of product mix to the
lower and the medium end. Was that a client -specific issue?
Your across US portfolio is seeing a down trading because I have not seen such down trading
happening just suddenly in 1 or 2 months tracking home textile for more than a decade. So is
this a client -- large client -specific issue or across the market?
Mohit Jain: Sure, sure. So we have started seeing offtake of lower -priced products, Bhavin, in early
February. However, we were not sure if this is like a one -off situation or a continuing trend, as
I mentioned. It's only towards second half of February that we start realizing that this seems to
be a continuing trend, and this is across the US landscape. It's not specific to a retailer or a
customer.
Moderator: We have our next question from the line of Resham Jain from DSP Asset Managers.
Resham Jain: So, I have 3 questions. First one is, you explained about the ASP thing. But is there any
differential in terms of the buying pattern between the big box retailers versus more fashion -
led or those kind of retailers in terms of the overall demand conditions?
Mohit Jain: So, Resham, of course, every -- today, we sell to a direct -to-consumer company in the US,
their product mix would be different. A big box retailer's product mix would be different. I
mean, today, if you're purely a luxury store like Bloomingdale's, it would be different. So each
customer is different from their product profiling standpoint.
Resham Jain: No, sorry. My question was, are the demand conditions right now in US, are you experiencing
different behavior right now where big box retailers are doing much better and that is pulling
down the overall ASP versus the more high -end or fashion -led home textile customers?
Mohit Jain: Understand. No, at this point of time, we are seeing it across the board. It's not specific, let's
say, a luxury stor

e is suffering and versus the big box is gaining traction right now.
Resham Jain: Understood. Okay. And also between the 2 sites of home textiles, Vapi and Kolhapur, how are
the overall economics right now because Vapi, you have turned it around after taking it over.
But now is the situation very different in the operating condition of both the sites? Because
Vapi had its history of the past when GHCL used to manage it?


Mohit Jain: Correct. But after 6 to 9 months of us take it over, we had -- both facilities got to a similar
margin profile number. So for us, it's -- there's 2 separate manufacturing units servicing clients.
So it's -- there's no differentiation. Even their cost patterns are very similar.
Resham Jain: Okay. Got it. And my last question is, sir, with respect to the US facilities and there are -- like
you are putting up greenfield also. Generally, we have seen most of the Indian companies in

the past who have put up facilities in US. They make -- they typically face a lot of challenges in operating and making money.

So according to you, let's say, if you have to give 2, 3 pointers which gives you confidence and these are large investments which you are doing there. So the history is very patchy for most of the -- not just textile players, but most of the other industries?

Mohit Jain: Sure, Resham. So, of course, we are also previewed to those, and we've also gone through the data. But what we've done is, we've, of course, invested in a very, very strong team, some of the best in the industry. We've handpicked them, chosen them, got them on Board, where both us and their thought processes completely match and tally.

We've invested in 3 strategic locations, got it, of course, 2 acquired and the third one is a greenfield project. We have great customer traction. That's how we got into this business. A lot of feedback from our customers to get in and add value here. And that, along with getting into some license brands that will all help build these new categories of businesses for us. We are pretty comfortable with where we are at this point of time.

Moderator: We have our last question from the line of Prerna Jhunjhunwala from Elara Capital.

Prerna Jhunjhunwala: My first question is whether -- because the down trading in the US started only from February to -- and it accentuated only in the later half of the quarter, do we see a sharper decline in ASP or any further margin expansion than Q4 -- margin contraction in Q4 than we -- in Q1 than we witnessed in Q4?

Mohit Jain: So, Prerna, we would not like to give any specific comments on Q1 margin or overall. But we have seen -- and because the environment is extremely volatile, so it would not be correct to give a margin for Q1. However, our endeavor will be to maintain, if not grow from Q4 levels, yes.

Prerna Jhunjhunwala: Okay. And are we seeing additional volumes being sourced from India? Because the tariff post July would -- if there is no bilateral agreement with various other countries as well, we see a little more volumes in Q1 as compared to the rest of the year.

Largely, I'm just trying to understand the consumer behavior over here that whether they are trying to protect their inventory or trying to protect the profitability. What are -- how are they behaving right now in terms of volumes? And what are they asking you to share in terms of margins over the period?

Mohit Jain: Can you come again because I didn't follow you completely? So I don't want to...



Prerna Jhunjhunwala: Okay. So the whole point, what I want to understand is, how are retailers behaving in terms of their procurement cycle during this tough period because at one end, the consumers are down trading. So their profitability also gets hit. And at the other end, the tariff situation is also not at their side. So are they trying to procure a little higher amount of volume initially because they don't know what happens beyond 90 days or the procurement remains as usual as in Q4?

Mohit Jain: Understand. So there is no knee -jerk reaction that somebody -- that the retailers are thinking that after 90 days, something will happen and then let's stock up right now and then keep our warehouses full. So we're not seeing any of that. There are absolutely no conversations because this is such a dynamic and volatile situation.

So they're also just going through it as time is moving along and hoping that everything will settle down in the next 2 to 3 months. But there's no knee -jerk reaction from their side. And even if it's products that are sourced from China, it's not that they're knee -jerking and saying that, okay, now we want to flip it to India.

China was 145% and now it's to 30%. So finally, we all are hoping that there is some equilibrium across the world that everybody knows on what terms can you do business with or act. That's the objective. We are not trying to say that India should be better or worse. So it just has to be just some level playing field for everybody to understand. We all need to understand what's the new normal.

Prerna Jhunjhunwala: Yes, I agree. And sir, last question on Wamsutta. The launch has been delayed by a quarter almost. In current scenario, when we are seeing down trading happening in the US, how do we see Wamsutta's product mix? Because it's more of a premium brand than low -end brand. So how do we see the launch and the success initially there?

Mohit Jain: Absolutely. So interesting question. It's come up in our internal discussions also this. So at the end of the day, we are in this business for the next 10 years, if not longer to come, to make this a good successful brand. So the way it is positioned and you can go to wamsutta.com and now sign up. So we expect to launch it within the next 30 to 60 days as a direct -to-consumer brand. So it's an affordable luxury brand.

And there will be learnings. Direct -to-consumer is an interesting space. There are a lot of successful companies now doing it in our home space. So there will be some learnings. So this

is the best time we thought as a team to get into it and get through the learnings in this environment. So we are moving ahead.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today, and I now hand the conference over to the management for closing comments.
Mohit Jain: In conclusion, while macroeconomic uncertainty remains, we are excited about the launch of our direct -to-consumer brand, Wamsutta shortly, as I just mentioned. Our continued efforts to broaden the reach of our portfolio across end markets are now strongly reinforced by the recent additions to both our branded and licensed offerings.


This strategic initiative underscores our commitment to growth and position us for even greater success ahead. Furthermore, the UK FTA presents a valuable opportunity to further grow our market share and strengthen our position as a global leader in the home textile industry. Thank you for your ongoing support as we move forward on this exciting path of expansion.
I hope we've been able to answer all your queries. In case you have any more queries or require any clarifications, please feel free to connect with us or SGA, our Strategic -- SGA, our Investor Relations advisors . Thank you for joining the call.
Moderator: Thank you, sir. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Aug 2025

Ref No.: ICIL/ 32/2025-26 21st August , 202 5

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No: 521016

Subject: Transcript of the Investors' Conference Call held on 13th August , 202 5 for Q1 & FY26 Results

Dear Sir /Madam,

In continuation to our earlier intimation dated 13th August , 2025 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on 13th August , 2025 at 11:00 a.m. (IST) for Q1 & FY26 Results.

The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -of-Q1-FY26 -Investors%E2%80%99 -
Conference -Call-held-on-August -13-2025.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/ a


"Indo Count Industries Limited
Q1 FY '26 Earnings Conference Call "
August 13 , 202 5

"E&OE - This transcript is edited for factual errors and readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th August , 2025 will prevail. Further, no unpublished price sensitive information was shared/discussed in the call"

MANAGEMENT : MR. MOHIT JAIN – EXECUTIVE VICE CHAIRMAN – INDO
COUNT INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Indo Count Industries Limited Q1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should any of you need assistance during this conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Jain, Executive Vice Chairman. Thank you, and over to you, sir.

Mohit Jain: Good morning, and a very warm welcome to all of you joining us for the Indo Count Industries Limited Q1FY26 Earnings Call . I'm also joined by our Group CFO, Mr. Muralidharan; Manish Bhatia, our CFO; and Strategic Growth Advisors, our Investor Relations advis or. We hope you had the chance to review the financial results and investor presentation available on the stock exchange and on our company website.

To begin with, I'm delighted to share a moment of great pride and excitement for all of us at Indo Count, the relaunch of the iconic Wamsutta brand in USA as a direct -to-consumer offering, which is exclusively now available at wamsutta.com. A 180 -year-old heritage brand, Wamsutta has long been synonymous with premium qua lity bedding and bath products.

Loved and endorsed by millions, it became a household name and a category leader over generations. Its relaunch marks a significant milestone in Indo Count Strategy . The refreshed Wamsutta brand retains its timeless promise of comfort and quality while embracing a premium positioning tailored f or today's discerning customer.

By reintroducing it through the direct -to-consumer channel, we are proud to connect with a new generation even as we honor its enduring legacy. We are confident that the strong comeback will pave the way for even greater strides for the brand. Wamsutta wil l go beyond bedding and will also cater to other soft home products such as towels, pillows, blankets, rug s, window treatment, etcetera.

As we step into FY '26, we have revisited our business categories and product offerings aimed at providing greater clarity to the investor community on how Indo Count has evo lved and continues to progress.

To simplify our approach and enhance transparency, we have reclassified our portfolio into 2 key verticals, that is core business and new businesses. This structured view enables to clearly understand the progress of the strategic initiatives we are undert aking within each of the businesses and the direction in which we are moving.

Core business is our bed linen segment and this will include bed sheet business that is flat sheets, fitted sheets, pillow cases, fashion bedding, institutional bedding and the Indian domestic



business. This segment will also include its branded business across all the above categories, comprising both private label and Indo Count's owned or licensed brand, however, excluding USA brands.

New businesses will include both our utility bedding bus iness and our U SA brand business. Utility bedding business covers products such as pillows, mattress pads, down alt comforters and quilts, pillow and mattress protectors. Owned and licensed brands such as Beautyrest, Sleep Rx, Pillows falls under utility bedding business .

USA brand business, a pure -play branded business encompassing any product ca

tegory such as
sheets, pillows, quilt s, towels, window treatment, et cetera, sold under these brands would be Wamsutta, Fieldcrest, Waverly and GAIAM. This new representation will help you assess the direction of our efforts across the business.

Just to reiterate on the branded business, all other brands, whether o wned or licensed, excluding

USA brands, will be classified under the bed linen segment. Utility bedding brands have been highlighted separately, while our domestic brands, Boutique Living and Layers will continue to be part of the bed linen segment. Total branded business across all 3 categories contributed to approximately 20% of overall revenue in Q1 FY '26 against 16% in FY '25.
On the financial performance of both the business verticals, our core business delivered a 16% CAGR over the last 2 years, that is FY '23 to FY '25, while our new business expanded nearly four-folds during the same period. Consequently, the revenue mix in the new business shifted from 2% in FY '23 to 7% in FY '25 and it currently stands at 13% in Q1 FY '26.
Moving on to the current business update. FY '26 began with significant uncertainty. The overall demand sentiment showed signs of softness due to the U.S. tariff situation, leading to demand cutbacks that impacted volumes and revenues during the beginning of the quarter. The fluid trade environment has prompted customers to prioritize inventory control and portfolio realignment, weighing on overall demand.
Turning to our new business. The utility bedding and U.S.A. brand segment recorded higher revenue contributions this quarter. Revenue from these businesses rose to INR130 crores in Q1 FY '26 compared to INR125 crores in Q4 '25. These segments remain key future growth drivers. The utility bedding segment with its manufacturing base in the United States benefits from a unique market position and strong customer relationships. Moreover, brand -related demand in these categories is driven more by performance than price sensitivity. Currently, in the utility bedding business, we are operating at approximately 50% capacity utilization.
The past few days have been challenging with the tariff situation remaining highly volatile. There have been continuous changes in the tariff situation since April. Initial tariff of 10% was increased to 25%, which has now been increased to 50% from end of August, yet considerable uncertainty persists. We are in continuous dialogue with our customers as the y revisit their sourcing plans. We hope this situation to stabilize soon.



Our core bed linen segment continues to face headwinds, particularly from lower volume offtake and unfavorable product mix and pricing pressures stemming from the prevailing tariff environment. Our new business, while the pace remains gradual, continues to show positive trajectory and customer acceptance.
While the near -term volatility may impact performance for a quarter or 2, our commitment to achieving our 2x growth guidance remains unwavering. In the backdrop of such challenging times, we have done better with a year -on-year growth of 2% in revenue and approximately 372 basis points expansion on margin on a quarter -on-quarter basis.
The revenue growth was contributed by our new businesses, which continue to gain traction. The margin expansion on a quarter -on-quarter basis was on account of stringent cost controls and other efficiency measures. However, margins remain below last year's levels due to the unfavorable product mix and the incubation costs related to the new businesses.
Costs that we have indicated will persist until the end of this year. In the near term, both margins and sales volumes are expected to remain under pressure until the U.S. tariff environment stabilizes.
Coming to other markets , USA remains our largest market; howe

ver, we now have a presence
in over 50 countries and have been expanding our footprint through focused efforts in recent years. With government signing new FTAs, we expect our market share and contribution from ROW mark ets to grow in the near future.
Several economies are emerging as promising destinations for Indian products. And in many FTA markets, we have already been seeding demand for some time, placing us in a strong position to capture upcoming opportunities.
In certain geographies, we are already well established with customers, enabling faster scale up. In summary, we are all well prepared to navigate the evolving global landscape and capitalize on emerging opportunities with our growth strategy extending bey ond product diversification to include geographic expansion.
Notably, our non -U.S. business now contributes approximately 30% of the core business, underscoring our sustained progress in broadening our market base. A significant development in this direction is India's recent signed FTA with the U.K., aimed at accel erating economic collaboration between the 2 nations.
The agreement is expected to boost trade volumes, facilitate greater market access and strengthen investments. For the textile industry, it eliminates duties of 10% to 12% on Indian products, significantly enhancing our competitiveness in the U.K. market. This places India on the equal footing with countries such as Bangladesh and Pakistan, which have long enjoyed duty-free access.

On the EU front, we are hearing encouraging developments and hope finalization of FTA between both sides gets concluded by end of this calendar year. We are hopeful on this FTA,


which will now open new avenues for growth, creating significant opportunities for the Indian textile industry.

Coming to India's home textile sector, a growth story. India's home textile market is poised for robust growth, fueled by rising domestic demand for bedding, bath and other home products. Factors such as rapid urbanization and higher disposable incomes are expected to further boost consumption. While the growth influencing e -commerce platforms will expand the industry's reach.

In line with this potential, we recently organized our largest ever retailer and distributors trade meet for our domestic brands, Boutique Living and Layers to unveil the Autumn/Winter 2025 collection under the theme Feel the Future. This was our most exte nsive showcase to date, presenting an innovative and vibrant product ra nge across our domestic brands.

Boutique Living continues to gain strong traction in the mid - to premium market. We have also made significant progress in category expansion, broadening our top of bed, bath and gifting portfolios to tap into the emotional role of home textiles in weddings, celebrations and everyday life.

In terms of market reach, both brands have expanded their presence to over 2,000 MBOs pan - India. Their presence in large -format stores is also rising, further strengthening our retail distribution network.

It is heartening to note that feedback from the event was highly encouraging, reaffirming our confidence in the domestic market's potential. While domestic business currently contributes to approximately 2.25% of total revenue, we remain optimistic about s trong growth in this segment as we continue to deepen our nationwide presence.

Moving forward, I'd like to take a moment to highlight a new initiative undertaken by the company. Indo Count Foundation in collaboration with the Maharashtra Government and Dr. PDKV College of Agriculture, Nagpur , established in 2022, a Center of Excellence to promote sustainable high-yield cotton cultivation.

The outcome of this partnership has now led to the implementation of the high -density planting system, a technique designed to enhance co

tton productivity. This initiative has received high -
level recognition, including praise from Agricultural Minister, Shri Shivraj Chouhan, who lauded HDP S as a game -changing model for the Indian cotton farming.

By 2025, its impact is already evident with over 12,000 hectares in a Kolar district successfully adopting the HDP S model. HDPS has proved to be a leap forward in sustainable cotton innovation, delivering remarkable improvements in both plant density and yield.

Compared to the conventional method of 11,000 plants per acre, HDPS enables 29,500 plants per acre, nearly 3x the planting density. This increase translates directly into higher productivity with yields rising from 450 kg per hectare under traditional meth ods to an impressive 1,250 kg per hectare using this method.


A standout success story features a pioneering farmer who achieved 29,400 plants per acre, validating the system's potential and inspiring widespread adoption. This initiative not only boost cotton output but also sets a new benchmark for sustainable agric ultural practices in our country.

To sum up, the current U.S. tariff situation may have a temporary impact on demand. Having established a robust presence in the U.S. market, our focus is now on moving higher up the value chain.

This includes a commitment to premiumization, expanding our manufacturing footprint and strengthening our team with experienced and dynamic talent. By leveraging these strategic initiatives, we aim to multiply revenue, enhance profitability and write the n ext chapter of our success.

This is from my side. Now I request Mr. Manish Bhatia, our CFO, to share financial highlights of the company.

Manish Bhatia: Good morning, everyone. Sales volume for Q1 FY '26 stood at 23.6 million meters versus 25.3 million meters in Q1 FY '25, down by approximately 7% Y -on-Y. On a quarterly basi s, volume de-grew by around 8%.

Total income. Total income for Q1 FY '26 stood at INR967 crores compared to INR950 crores in Q1 FY '25, reflecting a year -on-year growth of 2%. On a sequential basis, as this was the first full quarter impacted by tariffs, revenue declined by 6%.

Coming to EBITDA. EBITDA for Q1 FY '26 stood at INR119 crores compared to INR154 crores in Q1 FY '25, down 23% year -on-year. EBITDA margin was 12.26% vers us 16.17% in the previous year. Around 200 bps of the margin contraction can be attributed towards incubation costs of new businesses, which are expected to conti nue until the end of this year.

This we have mentioned in the earlier calls also. The remaining decline was primarily due to an adverse product mix and lower volume. On a sequential basis, EBITDA increased by 35%, with margin expansion of 372 basis points to 12.26% from 8.55%. This was driven by internal cost efficiency measures undertaken.

PAT for Q1 FY '26 stood at INR38 crores compared to INR78 crores in Q1 FY '25. The decline was driven by lower operating performance along with higher depreciation from new facilities and increased finance costs arising from investm ents in newer businesses.

As volumes in the core business scale up and the new businesses show more traction, we expect stronger EBITDA to PAT conversion over the next 2 years. On a Q -o-Q basis, PAT improved significantly as overall operating profitably improved, coupled with lower finance costs. EPS for Q1 FY '26 is INR1.91. Debt, there has been approximately INR60 crores of debt reduction in this quarter.

With this, we open the floor for Q&A.



Moderator: Thank you very much. We will now begin with the question and answer session. The first question comes from the line of Prerna Jhunjhunwala from Elara Securities.

Prerna Jhunjhunwal

a: Sir, just wanted to understand how are the U.S. retailers behaving in terms of order placements and negotiations with respect to 25% tariff or 50% tariffs?

Mohit Jain: So as far as right now, as we speak, it's business as usual. I think everybody is waiting and watching, but there's no change. Whatever orders we have continue, we continue to ship. And against projections, we continue to get purchase orders.

Prerna Jhunjhunwala: Okay. So there is no major change in the market share of the country or market share of Indo Count that we should expect if these rates continue?

Mohit Jain: Not as of this morning.

Prerna Jhunjhunwala: Okay. Understood. And...

Mohit Jain: It's all very early days. So we've got to keep that in mind.

Prerna Jhunjhunwala: Yes, I understand. This is as of today because things keep changing every day in current scenario. So I understand that. Sir, also, I wanted to understand like tariff, the impact of tariff, how much have we shared during the quarter? Is there any impact of increased tariff of about 10%, like imposition of tariffs in the quarter?

Mohit Jain: Sure. So we have taken calls on a case -to-case basis. Due to business sensitivity, we would not like to get into further details.

Prerna Jhunjhunwala: On an average?

Mohit Jain: No. I mean you can see that in our results.

Prerna Jhunjhunwala: Okay. So the impact that would be there would be in gross margins largely?

Mohit Jain: Across the board, it could come. If it's FOB shipment, it would be in gross margin, if it's not, it could come below also.

Prerna Jhunjhunwala: Okay. Understood. Sir, you've taken cost control measures visible in other expenses. Could you please highlight a few of them to understand whether these cost control measures are sustainable or only for a few quarters?

Manish Bhatia: So we were also benefited by lower raw material basket, plus there were some other savings like product related -- production -related marketing expenditure related. So these are like operating efficiency also because these are certain bit of variable expen ditures depending on the volume.

Prerna Jhunjhunwala: Okay. Understood. Understood. Sir, last question on non -U.S. exposure. You mentioned that your non -U.S. exposure is increasing. Where do you see this non -U.S. exposure reaching in the next 3 to 5 years? Will that be a growth driver? And which geographies a re you targeting for the same?



Mohit Jain: As we have said in the past, the geographies right now, there are -- we ship to over 50 countries, countries like Australia, Japan, Middle East, U.K., EU is opening up as we speak. So these are

all countries that we have a presence in and the presence is g rowing year -on-year for us.
Over the years, I mean, we expect our noncore business now contributes to, let's say, 30% of our overall product mix of our core business. With the government signing new FTAs, we expect our share and contribution from these markets to grow in the near fut ure. And we've seeded the demand for some time now in several of these geographies and we are well established. So I think it will only scale up from here.
Prerna Jhunjhunwala: Okay. Understood, sir. Sir, last question, what will be our U.S. exposure in FY '25?
Mohit Jain: 70 -- I mean the breakup is roughly 70 -30. 70% is U.S.
Moderator: The next question comes from the line of Ashwini Agarwal from Demeter Advisors LLP.
Ashwini Agarwal: So I was more interested in the U.S. brand business. So you mentioned that you want to sell towels, window treatments and a lot of other products that you don't currently manufacture from what I understand. Is there a plan to get into all these product categories or these will be all be outsourced?
Mohit Jain: See, let's look at it from a different perspective, Ashwini. Today, the

se are brands. From a consumer standpoint, when the consumer is buying the brand, they want to get a complete holistic soft home experience.
So our design teams, our product development teams design the whole range of the product across all soft home categories, right, from a pillow to a mattress pad to a fashion bedding to a bed sheet to a towel to a window treatment and then we present the co llection to the customer.
So we already started selling since last year.
All these product categories is already -- we're already selling under our brands. They already placed with retailers and so we're going to grow into these categories. We have no plans to produce these as we speak.
So we have vendor partners who we have tied up with and who bring their best to us, but these are all products that are designed by our design teams and then brought to customers and then in turn, sourced globally.
Ashwini Agarwal: Okay. And the Wamsutta range of bed linen, you would manufacture in -house or would that be sourced from vendors?
Mohit Jain: At this point of time, that is all manufactured at -- in our own facility.
Ashwini Agarwal: Okay. And coming to the margin profile of the U.S. brands business over a longer period of time, I mean, as you grow this portfolio, what do you think is the margin profile that's achievable in this piece of the business?


Mohit Jain: Yes. I mean, as a company, we are striving to be between 16% to 18%. And this particular segment should give us a higher margin than our core business. But it's yet early days for us. We are dealing with a lot of uncertainty, a lot of things coming our way . So I think we just need to digest what we have, build the business, be relevant to the customer. And I think everything else will fall in place.
Ashwini Agarwal: Right. And sir, my last question is the potential for the Indian brands business, which is, say, 2.25% of your revenue as of now. I mean, it's -- to my mind, it has a huge potential, but obviously, there must be some reasons why it hasn't grown. How do you see this business? And I note that you've held your first ever trade convention, the largest one a couple of days ago. How do you see this business evolving?
Mohit Jain: India has humongous potential, but one has to take one step at a time. Here, we are selling -- we're not trying to sell any of our export surplus. These are products that are made for the domestic market, designed for the domestic market. We have huge coll ections. We need to have a -- we have a reach now. So it's one step at a time.
We have a team of over 100 people in the system for this department. So I think it will -- it's only going to be upwards. And it wasn't our first show, it was the largest that we had. We continue having these, but this was the largest attended that we had and we had it at the Grand Hyatt in Mumbai. So we are notching it up slowly and steadily. We are not -- we're going to take it one step at a time so that it's sustainable and profitable.
Ashwini Agarwal: And this is not -- there's no B2C, D2C seg ment here. This is all via MBOs?
Mohit Jain: It's MBOs. It is like stores, you can say, large -format stores. So mostly B2B. We have our products on our website, which is boutiqueliving.com and Layers, which we launched in fact in this quarter. But predominantly, the distribution is B2B, you can say. And then, of course, we are available on the marketplaces also online.
Ashwini Agarwal: And your capex peaks this year. From here on, it should kind of roll down over the next 2 years. Would that be a correct assessment?
Mohit Jain: Yes, more or less. I mean, whatever we've showcased so far is there's nothing else on the table, but we keep getting opportunities which will get evaluated as and when they come. But as we

speak, it is what we have r

ight now. And then normally, we have INR50 crores to INR75 crores
of regular capex every year in our facilities, which is historically the case and even this year. I
think we've shown INR65 crores for this year.
Ashwini Agarwal: Yes, that's regular maintenance capex . Yes, I get that.
Moderator: The next question comes from the line of Surya Narayan Nayak from Sunidhi Securities &
Finance Limited.
Surya Narayan Nayak: And a great set of numbers in challenging environment. So just my question is that considering
the current difficult situation on the tariff front, so do we think that your understanding of the
U.S. customers, the premium appetite of the customers. So do y ou think we will be able to sustain


for FY '26? And at least we may see some kind of volume degrowth, I understand. But still we'll
be able to manage to get at least maybe with maybe 5% to 6% kind of degrowth with the
realization intact?
Mohit Jain: Surya , I wish I was a magician or a jyotish , I don't know what you -- but right now, we are just
taking it each day as it comes. And we are not pessimistic. We are yet optimistic. So our
objective, like I said in the last call also is to maintain our market share and grow it. And that's
what we are striving to do.
Surya Narayan Nayak: Okay. And what is the plan for FY '26 as far as the U.S. operations are concerned, like Fluvitex
Modern Home and other brands apart from the greenfield ? So what are the kind of revenues you
are expecting in the U.S. operations alone, which is not affected -- which will not be affected by
the tariffs?
Mohit Jain: So I think you're referring to our manufacturing business, which now by September end, we'll
have the third plant also in Kernersville, North Carolina operational and that's our flagship and
will be our largest location. So a, I'm happy to share that we ar e already at a 50% utilization.
We just got into this business less than 12 months ago. And over a period of 3 years, starting
this financial year, we are quite optimistic of achieving $175 million in revenue, so -- in this
category of business of utility bedding, which is being manufact ured in the United States.
Surya Narayan Nayak: So last year, we did in total maybe INR175 crores, if I'm right. So this year, you are saying
around -- what is the kind of revenue of INR1,500 crores?
Mohit Jain: No, no. What I'm saying that over a 3 -year period, we'll do $175 million in revenue in this
category. It's very difficult to say how much will we do this year, how much will we do next
year. But it's on a growth mode.
Surya Narayan Nayak: Because the tariff will not be there for those kind of goods. So obviously, the appetite would be
intact. And obviously, so I mean, in the steady -state basis, you could be drawing some kind of
projections for at least FY '26. So what kind of figures you ar e actually pointing out?
Mohit Jain: So I would not be able to comment on an exact number. But please keep in mind that these are
goods that are manufactured in the U.S. These are utility bedding products that we are
manufacturing, which is predominantly different types of pillows and quilts. This is our
manufacturing capability. This is a new product category per se for Indo Count. Basically, these
are white goods.
Of course, their raw material does get imported. The advantage we have is that we are not bound
to any one country. We can -- I mean, the team can source globally. So that's the advantage that
we have. Of course, whenever you're buying from one country and you need to move supply
chain to another country, it takes time. But other than that, the raw material prices would go up,
which we'll pass on to the customer and move forward.
Surya Narayan Nayak: And, considering your deep understanding of the U.S. market, the customer profile, so do y

ou
think that due to the tariff issues, the U.S. customers will settle to lower or economical kind of


products rather than they will stick to the premium kind of products, I mean, that is the usual
case for the U.S. market.
So what is your understanding till date, since February this year? So are you seeing the U.S.
customers sticking to the kind of -- I mean, appetite they are having towards the premium goods
getting intact?
Mohit Jain: These are all very early days. There's too many things up in the air as we speak. Things have
just started moving between March and now. By end of this year, all of this should settle down.

Having said that, of course, we have seen a little bit of down tra ding happen in the product portfolio that people do not want to invest too much in luxury goods so that -- because the tariff impact is higher.
I think this is -- it's not about our product category A. It's -- I think the retailers are assessing as we speak, what is the customer appetite to pay higher prices, what's the elasticity. So I think all of this w ill get played out as we speak.
There's no -- nobody has, including the retailer and an answer today that what's the right formula. So it's all trial and error that they are doing at their end and they're trying prices out. People have increased retail prices. So it's all being tested ou t as we speak. So it's a dynamic situation.
Surya Narayan Nayak: Okay. Okay. And the budget for this year, INR214 crores will be intact and we will definitely be maintaining that apart from the maintenance capex of INR65 crores?
Mohit Jain: Sorry. Could you repeat your question?
Surya Narayan Nayak: I mean the North Carolina and the ZLD that is budgeted for this year, that will be going through irrespective of the market situations?
Mohit Jain: Yes, I mean, as you can see and we have showed in our Q1, we've already spent INR72 crores, approximately INR70-odd crores out of the INR200-odd crores that we've said. It's only the Bhilad effluent treatment plant that hasn't started yet. So there could be some spillover into next year, but these are long -term projects that will go through.
Surya Narayan Nayak: ZLD will be taken up this year or next year?
Mohit Jain: It should be taken up towards the end of this year. We'll start at the end of the project.
Moderator: The next question comes from the line of Jayesh Shah from OHM Portfolio Equi ty Research .
Jayesh Shah: My question is, as per the media articles, we believe that this is the time when the busy season orders are issued out in the U.S. and which India may be losing out to the other competing countries. So how are these discussions and negotiations going on? A nd is it that you are able to maintain those orders, say, at a certain discount?
And secondly, if you have to replace your U.S. business, to what extent can you sell in discounts, in Australia, Japan to make up for the loss of these orders?


Mohit Jain: We are not looking, Jayesh, to replace the U.S. with Australia by selling at a discount. That's not a viable business situation because we'll be spoiling those markets forever, and that's not a sustainable business model either. To your first question, we are mostly in the replenishment business.
So what happens in our case, we get projections from our customers, which is like a 12 -month rolling projection. And then we get purchase orders 45 days or before shipment. So that business continues as is. So it's not really a season. We are not in the fa st fashion business where you're working from one season to another season. So these are backhaul programs. It's in the stores, selling continuously.
Jayesh Shah: I see. So hypothetically, if this

50% tariff continues beyond, say, August, is there any way that you would be able to sell in the U.S. or that option is out because it's too huge a burden for any textile manufacturer?
Mohit Jain: So the delta is between -- you can -- the whole world average is between 20% to 30% right now. So if you take a mean of 25%. So 25% -- and then you have 50%, so 50% minus 25%, we have a delta of 25%. There would be some business loss to what extent it's ve ry difficult to predict.
Jayesh Shah: Okay. That burden then would be shared across the entire supply chain and whatever.
Mohit Jain: Yes, yes. And then we'll have...
Jayesh Shah: Then your U.S. business would continue at whatever. So in a way to read from an investor point of view, maybe there is a hit on the EBITDA margin, which you have to make up from cutting the other expenses probably on marketing or whatever. But overall sale s revenue, there may not be a huge drop.
Mohit Jain: I think it all depends on how each customer behaves. It's again, very difficult to predict. If India's delta in a product like textiles or other products that we're exporting while only textiles is a 25% additional delta, India will stand to lose at that s tandpoint.
I cannot imagine -- and if -- as long as the 2 governments are talking and there's a light at the end of the tunnel, then every large retailer who's strategic in nature will -- and we'll all figure out ways to keep our businesses going. But if this is engraved in stone and the relationships there's no light at the end of the tunnel, then some businesses are going to move to other countries. There's nothing we can do about that.
Moderator: The next question comes from the line of Raman K.V. from Sequent Investment.
Raman K.V.: Sir, during the quarter, I have noticed that your new business, which is primarily manufacturing in U.S.A. has ramped up pretty quickly and steadily. I just want to understand, is this -- what's the margin in the current quarter with respect to this busine ss?

Mohit Jain: As we mentioned that on an overall basis right now, we yet have a 150 to 200 basis point hit on our EBITDA margin, which will continue till the end of the year. Once this stabilizes, then these



businesses, I mean, in the short term, should do the same level of margin as our parent business. So overall, as I said, our target is to be between 16% to 18% once things in the world normalize.

Raman K.V.: No, I just want to understand, is this business EBITDA breakeven or it still will be breakeven by the end of the year as the capacity ramps up?

Mohit Jain: Yes. Even today, it is EBITDA positive. I mean, it depends how you look at it. I mean, not -- I wouldn't say it's EBITDA positive, but we are recovering all our costs. I mean there are a lot of fixed costs right now in that business. That's why it's the 15 2 basis points EBITDA hit at the end of the day, right?

So we've already put the team in place. We put the talent. We have the facilities, we have the infrastructure. So there's a cost associated marketing. There's costs associated to all of that, which we are pretty confident that by the end of the year, that will all get absorbed.

Raman K.V.: And sir, currently, with respect to this business itself, there are 2 plants, one in Arizona, one in Ohio. Can you give any capacity utilization?

Mohit Jain: Yes. As I said, it's at 50%.

Raman K.V.: Okay. And sir, by the end of this year, how much -- what percentage of revenue are you expecting from this new business?

Mohit Jain: As I mentioned, we are expecting $175 million from our utility bedding business and we are pretty confident that over a 3 -year period, we'll be able to achieve this.

Raman K.V.: No, no. I just want to understand. So with respect to -- during this quarter, the new business contribution to th

e overall revenue was 13%. So can we expect this same percentage for the remaining period as well?

Mohit Jain: Yes, around these levels, yes. I mean.

Raman K.V.: And from FY '25, can we expect the margins to be stabilized like around 17% to 18% .

Mohit Jain: Correct. That's what -- I mean, the hit on the margin, which we -- I mean, like any business, I mean we are seeding the business as we speak. So that will go away. It should be able to stand up on its own.

Moderator: The next question comes from the line of Vikram Suryavanshi from PhillipCapital India.

Vikram Suryavanshi : Just wanted to check that for our U.S. operation, you highlighted that there would be imported raw material at slightly higher duties now. So to compensate that, have we taken any price hike for our U.S. operation and the products which you are making ther e?

Mohit Jain: Absolute -- Vikram, absolutely, on a case -to-case basis, that gets adjusted with the retailer. They all understand. If this is a new world normal, then it's normal for everybody, right? All our competitors, everybody is in the same boat. There could be a 1 -month lag here or there or 1 or



2 months. But otherwise, it doesn't -- I mean, it gets -- it's able to get passed on or the product gets reengineered by keeping the customer in conversation.

Vikram Suryavanshi: Got it. And second, I really want to acknowledge your efforts improving the cotton yield that has been a really serious issue for India . But just some clarity on this 3x plantation increase, is it basically on irrigated land or it can be also implemented with the rain areas also?

Mohit Jain: We'll have to check and get back to you. So I don't want to give you the wrong answer. This is an initiative that our foundation took 3 years ago and people saw it and took it up and they started getting the benefit. But I don't have the exact answer. We c an get back to you on that.

Moderator: The next question comes from the line of Subhankar Ojha from SKS Capital.

Subhankar Ojha : So my first question is the new acquisition, the plant in U.S., will it save the tariffs for us? Sorry to -- sorry, if I'm asking repeating the question because I've joined a little bit later in the call.

Mohit Jain: Yes. Subhankar, no, I'll explain. So these are 3 manufacturing locations, which will manufacture pillows as well as quilts in the United States. One plant is in Ohio, one is in Arizona in a city called Phoenix. And the third one is in North Carolina in a t own called Kernersville. The raw material for these are imported. The raw material is not produced in the United States. So most of it gets imp orted from different countries.

It could be China, Pakistan, India. I mean, we are -- we can source from any country depending on the viability of that country and the product that they make and the specialty of the product and the technology that we're offering to the customer.

Subhankar Ojha : Okay. My next question is about the U.K. How much benefit will we get from this deal?

Mohit Jain: On our product category, the duty is 12% as we speak. Now once the U.K. Parliament passes it, we've already started active conversations with customers, strategic conversations as what should be there, but 12% is what was India's delta.
Now when this gets -- goes away, then, of course, India becomes very competitive as a country. And some part of it would -- the benefit should come to us as an organization and some part, the benefit will go to the customer and then the market share of Ind ia will improve even in the U.K.
Subhankar Ojha : Okay. My last question is, can you give you me the breakup of revenue between U.S., U.K. and India, rest of the world?
Mohit Jain: Sure. So the -- of our core business, the U.S. is around 70% in revenue, 30% is other countries. And out of the 10

0%, U.K. is around 10%. So 70% is U.S., 10% is U.K. and 20% is rest of the world, if you want to put it that way.
Moderator: The next question comes from the line of Abhishek Shankar from ICICI Direct.
Abhishek Shankar: Yes. So I see there's a year -on-year decline in volumes and there's a slight -- there is improvement. So considering that there was an unfavorable product mix -- come from?


Mohit Jain: Can you ask your question -- your voice is cracking, Abhishek.
Moderator: Sir, Abhishek got disconnected. Mayb e we move to the next question.
The next question comes from the line of Kaustubh Pawaskar from ICICI Securities.
Kaustubh Pawaskar: This is Kaustubh here, Abhishek's colleague. So what Abhishek was trying to ask is if we do a simple math, dividing your revenues divided by volumes, we see that there is a realization growth on a Y -o-Y basis despite the fact that mix was unfavorable. So w e just want to understand why the realization growth was there in this quarter?
Manish Bhatia: So you cannot compare Q1 of last year with Q1 of this year because Q1 of last year doesn't include the acquisition business, which we have in the U.S. So that's why you'll see some anomaly in that.
Mohit Jain: You need to minus the INR130 crores more or less. I mean you need to minus the utility and the brand. More or less, you get the rough number, which is similar to Q4.
Kaustubh Pawaskar: Okay. And is it possible to give what were the volumes for the new business? Like INR130 crores for the new business?
Mohit Jain: That business it's not derived by volumes. We don't look at it in terms of meterage or anything of that sort.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Mohit Jain, Executive Vice Chairman. Thank you, and over to you, sir.
Mohit Jain: In conclusion, while macroeconomic uncertainty remains, the bold transformation and vision of Indo Count's 2.0 strategy of rewriting the future, the progress is visible. We have launched several forward -looking initiatives to enhance our capabilities, expl ore new frontiers and create long-term value.
A key focus has been our entry into value -added segments such as utility bedd ing and branded businesses in U SA, areas that align with changing market needs and consumer preferences. This transformation reflects our ambition to become a more agile, customer -centric and future -ready organization and a complete solution provider for home textiles. Furthermore, our strengthening presence in the domestic market presents a valuable opportunity to further grow our business.
Thank you for your ongoing support as we move forward on this exciting path of expansion. I hope we have been able to answer all your queries. In case you have more queries or require any clarification, please feel free to connect with us or SGA, our Inves tor Relations Advisors . Thank you for joining the call.
Moderator: Thank you. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

## Call: Nov 2025

Ref No.: ICIL/ 48/2025-26 19th November , 202 5
National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol : ICIL BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code No: 521016
Subject: Transcript of the Investors' Conference Call held on 12th November , 202 5 for Q2 & FY26 Results
Dear Sir /Madam,
In continuation to our earlier intimation dated 12th November , 2025 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on 12th November , 2025 at 12:30 p.m. (IST) for Q2 & FY26 Results.
The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -of-Q2-FY26 -Investors%E2%80%99 -Conference -Call-Held -on-November -12-2025.pdf
You are requested to kindly take note of the same.
Thanking you,
Yours faithfully,
For Indo Count Industries Limited
Satnam Saini
Company Secretary & GM- Legal
Encl.: A/ a



"Indo Count Industries Limited Q2 & H1 FY`26 Earnings Conference Call"

November 12, 2025

"E&OE - This transcript is edited for factual errors and readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12/11/2025 will prevail. Further, no unpublished price sensitive information was shared/discussed in the call "

MANAGEMENT : MR. MOHIT JAIN – EXECUTIVE VICE-CHAIRMAN , INDO COUNT INDUSTRIES LIMITED
MR. K. MURALI DHARAN – GROUP CHIEF FINANCIAL OFFICER , INDO COUNT INDUSTRIES LIMITED
MR. MANISH BHATIA – CHIEF FINANCIAL OFFICER , INDO COUNT INDUSTRIES LIMITED


Moderator : Ladies and gentlemen, good day and welcome to Indo Count Industries Limited Q2 and H1 FY26 Earnings Conference Call.
This conference call may contain forward -looking statements about the

company which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Jain – Executive Vice -Chairman. Thank you and over to you, sir.
Mohit Jain: Thank you. Good afternoon and a very warm welcome to all of you joining us for the Indo Count Industries Limited Q2 and H1 FY26 Earnings Call.
I am also joined by our Group CFO – Mr. Murali dharan, Manish Bhatia – our CFO and Strategic Growth Advisors – our Investor Relations Advisor.
We hope all of you have had the chance to review the financial results and the investor presentation available on the Stock Exchange and on our company website.
Let me start by giving some broad highlights before we dive deeper in some of the business areas :
For our utility betting segment, we are very pleased to announce the signing of a licensing agreement with the Tommy Hilfiger brand. This marks our sixth licensed brand with four added in the last 2 years. This continued expansion underscores Indo Count 's strong brand equity, manufacturing capabilities and trusted global partnerships. Tommy Hilfiger is a globally recognized brand with a legacy of over four decades across apparel, accessories, home textiles and lifestyle products.

We are also happy to share that the recent relaunch of Wamsutta in the US has seen encouraging early traction. Within a short span, we have sold the products within all 50 states in the US market, reflecting strong brand recall and customer acceptance. This progress is in line with our strategic focus on premiumizatio n and improving margin profile. This is an important step for us in strengthening our brand -led growth strategy and advancing our positioning in the value chain, particularly through our evolvi ng direct -to-consumer model.
On our 2028 guidance ; we reiterate our earlier guidance of achieving approximately USD 275 million in revenues from the utility betting segment and the US brand business over the next 3 years. The momentum from both Wamsutta and the addition of Tommy Hilfiger reinforces our confidence in delivering on this guidance.
Let me now talk on the core business :
The tariff challenge persists in our core business. The 50% tariff imposed on India in late August 2025 has impacted India's export competitiveness in the US market. However, given India's long -established leadership in the US home textile, Indo Count has been able to maintain its market share. Despite the challenging environment, we delivered sequential volume growth, with volumes increasing by approximately 7% quarter -on-quarter to 25.2 million meters. Importantly, we have not witnessed any major ord er ca ncellations, which underscores the strength of our long -standing customer relationships.
We have been observing product mix shifts and down -trading since Q4 2025, and we have proactively navigated these changes to support our partners and maintain business continuity.
With the additional Russian oil penalty of 25%, we made a strategic decision to temporarily partner with our customers on a case -to-case basis to protect long-te

rm relationships and to maintain market share. This has temporarily affected margins and we ant icipate the situation to prevail until the tariff structure stabilizes. We remain optimistic about the ongoing US-India trade discussions and expect tariff rates to eventually settle at levels below the

current structures. During this period, our focus remains on balancing market share and profitability while reinforcing strategic customer partnerships and

protecting our long -term market share and positioning.
Let me share updates on the new business :
Our utility bedding and USA branded segments continue to scale with their combined contribution increasing to 17% of revenues in Q2 FY26 compared to 13% in the previous quarter. This implies a quarter -on-quarter increase of approximately 40% and is now at a run rate of approximately USD 85 million per annum as we stand. The tariff impact on this portfolio is limited as the utility bedding is manufactured in the United States and the branded segment is relatively less price sensitive and the products, includ ing all the raw materials, can be imported from various countries. Despite the challenging backdrop, we maintained approximately 60% capacity utilization across both the existing US manufacturing facilities. Regarding our third manufacturing facility in North Carolina in the United States, which was initially scheduled to commence operations in September 2025, there has been a minor delay. The facility is now expected to become opera tional during late Q3 FY26 or early Q4 FY26. This Greenfield project repres ents an investment of approximately USD 15 million and is being built with an annual production capacity of approximately 18 million pillows. Once fully ramped up, this facility is expected to generate USD 85 to 90 million in annual revenues at optimal capacity utilization. We remain confident in our previously stated guidance of achieving approximately USD 175 million in annual revenues from the utility bedding business by 2028.
Coming to the domestic market :
In the Indian market we are witnessing an encouraging uptick . The uptick is increasing, led by value -added offerings, a segment where Indo Count holds inherent strength in design, product development and quality execution. Just to give you some flavor, during the Diwali festive period we executed a focused marketing campaign to strengthen brand visibility and drive consumer

engagement. We amplified our digital presence through performance -led campaigns across social and digital channels, which supported higher traffic and conversions on our own e -commerce platforms, boutique living india.com and layers india.com. Our influencer -led and festive storytelling campaigns helped deepen brand connect and reinforce our digital -first positioning.
On the offline front ; we continue to enhance the retail visibility of our premium brand, Boutique Living, across leading retail destinations such as Shopper Stop and AtHome. We have also expanded our retail footprint for both Boutique Living and Layers, adding 700 new counters during Q2, which has enabled deeper penetration in key domestic markets. Additionally, we broadened our product portfolio with new intr oductions in the bath and top of bed segments. This has strengthened our presence in the bed and ba th home fashion category and increased our overall retail wallet share in domestic market . We believe the domestic market remains promising and we anticipate strong growth opportunities ahead.
To sum up :
Near -term volatility has impacted our performance in the first half of FY26 and continues to present challenges for the quarters to come. Along with monitoring the current situation and in view of the challenging external environment, we will adopt a judicious mix of volume

and price for sales in
the United States. That's it from my side.
Now I request Mr. Manish Bhatia – our CFO, to share financial highlights of the company.
Manish Bhatia: Good afternoon, everyone and thank you for joining the Q2 and H1 FY26 Earnings Calls . I will first provide a brief overview of our performance, following which we will open the floor for questions.
At the outset, I would like to highlight that Q2 FY26 and H1 FY26 are not directly comparable to the corresponding period last year. This is largely due to two key factors. First, there was no US tariff situation in the base period.

Second, revenue contribution from the new business portfolio commenced only from Q3 FY25.
Coming to volume :
Sales volume for Q2 FY26 stood at 25.2 million meters versus 23.6 million meters in Q1 FY26, a growth of around 7% quarter -on-quarter , showcasing steady performance in this uncertain environment. Total income for Q2 FY26 stood at 1,082 crores compared to 967 crores in Q1 FY26, reflecting a growth of 12% on quarter -on-quarter basis. This is due to higher contribution from new businesses and volume growth in core business.
Coming to EBITDA :
EBITDA for Q2 FY26 stood at Rs. 123 crores compared to Rs. 119 crores in Q1 FY26, a growth of 3% quarter -on-quarter . EBITDA margin for the quarter was 11.4% versus 12.3% in the previous quarter. We expect margin pressure to continue until the end of this year. P AT for Q2 FY26 stood at Rs. 39 crores , almost similar to Rs. 38 crores in Q1 FY26. As volumes in the core business scale up and new business show more traction, we expect stronger EBITDA to PAT conversion over the next two years. EPS for Q2 FY26 is Rs. 1.97 per share.
On the balance sheet side :
We have also reinstated the balance sheet number for March 2025. This is due to finalization of the purchase price allocation of our two units which we acquired in US last year, which was earlier done on a provisional basis. Accordingly, the provisional value s of assets and liabilities recognized at the time of acquisition have now been retrospectively adjusted to reflect the final allocation.
Coming to debt side :



There has been around Rs. 175 crores of debt reduction in H1 FY26. Net debt to equity ratio stood at Rs. 0.34 X in September 2025. With this, I open the floor for question and answer .
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Saransh Gupta from SVAN Investments . Please proceed .
Saransh Gupta : Thank you for the opportunity and congratulations on a decent set of numbers in such uncertain times. I have a few questions. So, what is our current cotton mix like how much do we source locally and how much is imported?
Mohit Jain: Good afternoon. So, approximately our imported component at Indo Count varies but anywhere between around 30 %-35%.
Saransh Gupta: A follow -up on this, are we seeing any extension of the duty -free import of cotton that has been that is till 31st December 2025 till now? So, is there any news on that?
Mohit Jain: So, most of the cotton that we import at Indo Count is 32 mm in length and above, which was anyway duty -free from before. However, cotton below 32 mm in length is duty -free up to 31st December this year. We do expect it to continue but there is no news as of now. It should come out soon.
Saransh Gupta: So, as we see that we have done better from Q1 in terms of volume, so how much of this is being contributed to US and with the tariff impact? If the tariff, taking an assumption like the 50% tariff situation sustains, so are these numbers sustainable or we can see an impact on that?
Mohit Jain: So, at this point of time, the increase in volume from Q1 to Q2 is in all markets, including

the United States. Of course, in Q2 and Q3, we also have shipments for the holiday season that start going out. So, there is an impact of that also in this, which is specific to the US market also. Only time will tell, once prices get recalibrated, retails get recalibrated, how markets behave in the United States for future demand.



Saransh Gupta: So, taking the current situation into remark, we can say that the rest of H2 is not a margin impact. Though our top line is going to remain or maybe we can grow, but our bottom line will be seeing a margin impact.

Mohit Jain: Yes, because the full tariff impact is just setting in now because this happened end of August.
Saransh Gupta: I will join back the queue . Thank you.
Moderator: Thank you. The next question is from the line of Nishita from Sapphire Capital. Please proceed.
Nishita: I just wanted to know what is the total CAPEX that we are doing in FY26, and if we have any CAPEX plan for FY27?
Mohit Jain: If you go to our investor deck, we had a total CAPEX plan this year of approximately 200 odd crores , out of which 100 crores or 99 crores was our Greenfield project in North Carolina, where we have spent half of that money right now. So, basically, out of approximately 200 odd crores , we spent around 80-85 crores at this point of time. So, and for next year, other than maintenance CAPEX , there's really nothing else planned at this point of time. Some of the CAPEX from this year might flow into next year, especially our zero liquid discharge at Billard, because we are in the final stages of closing the technology that we want to use in the ne xt couple of months. And so that execution will go between, some of that expense will go between this year and next year. But there's no other major CAPEX at this point of time.
Nishita: And if you could just, if you could just reiterate what is the total revenue that we can do from the North Carolina capacity at full, once it's fully ramped up? Actually, I couldn't hear you when you mentioned it in your starting comment.
Mohit Jain: No problem. It's $85 to $90 million.
Nishita: And when do we expect the full ramp up to happen by?

Mohit Jain: The facility will be fully up and running by end of this year, either December or January, that's the expectation. So, basically, you have to look at the utility bedding with all three facilities put together and not individually going forward. Because as we acquired facilities and as we set up new ones, as and when that happened, we have given what is the potential of each facility. But finally, you have to look at it all put together. So, we have a capacity of 31 million pillows, and expect to do a revenue of $175 million within a 3 year period, including this year.
Nishita: Thank you so much.
Moderator: Thank you. The next question is from the line of Prerna J hunjunwala from Elara Securit ies. Please proceed.
Prerna Jhunjhunwala : Just wanted to understand the impact of tariff in this quarter, like what would be the quantum of impact on EBITDA in coming in because of tariffs?
Mohit Jain: So, Prerna, I mean, we have taken a call on what discount to give to which customer on a case -to-case basis. And due to business sensitivity, we would really not like to get into further details. But of course, you can see between Q1 and Q2, there is an impact of almost 100 basis points or 84 basis points in the margin. And it's predominantly due to tariff reasons. But we don't want to get into any specifics. There is going to be an impact. I mean, as we are giving recalibrating specifically for the Russian oil tariff.
Prerna Jhunjhunwala: And this impact will further increase only going forward because the Russian oil tariff was only for a month or 15 days' time

period. Is it correct ?
Mohit Jain: Yes, the understanding is correct. And we are trying all ways and means with operational excellence, supply chain to see whatever some cost savings can also be done to offset , whatever best can be done.
Prerna Jhunjhunwala: And how is the demand in the US now? Because what we understand is there could be a risk of demand slowdown given the inflationary environment that could kick in when full tariff products are full tariff is being passed on to

consumers. So, how are the retailers behaving on order books and how is the utilization levels likely to be seen in the next half, especially second half?
Mohit Jain: As we see it right now, we are seeing the retailers being very nimble -footed and trying to find what is the new normal. This is new for everybody for whatever product portfolios they are selling. And they are continuously evaluating their product mix and inventory levels. So, it's a very fluid situation,

I would say. When the first 10% tariff came in all over the world, there was not that much of a drop in demand. But these are new tariff levels as the holiday seasons, we are just getting into N ovember -December, extremely important months. So, how these play out, how new retailers come in, what impact that has on overall retail demand. This has nothing to do from an India perspective. This has to do with global supply chain and a global perspective. So, only time will tell.

Prerna Jhunjhunwala: But we would have some clarity about a quarter or two because that's how your factories will be functioning. So, it will be great. I mean, some sense, I don't know the number, but whether it will be a decline, can we expect a decline in volumes going forwa rd? Some qualitative color would really help us to understand how should we assume .

Mohit Jain: So, at this point of time, our 3rd Quarter looks very similar to our 2nd Quarter in terms of volume . So, there are similar numbers. As we get into Q4 and forward, as I said, once the holiday season pans out only time will tell. Once, the full impact of retail price increases are not there in the market at this point of time. So, once that kicks in, how do the retailers react , how do they level set their inventories are to be seen , this is very fluid at this point of time.

Prerna Jhunjhunwala: Understood, sir. So, this is really helpful. At least some color is available to us now. Last question is, how do we see the brand business moving in future now that we have acquired utility product franchisee for Tommy Hilfiger also . So, the brand portfolio is continuously seeing expansion and the revenue share will keep increasing. So, can you help us understand how the brand business in US,



brand business in India, where do you see, what kind of numbers are there in both the geographies and how do you see them growing in the next 3 to 5 years?

Mohit Jain: Right now, we have been very consistent, Prerna, that from a 3 years perspective, which includes ‘25-26, and of course, all these brands are coming on stream as we speak. I think these are all marquee names that we expect to do a revenue of 275 million. And you will appreciate that we are at a run rate of 85 now with Q2 out of 275. So, you are almost 30% there. So, hopefully, this keeps growing, it's not like every quarter might grow 40%. No business can do that. But I think we are on the right trajectory. And this helps us also deleverage our business out of India to a great extent and spread the risk acros s. So, we are very positive. I think also, addition of Tommy Hilfiger will help us utilize our utility bedding facility of pillows at a faster pace, hopefully.

Prerna Jhunjhunwala : Understood, sir. Thank you and I will come back to question queue again.

Moderator:

Thank you. The next question is from the line of Shradha Agr awal from AM Securities. Please proceed.

Shradha Agr awal: Sir c ongrats on a good quarter despite challenges that we are seeing at the macro level. Two questions. We have been stating that adverse product mix has been one of the reasons for margin impact and this has been around for three -four quarters. So, by when do you think it would be in the base and we would not see further impact on margins because of this reason?

Mohit Jain: This reason is, I mean, for whatever changes that we started seeing in Quarter 4 of FY25 , Feb and March specifically, that product mix, which also translates into our average selling pric e has continued in the last 6 months too. We don't see that going down any further. We see that pretty constant. But what happens is today we are used to making a certain margin on a specific product mix and your costs and expenses are all on the basis of that. So, that's how we have seen also a little bit of a margin decline in percentage terms. As markets stabilize, hopefully in the next, I would say, 6 to 9 months , then margins will go back to 15% to 16 % levels on our core business. That's our expectation.



Shradha Agrawal: And what are the expenses we are currently incurring on ramping up our branded business . So, any quantification as to what is the kind of sales and promotional activity expenses that we have incurred on Wa msutta and other brands?

Mohit Jain: It's the regular, like today we have a showroom, we have doubled the showroom size in our New York office. So, we now have a 20,000 square foot showroom. Earlier, it was 10,000 square feet. Then we have got a lot of human talent, like I mentioned, even on the last couple of calls. So, it's like you have got to put the infrastructure in place first, as well as now, as we have W amsut ta, there's a fair amount of money being spent on performance marketing which is as a direct -to-consumer brand. So, all of that is being done, as well as for other brands to get the visibility out there. We will not be able to give you an exact number, but this is part and parcel. And none of these businesses are a burn rate model, including our direct -to-consumer business. So, we are acquiring customers by spending money doing performance marketing, but w e are not burning money doing that.

Shradha Agrawal: And total utility and US brand business, which is at a run rate of $85 million now. So, would it be possible for you to give the split of utility and US brand in this?

Mohit Jain: Just from a thumb rule perspective, at this point of time, approximately it's two - third, one -third. That means utility is two -third of that number and one -third is brands, roughly.

Shradha Agrawal: And brand would be predominantly W amsutta or Waverly?

Mohit Jain: So, the way we have classified, and if you go back to our Q1 deck and it's also in our current investor deck, and I would highly recommend everybody on this call to go through it because it's very important to understand the classification. So, what we have done is we have divided the business into three parts, the core business, the utility bedding business, and the brand business. So, under brand business, only four brands fall under that business, which is Fieldcrest,





Waverly, Gaiam, and Wamsu tta. So, any business done, whether it's selling towels, bed linen, pillows, anything that we are selling to a customer, under these four brands will fall under the branded business. For example, we have brands such as Beautyrest and Tommy Hilfiger now for utility bedding. That will fall under the utility bedding segment.

Shradha Agrawal : Just one suggestion. We are, we have been acquiring brands and then there's a split of total branded busine

ss and US branded business. So, rather than doing this split up, would it be possible to just give the branded business because from our perspective, it gets difficult to make a recall on what is US branded business and what is utility branded business, what is B 2B, the bed linen branded business. So, it will make things simpler from our perspective.

Mohit Jain : Sure. So, we will evaluate that. We went through a lot of thought process and did it this way, but maybe end of the year, at March, we can relook at it. Also, what we are giving a figure is our overall branded business as a company as a whole across all categories is 20%. So, that is also something that we have stated on slide #5 of the deck.

Shradha Agrawal : And so, just last question, the Tommy Hilfiger brand that we acquired, that's only for the utility segment, right? It's not for bed linen.

Mohit Jain : Correct. So, it's only for white goods, which we call pillows, mattress pads, down all comforters, mattress protectors, pillow protectors, and toppers.

Shradha Agrawal : Got it. And I know it's early in the day, but any indication on what, what is the number that we did in Wamsu tta this quarter?

Mohit Jain : No, it's we just started off, so it will all fall under the brand segment, but we have a great traction, in the first 45 days, we sold in every state, which is 50 states of the US. And again, if the website is called www. wamsu tta.com, please go and see the customer reviews. You have access, it's public information, you can go and see what kind of what a customer is saying, who used to buy bed bath and beyond. And in the past, so there's a lot of great reviews that I would encourage you to go and read. So, that shows how well loved the brand is.





Shradha Agrawal : Great . Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Pratiti from Param Capital. Please proceed.

Pratiti: I just wanted to understand that, generally we would have the order book ready

for the next quarter in one quarter prior or two quarters prior . And if we could have some numbers on how the order book looks for the next two to three quarters?
Mohit Jain: So, normally, Pratiti, our customers place orders approximately 50 days before shipment, we get like, we all we have a rolling forecast. And then we get purchase orders roughly around 50 days before shipment. So, we have visibility for this quarter. And to that, that's what I said that our third quarter looks similar in terms of volume as to our second quarter.
Pratiti: Understood. All right. Thank you.
Moderator: Thank you. The next question is from the line of Bhavin Chheda from Enam Holdings. Please proceed
Bhavin Chheda: Great set of numbers in challenging environment. So, just to get a number breakup, because I think last two -three quarters, this new segment has come in. So, as I understand, as you have given in the presentation, this utility bedding a new brand is 181 crores , which was 130 crores in Q1, right?
Mohit Jain: Yes, Bhavin.
Bhavin Chheda: And as I heard, you said now two third in this is utility b edding and one third is the four brands, including Wamsut ta.
Mohit Jain : Correct. Approximately.
Bhavin Chheda: So, that's roughly 120 and 60. Now, you also have this pillow capacity in US, this Fluvitex and Arizona capacity, plus you have quilts capacity in also separate. So, where does the turnover of that is classified?

Mohit Jain: Utility b edding. That's the utility b edding business.
Bhavin Chheda: So, this utility b edding includes all pillow turnover and quilts turnover?
Mohit Jain: That's the manufacturing in the US.
Bhavin Chheda: So, this US part of the business is right now 180 crores , which includes all. What would

be the rough EBITDA margins on this? If you can give any breakeven point, how this will scale up and how the margins look at, how should we look at the margins on this part of the business? Since this doesn't attract tariff s and obviously must be having some kind of a buoyancy. So, how should we look at this business on the margin front?
Mohit Jain: So, as I have said before, we have invested a fair amount and you can see that even if you compare our employee cost of previous 6 months, first half to this 6 months , the numbers are there. So, we have invested as Indo Count Global, our US subsidiary, a lot on the human talent side and on the infrastructure side. And because of that, we have 150 to 200 basis point hit on our EBITDA margin as we speak. We expect even as of today that by the fourth quarter of this year, FY25 -26, this margin hit will go away. So, the business will achieve breakeven and have a better utilization level. As you can see from two facilities already, we had 60%, but there's a lot more investmen t that has gone in to take this business to a 275 million level. On the pillow business, we expect an EBITDA margin of 15% to 16%. And on the brand side, 17% to 18% is our internal target.
Bhavin Chheda: So, utility bedding 15% and brands 16%, 17% you are saying?
Mohit Jain: 17% to 18% is our target on brands and 15% to 16% is our target on utility bedding. So, we have been consistent with this. Even today, the business is EBITDA positive, it's just that we have more, our expenses are keeping in line a larger revenue figure.
Bhavin Chheda: And this year's CAPEX , I think your slide mentioned 250 odd crores , right?

Mohit Jain: 215 or something.
Bhavin Chheda: This includes spent on US facilities and everything or that comes via investments?
Mohit Jain: No, this is all included . So, if you see slide 12, you will have a Greenfield project in North Carolina, which is totally an investment of 130 crores . Out of 130, 31 crores was spent last year. So, we minus that and show 99 remaining. Out of 99 remaining, half of that is done as of now. Already done, 49 crores to be precise.

Bhavin Chheda: And so my last question on the, now, I think the overall revenues, summarizing slide #5, you have said is now non -US revenues is almost now like 30% of the turnover, right?
Mohit Jain: We look at this more on an annualized basis. So, we are at a run rate on the core business of 30% on our non -US business.
Bhavin Chheda: And on this business, there is no tariff impact. So, what is the normalized margin trending in this business? Should be 12 %-13%?
Mohit Jain: No, I mean, we would not get into specifics. We can take it up offline if needed.
Bhavin Chheda: No problem. Thank you.
Moderator: Thank you. The next question is from the line of Naveen Baid, from the Nuvama Asset Management. Please proceed. Thank you.
Naveen Baid: Thank you for the opportunity and congratulations on a great set of numbers. Just clarification and just continuing from the previous participant's question. So, Beautyrest and your Jasper Conran brand, while that is a licensed brand, but do you classify it under utility bedding currently?
Mohit Jain: Beautyrest and Tommy is under utility. Jasper comes under core business. The reason, the four new brands, we put it all under new business. And Jasper Conran is in the UK; it's not in the US.

Naveen Baid: Thank you. That’s it from my side.
Moderator: Thank you. The next question is from the line of Tanm oy Roy, from LinkedIn. Please proceed.
Tanm oy Roy: Thank you for the opportunity. So, most of the questions have been answered for me, just for two few questions. So, if considering that US tariff of 50% continues for maybe for 6 months or 8 months or 1 year. So

, can other businesses in UK utilize that kind of impact in terms of revenue as a margin?
Mohit Jain: We have an Indo Count presence in over 50 countries and it's been expanding our footprint through focused efforts in the recent years in these countries. And our core non - US business now contributes to 30% of our overall revenue mix for the core business. In our view with our government signing new FTA free trade agreements, we expect a market share and contribution from these ROW markets to grow in the near future. We have already been putting a lot of effort and seeding demand for some time in these new geographies and in specifically certain countries like Australia, Japan, Middle East, Europe, UK. We have well established customers, which will, we will see that growth h appening at a faster pace because we have already sown the seeds and we are well prepared as a company to capitalize on these emerging opportunities and diversify our geographic presence. Having said that, the US is a large consumption driven economy, so we cannot discount that. So, we have to make sure that all boats rise and it's not being, putting all focus on one market or another, but just across the board. But India has never been in a better position than before with having a free trade agreement done with Japan in the recent past, Australia, Middle East and now two more. UK is done but has to get ratified by the UK Parliament and then EU hopefully will be done by the end of this year, early next year. So, manufacturers in India are very well positioned to capitalize and capture more markets share in these markets having a level playing field.
Tanmoy Roy: So, does all the other countries provide same kind of ASP as US or it's like little lower or higher?

Mohit Jain: Every market is different because you have consumers, at the end of the day, we are selling a product that is a consumer driven product that people buy. So, every market is different. Certain markets that I mentioned are very similar to the US and some are different. So, it's a different product profile and then the raw material pricing also changes accordingly. But we have our capabilities to produce for these markets and the infrastructure and the capacity.
Tanmoy Roy: The second one is like you said, some of the customers to retain the market share, you are sharing some load on the tariff side. So, imagine that it's 50% additional tariff due to Russian oil, they put in 25% if that goes off. So, the sharing of that part, how it works, like your existing contract, which is already

you are delivering. And so, from the next contract onward, that tariff will not be there, but how it will work with the customers.
Mohit Jain: It's a very transparent conversation, it's support. So, that support automatically goes away, right?
Tanmoy Roy: But the existing contract, which are already in between, those will not go off from those, the tariff will not matter, right?
Mohit Jain: There could be a lag of a week, two weeks, three weeks. I mean, we are here to do business in the long haul. So, whatever the next, in certain cases, purchase orders get revised, I would say in most cases and something is already shipped on the vessel or at the port, nothing's going to happen to that . But there are purchase orders and the customers are very supportive. And it's both sides, it's a two -way conversation. And my objective is not to hurt either party.
Tanmoy Roy: Thank you so much. That is from my side.
Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please proceed.
Ankit Gupta: Thanks for the opportunity. So, if the trade deal goes through with the US and the tariffs normalize around 15% to 20% of the consumer range. So , in FY27, how do you see the impact of that on our margins given , how will this tariff


sharing be done with the customers? So , if you can share your thoughts on the same.
Mohit Jain: See, it's very early to comment on any of this, as I said earlier, we expect our core business to run at 15 % to 16% margin. Taking a step back, keeping margin aside, I think we all have to understand that if you live in the United States, your wife goes and consumes something or you go and buy something at the market, in the store, these are all new times in the sense that suddenly your prices are going to go up for all products across all retailers between 10 % and 20%. So, how does the consumer react to it? So, there could be some short - term reaction where customers buy less, and then they understand that this is the reality of life. And this is what we need to buy and spend money on to buy that shirt or any other product. And then consumption comes back because it's a highly consumption driv en economy. So, I think only time is going to tell. So, it will be almost impossible for me to tell you how volumes will behave in FY26 - 27 or how margins will behave.
Ankit Gupta: Currently, for some of the countries, some of the Asian countries, the trade deals have been finalized and the tariffs are anywhere between 18% to 20%. So, how the customers are, how the retail teams are passing on burden of this, tariff with their customers or with our competitors?
Mohit Jain: So, you are talking from how is a retailer passing on to their customer, correct?
Ankit Gupta: No, how our competitors are sharing the tariff burden with the retailers.
Mohit Jain: We will not have exact information. I think at the end of the day, everybody has to understand that, let's say 20% is the new norm for a US customer to buy product from Asia. So , a manufacturer anywhere in the world beyond a point, at some point, can share tariff on a temporary basis, but not on a permanent basis . Otherwise, then product reengineering will have to happen. New product assortment will have to come into the marketplace because that has to reach some equilibrium. From a consumer per spective, when retailers increased the first when the first 10% tariff came in, as I mentioned earlier, we did not see a

dip in business on retail sales business, the consumer accepted that retail and retail sales were as they were similar to last year levels, let's put it this way. Now, when these new tariffs, keeping India aside come in, and all of that starts hitting the US market, especially after holiday season, we have to all wait and watch as to how consumers behave with that. And no retailers pricing their retail product keeping India tariff . They are using the India tariff and then they divide that across product cat egories or within for that category of product.
Ankit Gupta : Thank you and wish you all the best
Moderator: Thank you. The next question is a follow up question from the line of Nishita from Sapphire Capital. Please proceed.

Nishita: So, I just wanted two clarifications. So, you mentioned that we expected to do a revenue of $275 million by FY28. Is that just from the branded business or is it from the overall business?
Mohit Jain: It's from our utility bedding business and our brand business. 175 million from utility bedding and 100 million from brands.
Nishita: And I am looking at this company for the first time. I just wanted a clarification. Can you say what's the difference between the utility business and the brand business?
Mohit Jain: We will take it up offline with our team I would highly recommend you to read our investor deck. It's very clearly defined in that.
Nitisha: Sure. Thank you so much.
Moderator: The next question is from the line of Shradha Agr awal from AM Securit ies. Please proceed.
Shradha Agr awal: Thanks for the follow -up and

just one clarification. This Tommy Hilfiger and Beautyrest brands in utility bedding, would that be counted as US brand or the utility bedding business sub -segment of this portfolio?

Mohit Jain: Utility bedding.
Shradha Agrawal: Meaning to say that the sourcing for these brands, Tommy Hilfiger and Beautyrest, the manufacturing is done from a US facility and the sourcing is not done from anywhere else for these 2-3 brands?
Mohit Jain: Correct. These are all manufactured in the US.
Shradha Agrawal: From our locations, from our facilities?
Mohit Jain: Yes. From our three facilities. I mean, two now and then the third one will come up.
Shradha Agrawal: And for the other US brand business, which includes Wamsutta and Fieldcrest, the sourcing could be anywhere, including our manufacturing as well as from suppliers outside.
Mohit Jain: Correct. Because in those brands, we are selling multiple product categories. We are selling bed linen. We are selling quilts, comforters. We are selling bath, which is towels, bathmats , bath rugs. We are selling window, which is curtains. So, all soft home products we are selling in those brands.
Shradha Agrawal: Got it. This is helpful. Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Mohit Jain ; Executive Vice -Chairman. Thank you and over to you, sir.
Mohit Jain: Thank you once again for joining the call. Indo Count has entered its next phase of growth, which we refer to as Indo Count 2.0. Our investments in utility bedding and premium brands are strengthening our portfolio and expanding our market presence. While these investments are impacting margins in the short term, we are building a more diversified and resilient business for th e future. Tariff -related challenges may continue for the next one or two quarters. Until the environment stabilizes, we continue to f ocus on operational efficiency, sustainability, and maintaining our market share. These initiatives

reflect our commitment to delivering consistent and long -term value for our shareholders. Thank you.
Moderator: Thank you. On behalf of Indo Count Industries, that concludes this conference. Thank you for joining us and you may now disconnect your line.

## Call: Feb 2026

Ref No.: ICIL/ 68/2025-26 23rd February, 2026

National Stock Exchange of India Ltd.
Listing Department
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051

Company Symbol : ICIL
BSE Limited
Department of Corporate Services
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code No: 521016

Subject: Transcript of the Investors' Conference Call held on 16th February , 2026 for Q3 & 9M FY26 Results

Dear Sir /Madam,

In continuation to our earlier intimation dated 16th February , 2026 regarding audio recording of the Investors' Conference Call and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we are enclosing herewith the transcript of Investors' Conference Call held on 16th February , 2026 at 12:00 p.m. (IST) for Q3 & 9M FY26 Results.

The transcript is also available on Company's website at
https://www.indocount.com/images/investor/Transcript -of-Q3-9M-FY26 -Investors%E2%80%99 -Conference -Call-Held -on-February -16-2026.pdf

You are requested to kindly take note of the same.

Thanking you,

Yours faithfully,

For Indo Count Industries Limited

Satnam Saini
Company Secretary & GM- Legal

Encl.: A/ a
Page 1 of 19

"Indo Count Industries Limited
Q3 and 9 Months FY '26 Earnings Conference Call "
February 16 , 202 6

"E&OE - This transcript is edited for factual errors and readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1 6/02/2026 will prevail. Further, no unpublished price sensitive information was shared/discussed in the call"

MANAGEMENT : MR. MOHIT JAIN – EXECUTIVE VICE CHAIRMAN – INDO COUNT INDUSTRIES LIMITED
MR. MURALIDHARAN – GROUP CHIEF FINANCIAL OFFICER – INDO COUNT INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Indo Count Industries Limited Q3 and 9 Months FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectatio ns of the company as on date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Mohit Jain, Executive Vice Chairman. Thank you, and over to you, sir.

Mohit Jain: Thank you. Good afternoon, and a very warm welcome to all of you joining us for the Indo Count Industries Limited Q3 and 9 Months FY '26 Earnings Call. I'm also joined by our Group CFO, Mr. Muralidharan; Manish Bhatia, our CFO; and Strategic Growth Advisor s, our Investor Relations Advis or. We hope you have had the chance to review the financial results and investor presentation available on the stock exchange and on our company website.

Let me begin with great news that has come at the start of 2026. India concluded the FTA with Europe and a trade deal with the United States, developments that are truly transformative for the Indian textile sector. Starting with the United States, while w e are still awaiting detailed notifications and fin er aspects of the agreement, one thing is very clear. Tariff uncertainty has meaningfully eased. With these trade developments, India is moving towards a more competitive position relative to other exporting countries. This is extremely necessary, and it str engthens our business outlook going forward.

Coming to Europe. With the EU F TA, textile exports from India to Europe will now become duty-free. This is a significant structural advantage as it creates a level playing field for the Indian players. Europe is one of the largest textile markets globally with imports of over USD260 billion. Indo Count already has a presence in Europe and works with leading retailers in that region.

We must acknowledge that post signing, implementation takes time and scaling up takes further time. Having duty -free access, combined with our existing relationships, gives us a clear head start. There is no denying that this is a major development for Ind ian textile players. At Indo Count, we have already begun internal discussions, putting pen to paper to study, strategize and evaluate how to best capitalize on this golden opportunity.

Although the trade deal will take time to get implemented, we expect customer confidence to steadily improve through FY '27. In addition, some of the FTA signed earlier with countries like Japan, Australia and in the Middle East are beginning to show tract ion. As we have consistently communicated, geographical diversification remains one of our key strategic priorities. Today, non-U.S. markets contribute to approximately 30% of our core business revenue.



Now coming to our internal developments. We started the year 2026 on a very positive note with the commencement of our commercial production at our new greenfield pillow manufacturing facility in Kernersville, North Carolina, United States. This is our thi rd manufacturing unit in the United States and the largest amongst the 3 having a capacity of 18 million pillows annually, taking our total utility bedding capacity to 31 million pillows per annum.

Strategically, this strengthens our manufactur

ing footprint in the United States and presence in the Midwest, West Coast and now the East Coast. It enables customer proximity, improves responsiveness and gives us clear operational flexibility. Our first 2 utility bedding facilities are currently operating at approximately 65% capacity utilization. With the third facility now operational and backed by this expanded infrastructure, we expect this segment to scale up.

I'm also pleased to share that Indo Count has been honoured with the TEXPROCIL Export Award for the year '23 -'24, winning the Gold Trophy for the highest exports of bet sheets, bed linen in the Cotton Made -Ups category for the sixth consecutive year. This award is a strong validation of our consistent export performance, our leadership position in the category and the

trust that global customers continue to place in us.
Lastly, but certainly not the least, we have strengthened our ESG leadership position. Our S&P Global ESG score has sharply risen to 78, up from 45 over the last 2 years, significantly ahead of the industry average of 35. We now rank within the top 3 perce ntile globally among textile, apparel and luxury goods industry peers in ESG performance. This achievement reinforces our long-term commitment to sustainable growth, responsible manufacturing and value creation for all stakeholders.
Now coming to our Q3 performance. Despite operating in a challenging 50% tariff environment, we delivered a stable performance while continuing our strong belief on our long -term growth. Importantly, there was no substantial impact on volumes. In order to sustain volumes and protect our market share, we undertook calibrated product mix adjustments and shared a part of the tariff burden to support our customers. While our core business revenues were impacted due to the tariff environment, this was largely o ffset by growth in our new business. As a result, we delivered stable overall performance on a sequential basis.
Lastly, coming to our new business in the United States. Our new business revenues have doubled compared to the same period last year. At this juncture, I would like to pause and share with pride that utility bedding, part of our new business, began its jo urney just 16 to 17 months ago. And today, it is actively fuelling our next phase of growth. This business is expected to contribute approximately USD 175 million to our consolidated top line over the next few years. We believe this is just the beginning, and there are still huge opportunities to scale further and create long -term value.
Coming to our brand business, another part of the new business segment. Our newly relaunched brand Wamsutta, continues to perform well. We are receiving encouraging customer feedback and strong product reviews, reflecting the brand's premium positioning an d quality credentials. The response validates our strategy of building a differentiated branded portfolio alongside our


core business. Our portfolio of licensed brands, Fieldcrest, Waverly, GAIAM will continue to be strong growth drivers, supported by deeper customer engagement and increasing preference for end -to-end home textile solutions from Indo Count.
The ability to offer a range of collections across bed, bath, utility bedding, etcetera, strengthens our value proposition and enhances the wallet share with our retail partners. The new business contributed 20% to our total top line in Q3 FY '26. On a seq uential basis, it grew by 16% to INR210 crores, achieving an annualized run rate of nearly USD 100 million.
To conclude, the tariff uncertainty for our core business is now behind us. Our U.S. manufacturing and branded portfolio are building scale, and we expect improved traction in the coming years. Additionally, the evolving trade agreements are likely to open up growth oppo

rtunities for us.
With our presence across 50 -plus countries spanning 5 continents, we are positioned to unlock the next phase of global growth while further diversifying geographically and strengthening our competitive edge. We remain confident in our strategy, execution capabilities and in our ability to deliver sustainable and balanced growth as global trade conditions normalize.
Importantly, we stay committed to our long -term vision of doubling our revenues by 2028, supported by a well -balanced mix of business and geographies, strong brands and an expanding global manufacturing footprint.
With that, I now request Mr. Manish Bhatia to walk you through the financial highlights.
Manish Bhatia: Good afternoon, everyone, and thank you for joining the Q3 and 9 months FY '26 earnings call. I will first provide a brief overview of our performance, following which we'll open the floor for questions. At the outset, I would like to highlight that Q3 FY '26 and 9 months FY '26 are not directly comparable to the corresponding periods last year. This is largely due to two key factors. First, there was no U.S. tariff situation in the base period. Second, revenue contribution from the new busin ess portfolio commenced only from Q3 FY '25.
Volume. Sales volume for Q3 FY '26 stood at 24.8 million meters, showcasing a steady performance in this uncertain environment as compared to the volume of Q2 FY '26. Total income for the Q3 FY '26 stood at INR1,074 crores compared to INR1,082 crores in Q2 FY '26, showcasing a steady performance despite full quarter impact of 50% U.S. tariff.
Coming to EBITDA. EBITDA for Q3 FY '26 stood at INR102 crores compared to INR123 crores in Q2 FY '26, a decline of 16.8% quarter -on-quarter due to partial tariff absorption and new Labor Code impact of approximately INR9.2 crores. Adjusted EBITDA for Q3 FY '26 stood at INR112 crores after taking onetime impact of new Labor Code . EBITDA margin for the quarter was 9.5% versus 11.4% in the previous quarter. Adjusted EBITDA margin for the quarter was 10.4%, which is 100 bps degrowth quarter -on-quarter due to f ull quarter of 50% U.S. tariff.

We expect margin pressure to gradually ease out.


PAT for Q3 FY '26 stood at INR24 crores compared to INR39 crores in Q2 FY '26. As mentioned earlier, the volumes in the core business will scale up going forward and new businesses will also show more traction. Therefore, we expect stronger EBITDA to PAT conversion over the next 2 years. EPS. EPS for Q3 FY '26 is INR1.23 per share. Coming to debt side. Net debt has been reduced by INR215 crores as compared to March '25.
With this, I open the floor for question and answer.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Rahul Jain from Credence Wealth.
Rahul Jain: Sir, a couple of questions. One, how do we look at the scenario in U.S. typically in terms of the demand at the customer end and your -- the end customer as well as your customer end? Given the tariff situation was the stock at our customer much lower than the normal, whereby in coming months, can we see a spike in overall revenues? That is my first question.
Mohit Jain: Sure, Rahul. So what we've seen in the U.S. is retail sales during the holiday season have been decent. Having said that, all retailers have increased their prices, keeping tariffs in mind just after the holiday season, which is towards the mid of December onwards. So we have to really -- it's early days to say anything. We have to watch their sales because when prices go up, there's a little bit of an impact on demand, as you can see also on our volumes from last year Q3 to this year Q3.
So we have to wait and watch, but U.S. is a very resilient economy. All the numbers on retail sales, on

labor , unemployment numbers have all come in on the positive side. In terms of inventory levels, yes, customers have not overbought anything, but it all depends on how retail sales go in the next 1 to 2 quarters, I would say.
Rahul Jain: Sure. Secondly, on the margin side. So we have kind of given discounts to our customers. So once this -- the final tariff comes in play, all the models are getting completed. So will we kind of reverse the kind of discounts? And accordingly, because of thi s discount only, nothing else, what should be the margin uptick?
Mohit Jain: Understand. While the benefit of the reduced tariff, Rahul, may take some time to fully reflect in the reported numbers, which will be gradually visible from our first quarter FY '27 onwards.
But structurally, the outlook has improved meaningfully. One thi ng is clear we need to understand that the Indian textile industry is now competitively positioned and at par with other exporting nations, if not better.
And the U.S. is the largest textile importing market. This significantly strengthens our long -term opportunity. We already hold, as you know, a very strong share in the U.S. home textile market and expect to consolidate and grow the position further. At th e same time, the recent trade agreements provide incremental tailwinds for expanding our presence in non -U.S. markets.
Coming to your specific question of guidance, at this point of time, we would not -- we prefer not to provide any specific numeric guidance at this stage. However, directionally, we expect


improvement across volumes, realizations, margins going forward as the operating environment normalizes and competitive positioning strengthens.
Rahul Jain: Sure. So I do accept and appreciate the kind of opportunities which lie ahead in the medium to the long term. And I understand your part in terms of guidance on numbers. I just wanted to clarify, there is a certain discount which you must have given to you r customers, which is specifically related to the tariff situation, which is kind of not a regular situation, regular business situation. So say the discount which has been given to in terms of x amount or x percentage, as this, say, another -- when things get clarified in terms of the final duty structures, assuming it goes to 18%, then do you reverse that special discount related to tariffs, which was given to your customer?
Mohit Jain: So one thing you need to keep in mind is between our Q2 and Q3, we have a 100 basis point EBITDA margin hit due to the 50% Russian oil tariff. Yes, we did give a case -to-case basis, tariff discounts to customers, which will start getting reversed. We are i n touch with all our customers as we speak. It's too early. This has all happened in the last 7, 10 days. So we have engaged with them. As this unfolds, it will all start resulting in -- will start showing in the numbers.
Rahul Jain: Sure. My last question, sir. In terms of your guidance on the top line, you mentioned by FY '28,

our overall company top line will double. And our new business, which has reached a run rate of about USD 100 million by FY '28, the new business, which includes the bedding -- utility bedding and also the U.S. brand business, both put together should be in the region of around USD 275 million was your guidance which was given in the previous quarter also? Do we stand by that?

Mohit Jain: Yes.

Moderator: The next question is from the line of Abhishek Shankar from ICICI Direct.

Abhishek Shankar: Congrats on a good set of results. Just two questions from my side. One is on the Europe market. Can you just highlight what is the total size of the home textile market in Europe? And how -- what is the share of India in that? And how are we looking to gr ow there? My second question, I'll ask after this.

Mohit Jain:

Hi Abhishek. Sure. So I'll also give you a little bit flavor of where Indo Count stands so that for everybody to hear this and clarify on the EU FTA and on the European market. Currently, our revenue contribution is in the mid -single digit range from this market. We are in active discussions with multiple customers and are engaged at various levels as we move forward. Once the EU FTA comes into full effect, it will significantly improve visibility for both Indo Count and the retailers, given our enhanced compe titive positioning versus earlier.

We've got to realize with this, India becomes on a level playing field with its other competing countries. So we expect t he EU market is roughly around USD 30 billion, which is similar in



size, specific to home textiles to the U.S. market. And over the next couple of years, I would say, next 2 to 4 years, we will be able to capitalize this market in a big way.

Abhishek Shankar: And my second question is more on the bookkeeping side. So you mentioned about the incubation cost of new businesses. I just wanted to know what was the amount of that incubation cost?

Mohit Jain: As we've mentioned, Abhishek, it's 150 to 200 basis points. So you can run the numbers. I mean, we are not going to provide any specific number, but it's approximately 150 to 200 basis points. We expect this to get over by end of quarter 4.

Moderator: The next question is from the line of Aman Agrawal from Carnelian .

Aman Agrawal : My first question was on the core business margins. Like while you have already talked about that there will be a reversal in margin. But since the tariff will come down to 18%, so will Indo Count be expected to take some hit out of that 18%? Or like do we expect our margins to go back to 15%, 16% kind of a number, which we used to do earlier?

Mohit Jain: Sure, Aman. So the reality, it's too early to speak on this because this is a very dynamic situation we are in. And we're in discussion with all our customers. And I'm sure we'll get to a mutually beneficial conclusion with each other. Having said that, ou r objective is to get back to 15%, 16%. I think we've been consistently saying that that's our goal on EBITDA. And let's hope that we can get there soon.

Aman Agrawal : Understood, sir. And now coming to the Europe business part, with the F TA basically coming in, like it might take another year to basically implement. So like how are we working internally? Like are we planning to put more sales team or like more offices in Europe so that our engagement with the customers improve and once the FTA is in place in a year, we are able to capitalize from the start only, can you touch a bit on that, like how we are thinking about capitalizing on the opportunity, sir?

Mohit Jain: Absolutely, Aman. And I think I addressed this early on in my opening speech. I'm not sure if you heard that. So we have a team in place. We are putting pen to paper. We have a strategy in place. We're evaluating. We're seeing how we can improve our relati on with each customer. We very recently in the month of January, participated in a show called Heimtextil 2026 in Germany, which happens in Frankfurt, it happens every year. And it was one of the largest global home textile exhibitions, which b rings retailers all across the world under one roof. And with this participation, we've seen specifically this time, a lot of interest from U.K., European retailers more than ever.

And of course, the EU FTA was already in the works. We all were hoping that it will happen. But till it didn't happen, it didn't happen. So even our retail customers were aware of this, who we already do business with.

So they all came, they were they're seeing new products. So I think the engagement level is very, very high, more than it's been because they know at the e

nd of the day, for them also country

diversification is important. They look at India very, very well. We also have Mr. Macron here today. So I mean, it all shows how important India is for all the global leaders.

Aman Agrawal : Okay. So like from a medium -term point of view, like 3 to 5 years, can we put some like internal target like from 30%, maybe you want to go to 50%, 60% kind of diversification from non -U.S. revenues. I know it is very early to say anything as of now, but l ike it might speak a bit about your ambitions to grow that business, right? So anything can you say on that?

Mohit Jain: I'll be a magician to tell you that right now.

Aman Agrawal : Yes. Now again, on the home textile bit on, like if I see U.S. also, like Indian players are very strong on the cotton part, right, because cotton is dominant in India as well. But if I see polyester and other aspects of the business, like Indian players h ave lagged a bit in terms of gaining market share on those presence. And that is also a big part of the overall textiles market, right?

So with more and more yarn players coming in India and the focus of Indian government also on the MMF category, do you think like there is a potential for us and players like us to go and target that non -cotton pie also and like gain more wallet share in t hat category?

Mohit Jain: Sure. So India is -- there's a product which is 100% polyester -based product in the U.S., it's called microfiber to be specific. That's where it's an opening price point product, really the starting price point where retailers would retail the product at USD 17, USD 19. So we, as a country, I mean, most of us don't play in that segment.

So we are playing more on the mid - to high end. But even in the mid - to high end, it's not that all our products are exported with only cotton. We are using fibers like Tencel , Lyocell, a blend of cotton polyester. So even when we are blending cotton and polyester, 60% cotton, 40% polyester, India is very, very competitive.

As we move forward, a lot of the cotton polyester products are used in the fashion bedding business. So you'll see that business grow over the next couple of years. And I think we are competitive even today, and we should see that growth happening further. As far as 100% polyester is concerned, I don't think we are yet competitive.

Aman Agrawal : Understood, sir. And sir, now on the utility business, like we have reached 65% kind of utilization in the old facilities and the new facility, greenfield one has also come on stream, right? And we are doing a run rate of like almost USD 100 million kind of business from the new businesses. So like any soft guidance can we give for next year? Like how much revenues are we targeting from the new business, especially from the utility one since old facilities will ramp up and like also the ne w fac ility will ramp up for us?

Mohit Jain: As we mentioned, like over 3 years, and this is our first year. So next year will be our second year and the year after that will be our third year. So we've given a clear guidance of USD 275 million. So I think we should all be very happy to where we stand today. In less than 9 months to 12 months, we're already at USD 100 million run rate. So other than that, it's very difficult at this point of time to guide.



Aman Agrawal : So I can say that would be -- we would be targeting 10%, 15% kind of Q -on-Q kind of growth, which we have been getting, right? Like would that be a fair understanding?

Mohit Jain: Not necessarily. Some quarters could be higher, some could be flat. So it's not -- there's no -- I mean, it all depends on when does business fructify with which customer and how the offta

ke

is. So our objective is more to stabilize the business and to grow from a long -term perspective. It's not quarter -on-quarter. It's not the concern here.

Aman Agrawal : Understood, sir. Sir, my final question was on Wamsutta. Like can you speak about the performance of Wamsutta and like any rough numbers you can throw like how we have been doing in terms of sales because that is a category where -- which is very exciting for us, right? And it can become USD 100 million kind of business. So how has been the performance? How has been the ramp -up in that business basically?

Mohit Jain: Sure. So the USD 100 million that we mentioned is with Wamsutta and the other brands that are clearly mentioned, and it's also in our investor deck. It's not only with Wamsutta alone. And we've got to all realize, Aman, that it's only been 6 months since the brand has been launched. So we'll come to you once we've achieved some scale and size. But all I can say is that it's positively surprised us, and we are moving in the right direction.

Moderator: The next question is from the line of Gautam Trivedi from Nepean Capital LLP .

Gautam Trivedi: Hi Mohit and team, I think a pretty decent result given the challenging circumstances over the past about almost 2 quarters. I was looking at your slide presentation, and I want to focus on number 22, Slide 22. Hello? Can you hear me?

Mohit Jain: Yes.
Gautam Trivedi: So Slide number 22 was -- it's interesting that you've shown the extent of U.S. imports of two of your major products, cotton sheets and cotton pillow cases and also thereafter cotton bedspreads and quilts. The first two have India with the lion's share. And of course, within that is Indo Count. And then you have a slightly smaller share for sure in the cotton spread and quilts. But here's the interesting part, there is no mention of Bangladesh. So question I have is, is Bangladesh absent in all these 3 categories?
Mohit Jain: So Gautam, interesting question. And we've gone through this a little bit of a roller coaster in the last 7, 8 days, as we've all seen when Bangladesh got the duty -free access using U.S. cotton. So actually, Bangladesh produces very, very low products, which we would compete with them in the European market. In the U.S. market, we actually don't compete with Bangladesh at all. So that's why you don't see Bangladesh on the map. So you absolutely correctly pointed it out. And also our understanding from Piyush ji is that now India also going forward, of course, we'll have to see the fine print will have exactly the same benefit. So if you're importing U.S. cotton, India should have tariff -free access to the United States. Of course, the devil lies in the detail. So we'll wait for -- even for Bangladesh, the fine print has not come out, as I mentioned. So as


that comes out, I think this will also be a game changer for India. But -- that answer your question.
Gautam Trivedi: Yes. That's a good clarification because the thing is the Indian stock market puts all the textile exporters under the same basket and says, you know what, if Bangladesh has got a preferential duty structure with the U.S. and everything gets impacted from an equity market perspective at the same time. So this is a great clarification. Yes, I think this is great. I just want to also ask you a question with respect to your domestic business and how is that growing?
And you -- because you've launched a whole bunch of brands on the domestic front. And one of the things that we look at in Nepean Capital is that with so many new residential apartments coming up across the country, and that's a big boom for the real estat e companies and maybe when we talk to them. Every new home is going to need pi llows, blankets, bed covers, et cetera. So how do you view the domestic market g

oing forward?
Mohit Jain: Absolutely. So the domestic market is very, very important for Indo Count. We have 2 brands, a brand called Boutique Living, which is an aspirational brand, priced at a mid -priced and above INR3,500 on a bed sheet and above. And then we have an affordable brand, which is an opening price point, you can say, which is called Layers. We have a dedicated separate team of over 65 people running this business for us. India is a tough market, I must sa y, but we are fully committed to it. We are in over 2,000 multi -brand outlets as we speak and growing. We are in stores like Shoppers Stop, At home. So multiple of these large -format stores.
Also online, we are revamping our website, making it more also from a D2C presence, making the websites more alive and showing the curated assortment. So and selling more higher -end products on our website. So we're in the journey of putting that also in p lace. So it's a very important business. Currently, it's 2.25% of our revenue, but it's very important for us. And hopefully, in the next 3 to 5 years, this will become a sizable business.
Moderator: The next question is from the line of Yash Tanna from ithought PMS .
Yash Tanna : Am I audible?
Mohit Jain: Yes. Yes, please.
Yash Tanna : Yes. So I had a question relating to the guidance that you've given for FY '28. Now we do understand that the medium to long term, the visibility is great. But if I just dissect the numbers, I think maybe this year, the new businesses will be doing anywher e between INR750 crores to INR800 crores. And even if I assume that by FY '28, they scale up to the USD 275 million, the base business, the core business has to sort of grow more than 25% year -on-year for the next 2 years. So what is giving us t his confidence of such a growth -- high growth, which you've not achieved in the past?
Mohit Jain: Sure, Yash. So directionally, we feel positive on this growth trajectory that we've laid out as the revenues improve. Currently, with tariffs and FTA, the target to double revenues is doable with


these going away. And we have the capacities and the capability, and we are witnessing improved scale across all segments as we speak.
Yash Tanna : Sure, sir. Got it. But in any case, I mean, is there a possibility where this could extend because

it seems rather very aggressive, and it's good to be aggressive. But just trying to understand, we've nev er done this sort of a growth.

Mohit Jain: Yes. Of course, we got to realize that this is an aspiration that we all have. So we have not changed the numbers. We -- around 12 to 18 months ago, we declared our numbers. So we want to hold ourselves to it. Now if it moves by 6 months or 9 months or 1 y ear here and there, it's not the beginning or the end of the world, right? I mean, conceptually and how do you say, directionally, we are very clear.

And you've got to also understand that now we have 3 levers that we are playing on. It's not one lever only our core business. In our core business now with all these FTAs, U.S. opening up, I mean, that we have 35%, 40% open capacity there. We have the uti lity bedding business, and we have the brand business. So we have all these 3 to support this growth for the company.

Yash Tanna : Sure, sir. I think that makes sense. My second question was on the margins. So the margin decline from the 15%, 16%, if we dissect it into 2 parts, one could be due to lower utilizations due to the exte rnal macro factors, tariffs, et cetera. And the other one, obviously, that you had to give discounts to your customers because of the tariffs. So just trying to understand to get back to this aspiration of 15%, 16% margin, maybe the tariff discount will be immediate and the utilizations will be eve ntual. So can you break that up for us, if possible? Like w

hat's the margin
impact due to both these factors?

Mohit Jain: You laid it out quite well. I mean it would not be possible for me to break it up. Just one more point I wanted to add that our U.S. business that is yet at growth phase we have a margin impact of 150 to 200 basis points on the overall consolidated revenue . And we have fingers crossed, we expect that by the end of March 2026, that should be over. So starting Q1, we would not see a drag of that. And then as the retail business in the U.S. picks up and our capacity utilization starts improving, ag ain, that's a big factor to get the margins back to the levels that you mentioned.

Moderator: The next question is from the line of Dolly from Niveshaay .

Dolly : I just had a few questions, a follow -up question from a previous participant. So first of all, I wanted to know that out of our total cotton consumption right now, how much is sourced from U.S.?

Mohit Jain: So U.S. currently would be slightly below 10%. Our overall import is around 30%, 35%.

Dolly : Okay. So if you can help us understand the working of this, like we know that if we import the U.S. cotton, it will be duty -free, but we also know that U.S. cotton is comparatively expensive than other countries. So I wanted to understand that working -- how the net -- is it beneficial or



not for us to import the U.S. cotton or it depends on like customers only demand for U.S. cotton, then only we'll use it.

Mohit Jain: Sure, sure. So I'll explain it to you. First, I'll explain you from Indo Count's perspective. From our perspective, the cotton that we predominantly import from the United States is a cotton called U.S. pima, which is less than 1% of the cotton grown in th e world. So it's a very high -end cotton, similar to Egyptian cotton.

So this is specifically when our product development teams and sales teams go and show a customer a specific product, they like it. It's on the higher end of the range. That's the cotton that we import. Any cotton that is imported into India, which is 32 m illimeter in length and above is -- has duty -free access irrespective of country of origin into India. So most of the cotton that Indo Count imports today are 32 millimeter and above in length.

Coming to the U.S., as we speak today, when tariffs were put in place, if you use -- as we are speaking right now, if you use U.S. cotton, the content of the U.S. cotton in your end product, if that is above 20%, then on that much value, you don't pay tari ff. So for example, if the cotton content is 30% in the product and your tariff is 25%. So you don't pay -- you'll not pay 7.5% basically, 30% or 25%. That law is applicable for any country, not only India is the same law is applicable for any U.S., you c an say, content as long as it's above 20%.

What the government is working on is that if you use U.S. cotton and fiber from the U.S., then you get -- then the tariff becomes 0. Again, we have not seen the fine print. And any cotton that is below 32 -millimeter in length, we have 11% import duty as we speak from anywhere in the world. So hopefully, I've been able to answer your question.

Dolly : Okay. Sir, and like from where are we sourcing our raw material for U.S. facility?

Mohit Jain: Our U.S. facility, where we are making pillows and quilts is a global sourcing model, depends on the product that we are showcasing to our customer. And depending on what the tariffs and pricing is, we source it globally from China, Vietnam, Thailand, Kore a, India, all across the world.

Dolly : So what exactly facility we have in U.S., like what exactly we are doing in U.S.? Are we just

doing the end product or it's from the start?
Mohit Jain: We manufacture pillows, pillows that you sleep on, and we manufacture quilts in the United States in one of our -- the quilts

are made in our Ohio facility.
Dolly : Okay. So for that, you do the sourcing from like all over as per the pricing and the demand.
Mohit Jain: For the raw material, yes.
Moderator: The next question is from the line of Dhvaneet Savla from Savla Family Office .
Dhvaneet Savla : Sir, am I audible?


Mohit Jain: Yes.
Dhvaneet Savla : Sir, this is with regards to this expansion of the pillows, which you are putting up in U.S. By when will it be operational? And when it's operational, what will be our total capacity by then? And based on that capacity, what kind of a top line are we actu ally targeting? Is it in line -- still in line with what used to be a few quarters ago?
Mohit Jain: Sure, Dhvaneet . So Dhvaneet , I would suggest also to go through our investor deck where we have clearly laid it out. So we are -- as we speak, we have 3 manufacturing facilities in the United States. The third one commissioned in January of 2026. Our capacity is 31 million pillows. And if I'm not mistaken, around 2 million quilts. With this capacity, we should be able to do around USD 175 million in revenue, and we expect that to happen in 3 years. We are currently in the first year.
Dhvaneet Savla : And this is USD 175 million in revenue. So I was talking about just from the third facility. Is this just from the third facility?
Mohit Jain: The third facility should give us USD 85 million to USD 90 million which is part of the USD 175 million.
Moderator: The next question is from the line of Shradha Agrawal from AMSEC.
Shradha Agrawal : Am I audible?
Mohit Jain: Yes, Shradha .
Shradha Agrawal: Congratulations on a good quarter, Mohit. Just two questions. First of all, the tariff impact that we've booked it on the revenue line or at other expenses, where have we taken the impact? And possible to quantify the impact for both Q2 and Q3 separately?
Mohit Jain: So in terms of where the impact, it depends on the nature of the order. If it's an FOB shipment, the impact comes on gross margin. And if it's not FOB, then it comes -- it will come in the EBITDA margin. Very difficult to quantify at this point of time.
Shradha Agrawal: But have we taken an equivalent hit on the revenue line? Or is it only in the cost line that it is getting reflected?
Mohit Jain: Even on revenue. So for most FOB shipments, it happens on the -- I mean, it's all customer to customer specific, how the accounting works, what they want. So it's very -- it's honestly tailored to their -- through their requirements and in discussion with our teams.
Shradha Agrawal: And possible to quantify the impact for both the quarters, Q2 and Q3?
Mohit Jain: No, that would not be possible because it's all sensitive information that done on...
Shradha Agrawal: No. But you've given the 9 -month impact. So INR354 crores is your adjusted EBITDA versus INR345 crores the reported EBITDA.


Manish Bhatia: Yes. Adjusted EBITDA is the impact of the Labor Code impact, yes.
Shradha Agrawal: Okay. Okay. Okay. Got it. And secondly, I mean, how do cost dynamics change if we use U.S. imported cotton versus locally sourced cotton currently? So any thought on whether will it be cost economical for us to go for U.S. imported cotton, if at all, the t ariff gets down to 0 for that kind of a product?
Mohit Jain: If the tariff becomes 0, yes, for certain product ranges, it will become viable, and we are very familiar with the raw material sourcing base in the United States. It will all depend on what the Indian government puts if the 11% tariff in India for import of cotton from the United States remains, then the equation changes. If the 11% goes away on the raw material, then it would make sense to import s

ome amount of raw material from the U.S.
Shradha Agrawal: And currently, what is the content of cotton that is there in our products, general average content of cotton?
Mohit Jain: As a thumb rule, you can take 35% on a bed linen to take -- if you have to put your finger on

one number, but it could vary between anywhere between 30% to 42%, 43%.
Shradha Agrawal: Because there are talks that the cotton content has to be much higher for us to be eligible for that kind of 0% tariff. So I'm not sure...
Mohit Jain: Nobody knows right now. No, no. Currently, the rule, as I explained earlier, if it's above 20%, then on that content, you'll not get. But what the new rule is going to come out, whether it's for India for Bangladesh, the USTR has not laid down any guidelin es. So any guesswork on our part or anybody's part is only purely a guess.
Shradha Agrawal: Got it. And for shipments after 7th of Feb, so this 25% penal tariff goes away retrospectively from 7th Feb, right? I mean, for whatever shipments land in the U.S. after that date?
Mohit Jain: Correct.
Shradha Agrawal: So -- and the remaining 25% to 18%, that will be a gradual recovery on tariffs because probably you would have booked orders at a certain rate, and it will be a gradual negotiation with customers, and that will get reflected in numbers gradually. Is that t he understanding right?
Mohit Jain: Fair. I would say. As I said earlier, that it's too early. It's very, very dynamic, and we are in discussion with all our customers.
Moderator: The next question is from the line of Sachin from Svan Investment Managers.
Sachin: I would like to congratulate you for good numbers in such a volatile and difficult environment. My question is on the margins. So we had two impacts on our margins. One was because of the tariffs and second was because of the investment in the new business es. So you mentioned that from Q4, more or less a drag of the investment on the new businesses and all will go away.



So that will bring it to sort of around 11%. So fair to assume that the remaining gap between what we used to report at 15%, 16% versus 11% is the impact of tariff and as and when slowly and gradually things normalize, that should come back. Is that the wa y to look at the margin trajectory over the next 6 to 8 quarters?
Mohit Jain: So Sachin, more or less, your thought process is correct, but you've got to realize that this U.S. business will -- the impact will not -- we expect that the impact will not be then quarter 1 of next year. There will be some impact yet in Q4, the impact -- but in starting Q1, we expect that it will go away. So as I said, by March, it will go away. And coming back to the regular margin levels is also dependent on capacity utilization. So as capacity starts getting utilized, then there's no reason why we shouldn't be at a normalized margin.
Sachin: So just to summarize, basically, the impact that we are seeing on margins from 15%, 16% to the current levels is primarily a function of the impact because of the tariffs and the investments that we are making in the new facilities and the brand building, of which the impact of brand building investment probably will go in a quarter to 2. And slowly and gradually, as things improve for us, as utilization improves, the remaining impact of tariffs should also go away. That's the way to look from a 6 t o 8 quarter perspective. I'm not talking from quarter -to-quarter but 6 to 8 quarters.
Mohit Jain: Sure. Absolutely.
Sachin: Secondly, if you could give us some sense on the investments that we are planning for financial year '27 and how in that case, are we looking at our debt levels in the next year?
Mohit Jain: Sure. So this year, we had planned around INR214 crores odd, if I'm not mistaken. And we've invested up to 9 months, I

NR131 crores. In Q4, we should have another INR20-odd crores. So let's say, INR150-odd crores should be where the year ends. Some of this capex will spill over, especially the ZLD. We are in the final stages of choosing our technology partner. So that will spill over into next year. And then there will be normal balancing capex , maintenance capex , as we say, that will come into ' 26, '27.
Sachin: INR125 crores to INR150 crores...
Mohit Jain: Yes, that's a fair number.
Sachin: But how do you see our debt level? Because you mentioned that our debt levels have started to come down now that we are past the peak investment cycle. So how should we look at the debt going ahead, especially, say, FY '27? Maybe if you could give us a sen se over a 2 -3 year period, how should we look at it?
Mohit Jain: I think as far as debt level is concerned, the only reason we need debt is as revenues go up, we need the working capital to invest back in working capital. So that's the only balancing act.
Manish Bhatia: Yes. So we don't see any major changes or fluctuations in our debt. We have seen a reduction in first 9 months. And hopefully, the worst is behind us.

Sachin: Ideally, '27, we should see a reduction because we don't have any major capex , and we're expecting performance to improve both in terms of revenue and margins next year. So should we not see a further reduction in the net debt levels in financial year '27 from where we are today?
Manish Bhatia: Yes. Definitely, it should happen.
Sachin: And we have no major investment now lined up for the next maybe 18 to 24 months till we achieve this guidance of doubling the revenues. More or less the large investments for achieving this guidance are in place. That's the way to look at it?
Mohit Jain: No, no, no. We are -- as a company, we're always looking at opportunities, right? We have a very strong balance sheet. So certain decisions that we've taken over the last 3 years, 2 years, those are reaping benefits now. So at the same time, we are always evaluating. So as and when opportunities come our way. Now as we speak, we have nothing on the table other than what we've discussed, and we are clear that we should be able to double our revenue with whatever investments have been made. But we 'll look at further growth in the business, but depending on what opportunities come by.
Sachin: Yes, that I understand. But for the doubling of revenues, the la rge part of the investment. My question was more specific to our aspiration to double the revenues.
Mohit Jain: Yes.
Sachin: Okay. So if and when you look at any major investments, that would be opportunity beyond what we've already given a guidance for. It would be over and above that, right?
Mohit Jain: Yes.
Moderator: The next question is from the line of Surya Narayan from Sunidhi Securities.
Surya Narayan : So congratulations for a good set of numbers even in a challenging environment. Just to understand the kind of trajectory in the U.S. business, especially the onshore activities. So what is the idea that you are understanding that whether the U.S. greenfield facilities will have 50% kind of utilization maybe achieving next year so that we will be getting less track. And number two is that in Indian operation, it is currently, my understanding is it would be operating around 60-plus utilization. So will you se e that this year, in FY '27, there will be a ramp -up in the utilization?
And third, as you diversify away from the U.S. market, garnering around 30% share outside of U.S. So are we seeing that the non -U.S. market are not that remunerative as U.S. market? And fourthly, whether the consumer sentiment has improved of late, what we understand from the media. But are we seeing that the kind of consumer sentiment is like the Biden era? That is

my
questions.


Mohit Jain: Sure. So very difficult at this point of time to give any guidance, Mr. Surya. We are, of course, expecting better utilization levels, but it all depends on demand from the countries that we are shipping to. Any F TA-related countries, which is specifically U.K. and EU, none of these have been -- even the U.K. has not yet been ratified.
We expect all of this to happen in the next 2 quarters so that business can flow. So once it gets ratified, of course, we're in touch with all our customers, but they will only start taking major decisions once the tariff is behind, right? I mean, because both EU and the U.K. have to get ratified by their parliaments.
And we got to remember, EU is part of the 27 countries that make up the EU. As far as utilization in the U.S. is concerned, we do expect -- as we said, our current utilization levels are 65%, and we are positive about the business. So we are -- we think our third facility has come up at the right time. And we're already at a USD 100 million run rate. So if we are currently at that, we would expect the business to grow from there.
Surya Narayan : Okay. But my understanding is that because -- and what about the consumer sentiment, as I asked, if you compare the current era versus the Biden era, where we were actually growing very well and doing very well. I mean, is it that kind of sentiment reversi ng or some cautious optimism is still there?
Mohit Jain: No I think we got to all realize, a, the U.S. is a very resilient economy. But at the same time, finally, tariffs have come in. These are not small numbers, whether it is 15%, 20% from China, it was up to 146% sometime last year. So finally, it's the U.S. consumer who's paying for it, right? So retail goods, if you travel to the United States, even if you have a glass of juice today or a cup of coffee, the prices have all gone up. So only time will tell what consumer sentiments remain and how ro bust is the discretionary spending.
What we've seen in the last 2 quarters, even in the holiday season and right now, it's a little bit muted. But once everything settles down, we expect it to come back after 2, 3 quarters, the

demand levels. But it's not like something -- just because India tariffs has come down from 5 0% to 18%, it's not like going to be a hockey stick that it's an immediate rebound. What this does is for customers, it gives them clear visibility on what basis to take decisions for our customers, which is very, very important for our country and for us a s a company.
Surya Narayan : Maybe initial stocks to be absorbed then maybe as you rightly said, maybe around Q3 of next year, some kind of a rebound in the consumer sentiment to appear. That is what my understanding is. And regarding the imported raw material, you said around 32% is your import content. So is it majorly related to the pima cotton or anything else?
Mohit Jain: No, no. I said that our total raw material imported for our company is between 30% and 35%. That's what I said. And we import cotton from different countries, including Egypt and the United States being our 2 major countries.




Surya Narayan : Okay. So in this case, if I say if it will be beneficial, then still we will be raising the quantum to beyond 35%, what we are currently doing because our kind of raw material requires higher mm of maybe 33 mm kind of material rather than low length. So in that ca se, it makes sense. So -- and again, the MSP issues are also creating issues. So do you think that the -- even we can go further?
Mohit Jain: I think at this point of time, we are comfortable with 35%, depending on what regulations come out of the United States by USTR and depending on

what our customer needs are, what the price of the raw material is, all those mathematical calculations, produc t, everything will be done, and then we'll take those calls. I mean we are in a position to buy from anywhere in the world as a company.
Surya Narayan : And regarding the branch promotion expenses, whatever the current rates that is currently going on. So is it going to be steady or it will come down as the sales ramp -up happens?
Mohit Jain: Sure. So as I said that by end of quarter 4, which is in the next 45 -odd days, I mean, by end of March, that should go away. So till today, including the brand promotion, we are taking a hit of 150 to 200 basis points on our consolidated margin number.
Surya Narayan : And the incubation that you told about, is it related to the branch? Or is it related to greenfield? I mean, what is that -- incubation?
Mohit Jain: It's a mix of both, right? The EBITDA margin hit is coming for both for our new businesses, which includes brands as well as our utility bedding business in the United States.
Surya Narayan : Okay. Okay. And any understanding of guidance for the next year, at least based on the inquiries that currently you could be getting or...
Mohit Jain: It's too early for us at this point of time to give any sort of guidance, please.
Surya Narayan : But it should exceed 100 million pieces for FY '27?
Mohit Jain: What is pieces? We've not given any number of million.
Surya Narayan : 100 million meters, sorry, 100 million meters.
Mohit Jain: Very early to say that. Yes. Our objective is always to do better.
Surya Narayan : And just one understanding is that we were actually -- I mean, understanding the realization of ours sequentially and Y -o-Y. And with the introduction of the new business from the U.S., so because that is also coming as a package because sheets plus the quilts and pillows that is a package. So can we understand that we will just add up everything and whatever the s heets we are actually exporting, so that will be the blended realization we can understand?
Mohit Jain: I'm not sure how you're taking out realization. If you're taking realization by taking our revenue, for example, of INR1,074 crores and dividing that by 24.8 million meters, that will not get you




the right number because I mean, the 24.8 million meters is the goods that are produced in our core business in India, that's the -- you can take out a utilization level because our capacity is 153 million meters.
And we've got to also understand that from a revenue standpoint, some of that meterage has gone into the brand business. So the brand that Indo Count India is producing and shipping to its customers under the brand name falls under the branded business, wh ich are the 4 brands that we mentioned. So it might be a little complicated to take out exact realization per meter.
Surya Narayan : No, because ultimately, the brands and with the utility building and with quilts and pillows, those are actually as a package to -- I mean, financially, if you understand, it goes to fortify our margins, I mean, realization as well as the margins. So that is the understanding.
Mohit Jain: Surya, maybe our team can take it up with you offline and try and explain it to you better. It will

satisfy your requirement.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference to Mr. Mohit Jain for closing comments. Over to you, sir.
Mohit Jain: Thank you, everyone, for joining us today. We hope we've been able to address all your queries. Should you have any further questions, please feel free to get in touch with SGA, our Investor Relations Advis or. Thank you once again for your continued interest and support. We look forward to connecting with you on our next call. Thank you.
Moderator: T

hank you. On behalf of Indo Count Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.